Electronics Mart Ind (EMIL)

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Call: Nov 2022

To,
Listing Manager The Secretary
The National Stock Exchange of India Ltd., BSE Limited
Exchange Plaza, Plot No: C/1, G Block, PJ Towers
Bandra Kurla Complex- Bandra(E), Dalal Streets
Mumbai - 400 051 Mumbai- 400001

Symbol: EMIL
Series: EQ Scrip Code: 543626
ISIN: INE02YR01019

Subject: Disclosure of transcript of Earnings Conference Call for quarter ended 30th September 2022 held on 11th November 2022.
Dear Sir/ Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the transcript of earnings conference call held on 11th November 2022 to discuss the Unaudited financial Results for the quarter and half year ended on 30th September 2022. The same is available on the website of the Company at https://www.electronicsmartindia.com .
We request you to take this information on record.

Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 15th November 2022
Place: Hyderabad

"Electronic Mart India Limited
Q2 FY 23 Earnings Conference Call"

November 11, 2022

MANAGEMENT : M R. KARAN BAJAJ, CEO
MR. PREMCHAND DEVARAKONDA – CFO
MR. SREENIVASULU ETTA - DGM FINANCE
MR NAVAKANTH GUTURI - DGM FINANCE
MR. RAJIV KUMAR - CS AND CCO

Moderator: Ladies and gentlemen, good day, and welcome to the Electronic Mart

India Limited conference call, hosted by Anand Rathi Share and Stock Brokers.

It is my pleasure to introduce the management team of Electronic Mart India Limited, who are here with us to discuss the results. We have with us, Mr. Karan Bajaj, CEO; Mr. Premchand Devarakonda, CFO. Along with them, we also have Mr. Sreenivasulu Etta, DGM finance; Mr Navakanth Guturi, DGM finance; and Mr. Rajiv Kumar, CS and CO.

As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone.

I now hand the conference over to Mr. Karan Bajaj for his opening remarks. Thank you, and over to you. Go ahead.

Karan Bajaj: So, I would like to thank everybody for joining the Q2 and H1 FY '23 earnings call for the company, and I would like to take a moment to provide you with a brief overview of the company. Electronics Mart is the fourth largest and one of the fastest growing consumer durable and electronics retailers in India.

As of FY '21, we were the largest organized play in the southern region in revenue terms, and we operate our business activities across the major channels, that are, retail, wholesale and e-commerce. I will give a little brief on all the three channels and then we can move ahead.

Retail is our main core business and we operate under two different store formats, the multi-brand store and the exclusive brand store. The multi-brand store offered multiple products under one single roof, where the customer's experience enhanced for every individual branded product by arraying a wide range of electronic products under one roof and providing one-stop solution for all electronic needs.

Our multi-brand stores are branded as Electronics Mart in the region of Delhi NCR and Bajaj Electronics in AP and Telangana. As of September 30, 2022, we operate over 100 plus MBOs, which include two specialized stores under the brand name Kitchen Stories, and Audio & Beyond which focuses on high-end kitchen appliances, and home cinema and networking solutions

respectively.

Our EBOs, our exclusive brand outlets, which showcase products manufactured by the top manufacturers like Apple, LG and Samsung. As of September 30, we operate around 12 exclusive brand outlets.

 Our store offers a wide, diverse range of products for large appliances like air conditioners, televisions, washing machines, refrigerators, mobile phones and small appliances, IT and other product categories. We display over 6000 plus SKUs ranging from different 70 consumer durable and electronics brands.

Our local market knowledge, careful product assortment, supply chain efficiencies, coupled with efficient customer service has enabled us in providing our customers with electronic products at a competitive price with easy EMIs and a wide range of products to shop from and handpick the products best suited to their needs.

Our wholesale division is a limited division where we've seen that we over a period of time supplied to individuals, small mom-n-pop stores across the region of AP and Telangana. This helps us to liquidate the stocks as well. So that is a channel where we are available across 200 plus mom-n-pop stores in the region of AP and Telangana.

Our e-commerce business is a function of our extension of a business, where we are present on the top marketplaces in the country, where we have selected SKUs that we list and sell. We are associated with the largest domestic and international players there to expand our business reach from brick-and-mortar retail stores to e-commerce platform, where we sell selected SKUs, around 200 SKUs compared to 6000 SKUs that we offer in the offline space.

One important point that I would like to make a note is the seasonality of our business. Our business depends on two major seasons, one is the festival season, that is the Dussehra and Diwali period, which is usually covered in the Q3 period and the summer season, which is usually covered in the Q1 period. So, there are two major seasons that see growth in our business and see an increase inour business during this period.

Our results across quarters in our financial year may vary and may not be comparable to each quarter as the two major quarters like Q1 and Q3 are heavy on the sales due to the festive season and are not an indicator of our annual financial results.

A little brief on the NCR, currently, as on 30 September, we operate around eight stores in the Delhi NCR region. We will continue to follow our cluster-based approach for expansion to deepen our roots and make our presence longer in that region. This enables us to identify and grow our brands there as well. The market segmentation, the customer demand preference is little different than the existing market that we operate in and the efficiencies that we have in terms of our cluster-based approach that has worked really well for us in the past as well is what we want to go on with in the future as well.

The strategy would remain the same for the region as well. And I would like to just put a little flavor there, that it's just the beginning there for us and we feel that it's going to stabilize quite soon in the next few coming
 quarters as we expand and grow our roots in that region. We started our operation on the 14th August in the Delhi NCR with eight stores.

I would like to hand over the call to Mr. Premchand Devarakonda, CFO and he'll take you along to the financial results for the quarter and the half year for FY ‘23. Thank you.

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remchand Devarakonda: Thank you, Karan sir, and good evening, everyone. I thank each one of you for joining the call. At the outset, I wish you and your family a belated Happy Diwali and a Prosperous New Year.

Before I speak about our quarterly results, I would like to reemphasize that the second quarter is always an unseasonal quarter in our industry. With this brief preamble, I am pleased to announce that our company has delivered revenue from operations of INR 12,277 million, with a growth of 33% over the same quarter last year. These revenues are generated through three channels, namely, retail, wholesale and online.

Retail revenue, which comprises the sale from our MBOs and EBOs generated INR 11,105 million during the quarter, with a growth of 30.2% over the same quarter last year.

Our wholesale revenue, which is B2B sales, to single-store retailers in AP and Telangana state, delivered INR 92 million during the quarter.

Our online revenue has been INR 21 million during the quarter.

While all other operating income comprising incentives, commissions, etc., delivered about INR 1,050 million. Our EBITDA stood at INR 753 million, which is up by approximately 8% over the same quarter last year, with EBITDA margin of 6.1% versus 7.5% in Q2 of FY '22.

We have opened about 8 stores in this quarter in NCR. In line with our strategy to expand in this region, we carried out a marketing campaign in a decent way to create our brand image. In this process, we have invested in advertising and marketing activities, which has marginally impacted our profitability for the quarter.

Now moving on to H1 results, our company has delivered revenue from operations of INR 26,362 million, with a growth of 39.4% over the H1 last year. This has been our highest half-yearly sales since inception. It was mainly because the majority of stores operationalized through the pandemic period.

At this juncture, I would like to provide a little colour on our operations. Bill cuts have increased by approximately 29% to INR 1.44 million compared to H1 last year. Our average ticket size increased approximately by 9% over H1 last year, and our same store growth rate stands at 31.6% for H1'23, which is an indication of normalcy post-pandemic.

 During the half year, our retail revenue delivered has been INR 23,832 million, growth of 40.7% over the same period of last year backed by strong growth in our summer season sales.

Our wholesale revenue has delivered INR 294 million, and online revenue has been INR 175 million while our other operating income has been 2,021 million.

Our EBITDA stood at INR 1,724 million, up by 36.6% when compared to the corresponding period of the last year, and EBITDA margin at 6.5% versus 6.8% in H1 of FY '22.

As I mentioned earlier, the investments in advertising and marketing in NCR in the Q2 of the current financial year had an impact on our margins and in the current quarter, which has been offset by the strong Q1 performance of the current year.

Our PAT stood at INR 648 million for H1 of FY '23, with a growth of 58.6% as compared to that of the last year, while the PAT margin was 2.5% during the current H1 versus 2.2% of the first half of the previous year.

With this, I conclude and hand over to the operator to open the line for questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and '1' on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to only use handsets while asking a question.

Ladies and gentlemen, we will wait for a mom

ent while the question
queue assembles. We have a question from the line of Tushar from Ventura. Please go ahead.

Tushar Pendharkar: Yes, thanks for the opportunity. I have two questions. First one, how much was the commission and incentive income in H1 FY ’23?

Premchand Devarakonda: INR 2,021 million.

Tushar Pendharkar: Okay. Sir, how much?

Premchand Devarakonda: INR 2,021 million compared to INR 1,078 million of H1 of the last year. This year, FY’23 H1, it was INR 2,021 million.

Tushar Pendharkar: INR 2,021 million. Okay. And sir, the next question is how much hike have we taken in Q3 to pass on the rise in raw material costs because that has impacted the margin?

Premchand Devarakonda: First of all, there was no direct impact of the rise of raw material during that quarter because the H1 usually, would consist of Q1 and Q2, and Q1 would be for summer products like ACs and air coolers, for which
 we have a plan of already preempting the stocks as early as Q3 of last year. So, we didn't see a major hike in price as such.

Tushar Pendharkar: Okay. And sir, the third question is on the long-term borrowings, our long-term borrowings have increased from INR 144 crore in Q1 FY ‘23 to INR 167 crore. Means we have decided to repay the debt. So, how much would be the tentative long-term borrowing at the end of FY ‘23?

Premchand Devarakonda: Out of this, as on date, we have already prepaid a long-term debt to the tune of INR 60 crore and the remaining debt will remain in our book in FY ‘23 because we want to continue with the existing term loans. as of now, we don't have any plans to repay these term loans.

Tushar Pendharkar: Okay. And sir, last question is on the capex. Our H1 capex was around INR200 crore. So, can we take the full year capex of 400 crore for FY ’23?

Premchand Devarakonda: Sir, it will not be in the same proportion because in FY ’23, in H1, we had invested in acquisition of properties in NCR because we are new to that territory. that is to showcase our long-term plans too. For that purpose, we had to invest in the acquisition of assets, but this is not going to be the scenario in future. In future or whatever, our capex will be only towards improving the leasehold premises and it will not be in the same proportion.

Moderator: Thank you. We have our next question from the line of Nirav Vasa from Anand Rathi Share and Stock Brokers. Please go ahead.

Nirav Vasa: Hello, sir, would it be possible for you to run through the store expansion strategy in second half of the financial year?

Karan Bajaj: So sir, in the first half, we opened another eight stores in Delhi NCR as a region as of September. So, right now, the plan is to open few more stores as was projected and this would be in the region of Delhi NCR as well as in AP and Telangana with majority of the stores being multiband stores and few of them selected exclusive brand outlets as well.

Nirav Vasa: Okay. Got it sir. So, sir, end of second quarter FY ‘23, would it be possible for you to give a breakup of the stores that we own and the stores which are there on lease?

Karan Bajaj: Breakup of stores, sure sir, as we talk, we've got 93 stores leased by the company and 11 are completely owned by the company and eight stores are partly owned, partly leased.

Nirav Vasa: Alright.

Karan Bajaj: It was across AP, Telangana, and Delhi NCR.

 Nirav Vasa: Right sir. Would it be possible for you to give the same data for the Delh

i foray?

Karan Bajaj: Sir, Delhi, out of the eight stores that we have launched, there are seven stores that we own, out of which two stores are ready to get launched. So of the eight stores that we have launched on August 14 of '2, seven stores are in the books of the company and the rest of them are leases.

Nirav Vasa: Effectively would it be right to say that additionally whatever stores we are going to add would be mainly on the lease – leased basis?

Karan Bajaj: Yes. So for now -- right now, whatever we are expanding within Delhi NCR because acquisition is completed for the prime market that we wanted to pick up the stores in. So the most of the stores that we are now signing are going to be -- majority of them are going to be leased out, sir.

Nirav Vasa: Would it be possible for you to share some color as to how was the Diwali sales? Any broad color that you'd like to share?

Karan Bajaj: Right, sir. Diwali definitely was -- this is one of the few years after the pandemic, where we were able to perform without restrictions. And it was in line with our expectations and so definitely give a flavor in the next quarter and would support us for our annual numbers as well.

Nirav Vasa: Right. Sir, I understand it could be a bit early to ask, but how does the summer season outlook look for you? I understand it's a bit early, but you can give any color.

Karan Bajaj: You want to complete your question?

Nirav Vasa: No. I'm done.

Karan Bajaj: So, sir looking at the Q1 summer this year, we were quite confident that Diwali was also on track with us. So in Q1 next year for summer, definitely, we are geared up for it in terms of the plans that we would have in terms of marketing, the government approvals and all, but it has to do majorly with the seasonality of the product. So we'll be geared up, we'll be ready, but it will majorly depend on the extension of the season or how the season would perform depending on the weather as well. So, that is something beyond our control. But in terms of the other aspects of the business, we are all ready and geared up for the summer season as well, sir.

Nirav Vasa: Sir, as I understand that there is some time gap between the summer season setting in between -- setting in the NCR market and the southern market. So, can we expect stronger -- I can say stronger AC sales as compared to the convent -- from the NCR market in the early part as compared to what it was done in the southern part of India?

 Karan Bajaj: Sir, you are correct on this, but with the number of stores that we would be operating in Delhi NCR during the summer this year and at the same time with our brand being quite new, it would not reflect on the actual numbers that we would be able to deliver there, but then definitely yes, we would be fitting into the summer this year in the Delhi NCR market as well. So we will be expecting because the summer, there would be setting in post April, May and would be a longer period compared to what we expect down south. So looking at that level, right now, we are ready for it. And we feel that, it should be delivering us the expected numbers for this season at least.

Moderator: Thank you. We have our next question from the line of Ankit Kedia from Philip capital. Please go ahead.

Ankit Kedia: So just wanted to know, if you look at your product mix, right, large appliances share is around 50% while a couple of years back, it was 55% to 60%. So just wanted to know the seasonality in large appliances, do you see second half contributing higher for large appliances because margins out there would be higher. So how do you look at first half versus second half in large appliances and

how much
is the margin differentiated in these products?

Karan Bajaj: So yes, correctly said, the difference between products like mobile, IT versus larger appliances would definitely vary. And it all would depend on the seasonality as well. So usually, the festive season would be heavy on the appliances, whereas the summer would be heavy on ACs and coolers. The other two quarters that is Q2 and Q3 would be a mix of both IT and mobile on higher side. So that is why you would see a blended margin coming up to what number it is coming up to date. So definitely yes, it would be a mix of – so all quarters would vary differently and the blended would be at the projected numbers that you would have for the past as well as for the future.

Ankit Kedia: Yes, but this year, given that Delhi launch happened late and in Q4, you might see the AC sales come in, do you expect the second half of the year to be heavy on large appliances, or you'll see the benefit of that coming…

Karan Bajaj: We would see a similar mix going forward as well. So because this would be year one only for us, and we would be operational with limited stores in that region. So we feel that it would be quite early for us to preempt the Delhi NCR as a market on terms of the product share that we would have across product categories. But it is in line right now -- till now, it is in line with what we were expecting and what we've been delivering back home in AP and Telangana as well. So the product categorization is very similar to that.

Ankit Kedia: Sure. My second question is on the Delhi NCR market. Can you talk about some startup losses which you have? And by when do you think these stores would break even? And in second half of the year, what could be the incremental -- if I just look at Delhi NCR, what could be the

margins only for those markets at the gross margin or EBITDA margin level, if you can share?

Karan Bajaj: Right, sir, our initial expectation would be that things are on track since the time we've launched. Definitely, yes, it being a new market, we had to advertise a little heavily because the number of stores was limited, we had to make sure that we create a presence because Delhi NCR is present across Noida, Greater Noida, Gurgaon, Faridabad, Ghaziabad, and the whole of Delhi city. So the cost of advertising across the periphery was a little more expensive. We had to do some launch activities, we had to gratify the customers there. That's why we had one of the lucky draws recently as well, what we do back home with the limited stores that we had. So this was all a part of that we had planned earlier. So the cost of marketing definitely would be looking a little higher initially.

But then once we open more stores -- it gets offset with the sales or revenue that we generate in the future, which is in line with what we're expecting back home, and these margins are -- right now, we are operating at a similar margin percentage that we would do back home with a little competition, with we setting up the stores there and a little initial momentum, there might be a little plus or minus of around 0.5% in terms of margin levels that we will look at it. So we are ready for it and that is where you would see a decrease in the Q2 number as well in terms of the EBITDA margin, where there was a direct impact on the daily operations, which were in place in terms of the manpower costs, security, housekeeping, marketing, those kind of expenditures that were already booked in before revenues not even started, which got a little delayed because as we wanted to launch those stores on a certain day.

So, all of these things put together has an impact during the Q2 that we wou

ld see in the numbers, sir.

Ankit Kedia: And can you quantify that number for us, so we exactly know how the core market has performed because on like-to-like basis, the historic numbers would have only the core markets and not the daily market. So that will give us some idea on how strong the core market performance is at least at the EBITDA level?

And what is the current run rate of revenues in the daily market if you can quantify that as well?

Karan Bajaj: Sir, can you repeat your question once again sir, please,

Ankit Kedia: Sir, can you quantify one, the revenue run rate in the Delhi market which you have on monthly basis and second is the absolute amount of fixed cost to run the daily stores, X of the gross margins to help us understand that the core market because in the base year Q2 FY ’22, we only had the core market, not the daily market, so the like-to-like performance, it will help us gauge in a better way.

 Karan Bajaj: So sir, in terms of the expense that would be -- the operating expense at -- we would be operating in Delhi as a market, apart from the rental, all other costs remain the same as we do back home and the rental costs would be a little higher, which is built around 3% compared to the regular number of 1.5% or 1.2% that we deliver as a rental costs. The Delhi rental costs would be around 3% that will be a little higher number, but in terms of the manpower costs and everything else would remain in line with the Hyderabad market – so, the major head would be electricity, manpower, and security, housekeeping. Apart from this, the major cost was on the marketing launch or the business promotion. So that was on the higher side. Usually, it would be around 1% year, but for the initial launch, because there was no generation of revenue, I would be able to tell you the approximate number. It was around INR 3.5 crore to INR 4 crore for the marketing spend that we did for the initial launch.

Moderator: Thank you. We have our next question from the line of Mehul Desai from JM Financial. Please go ahead.

Mehul Desai: Yes. Hi, sir. Just wanted to get -- if you can just give some sense on how was the growth in AP and Telangana market in terms of revenues there and what are the kind of store expansion plans for those markets?

Karan Bajaj: Right, so sir, I will give a broader number. So, we look at around 30% of same store growth coming in, because most of the stores that we opened in AP and Telangana in the Tier II, Tier III cities were during the pandemic year. So, in fact, we were not able to run those stores completely. Now we are looking at those stores delivering a much higher number than what they were initially doing because they were opened in the pandemic period. So, we are looking at a much higher number coming in those places, especially Tier II, Tier III cities.

This Diwali also gives us a flavor of that. And going forward, we are looking at expanding into these regions, places like Vijayawada, Tenali, Guntur, Kurnool, Nellore, Rajahmundry, Bhimavaram, Tirupati. So these are the places that we've already looked at expanding for the coming time, and it would always give us a breakup in terms of the total split that contribution is coming from the upcountry market of Telangana, which we're operating around 17 stores today and around 22 stores that were operating in the market of Andhra Pradesh, it is already giving us a higher throughput, what it was giving us in the previous periods.

Mehul Desai: And store expansion plan, I mean the 103-store count that we had in FY ‘22 and now 112. We are looking at what number for FY ’23?

Karan Bajaj: FY ‘23 end, we would be adding up another 15 to 18 stores in th

e
existing market.

 Mehul Desai: In the existing market. And lastly, you said INR 3.5 crore to INR 4 crore marketing spend that you've done. This is for the daily launches one year thing, right?

Karan Bajaj: So this would include all ATL and BTL activities along with the business promotion where during the launch, we had given gold chains for every two hours in Delhi in all the eight stores that we had launched, as primary part of our marketing, along with that in all the major publications and we carried a launch ad… with pre-launch offers on radio as well as post-launch offers running through on the radio for a month with outdoor celebrity promotions, endorsements, all of those things put together was the launch plan that we had planned for Delhi NCR because we were launching eight stores together. So we want to make sure that we create a buzz in the market and as I told you the periphery of Delhi NCR is quite huge. So we had to plan it accordingly because one of our stores was placed in Ghaziabad in Uttar Pradesh and seven of the stores are based in Delhi city. So we had to plan out the marketing plan accordingly. So that is why we looked at that kind of spend, which would justify the launch for eight stores together.

Mehul Desai: So Delhi NCR in gross margin term, so the store gross margins would be similar to what AP, Telangana does.

Karan Bajaj: Yes sir. Because the product mix also remains similar and that is why we are looking at a similar gross margin level at the same time.

Mehul Desai: And lastly, just -- I mean, right now in first half in Q1, you had 14% gross margin, 13.6% in Q2. This Q3 is typically a higher gross margin. Is that understanding correct?

Karan Bajaj: So sir, exact number I won't be able to share with you, but yes, definitely yes, the product mix remains a little different and definitely, if you look at the Q3 numbers, it would be in line with what we delivered in the past as well. So we are quite confident that the Q3 would be in line with the past and it would be. So what have happened is every quarter for us would play differently, like Q1, Q3 would be on a similar range, Q2, Q4 would be on a different range because the product mix would be a little different and the seasonality and the productivity also would change. So the overall looks blended by the year end.

Mehul Desai: Okay, understood. And this marketing spend of INR 3.5 crore to INR 4 crore, do you see this kind of spend coming in second half also for Delhi NCR or is it done now?

Karan Bajaj: No sir, it is done. So basically, it was a launch that we had to create a buzz in the market for the branding available there. But now it is going to be all organic. So it will be in line with whatever sales that we generate. So it is going to be in line with what we do back home also. So the marketing cost is going to be limited to medium until the next summer starts off, that is Q1 of next year.

 Moderator: Thank you. We have our next question from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Yes. Hi, congratulations on the great listing and great performance this quarter. So I just wanted to get a broad flavor of our growth in the upcoming years. So would you be able to give out some kind of numbers that you might be expecting, maybe next year or something like that, because we had a very rapid store expansion and as the store matures, we will be getting better and better reve

nue. So what kind of growth are we looking in the upcoming few years, even ranges would do.

Karan Bajaj: So sir, usually, we plan to add up around 20-odd stores every year, that is what the plan is. The new stores usually… in the year one, year two, year three would give us a higher growth rate compared to a same store growth, compared to the vintage stores, which are 5, 7, 10 years old. So we aren't expecting any inorganic growth coming in for us because the stores that we expand, the product categories that we are into. So we will look at an organic split and development of that going forward would be in the range of around 20% to 25%. That is what we will look at organically for the coming times sir.

Darshil Jhaveri: Okay, so that helps a lot. And another question related to our finance costs. So as we are repaying some debt, and we've been adding, we've got some IPO proceeds. So what could be our finance form going forward, because it's been around INR23 crore in the last two quarters. So we have done roughly INR50 crore in H1. So, just a broad range of what do we see a finance going forward?

Karan Bajaj: So, sir, if you have seen, we're working towards it. So the finance costs would be in line because the working capital requirements are higher and this would again depend on the seasonality. So, it would be Q1 and Q3 heavy on the working capital requirement versus Q2 and Q4 little lower. So, we have paid up INR 59 crore term loan that we had on our books. So, that was a long-term debt that we had repaid. This was majorly for the acquisition of property. Going forward, we would not be looking at this kind of a drastic increase in the term loan requirement and the working capital cycle or the working capital days remain more or less similar. We try to enhance that. If you look at the number of inventory days also have dropped down a little bit, but we are in line with enhancing all fronts to make sure that this comes in line with the sales that we deliver.

Moderator: Thank you. We have our next question from the line of Divesh Mehta from Dinero Capital.

Divesh Mehta: Hi, thanks for taking my question sir. Sir, I had one query. So, when I was going through your presentation on your slide Number 10, sir I was just referring to it and I saw that the number of closed outlets has been only one and that is also in FY ‘22.

 Karan Bajaj: Correct sir.

Divesh Mehta: Yes. I know we follow a cluster approach when we are trying to target the market and we -- while we go for the store opening and all, but sir can you give me per store metrics that how we plan for it and what is the approach, how to get payback in the shortest period?

Karan Bajaj: So sir, what we look at first thing is that, we do a lot of research before we open a store. So that is why you could see very less number of stores are closer from our side. So, we don't intend to pick up stores randomly. There is a lot of study that goes and a lot of research that goes to the end before finalizing the store. So, that is why we limit ourselves to opening 20 to 25 stores in the calendar or the financial year, is to make sure that every store is handpicked by the team and making sure that we fall in line with all the compliances that are to be followed. So, that is why one store that we closed on was a previous store in FY ’22, whereas, in the first half of the year you will not see any store closes and historically also we do not close stores.

So we look at stores, which are at the border line performance or something. We try to evaluate stores month-on-month, quarter-on-quarter to make sure that the productivity of the stores is increasing and wherever we feel like especiall

y, this would happen with an exclusive brand outlet or a store with the productivity is a little lower. That is where we would like to take a call on the store, if it doesn't perform and meet our expectation.

Divesh Mehta: But sir, I was little bit -- I was surprised that in last three years, we have closed only one store. So, we have been so specific with the location selection in our stores, all the stores must have been performing very well to get such kind of efficiency out of it.

Karan Bajaj: Correct. Yes sir, they are actually. If you look at the stores that we operate versus the number that we deliver in terms of top line, we're looking at only the multi-brand stores. So, the major split would be multi-brand stores and exclusive brand outlets. So, that is why the exclusive brand outlets would definitely deliver a lower throughput compared to a multiband outlet because it is a brand specific and a product specific store. So that is why we would look at the multiband, which contributes to around 95% of our business. So that is more important. And when we look at the matrix there, we look at cost, input, revenue generation that we do. So, if you look at on an average, our stores deliver over INR 40 crore plus, including Tier II, Tier III cities in upcountry of Andhra Pradesh and Telangana.

So, our aim is always to make sure that we increase product categories in the store, the productivity per store and look at every season to deliver a constant number annually sir.

Divesh Mehta: And sir, one more question. So when we use the store name, which is Bajaj Electronics in Andhra and Telangana and outside Andhra,
 Telangana, we are using the name Electronics Mart, if I'm not

mistaken.

Karan Bajaj: Correct sir.

Divesh Mehta: So how do you see this resolution coming in future and how do you see this will pan out for our company sir?

Karan Bajaj: So sir, that was an intentional plan that we had done, where we use the company name, which is Electronics Mart for that other region that we're operating in.

Right now, this is the plan that we want to stick to and once we have a little more clarity from our end, we see a little more change coming in the future, that is when we probably take a call. Right now, this is what we want to stick to expanding with our existing name of Bajaj Electronics in the region of AP and Telangana and anything outside this region, we will be expanding under the name of Electronics Mart.

Divesh Mehta: But is there any litigation going on and all with this name or anything?

Karan Bajaj: So there is actually a litigation going on in the Bombay High Court filed by the Bajaj Electrical Group. So till the time that is resolved the matter is sub judice in the court, we won't be able to comment on that, all the disclosures have been mentioned on that at the same time. So that is why we think we don't want to complicate things. We want to make sure that we concentrate on the business rather than concentrating on the case. So that is why we started with the name Electronics Mart and once things fall in place, then we would then look at taking a decision on that sir.

Moderator: Thank you. We have our next question from the line of Krisha Kansara from Molecule Ventures LLP. Please go ahead.

Krisha Kansara: Hi sir. Sir my first question is regarding your strategy behind acquiring stores in Delhi NCR? So what was your thought process behind acquiring stores versus not using one?

Karan Bajaj: Right ma’am. So when we started evaluating bigger markets, like Janakpuri, Lajpat Nagar, Rajouri Garden or the prominent markets in Delhi NCR, so ma’am, the rental cost there we look at the yield versus the buying of pro

perty in terms capital expenditure that we would want in these stores, the cluster size, what are the competition delivering in that cluster, how big is that cluster? So, there's a lot of reasons when we take a call on whether we leave out a store or buy out a store. Usually, we would first look at a preference of leasing out the store when the yield is less than 5% or so. So, once we are confident enough that the markets are big or the properties are only available on a certain criteria, so that is why we make a decision on whether we will lease out the property or we buy out the property ma'am.

 So, out of – if I give you a mix of about 112 stores today, we own around 20-odd properties on the books of the company, where there is a mix of lease out or lease -- partly owned, party leased and completely owned properties as well, ma’am.

Krisha Kansara: Okay sir. Sir, my next question is regarding your refurbishment cost. So, in your DRHP, you had mentioned that per store, you have refurbishment costs of around INR 2.5 crore. So, we take this on our books, but this will not be a onetime thing, correct? So, what is the frequency in which we incur in this refurbishment costs?

Premchand Devarakonda: Ma’am, I will take, ma’am. Can you repeat the question?

Krisha Kansara: Sir, my question is the refurbishment costs, which we take on our books of around INR 2.5 crore to INR 3 crore. So this won't be a onetime cost, correct?

Premchand Devarakonda: Yes. It is in fact. It is the leasehold improvement.

Krisha Kansara: Correct, but this cost won't be a onetime cost, right? So what is the frequency in which we incur this cost at the same…?

Premchand Devarakonda: No. We will not incur a similar cost frequently. Normally this is – as per our policy, we will write it off over a period of eight years. And then in between we incur on maintaining these leasehold improvements, mainly the air conditioners, the joinery work. So, only that will recur and after we write off, we decide to upgrade the store -- that is the time again, we need to incur this expenditure, normally it happens once in eight years

Krisha Kansara: Okay. Understood. And sir, will this refurbishment costs increase when we enter in Delhi NCR?

Karan Bajaj: No ma'am, in fact, what we always try to coming up with newer ideas for store displays and store interiors, so that the refurbishment costs on longer term reduces, so that we use products or materials where the refurbishment cost over the period of time or the durability of these products are much superior maam.

Krisha Kansara: Okay.

Moderator: Thank you. We have our next question from the line of Nirav Vasa from Anand Rathi Share and Stock Brokers. Please go ahead.

Nirav Vasa: Hello, sir. Would it be possible for you to share the SSG for H1 FY '23?

Karan Bajaj: So that stands at around 30-odd percent sir.

Nirav Vasa: 50%.

Karan Bajaj: 30% sir.

Nirav Vasa: Sir, any guidance that you would like to give for FY '23 performance?

Karan Bajaj: Sir, the Q1, Q2 performance was as expected that we've delivered and looking at the FY '23 annual number of projections for the next two quarters because you've already crossed Diwali. So we are on track, we are quite confident. I would just like to give you a flavor that Diwali was quite a good period for us. And looking at that, we're quite confident that FY '23 would be in line with what we had expected and projected around 20% growth.

That is what we looked at and we are on track of delivering that number sir.

Nirav Vasa: Sir in addition to the last question that I would like to ask is based on your experience of 4G upgradation, and now with 5G upgradation on avail, there are a lot of testing's which are happening across multiple cities.

Karan Bajaj: Correct.

Nirav Vasa: What kind of potential are you seeing arising for us from 5G sale – 5G upgradation once it is done on Pan India basis, especially across our geographies?

Karan Bajaj: So sir, that was quite confident the market that we operate in, 5G is going to be firstly available here very soon. So that anyways gives us the confidence that we are going to sell more number of IoT devices. Number two, sir as a seller, we are premium sellers. So we don't do a lot of feature phones. So from the initial start of selling mobile phones, we are already doing smartphones. We're quite confident that the customer base that we have for our smartphone devices or the upgradation that you might look at the future going to be quite stronger because the ASPs that we deal with are on the highest side, which cater to the 5G device segment.

Tier II, Tier III might take a little longer for the adoption of 5G, but at least the cities that you operate in, like Delhi NCR and Hyderabad, we're quite confident that it would be sooner than other cities that we will be able to sell higher number of IoT devices.

Premchand Devarakonda: I would like to add something to the answer, which has already been answered by our CEO earlier on the finance cost.

See here, the finance cost comprises interest expenditure as well as certain amount to be charged, it’s a notional interest charged on the leasehold liability created in our books as per Ind AS. See for example, in the current financial year, out of INR 49.9 crore of our finance costs, the actual interest cost on account of our borrowing was only INR 22 crore. Similarly, during the half year in the previous financial year, out of INR 39.5 crore of the finance cost, only INR 15.69 crore was only on account of the borrowing. So, this was the further clarification to be added in this discussion.

Moderator: Thank you sir. On behalf of Anand Rathi Share and Stock Brokers, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

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To,
Listing Manager
The National Stock Exchange of India Ltd.,
Exchange Plaza, Plot No: C/1, G Block,
Bandra Kurla Complex- Bandra(E),
Mumbai - 400 051
Symbol: EMIL BAJAJ
ELECTRONICS
The Secretary
BSE Limited
PJ Towers
Dalal Streets
Mumbai- 400001
Series: EQ Scrip Code: 543626
ISIN: INEO2YR01019
Subject: Disclosure of transcript of Earnings Conference Call for Third Quarter and
Nine Months ended 31% December 2022 held on 10 February 2023.
Dear Sir/ Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we hereby inform you that the transcript of earnings conference call held
on 10" February 2023 to discuss the Unaudited financial Results for the Third quarter and Nine
Months ended 31*t December 2022. The same is available on the website of the Company at
https://www.electronicsmartindia.com.
We request you to take this information on record.
Thanking You,
For and on behalf of Electronics Mart India Limited
oe Digitally signed
Raj IV by Rajiv Kumar
Date:
2023.02.15
Ku m a r 12:32:37 +05'30°
Rajiv Kumar
Company Secretary and Compliance Officer
Date: 15" February 2023
Place: Hyderabad

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CIN L52605TG2018PLC126593
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Electronics Mart India Limited i
“Electronics Mart India Limited Q3 & 9M FY23
Earnings Call”
February 10, 2023
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the
audio recordings uploaded on the stock exchange on 10" February, 2023 will prevail.
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Electronics Mart India Limited
MANAGEMENT: MR. KARAN BAJAJ —CEO
MR. PREMCHAND DEVARAKONDA — CFO
Page 1 of 17
EMI>
Electronics Mart India Limited
Moderator:
Karan Bajaj: Electronics Mart India Limited
February 10, 2023
Ladies and gentlemen, good day, and welcome to the Q3 & 9M FY23 Eamings Conference Call
of Electronics Mart India Limited.
This conference call may contain forward-looking statements about the Company which are
based on the belief, opinions, and expectations of the company as on date of this call. These
statements are not the guarantees of future performance and involve risks and uncertainties that

are difficult to predict.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bajaj - CEO of Electronics Mart India Limited. Thank you, and over to you, sir.

Thank you. Good evening, and a warm welcome to everybody present on the call. Along with me I have Mr. Premchand Devarakonda — CFO and Strategic Growth Advisor, our Investor Relationship Advisor.

We have uploaded our 'Results and Investor Presentation' for the quarter and 9 months on the Stock Exchange and the Company's website today. Hope everyone had a chance to go through the same.

On 17 October '22, Electronics Mart India Limited got listed on BSE and NSE. It was a momentous day for all of us. And thank you to all the stakeholders who have believed in us.

In the 9 months of FY '23, we have opened 19 new stores. Currently, we have 122 stores, 109 of which are multi-brand stores and, 13 are exclusive brand outlets. Out of 122 stores, 102 stores are leased, 12 are owned, and 8 are partly owned and partly leased. As on date, we are present in 38 cities a

cross four states, and we have recently entered Kerala as well.

We continue to focus on deepening our presence in the regions we operate in before venturing into the new market, which has led us to establish brands present in Telangana and Andhra Pradesh markets. This enables the target customers to identify with our brands as well as with the product portfolio and helps our understanding of the market segment and the customer demand preferences. We believe this approach also enables us to achieve significant market share and dominate in the market we operate in.

We plan to continue to deepen our store network in Andhra Pradesh and Telangana, and also gradually plan to expand our network in the new region that we ventured, that is Delhi NCR in pursuing our defined cluster focused expansion strategy. We plan to open 26 MBOs in NCR, 22 MBOs and 10 exclusive brand outlets in Andhra Pradesh and Telangana in the coming future

and adopt a methodological approach in evaluating and selecting locations. We believe that our local market knowledge, supply chain efficiencies and effective inventory management have enabled us to attain higher cost competitiveness and consistent profitability. Our customized product assortment and comprehensive product portfolio enable us to achieve better visibility, brand recognition, deeper market penetration and an increased customer base.

We have 9 large centrally located warehouse facilities now, which are backed by individual storage areas at store levels of varying sizes to cater to individual stores or a group of stores.

Coming to Q3, we have delivered strong growth of 17% revenue year-on-year at Rs. 1,482 crores compared to 1,265 crores of last year, with a 17% growth and 32% year-on-year for the 9 months FY '23 at 4,118 crores.

On account of investments made to open new stores in the new geography that is NCR, the company had increased investment in brand building, sales, and marketing. And these investments have lowered the EBITDA margin, which is expected to improve as the revenue throughput from new geographies increases.

To conclude, I would like to say that after having established a leadership position in the Andhra Pradesh and Telangana region electronic market, we have now entered Delhi NCR where we plan to capture significant market share over the few years.

In the southern region, we plan to expand our footprint in places like Vijayawada, Tenalli, Guntur, Kurnool, Nellore, and more Tier-2, and Tier-3 cities in the existing clusters by the cluster-based distribution network, diversified product portfolio, strategically located logistic warehousing facility which overall would give us a competitive advantage in the existing market as well.

With this, I request our CFO Mr. Premchand Devarakonda to update you on the financial performance of the company. Thank you.

Thank you, Karan sir. Good evening, and a warm welcome to all the participants. Now, I would like to present the financial overview of Q3 of FY '23.

The total revenue for Q3 of FY '23 stood at 1,482 crores as against 1,265 crores of Q3 FY '22, with a growth of 17% year-on-year. For nine months of FY '23, our revenue stood at 4,118 crores as against 3,119 crores of 9 months FY '22 with a growth of 32% year-on-year.

EBITDA for Q3 of FY '23 stood at 72.8 crores as against 77 crores of Q3 of FY '22. There isa degrowth of 5% year-on-year, whereas for 9 months of FY '23, EBITDA stood at 245.2 crores as against 203.2 crores of the corresponding period of FY '22. There has been a growth of 21% year-on-year. EBITDA margins for Q3 of FY '23 stood at 4.9, whereas for 9 months, it stood at 6%.

As already mentioned by our CEO, our initial operating and branding expenses while expanding Electronics Mart India Limited

our operations in the new territory, that is NCR, have impacted these margins.
PAT for Q3 of FY '23 stood at 21.9 crores as against 27.7 crores of Q3 FY '22, a degrowth of 21% year-on-year. And for 9 months of FY '23, PAT stood at 86.7 crores as against 68.6 crores of this period. It had a growth of 26% year-on-year.
Annualized ROCE and ROE for 9 months of FY '23 stood at 12.7% and 9.8% respectively. The working capital days as on 31% December stood at 49 days. The gross debt to equity is 0.4x, and the net debt to equity is at 0.1x, which was considerably improved on account of the IPO.
Our net debt to EBITDA stood at 0.66x. Our cash flow from operations before working capital changes for 9 months of FY '23 stood at Rs. 244 crores, which is almost equivalent to our EBITDA.
During the reporting period, our same-store sales growth rate stood at 23.5%. During nine months period, the composition of sales of electronic and consumer durables has been 48% from large appliances, 37% from mobiles, and 15% from small appliances, IT products and others.
Out of the total sales, around 98% has been from the retail segment, and the top five brands contributed around 64% to our sales revenue.
With this, I would like to open the floor for questions. Thank you one and all.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Krisha Kansara from Molecule Ventures PMS. Please go ahead.
Krisha Kansara: Sir, my first question is regarding Delhi NCR. So, if you could just give a brief about the size and the number of stores opened in this new geography? Also, sir, what is the current run rate of sales coming from Delhi NCR? And have we achieved breakeven now? That is my first question.
Karan Bajaj: Delhi NCR, as we talk, we are operating 12 stores there, 8 stores were launched on the 14" of August, and 4 other stores were launched on 22" of October. Right now we would look at these stores performing after certain gradual growth that we would be expecting. Post Diwali we saw these stores stabilizing a little bit, and then the biggest season there is summer, which will start off from April.
So, Delhi on a whole, as a scenario right now, usually when we look at 12 to 14 months breakeven in the existing market, Delhi, we were assuming that Delhi would be breakeven for us in the period of 18 to 20 months, a little higher because of the new geography and a new brand altogether.

Krisha Kansara:
Karan Bajaj:
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Krisha Kansara:
Karan Bajaj:
Krisha Kansara:
But what we expect for a store to perform on a year one average of 25 plus crores. So, the throughput on those lines are in track, and once we churn the summer season, that is when we would be looking at the initial growth of year one, year two and year three, which would be higher, and then the store stabilizing and maturing after year four onwards. So, that is the trajectory that we have seen in the past in the existing market, and we are hoping that in the Delhi market also, we would be on the same track.
Currently, like what percentage of sales would be coming from this Delhi NCR stores?
In Q3, the sales percentage that have added up was around 54 crores, and for the first nine months because there were few weeks of Q2 also that added up, so the first nine months, the total revenue from Delhi that we generated around 84 crores.
And sir, so you have recently opened a few kitchen stores, specialized stores. So, currently, how much do they contribute to the top line?
Kitchen Stories is a specialized store format, and we have one store in Vishakapatnam and two

in Hyderabad. And we have recently taken over the operations of the Kerala store as well, but the stores that we are about to launch will be launching in the mont

h of Apmil. So, technically
today, the store is not operational in Kerala, but we are booking sales there. But apart from that the existing stores that we have in Hyderabad and Visakhapatnam, they deliver a very miniscule share, because it is specialized store only for very high-end categories of this kitchen appliances. And it is a tie up between the German modular kitchen brand Hacker. So, for that reason, these are all incubation stores where the gross margins are much higher than our regular stores, but here we would look at, you know, lesser throughput. So, the average stores would do around 15 crores to 18 crore rupees for these specialized store formats.
15 crores to 18 crores per store?
Yes.
And sir, how many more such stores do you plan to open in near future?
We are not looking at opening more of these stores, because this has to do with the tie-up for the kitchen as well. So, probably, one or two more stores in the coming few years. Nothing on the plan to expand this store format.
And sir, last question. So, currently, the contribution from mobile is around close to 40%. So, I just want to understand how has this contribution changed over the years. And can we easily expect that this contribution will remain in the range of 30% to 40% going forward also? Or in your opinion, will it increase?

Karan Bajaj:
Krisha Kansara:
Karan Bajaj:
Krisha Kansara:
Karan Bajaj:

No. So, what happened is few months like if suppose it is the quarter of summer, where the cooling products like refrigerators, air coolers and air conditioners are a category will start delivering more, automatically mobile as a category, the penetration, the percentage of share of these products has to reduce, whereas few months where like December or November or post-summer, few of the months you would look at a higher share of this category. The lowest would be as low as 32%, 33%. And again, the highest would be around 40%. If we average it out on an annual basis for the nine months, it comes to around 35% or 36%. That is the number that we look at for a mobile category to contribute to the total revenue.
And sir, are we seeing any demand slowdown in this segment?
In Mobile, not at all. In fact, we are just about to launch the Samsung S23 as well, and we are seeing quite a good demand coming in for that model. We saw good demand coming in for the 14 series of Apple as well. Suppose the 5G launch completely we were expecting, you know, there will be a lot of churn in the next coming few quarters which would bring in little more growth in this category in terms of ASP going up because the 5G devices are going to be on the higher price segment. But one advantage that we had in the last stx months is we have been already selling a major number of 5G devices. So, we are already there, you know, showcasing the 5G technology in our stores. So, you know, we believe that post the rollout of SG completely in the existing markets that we are operating, we would look at definitely a churn coming in for devices from 4G to converting to 5G devices.
So, in your presentation, it's mentioned that currently, you have just 12 owned stores, right? So, how will this number move going ahead? Like, will we be opening more such owned stores? Or will those be on lease only?
Yes. It is more like a 80-20 split right now, whereas the 80 properties are approximately leased. Around 20 properties, around 12 properties are completely owned by us, and 8 properties are partly owned, which means that if suppose we have two stores in that building, one is owned and one is leased, when you are operating the stores, and out of that, seven to eight stores are what we have actually decided to buy in Delhi NCR. It was a major investment that we made in the last 12 months, out of which 3 stores are operational.
Five more stores of

the property that we have bought are yet to be operational in Delhi, which
will get operational in the next few quarters. So, going forward, it is going to be a mix. You know, the majority is a mix of lease-out properties, and very few selective locations we would be buying out. The Delhi expansion was planned on buying out the bigger ones, and we have already done the buying out in Delhi. So, we don't see a major requirement for buying out properties in the existing markets.

Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar:
Karan Bajaj:
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Deepak Poddar: >

Sir, I just wanted to understand, I mean, you mentioned that this margin decline this quarter was because of the increased investment. So, is it possible to kind of quantify the investment that we would have done in brand building or sales and marketing in this particular quarter?
Yes, Deepak. One major change that we did compared to the last year was 4.5 crores of cashback that we had paid out for the financing and the cashback that we do in the stores during the festival period. So, that was a major expenditure that we made of 4.5 crores. And if you look historically, what is the marketing spend that we made, that was another major spend that would include the Delhi launch and all the lucky draws and all the other offers that we do. So, those were two major spendings that we did. And given all calculated when it comes to Delhi, it was expected to burn a little initially because it takes a little time for the stores to stabilize.
But what I can say is that in terms of what our expectations were in stabilizing the stores, I think we are on track on doing that. And once we open a few more stores in Delhi and stabilize there, the marketing cost again would be in hands with our sale revenue. We are not expecting anything out of the box to go wrong in Delhi right now. Everything is under control there. The spending majorly would be pertaining to the cashback of 4.5 crores approximately and the marketing. So, that is the effect on EBITDA.
So, what would that total be? So, 4.5 crores is the cashback, and the Delhi launch, the incremental investment would be how much?
Sir, only Delhi incremental. It was an incremental in our spend in the Tier-2, Tier-3 cities in Andhra and Telangana as well. The bifurcation would be given to you. I will ask the team to send you the bifurcation as well. But the total amount was around 10 crores rupees spent between the existing markets and Delhi which was an incremental cost in that quarter.
So, total marketing spend is about 7 crores, right?
Sorry?
The total sales and marketing spend is about 7 crores. Out of that about Delhi launch would be included there.
No, it would be much higher. It is not 7 crores. It is much higher.
Total spend was around 42.
45 crores, yes, for nine months.
No, I was just trying to understand the third quarter, not the nine months. Third quarter what is the spending?

Karan Bajaj:
Deepak Poddar:
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Deepak Poddar:
Karan Bajaj: Electronics Mart India Limited

Third quarter was around 22 crores.
22 crores. So, that is our marketing spend, right? And that would include our Delhi launch.

Yes.
And how much was this spend in the second quarter?
Second quarter spend was around Rs. 10 crores.
So, incremental we can say that 12 crores would have come, right? I mean, on a quarter-on-quarter basis.
The 10 crores which I have told you that is the incremental spend that we did.
And addition to that would be 4.5 crores cash back

, right? That would be additional.
There was a cashback of 4.5 crores. We didn't carry out any cashback last year for the same period. So, we didn't come out with cashback. And majorly, this marketing is even for Andhra and Telangana stores, because that is where we are not stabilized and the stores are maturing. So, we had started spending in those territories as well. And these Tier-2 markets and all are very heavy on vernacular newspapers majorly. So, that is the only major medium for us and theatres. And these are two expensive mediums. We don't have too many options in terms of marketing because we don't have outdoor hoardings and radio in these Tier-2, Tier-3 cities. So, the major spend goes through and marketing goes through either theatres or through the newspaper. Both are quite heavy in terms of the money required for advertising.
And, sir, this margin front, I mean, we have always been saying that 7% is a kind of a steady state EBITDA margin for us, right? Now this quarter was around 5%. So, I mean, this journey towards 7%, would you expect that to kind of achieve in FY '24 as a whole? I mean, some understanding on that would help.
Deepak, if you look at the 9-month number, it is around 6%. So, we don't see a drastic drop there. In FY '23 Q4 also, I would say that because we have already passed 3/4" of the quarters, and we know significantly how the product mix is going, and how the demand for cooling products is coming in. And then you can check historically how Q4 would deliver. So, we are on track on achieving the numbers that we had given out in the market earlier in terms of our estimation, and FY '24 also, we are expecting because the stores in Andhra, Telangana will mature. We will be opening new stores as well. Delhi also would be stabilizing by Q2 after the April, May, and June summer period. So, we were expecting that things would be in line for FY '24 as well.

Deepak Poddar:
Karan Bajaj:
Deepak Poddar:
Karan Bajaj:
Deepak Poddar:
Moderator:
Sameer Gupta:
Karan Bajaj:
Sameer Gupta:
So, fourth quarter as well as FY '24 we are expecting that 7% EBITDA martin band, would that be fair to kind of understand?
Sir, I would not say that. I am not exactly pointing out at a certain number. But what I would say it would be in line with what our expectations are, and it would not be a drastic jump or high or a low in that number. But we would definitely try to achieve this because it would depend on the product mix as well, where the cooling products like AC, refrigeration and air coolers would give us a higher gross margin. And that would automatically help us increase the number.
And my last question is on your revenue. I mean, we have been talking about when you were 20%, 25% revenue CAGR, right? I mean, two to three years. So, we are holding on to that?
Yes. If you look at the first 9-month number, we are upwards of 32% growth through the Q3 of FY '23 was at 17%, but post Diwali, if you see the markets were down really bad. But we were still able to achieve good throughput during December as well. And we have got confident in all the operations stabilizing across the newer geographies also. I think we are on track for that as well.
On track for that, okay.
Thank you. The next question is from the line of Sameer Gupta from IIFL Securities. Please go ahead.
The first question is the SS growth of 10.5% this quarter that you have clogged. So, we are basically witnessing a slowdown across consumer discretionary categories, especially after Diwali. So, just trying to understand this 10.5% SSS growth in that context. Is it because, like after October, the sales for you are anyways very low in this quarter, and that is why you are not seeing any slowdown brunt? Or is it that you have bugged that trend and performed really well?
Yes, the 10% approximate same-store gro

wth has come in for Q3 alone. But that is not being
there for Q2 and QI. I mean, April, Q4 also, we would look at a different trajectory, but definitely, yes, it was a major slowdown. Usually, we would see a slowdown for a couple of weeks after Diwali, but then this time, that got a little more delayed for another three or four weeks. So, it went up till almost December first week. But then we were averaging out what numbers we could do. That brought down the SSG as well during that period. But then I don't see that one-off incidence happening during that period, but we are back on track again in Q4. So, we would see a much higher SSG coming in the future as well.
Just a follow up on this. So, are you seeing any sort of, see, SS growth Y-o-Y can be misleading because there is an Omicron in the base and all those anomalies are there, but on a sales per store, something like, a metric which is better to track, are you seeing any better traction in the fourth quarter or things are more or less similar?

Karan Bajaj: See, there would be a different trajectory coming in for Q4 because we've already passed 6 weeks, so we know what is happening and most of the stores, there was nothing additionally done apart from the Delhi stores as an expansion. The SSG eventually, the majority of them would be coming from the matured stores. So, we are quite happy with what we're delivering. And we see a performance coming in from a matured store as well as for the new stores. Once the new stores stabilize, we'll definitely be looking at a much higher SSG coming in the near future.
Sameer Gupta: Second question is this 5% margin that you have reported? And my sense is that a large part of this is because of the Delhi 12 stores that you have added during the year. Now, out of the 19 stores that you have added, 12 are in Delhi and you just mentioned that a Delhi store typically would take 18 to 20 months for breakeven versus the normal 12-month trajectory for your other stores. Now, with the growth construct being similar, going forward that two-thirds of the additions will be in Delhi, how are you so confident that you will get back to the 6.5% EBITDA margin trajectory. I mean, just by the math of this bigger breakeven period for Delhi should actually skew the margin to the lower side, right?
Karan Bajaj: But Sameer, see, initially, there might be a drop off of 1 percentage or 2 percentage in the gross margin levels in Delhi operations. But then, not necessarily that Delhi is contributing to a much higher revenue number coming in from there initially. And Sameer, one more thing is that the product mix in Delhi initially today, when you compare to our existing market, where we see a 35% plus mobile phone contribution, which is one of the lowest gross margin categories with 7% coming from IT, whereas we have the larger product selling better in Delhi today for us and we've not even completed the summer season which is one of the largest contributing seasons in Delhi as a region. So, only after we complete one season of summer or one complete year of different seasons of all 4 quarters, that is where we will be able to completely in depth analyze and tell you the complete detail of that. It is too early for us to comment, it has hardly been 5-1/2 months of operations for 8 stores and 3-1/2 months for 4 stores. So, it will be too early for us to comment. But what we can look at right now in Delhi as an overall strategy is that we are able to achieve a certain decent throughput for us to be on the path of achieving Rs. 25 crores plus for every store. So, that is more important for us initially where you know the extraction is there. And it is not a burn per se, but it is an extraction that we're looking at right now. And then, it will eventually stabilize and then create a market presence for itself.

So, that is what's
important for us initially.
Sameer Gupta: Sorry, I didn't get that number; Rs. 25 crores sales per store on an annual basis in Delhi, that's what you're targeting?
Karan Bajaj: Yes Sameer, historically, what we look at is whenever we open a new store, how we look at the calculation of breakeven is that if it is an existing market, we look at a Rs. 30 crores throughput for year 1, then gradually increasing in year 2, then year 3 and stabilizing or maturing after year 4 onwards. So, it will take around 4 years for it to mature. But in the existing market, at Rs. 30

Moderator:
Rakesh:
Karan Bajaj:
Rakesh:
Karan Bajaj: Electronics Mart India Limited

crore number, we would break even between 12-14 months. That is the number historically what we've delivered. So, looking at that, Delhi, because it's a newly competitive market, we'll

position ourselves to Rs. 25 crores for year 1, so that is the number that we look at. And because the throughput being Rs. 25 crores, we look at a higher breakeven period, which is around 18 to 20 months. So, that is why these numbers were given out and these are all conservative numbers, but on track, like few of those stores might achieve that much sooner, few of the stores might take a month or 2 later, but in line with what we will be looking at.
Next question is from the line of Rakesh from HDFC Mutual Fund. Please go ahead.
Sir, to understand this other expenses line here slightly this is roughly about Rs. 21 crores increase on a quarter-on-quarter basis and roughly about Rs. 22 crores if I look at your third quarter last year, right? So, you can help us understand how much of this has been in terms of breakup marketing; what has contributed to this increase? Maybe that will help us understand your margin profile slightly better.
I will give you a detailed break up on this. The major numbers that we looked at where the expenses have increased, a few of them are directly proportionate to the sales itself, which are sales promotions, the dealer finance charges, credit card charges and all, which have increased around Rs. 7 crores. And marketing expenses have increased a little bit. Maintenance, power and fuel because you added new stores, so electricity costs, fuel cost for generators and all that, that has increased a little bit, that is around Rs. 1.7 crores. Other expenses, which would include all of these other things like sales promotion, DBD, credit card charges, and cashback offers, all of that put together has brought in the major increase, out of which 50% of the major increase has only come in from the marketing and advertising front.
So, 50% is the extra spend that you have done. Would that be a fair understanding of how the cost is working out?
Sir, if I give you the first 9-month number, around Rs. 28 crores of profitability was the marketing spend for the first 9 months, which is adding to Rs. 45 crores. So, this would include the lucky draws Rs. | crore cash prize, the cars, the Rs. 50 lakh cash prize that we started in Delhi also. So, from Rs. 28 crores, directly a jump to Rs. 45 crores was in marketing itself and the sales promotion costs on say, Rs. 71 crores increased to Rs. 106 crores. So, that was another major spend around Rs. 30 crores, which is directly proportional to the sales because now cash transaction have reduced a lot. Customers are buying everything on credit cards and debit cards. So, for every transaction, there is a MDR charges the bank charges around 1.2%. Then all cashbacks on the UPI payments and all of that. So, all of these include in the sales promotion. Even the paper financing costs that we bear, which is interest cost, and the dealer buydown cost. So, these costs have gone up in the expense report.

Rakesh:
Karan Bajaj:
Premchand Devarakonda:
Rakesh:
Premchand

Devarakonda:
Rakesh:
Karan Bajaj:
So, can you help us understand slightly better in the sense that what is the cost, which is, let's say, not proportional to your sales, which has gone higher because of which the margins became lower and what would be the normal trajectory going-forward? So, if look at cost, right, as a percentage of sales or other expenses as a percentage of sales, it's roughly about 5.6% to 5.8%, third quarter or for the previous quarter, and currently sitting at 6.3%, there's about 50 basis point or 70 basis point increase, if I look at it on a like-to-like basis, year-on-year basis, right? What has contributed to the 70 basis point of incremental spend, because that will not be limited to the proportion of sales?
Correct. Not 100% of it, but different heads over the smaller portion, but the majority of them is what I told you. I will ask Prem sir, our CFO, to get in detail with you on that right away on the call and explain it to you.
Power and fuel are one of the major expenditures that are for the 9-month period. This has been 0.69% of the revenue during the current financial year as against 0.6% of the previous financial year. Then another major expenditure is maintenance. So, that includes housekeeping as well as watch and ward. During the 9-month period of the current financial year, it is 0.66% as against 0.63% of the previous year of the revenue. Then advertisement has already been mentioned, it has been 1.19% of the revenue as against 0.95% of the previous financial year. Then we have business promotion expenses, which are nothing but for that lucky draws and other launching activities which we carried out. So, that has been 0.22% during the current 9-month period as compared to 0.09% of the previous financial year. And apart from that, sales promotional expenses which have been 2.81% during the current 9-month period which has been 2.46%

during the previous financial year.
Going forward, how should we look at these 3 bigger items advertisement and promotions, business promotions and the affiliated marketing, right? All of these costs have gone higher in this quarter. So, what I'm trying to understand is going forward what could be normal trajectory. If you see the third quarter what you have seen last year, this year, it's going to be a normal trajectory going forward. Do you expect these numbers to come down as a percentage of sales?
That's right, sir. Once the store throughput improves in Delhi NCR, obviously, these costs as a percentage of sales will come down.
So, in that scenario, I mean how would you achieve 7% EBITDA margin in rest of '24.
Sir, costs like rental, manpower, and advertising expenses, they are directly proportional to the sales throughput per store. Right now, a lot of the rental cost that we proportion, for example the advertising cost or sales promotion, all of these work for a limited number. So, say, for example, if I'm doing a Rs. 50 lakhs draw next year in the same quarter, I would have 25 stores in Delhi or 20 stores in Delhi, the number of spend or the number of advertising that we would do in the same quarter would remain the same but would get divided on the increase of stores would give

Rakesh:
Karan Bajaj:
Moderator:

us a higher throughput or a higher revenue overall. So, in that proportion, will definitely come down. But initially, because Diwali and Dussehra, it was a period during that quarter, we were new market players, we had to be at par with advertising with the larger players. So, we could not step back on that. So, this is all calculated initially when we started our operations in Delhi. So, in Hyderabad, in AP, Telangana, the existing market, there was not an incremental increase in advertising. Just to give you a number there, the proporti

on that we spent on advertising and
all other aspects of marketing was definitely much lower than what our sales percentage would be. So, that is in line. So, anything would happen in Delhi, but not probably this quarter, probably next year in the same quarter; we would definitely look at a similar spend with a higher throughput coming out from that market.
And one last question. What is the seasonality in your business, especially in terms of gross margin? So, this quarter gross margin is 13%. Last year, same time was 13.3 percent but that was also I believe was our lowest quarter during the 4 quarters. How should we generally think of gross margin seasonality going forward for the 4 quarters, which quarters would be higher, typically what trend so that they get some sense of what is the normalized margin? I would assume that you're still guiding 14% gross margin for the year.
Rakesh, sir, majorly, the highest grossing category or the product category that we sell is AC and cooler. This season, AC and cooler will sell automatically, we had a higher gross margin during that period. But summer would again, or the weather would again play a very important role for us. For example, this year, we would say in FY24, Q1, we would look at a longer summer for us, because Delhi also would add up to numbers coming in, not very big number but some numbers coming in from that region as well, because the summer is elongated there, and will go as long as June-July. So, if we are lucky enough with the weather supports us, we'll be able to deliver a higher throughput for AC, cooler as a category. So, we would look at the quarter where the cooling products would give us a higher GP. So, blended GP for those quarters would definitely be higher. If you look at historical data also, number 1.
Number 2, Diwali or festival period definitely on paper would give you a higher margin, but then again, that is one of the only periods where the discounting becomes the highest as well because it is the most competitive, cutthroat market that happens from customers point of view where everybody's got an ad, everybody's running an offer. So, though you get an extra margin or an extra benefit during the festive period from the brands will negotiate better, but then eventually, it boils down to discounting that on the floor. So, otherwise, cooling product category, AC, cooler, and refrigerator would be the highest grossing product category at any time for us.
The next question is from the line of Tushar Sarda from Athena Investments. Please go ahead.
You mentioned that Delhi will achieve breakeven at around Rs. 25 crores sales per store. So, if you can explain the store level economics of Delhi and also from the Delhi cluster, how the

Karan Bajaj:
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Karan Bajaj:
economics would work out because some of the costs like advertisement and marketing would be common. So, if you can just broadly explain, that would be helpful.
So, sir, if | have understood your question correctly, so Delhi market, though the market size of Delhi is much bigger than our existing market that we've been in, that was one of the reasons that we entered that market. Rs. 25 crores were a very conservative number that we calculated our breakeven at because obviously you didn't want anything to go out of line because the margins that we control is not in our hands, but the expenses what majorly we can control. So, we didn't want to take a very high rental or a very high manpower cost strategy there in Delhi. So, we want to make sure that everything is in line till the time the brand stabilizes there. And then we can look at avenues of increasing our margins in that region. So, night now, Rs. 25 crores are what we look at for the delivery happening

in year 1, and our costs are all calculated against
that. So, that is why we calculated an 18-month breakeven period where even if our margins or gross margins which are 13%, 14% are lower to 11%, 12% or so in year 1, we're still able to deliver a breakeven in 18 to 20 months. That is the calculation, sir. That would increase the Capex as well as the Opex.
What is your store cost in Delhi individually? Roughly, should we assume Rs. 2 crores a year, Rs. 3 crores a year including rentals and salaries and other overheads?
Yes, sir. You're talking about the gross profit per store there in Delhi?
Yes.
It will be in that line, sir. But asI told you that only after we complete the summer season because AC and cooler are a longer period season. Only we understand that period once because we have not gone through that period in Delhi and cooling products being one of the highest grossing product categories for us, so once we go through that churn, we see how the market is reacting, we see how competitive the market is, whether we're still able to deliver a much higher gross margin that we would do in Hyderabad or in AP & Telangana, how the competitive scenario there is. Those things would only play out after the end of QI or Q2 in FY24. So, once we do a complete churn, year churn, we'll be able to understand the market better and then comment better on that market, sir.
So, you have 12 stores now in Delhi, right?
12 stores, the 13th, soft launch is done for that store in Noida Sector 18, where the official launch will be happening in the next couple of weeks, sir.
And how much do you plan to spend on marketing next year in Delhi?
Sir, the Delhi marketing plan would be in line with the revenue that we would generate. It would be around in the line of Rs. 10 crores to Rs. 12 crores.

Moderator:
Akshat Mehta:
Karan Bajaj:
Akshat Mehta:
Karan Bajaj:
Premchand Devarakonda:
Akshat Mehta:
Karan Bajaj:
Akshat Mehta:
Karan Bajaj: Electronics Mart India Limited
February 10, 2023
The next question is from the line of action Akshat Mehta from Sameeksha Capital. Please go ahead.
So, my question was on your operating expenses. As you said that your advertising expense is around, Rs. 10 crores to Rs. 12 crores on average. And this quarter also your ad expenses have been around Rs. 22 crores. So, that forms around 1.5% to 2% of your overall revenues. But if you look in the past data in 2021, '22, our ad expense forms more than 3%. So, I mean, why is there a declining trend in advertising expenses? Or is that because of Delhi that we are spending less amount there? Or what is the scenario there?
Mr. Mehta, I didn't understand your question. Can you repeat it once again, please?

My question was that the numbers that you've given right now for quarter 2, quarter 3, your ad expenses in those quarters, it forms around 1.5% to 2% of your own revenues for the quarter. But in the past few years, 2021 and '22, your ad expenses in your Annual Report have been more than 3% of your revenues. So, why is there a fall in advertising expense as a percentage of your revenue going forward? I mean, is this something because of the Delhi side that we're spending less in terms of as a percentage of revenues marketing in Delhi? Or what is the trend here?
No, Mr. Mehta, in fact, the advertising expenses of previous historical years have been around 0.85, 0.9%. In fact, the COVID year, we spent one of the lowest amounts in advertising. If you look at our advertising cost for FY22 versus the revenue, it should be around 0.8%, 0.9%. I don't know, could be some added under the FY22 number where you're seeing a 3% advertising spend. Whereas as you correctly said now, because of Delhi being added, the marketing spend from 0.8%, 0.9% would be looking at upwards of 1.3% to 1.4% for this and for the financial year.
Sir, you must have added sales promotion to our advertis

ement because sales promotion is not
our advertisement. The sales promotion expenses include dealer buydown charges and other incidental expenses.
So, what would be the quantum of that in these 2 quarters, if you can share that?
Mr. Mehta, if I tell you like FY22 for the first 9 months, we spent Rs. 27.8 crores on advertising; for the first 9 months of this year, we spent Rs. 45.1 crores. So, you could see a drastic change in advertising and promotion compared to 9 months for FY22 and 9 months of FY23. If I give you a quarter-on-quarter number, Q3 of FY22 spend Rs. 16 crores versus Q3 FY23. We spent Rs. 22.3 crores on marketing and advertising.
No, I was asking for sales promotion.
Sales promotion from Rs. 71 crores in FY22 for the first 9 months, it went up Rs. 106 crores for the first 9 months of FY23. And this is directly proportional to the credit card, debit card financing, paper financing charges that we bear at the store level for customers.

Akshat Mehta:
Karan Bajaj:
Akshat Mehta:
Karan Bajaj:
Moderator:
Preet Jain:
Karan Bajaj:
Preet Jain:
And my second question was on your gross margins, I mean your gross margin in the past for like 4 years, it was Rs. 15.1 in around FY19; from there, it has come down to Rs. 13.7 crore in FY22. And now it is in the first 3 quarters also it is coming down to 13%. So, what is driving that reduction in gross margins currently?
Definitely, yes. We were also a little surprised by 0.5% on Q3 numbers, because right after the Diwali, we saw a major drop in the revenues for the first couple of weeks, which we had to take an impact on. How 0.5% margin in our books would directly hit the bottom line is because your other fixed expenditure remains the same, your rentals, your manpower cost, your cost of inventory, borrowing costs and all remaining the same, but that 0.5% also would impact us in terms of the number looking much higher or lower. Whereas historically in °19, '18, '17 or that kind of period, the contribution coming from IT, mobile sales were quite low whereas IT was never higher and in FY19, also IT contribution was not more than 3%. IT contribution today stands at 7%, which is one of the lowest gross margin categories and even mobile phones. Mobile phones also stand at 35%, 36% today. If you look at the first 9 months number, the blended, the gross margin level look at much higher compared to the Q3 gross margin level. Once we cross in the Q4 period, which is Jan-Feb-March, when some are setting early, we would look at the cooling products to start delivering a higher margin. That is why we are a little confident on how the Q4 would turn up and that would eventually help us deliver the annual number for '23.
I understand this is primarily on account of the changing mix, your product mix that has changed a bit towards mobile as well as towards IT and other smaller appliances, correct?
Yes, Mr. Mehta, you're getting it right.
The next question is from the line of Preet Jain from Blue Jersey capital. Please go ahead.
How is the response from Delhi NCR category? Are we facing any major competition there?
Sir, Delhi NCR is one of the most competitive markets in the country, and there is no fun in not competing in the market if you are there. So, we are getting, but it is not like a backlash that we can't maintain or have to undercut a lot. But it is quite a reasonable market there because you have to look at expenses and also because the retail scenario is a little different there compared to other Southern or Western organized markets. So, you're competing a lot with brand stores

and with a lot of mom-and-pop stores. You have to make sure that you can deliver better
throughput and margin. Initially, yes, we were expecting it to be 10 basis points lower than what
we would expect in our existing market. But then once we cover up all t

he seasons, once we
understand the market, once we understand the preferences of the customers, then that is where
we will tweak our strategy and for the future, we should be ready for it.
And sir, my second question is, can you provide us the segmental margin profile of large
appliances, small appliances and mobile segments?

Karan Bajaj: Yes, sure. Mobile phones give us a margin of around 9%, large appliances will give us if I
bifurcate televisions, televisions would give us around 17%, washing machines, refrigerators
would give us around 18%, ACs and coolers would give us around 20% That is the historical
gross margin that we generate out of each category.
Moderator: Ladies and gentlemen, this will be the last question for today. I would now like to hand the
conference over to the management for closing comments.
Karan Bajaj: I thank everybody for joining the call today. And I want to give a little flavor of how things are
working out. So, the revenue that we've generated for Q3, though we had a little downfall, the
market was a little slower in November and December, but we were still able to achieve our
projected numbers for Q3. And the first 9 months, we are on track. And January and February
we've already crossed January and 2 weeks of February. So, Q4 is also in control with us in
terms of what is happening. And we're quite confident that once the summer sets in a little early,
March quarter should be a good month for us. And eventually, we would be able to deliver a
suggested number that we'd given out during the IPO roadshows going forward as well. So,
thank you, everybody. And I'd like to thank our IR as well on the call. Thank you, everybody.
Moderator: Thank you. On behalf of Electronics Mart India Limited, that concludes this conference. Thank
you for joining us and you may now disconnect your lines.

Call: Jun 2023

To,
Listing Manager The Secretary
The National Stock Exchange of India Ltd., BSE Limited
Exchange Plaza, Plot No: C/1, G Block, PJ Towers
Bandra Kurla Complex - Bandra(E), Dalal Streets
Mumbai - 400 051 Mumbai - 400001
Symbol: EMIL
Series: EQ Scrip Code: 543626
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for Fourth Quarter ended 31st March 2023 held on 26th May 2023.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the transcript of earning s conference call held on 26th May 2023 to discuss the Audited Financial Results for the Fourth Quarter ended 31st March 2023. The same is available on the website of the Company at .
https://investors.electronicsmartindia.com/earning -call-transcripts -and-investors -presentation
We request you to take this in formation on record .

Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 01st June 2023
Place: Hyderabad

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"Electronics Mart India Limited Q4 FY23 Earnings Conference Call "

May 26, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 2 7th May 2023 will prevail .

MANAGEMENT :
MR. KARAN BAJAJ – CEO, ELECTRONICS MART INDIA LIMITED
MR. PREMCHAND DEVARAKONDA – CFO , ELECTRONICS MART INDIA LIMITED

Moderator : Ladies and gentlemen, good day , and welcome to Electronics Mart India Limited Q4 FY23 Earnings Conference call.
This Conference Call may contain forward -looking statements about the Company which are based on the beliefs, opinions, and expectations of the Company as of the date of this call. These statements are not guarantees of future pe rformance a nd involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assista nce during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Karan Bajaj – CEO, Electronics Mart India Limited . Thank you , and o ver to you.
Karan Bajaj: Good evening , and a very warm welcome t o everybody present on the call. A long with me, I have Mr. Premchand Devarakonda – our CFO and Strategic Growth Advisors , our Investor Relationship Advisors.
We have uploaded our "Results and Investor Presentation " for the Quarter and Financial Year 2023 on the Stock Exchange and Company's website. Hope every one had a chance to go through the same. FY23 has b een a very special year for EMIL as all of you know that we listed the Company on the 17th October 202 2 on the Stock Exchange , and it was a very proud moment for all of us at EMIL.
I would once again like to thank the entire investor community for the tremendous support during our I PO. EMI L is the largest player in the Southern region in revenue terms with dominance in Telangana and Andhra Pradesh and is the fourth largest consumer d urable and electronic retailer in the country . We have built a long-standing market presence with more than three decades of experience. Our Company is currently associated with mor e than 100 brands with over 6, 000 SKUs and has a long-standing relationship of more than 15 years with a certain number of brands which operate in product categories such as lar ge appliances, mobile phones, small appliances and other categories.
We provide a complete and unique shopping experience to our customers by showcasing a wide range of ele ctronic products under one roof in our multi -brand model and providing a specialize d brand experience with our exclusive brand outlets. We work with limited brands, but in a huge volume as compared to other players who have more brands on board , and this gives us a competitive edge a nd better bargaining power with the top brands versus the top peers . In FY23 , we had opened 24 new stores, c urrently we have 127 stores out of which 114 are multi brand

outlets , and 13 are exclusive brand outlets. O ut of the 127 stores , 106 stores are leas ed, 12 are owned, and 9 are partly owned and partly leased.
As of date, we are present in 41 cities across four states . During the last year , we entered new territories , which are Delhi -NCR and Kerala. We continue to focus on deepening our presence in thi s region. We operate in before venturing into new markets , which has led us to establish the brand presence in Telangana and Andhra Pradesh markets . This enables the target customers to identify with us on our brand as well as with our product portfolio an d aids our understanding of the market segment and the customer demand preferences. We believe that this approach has also enabled us to achieve significant market share and dominance in the market that we are present in. We plan to continue and to deepen our sto re network in Andhra Pradesh and Telangana and also gradually plan to expand our network in the NCR region.
In pursuing our defined cluster -based approach

, we plan to open a further 13 multi -brand outlets in the NCR region, 21 multiple brands o utlets in Andhra Pradesh , and 8 multi -brand outlets in the Telangana region and adopt a methodological approach to evaluate and select locati ons for the new stores by FY 25. We believe that our local market knowledge, supply chain efficiencies , and effective in ventory management have enabled us to attain higher cost competitiveness and consistent profitability. Our customized product assortment and comprehensive product portfolio enable us to achieve better visibility, brand recognition, deeper market penetratio n, and increase our customer base. We have 10 large central -located warehousing facilities , which are backed by individual storage areas at store level for varying sizes to cater to individual stores or a group of stores.

Coming to the Q4 Result :

We have delivered a growth of 8% in revenue year -on-year to Rs.1,328 crores and 25% year - on-year gr owth for the FY23 period to Rs. 5,446 crores. O n account of investments made to open stores in a new geographic t hat is NCR. The Company has increased investments in brand building and sales and marketing activities, which will help us deepen the market pe netration and increase our customer base in this geography as well. To conclude, I would like to say that after having established the leadership position in Andhra Pradesh and Telangana retail electronic market , we have entered Delhi -NCR where we plan to capture significant ma rket shares in the coming years.

In the Southern region, we plan to expand our footprint in places like Vijayawada, Tenali, Guntur, Kurnool , Nellore across Tier 2 and Tier 3 cities i n Andhra Pradesh and Telangana. As a cluster based e xpansion, distribution network , diversified product portfolio, strategically located logistics warehousing facilities will give us a competitive advantage in this existing regions as well .

With this, I re quest Mr. Premchand Devarakonda – our CFO to update you on the financial performance. Thank you.

Premchand Devarakonda : Thank you Kar an Sir. Good evening and a warm w elcome to all the participants. Now I would like to present the " Financial Overview " of ou r Company for the Year ' 22-23.

Our total revenue per Q4 of FY23 stood at Rs. 1,328 crores as against Rs. 1,231 crores of Q4 of FY22 , which has grown by 8%. For FY23 , our revenue stood at Rs. 5,446 crores as against Rs. 4,349 crores of the previous year , and th e growth rate has been 25% year -on-year. For FY23 , the same -store sales growth rate stood at 17% , and for FY23 , approximately 48% of our sales revenue came from large appliances, 38% from mobile , and 14% from small appliances a nd IT and other produc ts. Out of the total revenue from the sale of products approximately 98% of revenue come s from the retail segment.

The top five brands contributed around 64% of our revenues. EBITDA for Q4 of FY23 stood at Rs. 91 crores as against Rs. 89 crores w ith a gro wth of 2% , and for FY23, EBITDA st ood at Rs. 336 crores as against Rs. 292 crores of the previous year with the growth of 15% year-on-year. EBITDA margins for Q4 stood at 6.8% , and for the year , they were 6.2%. As mentioned by Karan Sir margins are lower m ainly due to increased investment in the marketing and brand - building activities in the new territory which is NCR region. PAT for Q4 FY23 stood at Rs. 36 crores as against Rs. 35 crores , with a growth of 2%. For the Financial Year '23 PAT stood at Rs. 123 crores as against Rs. 104 crores of the previous year , which has a growth of 18% year - on-year.

ROCE and ROE for FY 23 stood at 13.7% and 10.4% , respectively. There has been an impact on ROCE and ROE in FY23 due to the addition of stores .

The working capital days as of 31st March. s tood at 68 days. The gross debt -to-equity has be

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at 0.6 x, and net debt -to-equity stood at 0.2x.

Our net debt -to-EBITDA stood at 0.87x, and our cash flows from operations befo re working capital changes for FY23 stood at Rs. 342 crores which match our EBITDA.

With this, I would like to open the floor for questions. Thank you , everyone.

Moderator: Thank you. W e will now begin the question -and-answer session. The first question comes from the line of Krisha Kan sara from Molecule Ventures PMS. P lease go ahead.

Krisha Kansara : So, sir , my first question is on the growth part, s o our sales have grown by 8% if we compare it with last year's March quarter, s o I wanted to know what has been the reasons for the lack in growth l ike is there any specific category which is impacting it or is it a region -specific thing?

Karan Bajaj: So, ma'am i f you look at the Q4 usually in our state where we predominantly operate out of Telangana and Andhra Pradesh is usually a period where summer starts off a nd if you look at the two major cat egories that we deal with our air conditioned, air coolers during t hat period because for the 20 days in the March of month it was raining here. So, they directly impacted the sales of the category. So, the growth are actually coming from the other categories and that particular category of cooler and air conditioner was probably flattish and a little degrown. So, that is why you would see an impact directly in the revenue number w here if that category had played out well the weather would no t been a reason for it , we would have definitely grown much higher.

Krisha Kansara : So, you are saying that the impact on AC sales is the reason for this ?

Karan Bajaj: If I can just highlight basically what happens when we look at a product mix of t hat particular month usually, we would look at air conditioners and cooler s which contributed to Rs. 234 crores in the last quarter Q4 in last year versus Rs. 195 crores only this year. So, that was a major drop there and this being one of the h ighest grossing categ ory as well. So, you would see a change there as well. The contribution from this category was not as expected that it would be because it was technically summer period, but it was raining here , that is why we would see a decrease in that category. And it was (Inaudible) 11.10 first week of April, but then during this quarter we were back again seeing the growth in that category com ing back again because the weather played out well for us in the last few weeks.

Krisha Kansara : So, you are saying that the f irst two months of Q1 have been better than what happened in Q2?

Karan Bajaj : Yes ma'am.

Krisha Kansara : And sir, how much has Delhi NCR contributed in that total sale i f you could give us an absolute or a percentage number for this quarter and also for the full y ear FY23?

Karan Bajaj: Sorry ma'am can you repeat your qu estion I could not h ear you clearly.

Krisha Kansara : Sir my question was how much has Delhi contributed to our overall topline in this quarter and also for the full year FY23?

Karan Bajaj : So, ma'am , on an annual basis , it has contribute d 137 crores , that was the sale that we generated and on the quarter , it contributed around 52 crores from that region.

Krisha Kansara : And sir how many stores in Delhi have reached breakeven levels?

Karan Bajaj: How many stores in Delhi have reached the breakeven level ? That is what the question is.

Krisha Kansara : Yes.

Karan Bajaj : Ma'am, right now , what we look at is we look at operational break even in 12 to 14 months. So, those are all on track of reaching that numbe r because few stores are 8 months old, few stores are 6 months old. It is on the trajectory when we look at the monthly average revenue. It is on that path of reaching the threshold in 12 to 14 months th at we targeted initially. So, we a re on track to do that, ma'am.

Krisha Kansara : And sir recently we have announced that we have changed our store count s in our strategy of shifting to M BOs from EBOs, s o we reduced our store count in Delhi NCR from 26 to 18 MB Os so we also cut down on EBOs in Telangana, s o I just wanted to know your thought process behind the scene because we are expanding in Delhi NCR currently and so why are we cutting down on the number of stores there ?

Karan Bajaj: Ma'am, we are operating 13 stores right n ow in Delhi with one more EBO getting added there. There will be 13 MBOs and 1 EB O getting operated in this quarter. So, that is the number and with our plan of expanding in Delhi with another 13 to 14 stores that is the plan. The idea is to get the right location at the right price. The idea was to revise this so that we are in line with what we have already signed up in terms of the properties that are getting ready. This year we will be coming up with some more stores. If you can add the fine good proper ties at the reasonable price o r the reasonable rental that we are looking at, we will definitely add up more number of stores there. So, there is no restriction on how many n umber of stores we will be adding up, but it is just the idea of where we get the right location at the right price s o that is more important because we ha ve already signed up 13 locations which are operational, anot her 6-7 are in the pipeline. So, technically we would be around (+20) stores by the end of FY24. So, in the meantime if this year we add -up more stores, we sign up more stores tha t will definitely get added up sooner as well. So, there is no restriction on how many stores, but the market that they decided where we got to open the stores that is where we have to find the right property but gets a little diffi cult to find the right property at the right price that i s the only reason.

Krisha Kansara : So, we have not cut down on the number of stores because of an y issues in the existing stores it is just like strategic decision from now?

Karan Bajaj: Yes m adam. And at the same time, we have started expanding in Andhra, Telangana a nd if you see the contribution from our country store in Telangana and Andhra Pradesh have actually started pe rforming really well for us. So, going forward our strategy was also to deepen the markets like Vijayawada, Guntur, Nellore, Tenali, Vijayanagar where we are already present eithe r with one store or two stores a nd th ose markets also growing so we want to expand because then we can leverag e on our marketing, our inventory or lo gistics and stuff like that. So, if you have existing territory, the cost of operating there becomes much easier and much cheaper than

actuall y venturing into a new city. So, we are expanding parallelly in the new geo graphies that
we are present in NCR as well as with the existing markets in Andhra and Telangana that is
where the plan was to expedite the g rowth in our existing markets as well.

Krisha Kansara : And sir just last one question s o what was our advertisement spend in this Q4 FY23?
Karan Bajaj: Sorry, can you repeat your question?
Krisha Kansara : How much would have been our advertisement cost in this quarter?
Karan Bajaj: Advertising cost in Q4 ma'am?
Krisha Kansara : Yes.
Karan Bajaj : Ma'am , it is around 5 .30 crores .
Krisha Kansara : How much of that would be in Delhi?
Karan Bajaj: Delhi was around 2.95 ma'am.
Moderator: The next participant is Mehul Desai . Please go ahead.
Mehul Desai : So, Karan can you just help me with what is your store addition plan for Telang ana, AP and Delhi NCR for FY24?
Karan Bajaj : Sir, for FY24 we plan to open around 13 stores in Delhi a nd out of which approximately 7 are signed up which would include one EBO as well that

is due to get launched next month that is
LG Exclusive store and around 10 stores in Andhra Pradesh and around the 5 stores in
Telangana.
Mehul Desai : So, you will have 28 store additions in FY 24, right?
Karan Bajaj : Yes.
Mehul Desai : I just wanted to reconfirm this what was the base quarter the AC cooler sales you said 195 crore in this quarter versus what was the base quarter?
Karan Bajaj: I did no t get your question sir.
Mehul Desai : You said that AC cooler sales were impacted in the quarter and you said 195 crore was the sales in this quarter versus what was the base quarter sales for AC cooler segment?
Karan Bajaj: Q4 of '22 was Rs. 234 crores versus Rs. 195 crores this year.
Mehul Desai : So, this is the primary reason for your sale s for stores I mean th e sales moderation ….

Karan Bajaj: If I look at other categories like refrigerators, if I look at mobile phones and audio and video category are built in kitchen appliance category, everywhere there is a growth. So , you want as running the numbers also the mobile and laptop category from Rs. 448 crores for that quarter went up to Rs. 539 crores. The panel and the audio division from Rs. 177 crores grew to Rs. 198 crores. Refrigerator business alone from Rs. 127 crores grew to Rs. 133 cro res, w ashing machi ne from Rs. 97 grew to Rs. 99.7 crores, k itchen app liance s from Rs. 51 grew to Rs. 56.5 crore and other categories from Rs. 12.9 crores grew to Rs. 25.4 crores .
Mehul Desai : And the gross margin improvement that we have seen on a sequential basis I think Q3 had some higher cashback and th at some issues with that, so that has got corrected , and that is the reason Q4 gross margins are higher sequentially?
Karan Bajaj: After that we realized that what was going wrong in terms of where you could run, go back to the banks and as we were discussing last time also to understand and plug those leakages where some costs that are directly proportional to our sales revenue like credit card charges, cashbacks, NBFC charges and all. So, we tried to plug them in and renegotiated with all these NB FCs banks and all for either giving us a higher commission, reducing our contribution on thi s cashback offer . So, though we have run those cash back offers a nd still running those cashbac k offers, we reduced the contribution to tha t and renegotiate with the NBFC to increase our margins.
Mehul Desai : And this A&P spends which you sa id 5.3 crores in this quarter w hat was the base quarter number I mean Q4 FY22 what was the number?
Karan Bajaj: For mobile phone sir.
Mehul Desai : No, the advertising spend which y ou said 5.34.
Karan Bajaj: Advertising spend was Rs. 6.3 crores in the last quarter versus Rs. 5.3 crore a nd so that again is reduced because Hyderabad it was raining. So, March mon th whenever we start promoting our AC festival season , we have reduced our spend here because it was pouring so t here is n o point of advertising on d oing radio and print heavily during that period for the AC and cooler sales.
Mehul Desai: And lastly on the balance sheet side I see our debt what plan in terms of reduction in debt I mean the borrowing that we have, how do y ou see that reducing in next two, three years or what is the plan there?
Karan Bajaj: Currently if you see our debt levels are much lower than what they were in Q1 last year majorly because the Rs. 120 crores of working capital got inf used from the IPO fund on the first of April.

This balance that you lo ok at is on 31st March. So, that i s where the first 10 days of April we had infused Rs. 120 crores from the IPO fund that we had raised which was for the working capital requirement for FY 24 that automatically got added up and at the same time in terms of getting efficiencies in inventory management and the churns or what we usually do that is where we

have seen efficiencies coming in apart from the long term debt which was straight away for buying out properties in Delhi region a part from that working capital requirements have come down .

Mehul Desai : And lastly on this gross margin side right now we are clocking around 13.8 -14, do you think this 14% range should sustain now?

Karan Bajaj: The idea is to sustain this going forward as well and try to improvise on wherev er the leakages are and try to improve this, in terms o f negotiating with the brands t hat is a daily task that we usually do internally, but at the same time with our expansion that had happened in other regions as well w e see higher productivity comin g in this financial year. So, we are pretty sure we wi ll have a little more bandwidth to negotiate with brands on a few categories and try to improve that as well.

Moderator: Thank you. Next question comes from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, just a couple of things I want ed to check n ow I think in the previous calls as well we were kind of looking at maybe 20 %, 25% kind of a CAG R goin g forward, So, because of going slow in NCR i s there any change in that?

Karan Bajaj: What happened is when we started securing our properties , this was during r ight after the COVID period. So, it was much easier to add -on 10 , 20 locations that w ere much easier, but because two to three properties are being constructed as well. So, the market in Delhi -NCR today stands at around 30 big markets where we first w anted to enter before we start e xperimenti ng with the peripheries of NCR. So, we shortlist ed 13 markets we are on track of doing that. By the end of this y ear will be completing the top m arkets so after that is when we plan to secure properties in a nd arou nd the area that we decided as a Plan B. Once we execute the plan A stores with the first 20, 25 big stores in the market that is whe n we plan to expand further. So, the plan is still on. There is no changes on the plan of deviating from opening number of stores in Delhi, but right at the current scenario t he property prices have prevailed to p re COVID level s or much higher than that. So, getting the right property, negotiating it for a longer lease period is what we are doing and it is taking much more longer than w hat you should take earlier. So, getting the right location at the right price i s more important than just jumping into a marke t only because of a competitor being present in that market so that is not our strategy. Our strategy to make sure that we get the right location at the right price so we just negotiating. So, every day we keep on negotiating for property and whenev er we can close on a good deal w e are going ahead with that.

Deepak Poddar: So, what I was also trying to understand does it impact our aspiration of 20 % 25% growth over the next two, three -year CAGR ?

Karan Bajaj: It will be in the same l ine only until unless as I told you like some external factors like the weather is impacting something or there are some external factors a part from that we do no t forese e anything that will impact our CAGR to be ar ound 20% in the coming years as well.

Deepak Poddar: And in terms of margins I mean what is the aspirational margins that we are looking at I mean you mentione d about the gross margin that through negotiation we would like to improve upon that, s o even on the EBITDA margin I think about currently 6.8%, but again we had I think lower branding expenses this quarter, so some insights on the trajectory on th e margin front would be helpful?

Karan Bajaj: Sir, the margin also wou ld be in the similar line only so there will be an increase around 0.1, 0.2% kind of number that we would look at graduall

y also if we you know grow because there are some costs involved especially in the market like Delhi where we are just establishing a shell compared to our existing markets in Andhra and Telangana where people who are brand much easier to establish the store and turn around the store. Initially for the first couple of years that is where we have planned and we are in line with what our investmen ts are going up in that region, but that is because we know the market size is so huge there that even if we reach a certain threshold or a market share there we will definitely turn things around for the Company . So, that

is what the idea is. This is more like the investment that we are looking at, but the EBITDA margin would be in the same line , only probably 0.1, 0.2% kind of an increase.
Deepak Poddar : So, aspiratio nally , I mean 6.5% to 7% EBITDA margin for our kind of business would be a right benchmark, right?
Karan Bajaj : Yes.
Moderator: Thank you. Next question comes from the line of Nira v Vasa from Anand Rathi. Please go ahead.
Nirav Vasa: Would it be possible for you to share the promotion spends tha t we intend to do in FY24 a ny number that you have formed up considering the kind of expansion that we are plann ing in Delhi and other parts?
Karan Bajaj : Sir, FY23 our spend was around 50 odd crores which we we re expecting it to be around 59 crores in the FY 24 period that is the number that we a re looking at that will be in line with the total revenue that we will generate for the next year as well.
Nirav Vasa: The other question will be pertai ning to what was the actual payment that we did in terms of rent in FY23 and what can be that number in 24, c an you share that data please?
Karan Bajaj: Yes, one second, sir.
Karan Bajaj : In FY23 i t was 80 crore.

Karan Bajaj: FY23 a ctual rental payout that on the balance divided betwe en the interest and the depreciation cost because of lease liability IndAs -113 adjustment was around 80 odd crores , and for FY 24, we would look at increase coming in from new stores as well as the incremental rentals to be around Rs. 85 crores.
Nirav Vasa: Sir, what I was actually asking was out of this Rs. 80 crores how much w as cash payment actual payment?
Karan Bajaj: We are tell ing you the absolute number of rent cost, not what was adjust ed in depreciation interest I am telling you the actual rental cost that we pay the year for FY23 t he actual rental co st was 80 to 81 crores and for FY 24 it is projected to be around 85 crores.
Nirav Vasa: So, this is the actual cash outgo right?
Karan Bajaj: Yes sir.
Nirav Vasa: Would it be possible for you to share the incentive income which was booked in 23?
Karan Bajaj : What is it?
Karan Bajaj: Incentive income for FY23 period was around Rs. 500 crores.
Premchand Devarakonda: Incentive income Nirav , it is Rs. 292 crores versus Rs. 213 crores for FY22.
Nirav Vasa: So, my final question what we are seeing right now is that all the brands in India are expanding their capacities very aggressively and they are fighting very aggressively to ga in market share and everything, s o in the light of this scenario especially your loca tion three cities has become the hub for the man ufacturing of air conditioners, s o do you see a strategic advantage based on your core area of Andhra and Telangana and three Cities becoming manufacturing hub, s o for the forth coming summer season do you t hink you can get ad ditional margin from brands on two counts first is because they are becomi ng very aggressive for volumes, s econd is that their factori es are very close to your core area of operation any u pdate on that woul d be a great help?
Karan Bajaj: As you mentioned, the Three City is definitely much closer i n terms of our operation region, but right now it is not directly benefiting us p

robably for the long term w e might look at that benefit, but usually t he brands do no t discriminate or distinguis h between the locations that they supply to be cause usually the cost to them, but gives us an advantage to negotiate better with them in the future. I wi ll definitely utilize this as a strength of ours to negotiate better and take this the recommendation f rom you.
Moderator: Thank you. Next question comes from the line of Prakash Desai from Desai Investments. Please go ahead.

Prakash Desai: My first question is how many sto res are we planning to open in FY 24 and can you run us through the store expansion strategy?
Karan Bajaj: Yes s ir, on an average year we lo ok at expanding with around 25 stores. That is the target that you usually have organically understanding th e markets and growing there on until unless we get some good locations that w e can sign up immediately. So, the plan is divided between Telangana, An dhra Pradesh and NCR region. The stores that are already signed up for this region plus the new store that we a re addi ng up would be around 25 to 28 s tores for this financial year.
Prakash Desai: And can you guide us CAPEX for this year and the next year a nd on the CAPEX side would you be using it for buying out properties or leasing them?
Karan Bajaj: The idea is open for both for buying out and leasing out whereas buying we ha ve only signe d up

for couple of pro perties that were left which we have already complete d the agreement of sale in Delhi , which the handover is yet to come in. Only those properties signed up there is nothing additionally that we have signed up as buying out property. Most of them if you can negotiate like Andhra and T elangana most of the properties we a re negotiating for a longer l ease at a good rental price. That is where our expansion plan, our expansion plan would be for this reg ion. Delhi is definitely yes if we fi nd a good property we would be looking at an option of buying as well because th e rentals are quite high there, but nothing right now a part from Lajpat Nagar and Kalkaji that we had already decided to buy . There is nothing new that will churn up in the next year or so.

Prakash Desai: And one last question can you quantify the revenue run rate in the Delhi market wh ich we have on a monthly basis a nd secondly with the absolute amount of what is the absolute amo unt of fixed cost to run the Delhi stores?

Karan Bajaj: There is two metrics to look at this. Right now , because it is a very new geography that we entered, this n umber of stores operating versus the marketing that we were doing there and you know every month would be very different. If you look at the Diwali month number or the last month number so every month will be little different because Delhi is predominantly an AC and cooler market where cooling products are quite heavy and the whole consumer durable play. That is yet to start because Delhi also to scoring in the last few weeks not at an optimal level o f temperature where it would start selling out AC and coo ler at a higher number. Once we get a complete churn post this quarter is when we can look at a certain nu mber of average coming forward, b ut in terms of our strategy of doing a certain threshold of sales in Delhi as a region from day one that is on track. So, it will definitely cross the expectations you will be at par with what an expectation were in Delhi an d probably end of this quarter we wi ll be expecting an average sellout going forward because that will create a base for us post the summer seas on an d then we can look at Delhi performing much better than what it is doing today.

Moderator: Thank you. Next question comes on the line of Nehal Jain from SK Securities. Please go ahead.

Nehal Jain: I had a few questions firstly could you throw some light on the marketing initiatives that you would have taken to expand in the NCR and what will be the strategy going ahead?

Karan Bajaj: Ma'am, when we launched in October last year what we have done is we had spent money across different ATL/BTL activities by doing a cash draw that we usually do back home in Hyderabad and Telangana. So, we have done a cash draw, we ha ve done print radio outdoor which was quite heavy with us with cel ebrity endorsements and influen cers and stuff like that was a marketing strategy f or Delhi. We want to make sure that because we launched 8 stores together we want to make sure that because this spread of Delhi, the geography spread is quite big. To make s ure that everybody is well informed of the launch of the stores in which locations we were launching. So, that was initially done and so August to October that is when we spend the big money on this activity and then post that again this year for summer. W e have again planned a Rs. 50,00,000 cash prize draw as an incenti ve to customers w hoever buy and participate in the draw. That is the marketing strategy that we ha ve applied there with definitely print ed radio being the most effe ctive medium for that geog raphy.

Nehal Jain: And what should it be going ahead l ike moving forward?

Karan Bajaj: We will look at so definitely what we did in August during the launch period in October again I mean we launched the other set of stores; it would definitely not get replicated during this coming years because right now our stores are all spread across different months of launch. We would probably do one or two stores at one time r ather than doing a block of 4 stores and 8 stores that we di d initially. So, going f orward , we would look at that being in line with our revenue generation that we would do or more to do with specific days of like 15th August or Raksha Bandhan or Diwali Dussehra . The marketing activities being lined with those big festival days and there will be then organic activities going on parallelly to promote the stores.

Nehal Jain: Sir, regarding the opening of stores is this a change in strategy t hat we are doing about not opening like stores in clusters all together on the same day?

Karan Bajaj: Ma'am , what happened was August 14 when we launched 8 stores together and 22nd of October when we launched 4 stores together t hey were all used stores that we re getting ready parallelly. So, right now if you look at one of my stores is ready for launch say next month one is ready a month later. So, now we do not want to delay because the brand is recognized that we do no t want to delay of the store opening until unless we do a soft launch and then combine t wo stores to do a offi cial launch for all the stores. So, that could be a strategy worked out there, their store simultaneously ready for launch, or in the span of 15 days here and there then we can p lan of opening stores together, but we do no t want to hold up stores and delay the launch until unless you know it is not required.

Nehal Jain: Also, could you share the gross margins across various categories?

Karan Bajaj: There are n o changes on the gross margins across various categories, i t remains in line with what we have done in the past as well. Definitely , air-conditioned air coolers being one of the highest gross margin categories with around 18% and then televisions at the 17% larger appliances at around 17% , 18%, mobile phones at around 9% to 10%, l aptops are the lowest around 6% t hat is more or less the breakup o f the gross margin across categories.
Nehal Jain: And my last question could you tell me the SS GR for a mature store and for a one-year-old store?
Karan Bajaj: Ma'am, right now if you look at the FY23 number we ar e at around 17% SSG, bu t t

hen if I look at mature stores which are above 5 years, we are sustaining there around 5 % to 7% there which are older ones a nd definitely yes this year going forward you look at the major growth coming in not only from Delhi, but even our Andhra and Telangana stores because they started performing really well bec ause few of them were actually opened during the post COVID period which took a little more time to establish because even in Tier 2 and Tier 3 cities now they started perf orming really well. So, overall, you would see a much higher churn coming in from the SS G or churn coming in fro m the existing stores in Andhra and Telangana as well.
Moderator: Thank you. L adies and gentlemen , we have reached the end of the question -and-answer session. I would now like to hand the conference over to the management for closing comments.
Karan Bajaj: I would like to thank all the investors and everybody present on the c all today for supporti ng us and trusting in us and we wi ll definitely make sure that we deliver on what we promised and going forward look at a great your coming ahead a nd thank you for all your support and we wi ll definitely be in touch and our team and we are always available for any question answers that you have anytime. Thank you.
Moderator: Thank you. O n behalf of Electronics Mart India Limited that concludes this conference. Thank you for join ing us. You may now disconnect your line.

Call: Aug 2023

To,
Listing Manager The Secretary
The National Stock Exchange of India Ltd., BSE Limited
Exchange Plaza, Plot No: C/1, G Block, PJ Towers
Bandra Kurla Complex- Bandra(E), Dalal Streets
Mumbai - 400 051 Mumbai- 400001
Symbol: EMIL
Series: EQ Scrip Code: 543626
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for F irst Quarter ended 30th June 2023 held on 11th August 2023.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the transcript of the earnings conference call held on 11th August 2023 to discuss the Un -audited F inancial Results for the F irst Quarter ended 30th June 2023. The same is available on the website of the Company at.
https://investors.electronicsmartindia.com/earning- call-transcripts -and-investors- presentation
We request you to take this information on record.
Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar Company Secretary and Compliance Officer
Date: 17
th August 2023
Place: Hyderabad

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CIN L52605TG20 18PLC126593 BAJAJ
ELECTRONICS
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"Electronics Mart India Limited Q1 FY '24 Earnings Conference Call "

August 11, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 11, 2023, will prevail.

MANAGEMENT :

1. MR. KARAN BAJAJ – CEO, ELECTRONICS MART INDIA LIMITED

2. MR. PREMCHAND DEVARAKONDA – CFO, ELECTRONICS MART INDIA LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Electronics Mart India Limited Q1 FY '24 Earnings Conference call.
This conference call may contain forward -looking statements about the Company, which are based on the beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on y our touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Karan Bajaj – CEO, Electronics Mart India Limited.
Thank you, and over to you, Mr. Bajaj .
Karan Bajaj: Thank you, Michelle. Good evening, and a very warm welcome to everybody present on the call. Along with me, I have Mr. Premchand Devarakonda – Chief Financial Officer and Strategic Growth Advisors, our Investor Relationship Advisors. We have uploaded our "Results and Investor Presentation" for the quarter ended on the Stock Exchange and Company's website.
Hope everyone had a chance to go through the same.
The future for the electronic consumer durable business in India looks very promising. The growth of this industry can be attributed to several factors including increasing purchasing power of middle class and growing penetration of the Internet and smartphones .
Other aspects like financial options and easy availing financing for purchase of consumer durables i s expected to support the growth of the consumer durable industry .
Our company is currently associated with more than 100 plus electronic brands with over 6 ,000 SKUs and has a long -standing relationship of more than 15 years with few brands which operate in product categories such as large appliances, mobile phones, and small er appliances.
We started the year with a very strong performance with a 20% growth in the top line at Rs. 1,689 crores . EBITDA and PAT has grown substantially by 34% to 130 crores and 48% to 60 crores respectively . Our margins have also grown and the EBITDA margin stand s at 7.7 % and PAT margin stands at 3.6%, which were higher than the previous quarters.
In Q1 FY '24, we have opened six new stores. Currently, we operate 133 stores, 119 of which are MBOs and 14 are EBO s. Out of 13 3 stores , 111 stores are leased by the company , 11 are fully owned and 11 are part ly owned and partly leased by the company today.

As on date , we are present in 46 cities across four states. Mobile phone has been the fastest growing segment with rising contribution to overall revenue by around 37 % in the first quarter of FY '24.
Large appliances are the highest contributing segment in terms of revenue. Large appliance contributes to around 49 % to the total revenue today . We have established relationships with the large brands in this space.
Our interest lies in delivering a unique customer experience and fostering engagements . We offer an all -inclusive shopping encounter in a pleasing environment with the practical store arrangement enhancing checkout efficiencies . We have impl emented intelligent marketing to ensure our regist ered customers stay updated on new schemes and offers that w e keep on coming up with.
EMIL recognizes the benefits of consumer financing as it allows it to increase the average selling price without significantly impacting volumes . To streamline the financing process , EMIL had invested in integrating the systems with financing companies to reduce payment realization time.
The company offers consumer financin

g options through credit card , debit cards , paper financing and EMI as well to select fintech companies and NBFC. By providing these options , the company aims to make its products more accessible and affordable to a broader range of customers .
The company steadily focuses on planning and sourcing our vendor management logistics, quality control , replace control , replacement and refurbishment. We have improved our working capital base to 46 days from our historic number . Moreover, the company aims to enhance its operational ef ficiencies and supply chain management . EMIL is well positioned to leverage the favorable conditions and continue delivering innovative and quality products to customers .

With this, I request Mr. Premchand Devarakonda, our CFO to update you on the financi al
performance of this current quarter Q1 of '24. Thank you all .
Premchand Devarakonda: Thank you, Karan. Good evening and a warm welcome to all the participants .
Now, I would like to present the financial overview of the first quarter ended 30th June 2023.
Our revenue for Q1 FY '24 st ood at 1 ,689 crores as against 1 ,408 crores in Q1 FY '2 3 with a
growth of 20% year-on-year.
EBITDA for the quarter stood at 130 crores as against 97 crores , with a growth of 37% year -on-
year. The EBITDA margin for Q1 FY '24 s tood at 7.7% as against 6.9 % in Q1 FY '23 , showing
an improvement of 80 bps .

PAT for the quarter stood at 60 crores as against 41 crores and had a growth of 48% year -on-
year. PAT margin stood at 3.6% as against 2.9% in Q1 FY '23 with an improvement of around
68 bps.
ROCE and ROE on an annualized basis for Q1 FY '24 stood at 28.2% and 19.4%, respectively .
The working capital days for Q1 FY '24 st ood at 46 days . The gro ss debt to equity as of 30th
June 2023 was 0.2x , and net debt to equity was 0.1x, and our net debt to EBITDA stood at 0.3x.
Our cash flow from operations for the quarter stood at 129 crores , has shown an improvement
of 34% year -on-year. For Q1 FY '24, the same store growth rate stood at 13.6%. During the
quarter , around 49% of our revenue came from large appliances , 37% from mobile , and 13 %
from small appliances , IT, and others .
On that note , I open the floor for question and answers . Thank you .
Moderator: Thank you very much , sir. We will now begin the question-and -answer session. We will take
the first question from the line of Manoj Gori from Equirus Securities . Please go ahead .
Manoj Gori: Sir, my first question would be while we saw comparatively higher growth coming from the
mobile phone this quarter which was roughly around 48 % and roughly around 12% from large
appliances . So, can you throw some li ght like what led to margin improvement? So, was it
because there has been improvement in Delhi NCR s tore metrics or probably anyt hing else that
you can highlight ?
Karan Bajaj: Hi, Manoj. Thank you for the question. Yes, so what happens on a broader level is that there was
an improvement across our existing categories like large appliances as well , especially the Q1
which had a great improvement in air conditioner sales as well . The air conditioner sales went
up by 30 % on Q1 FY '24 versus Q1 FY '2 3 and if you see, bifurcate the large appliance category ,
30% growth came in from air conditioners , which contri butes to one of the highest gross margins
in the whole category. So, I think that was one reason, main reason for us that there was an
improvement in the margins .
Number two, most importantly , is that the fixed cost that we have that was there, they were in
line with what our expectations for a certain turnover was . So, whenever we add up a growth
coming in from the existing stores or the threshold crosses up, it directly adds up to the
profitability of the company on an overall level .
Now apart fro m that , extende

d warranty insurance business is what contributed to around 4 odd
crores into the bottom line at the P BT level is majorly because we started doing insurance now .
We started a few quarters back and then started showing us results . So, there h ave been
improvement across high profitable categories like extended warranty , air conditioners , and
definitely , there was a growth coming in the mobile and IT category as well .

So, overall , it was a great product mix that gave us this number with a lot of control over our
cashback offers , our NBFCs cost , and all . We try to renegotiate offers there as well . So, it was a
blend of everything, all the efforts put in to make sure that we increase our margins and our
EBITDA levels .
And definitely, to answer your second part of the question on the Delhi operations, Q1 last year
we just did a soft launch for one of the stores at Preet Vihar, whereas this year we were operating
with 13 plus stores in that region . So, definitely we saw around the 75-crore top line contribution
coming in Delhi , and Delhi I could say very confidently that it is on the path of breaking even
very soon .
So, there are some costs that are incurred there because we are operating at larger place there
today because it's spread across Haryana, it's spread across Delhi city and UP in Noida and
Ghaziabad. So, there are little more efficiencies to come into place. There is more productivity
to get better in the coming times . So, we are on the path of doing that . So, once we achieve that ,
I am pretty sure you will see a much better result coming in from that region as well .

Manoj Gori: Sir, just to continue on the Delhi NCR market, you said probably we are nearing towards a break even . So, probably like the initial timeline that you had set for yourself to achieve break even, are we likely to achieve it relatively faster ?
Karan Bajaj: So, sir, I would like to stick on the initial estimates given of 18 to 24 months that we would be achieving that number . So, definitely the operational break even would be coming a little more sooner than that , but when we look at a break even , you look at everythi ng else . So, we are on track on doing that , and this is irrespective to the summer thing being real bad there because it was pouring throughout the summer , and we could not definitely sell air conditioner s and cooling products , the theater air conditioners and air coolers both .
So, once very soon once things get better there with the numbers that we performed without contribution coming in from the cooling product , we are pretty sure that in the next coming few quarters , we will be able to reach that goal .
Manoj Gori: Sir, lastly on the demand front, can you throw some light, like how do you reach the overall demand? Obviously, South did relatively better this year as compared to the other geographies.
But with normalcy in demand environment probably any revival you have seen in Delhi NCR based on your feedback? And probably, if it normalizes , this should trigger further margin
improve ment at gross level . Is that understanding correct ?
Karan Bajaj: That's definitely yes . So, whenever there is an improvement in productivity, the gross margin levels and the EBITDA levels both go up , but there is always a threshold that we can't exceed because the market acts that way . There are seasonality factors . There are trends in the market which influence a lot of these things together .

So, on a whole , we would be tending on a similar line and our expectation on the numbers would be very similar to what we have projected and definitely our efforts are going to be to make sure that we definitely cross them , increase the productivity , increase the EBITDA margins or negotiate better with the vendors

.
It is a mix of everything again , as I told you , but now we see the tren ds being positive , especially across all categories . We don't see a downtrend towards any of the product categories that we are dealing with , LED premium products , televisions , air conditioners , mobile phones , IT products.
I think there is a huge demand coming in, and once we establish more stores , once we grow in the clusters that we usually grow in with the pipelines so that we have in the Delhi NCR region, Telangana upcountry m arket , Andhra upcountry market, once we finish that few most was coming up before Diwali , a few most was coming up before summer next year . So, once we grow those stores up , I am pretty sure that we will definitely see better traction coming in .
Moderator: Thank you. We will take the next question from the line of Nikunj Gala from Sundaram AMC . Please go ahead .
Nikunj Gala: Sir, first question is on Delhi market. Sir, I think last year in the month of August when we started our operation in Delhi, just want to understand how those s tores KPIs are working, whether your expectation in terms of consumer demand or of ftake which you had anticipated , it's going as per your estimation or some kind of a behavior which you can help us to understand that better that how is KPIs in those markets where you started one year ago are tracking ?
Karan Bajaj: Yes, Delhi has been a very different market that we entered now from our historical market that we have been present in. And I would see Delhi very differently in the regions that we operate . There is North Delhi very different as a product categorization , price demand or customer preferences are very different in Delhi itself . Gurgaon is different than Faridabad to North Delhi to South Delhi to East Delhi to West Delhi .
We see that the learning has been really good . We were able to adapt , make some changes on the floor very immediately . So, that is what is needed in retail . You can't take up a lot more time to grasp what a customer needs , what is going -on on the floor there . We need to keep on changing. You can't be stuck to one idea or ideology that you do back home is going to be the same idea or success mantra there in that market .
It has to be localized and that is what we have been adapting to and that has been working for us. And it will be too early for us to say that we have established ourselves and we become really big but we are on a trend path to reach a break even . We are on a path to achieve a 25 crore to 30 crore benchmark for each store that we projected for .

And so, 13 stores today operational there in that region and all those are on far and performing that. Few of them might be a little lower than 10 %, 15%. than our expectation , but we are on

track to fix that problem as well to make sure that the productivity of those stores also improve
and an overall blended average number becomes what we expect there in the coming times .
Nikunj Gala: Yeah , that's an encouraging comments . As per earlier expectation of some categories we might
have anticipated will do well , but when you actually enter the market , the scenario can be very
much different , right ?
Karan Bajaj: Yeah , very true.
Nikunj Gala: And just secondly the kind of the consumer discretionary across the categories we have seen the
weakness in the demand , in your Southern market , I understand you are slightly on the premium
side of cohorts , but are you seeing some kind of a weakness in the consumer behavior in terms
of down trading or any sort of behavior you can help us with?
Karan Bajaj: So, I would not say that they would be that we have experienced , not us , but the market overall
has not also experienced such a downtrend. Firstly, is because if I talk about , yes, we have a little
more leeway than the mar

ket because we sell a lot more of premium , but at the same time our
tier 2 , tier 3 cities have also started performing really well . So, we have seen growth coming in
from those regions as well where we would anticipate that there would be a little slow down ,
but, in fact , the growth has been excellent in that territory as well .
So, overall, through affordability, through NBFC s to the offers that we keep on running , EMI,
credit card , debit card EMI s, cashback , and all of that , I think it's work ed really well , and we
didn't see a down trend ing demand . The only negative that we saw quarter was a little slow down
on the cooling product category because of the range across territories t hat we were operating
in, but by the end of May, first week of June , it started picking up again , and that is what we
could deliver a higher growth in that category during that quarter .
Nikunj Gala: And my second last question is on the competition . Have you observed any increase in the
competitive intensity of late both from organize d and unorganized players ?
Karan Bajaj: Our competition has always been a part of the show every day . There is something or other that
keep coming up through either a mom -and-pop store or through large LFR or modern -day
retailer. So, it is part and parcel of the game and you just need to counter it because the end of
the day we are all selling the same product . You just need to different iate how you sell it and
what offers you provide your store with to compete against them . So, that is where the whole
game is that you have to be alert and make sure that you are countering every offer that comes
your way.

Nikunj Gala: And just lastly the expansion plan which we had earlier for FY '24 and '25, they are on track as
per our current estimates .
Karan Bajaj: Yeah . They are on track . We have opened six stores in Q1 . As we talk also , we have opened a
few more stores , which were getting ready . So, the plan of opening the suggested number of
stores , we would definitely be touching them because we have negotiated for a few of the stores
in Andhra and Telangana , even in the Delhi NCR region . Today, our focus mainly is going to
be to make sure that t o cover up territories where we are not present and then deeply expand into
the existing territories as well.
Moderator: Thank you. We will take the next question from the line of Bajrang Bafna from Sunidhi
Securities . Please go ahead .
Bajrang Bafna: Sir, just on the Delhi side , if you could just guide us ? I think we have opened 13 stores which
were up and running last quarter in Delhi . So, what is the break -even point that you are looking
at cumulatively put together those 13 stores in Delhi ? And what is our experience? I think Q1 is
relatively better because of the seasonality factor due to a big summer , but going by the tr end,
we are already done away with half of this quarter . So, what is the sense on on Delhi side and
your experience if you could share so far and the expansion plan especially in Delhi , that will be
really helpful , sir?
Karan Bajaj: Sir, as initially projected , whenever we do a store predominantly in the existing geography, we
would look at a much sooner break even than the new geography like Delhi NCR that we have
entered , but the benchmark of every store that we calculate to break even , the range is between
Rs. 25 crores to Rs. 30 crore .
We try to project a store at Rs. 25 crores to Rs. 30 crore in the first 12 to 14 months of operation
and then for it to settle break even at 18 to 24 months because it being a newer geography , so
we are on path of doing that . So, to add a 25 -crore average per store 13 stor e operational , we
would look at a cumulative number of around 300 plus crores for year one coming in from that
region.
The 14th of August this yea

r we celebrate our first anniversary where last year we opened eight
stores on the 14th of August . So, the stores are performing really , the first 8 stores out of the 13

that we open up . we signed up a few more stores that are getting ready which are yet to launch in that territory .
By Diwali , we plan to add up another 3 to 4 stores in that region. And by next summer , we plan to add up another 3 stores. So, total of 6 stores in the pipeline for that region. The idea is to reach around the store count of 23 to 25 stores by the next financial year. So, that is on track, sir.

Definitely , yes, it is a very high demanding market in terms of the pricing there in terms of real estate. So, we have to make sure that we negotiate correctly for a longer lease or if you are buying out a property or whatever the plan is . So, we have to make sure that it fits into our budget . The area fits in . The property is really nice , a clear title property . So, all of those things take up a lot of time and we are on track on that number .
We are quite confident that once we establish ourselves by next year further down with more number of stores because currently , we are not even present in the largest markets where a competition prevails in those markets like Lajpat Nagar , Janakpuri , Pitampura, Rohini , Gurgaon Sector 29 so a lot of these markets we are not even prevalent today . So, once we establish s tores in those markets which are coming up in the next six months we know that the brand is going to definitely reciprocate to those markets and help us grow better in that market .
Bajrang Bafna: Sir, have you achieved this 200 -crore kind of those eight stores which you opened last year ? What is the cumulative number ? Just a ballpark number if you could just guide?
Karan Bajaj: 20 crores to 25 crores, that I told you, that is on track for th ese stores, sir.
Bajrang Bafna: Those eight stores that you opened last year ?
Karan Bajaj: Eight stores, the first lot we opened on the 14th August '22 are on track of delivering that number , sir.
Bajrang Bafna: And sir, in the Delhi side , since it is a new cluster for you , what is that probably the top line number that you are looking at which could take care of your entire logistics cost, their warehousing cost that you are building up there just from a broader the margin perspective that you normally enjoying in the southern regio n? So, what is that magic number that you believe that will take care of your the overall fixed cost that that you are going to inc ur?
Karan Bajaj: So, sir, if I look at that number , it might defer quarter -to-quarter because Q1 would be little heavy on the cooling products where the margins are going to be higher versus Q2, Q3, Q4. But if I look at the total annual number, annualized number on that cluster , it would be upwards of Rs. 300 crore where we will be quite comfortable or not burning too much money what we did initially last year because we are setting up stores and all . It was a new market . We had to spend a lot of advertising and all and marketing , but 300 crore , 320 crores, around that number is where we will be quite comfortable , sir.
Bajrang Bafna: And sir , on the southern side since we are half the quarter , so are we still guiding that , we said that 20 % is something that we will be comfortable to grow with ? So, that growth guidance remains intact and the margin you guided will be closer to that 7% mark . So, we stay by those numbers which we have guided in this quarter?

Karan Bajaj: Yes, sir.
Moderator: Thank you. We will take the next question from the line of N irav Vasa from Anand Rathi. Please go ahead .
Nirav Vasa: Would it be possible for you to share some data on the growth prospects that we have deliver

ed
across our Andhra and Telangana region?
Karan Bajaj: Yes, sir. If I give you a number from 25 stores , last year in Q1 we have added four stores in that cluster in the Andhra region to make it a 29-store count today where the revenue has gone up by 47%. So, this is a huge SSG as well because the stores were new in the tier two and tier three cities as we have mentioned in the previous call . So, those stores have also established and started delivering our the number of targets that we usually had for our exis ting stores.
47% was the growth coming in from the Andhra cluster . Delhi so definitely we didn't have a base last year . So, the contribution of around 75 crores came in from Delhi stores in this quarter . And Telangana, Hyderabad city store s were up by 11%. So, these are a lot of these stores , almost 95% of the stores here are mature stores which are over five years . So, you could see that these stores also performed really well , and we could deliver 11% growth in this existing mature store category as well . Around 25% growth came in from the Telangana upcountry market, sir, where we added up 3 stores from 17 Q1 '23 to 20 stores in Q1 '24 where the revenue was up by 25 %. These are again clusters where we had a lot of mature stores , which are about three to five years old. So, you saw a good demand coming in from the existing markets . We were able to increase

productivity per square foot there . We would improve our bill sizes and ASPs went up across category . So, I think it was a goo d sign that tier two and tier three cities also started adapting to high-end products , higher ASPs for categories like mobile phone , televisions , air conditioners , refrigerators, all put together .

Nirav Vasa: So, the other question is specifically pertaining to panels . So, as we are, you must be aware that World Cup is expected to be hosted in India in the forthcoming months . So, I just wanted to check , are you forcing an exponential demand for high-end panels considering these kind of sporting events ? And historically , whenever India whenever , there was a Cricket World Cup , was there any statistical evidence wherein we reported an exponential increase in demand for panels ?

Karan Bajaj: Yes, sir. Actually , it is a good point that you raised. I think cricket is a religion in India . So, whenever there is an event like this , especially at that scale, we would definitely see an increase in not only high-end televisions , but also the sound bars and a little bit of audio category, the whole of home entertainment on a whole gets a rise. So, we have already seen the trend post-COVID where big screen or big size television increase a lot . So, today , if I give you a breakup,

only 6% of our contribution comes in from 43 and below category . The rest of it is all 55 and above category only for us . So, 55 inch and above categor y.

So, today , we strongly believe that that is growing and with the new technology coming in with OLED and 8K and all , I think the viewing experience is enhanced and people want to experience that in a big screen in their houses .

Nirav Vasa: Sir, the other question that I would like to ask is pertaining to the premium inbuilt appliances . So, what we are seeing right now is that all the leading brands which are there in the kitchen industry as well as in the FMCG industry , are all rushing to get into the premium inbuilt category. So, I believe, we also have one store format which is catering to the high premium appliances . So, just wanted to understand what's the kind of growth prospects that we see in this category? And how can we add ? Are we in the process of adding new channel partners among this ?

Karan Bajaj: Sir, built-in as a category is very new to us as well and to the market . On a whole , we have a specialized store format cal

led Kitchen Stories . What we do is we have learned a lot of input because kitchen appliance built -in category is not like an off -the-shelf for the category where customers come and pick up something and go. It has to do with back and forth withdrawing what th e kitchen sizes are, what the cavities are made in kitchen because everything was built in. So, the cut of the product has to be fitting in properly in the kitchen wardrobe or the kitchen design.

There is a lot of back and forth in this category. Definitely as it is a growing and an accepted category , people are ready to spend money . When they are making a built -in appliance category , they are ready to spend money to put in a microwave or to put in a built -in off chimney and an oven. So, we have experimented and we have got good results on that , but the brands that we deal with are the same brand that we will continue want to deal with Bosch , Siemens , Gaggenau , ASKO, BORA , Miele , Liebherr . These are a few brands that we deal with and we want to continue dealing with these brands only because they are masters in their product category. And these product categories need a specialized technology that cu stomers want. That is where we see demand growing for these categories. At the same time, it is not going to be at the quantum of what we would do for a freestanding appliance category.

Nirav Vasa: My final question will be pertaining to our Delhi foray. As I understand, our Delhi foray seems to be quite on track. Would it be possible for you to tell me what is the final count of stores that we intend to have across the Delhi cluster, maybe by the end of FY25 and after which we would be looking at a newer cluster? Any finalization on the newer growth cluster or something like that would be really helpful.

Karan Bajaj: Sir, as we had initially projected, we would be crossing the count very comfortably 25 stores in that cluster. The biggest advantage w ith Delhi NCR is that we are not catering to one single location. We will be catering to the extension from the Haryana side of Gurugram , Faridabad,

Greater Gurugram, Manesar; that belt up till the whole of Karnal -Ambala belt up till the GT Karnal Road till Chandigarh. So, that is a huge opportunity available for us. On the other side, it is Noida, Greater Noida extension, Meerut. On the UP side, you have that belt also available with you. And then Delhi Central, North Delhi, South Delhi, East Delhi, and West Delhi where we had marked down 20- 24 locations, out of which we are still only operating at 10- 12 locations where we need to expand, where the newest stores are already getting made like Daryaganj, Janakpuri, Pitampura, Rohini,

and Lajpat Nagar. Thes e are a few pockets left in the existing
market in Delhi. Once we cover up all these areas in and around Delhi, I think there is a huge
potential for us to grow to at least a 30- 35 store count in the next couple of years.
Moderator: We will take the next q uestion from the line of Prisha Kansara from Molecule Ventures. Please
go ahead.
Prisha Kansara: Sir, I missed that number which you gave for the contribution which came from Delhi NCR stores. Could you just repeat that?
Karan Bajaj: The number is Rs. 74.4 crores for the Q1, came in from Delhi stores; 13 stores are operational
in that region.
Prisha Kansara: None of the stores is currently at the breakeven level, correct?
Karan Bajaj: Not at this quarter, but by the end of this financial year, we will definitel y be crossing the
breakeven number.
Prisha Kansara: What would be the advertisement cost for this quarter?
Karan Bajaj: The advertising cost for this quarter will stand around Rs. 12.5 crores approximately.
Prisha Kansara: But is that excluding the sales promotion expense?
Karan Bajaj: Sales promotion is something else. Sales promotion is not marketing, but i

t is directly linked to your NBFC cost and all the other costs that we incur while selling on the floor.
Prisha Kansara: What would be that number?
Karan Bajaj: That is Rs. 43.8 crores compared to Rs. 35.3 crores in Q1 FY23.
Prisha Kansara: How much of this would be for Delhi NCR?
Karan Bajaj: If I give you a calculation, it would be around approximately Rs. 2.8 crores for that region in Delhi NCR.
Prish a Kansara: Inclusive of the sales promotion expense?

Karan Bajaj: I am talking about sales promotion. Advertising and promotion together for that region would
be around Rs. 3.7 crores approximately for Delhi NCR.
Prisha Kansara: Sir, you mentioned the grow th rate which came from the AC segment. Was it 30%?
Karan Bajaj: The overall growth that came in from the large appliance category…. The large appliance
contributes to televisions, refrigerators, washing machines, and air conditioners on a whole. The
whole category went up by 11.59% whereas if you actually break it down to each category, air
conditioners grew by 30% in that category. So, if I give you an absolute number, the total is
11.59% in the large appliances category. But if I break it down to individual number, 30% was
the growth that we saw in the air conditioner business during that quarter. And this is after the
slowdown where April -May it was pouring and Delhi didn't perform as well because Delhi it
was raining throughout the quarter. June mo nth turned the game around where it started
performing really well.
Prisha Kansara: That was my follow -up question also. In the last con-call, you had mentioned about this
slowdown and it was especially related to the south geography. How was the situation in Q1?
And also, if you could guide us about the current situation, that would be helpful.
Karan Bajaj: When we had a call after the March quarter, we were discussing that the weather was not supporting and we were seeing a little slowdown because of the weather across the region that
we were operating in. But June outperformed our expectations. June did really well, especially
on air conditioners whereas you could see a little slowdown on the air cooler business because
it didn 't pick up that well. There is always a seasonality that changes a lot during the summer
quarter, but by the end of June, we saw a huge growth coming in. Especially, if I compare June
to June month on a whole, the growth was very high. It was almost as high as 80% to 85% for
air cond itioner business June on June in a single month. So, overall business grew by 30% and
that was a great help. And July also if you see, the trends are in path with what we would expect
for this quarter also going forward, especially in that category. Defini tely this is not the quarter
for summer, but we would see a little reflection of spillover coming in from that quarter into this
quarter.
Prisha Kansara: And, sir, my last question is regarding the gross margin. We saw an improvement in our gross
margins i n this quarter. Can we take this level of gross margin as a sustainable level?
Karan Bajaj: It can be a sustainable level going forward as well, but there will definitely be an improvement in gross margins because there would be a product differentiation w here a quarter might be heavy
on higher gross margin product categories like appliances, refrigerators, or air conditioners versus another quarter where the summer is not equal to the Q1. So, there would be different gross margin levels coming through, but it would be in line with what we delivered in the past.
It would be in line with what we delivered in Q1. So, there will not be a drastic change coming
in the business until and unless there is a seasonality or a special occasion like Diwali -Dussehra

period where you would see an improvement or growth in the l

arge appliances or television
business where they contribute to higher gross margins.
Prisha Kansara: Leaving QoQ gross margin aside, but I am talking about the yearly run rate. Can we maintain this 1 5% kind of gross margins on an annual basis?
Karan Bajaj: I would just suggest to you that it would be in line with what we are doing right now, and at the same time, probably there might be a change of a few basis points plus or minus but not much on that. It will be in line with what we are performing at now be cause we are trying to negotiate better with our vendors because the scale is going up, our operations are getting more efficient, our NBFC costs are coming down at the other side where we are negotiating with the NBFC which is the biggest cost to us, and we are trying to improve our productivity also . All of this put together would give you that number. So, we are definitely in line with going forward also at the same track.
Moderator: We will take the next question from the line of Drashti from Thinqwise. Please go ahead.
Drashti: I wanted to know if it 's okay to share, what 's the consumer product on finance for this quarter versus last quarter? What 's the proportion of sales that happened on finance?
Karan Bajaj: Ma'am, on an average, we do around 55% thr ough NBFCs. It might differ from NBFC to NBFC. We deal with a lot of NBFCs like Bajaj Finserv, IDFC, TVS Finance, now ICICI, then you have credit card & debit card penetration as well through HDFC, SBI cards, ICICI cards. That mix more or less remains at 5 5% of the total business, but internally it might go 5% here and there with different NBFCs and cards. But the overall business contribution to us comes at 55% from NBFCs, ma 'am, or credit card & debit card EMIs.
Drashti: Specifically, I asked this questio n because you were seeing tier -2 and tier -3 city growth also doing very well and it 's also because of consumer finance penetrating in those cities, etc. Whether that has increased or it has been stable at 55%?
Karan Bajaj: If I give you a breakup there, initially, if I compare it to 5 years back or 3 years back, definitely, yes. We had less number of stores. At the same time, there were only Bajaj Finserv or one or two other players there operating out of the region. Definitely, if I give you a split, the m etros like Delhi and Hyderabad would contribute to a much higher number on debit card or credit card EMIs versus paper financing is much stronger there. If I give you a split on that, it would be 75% of paper financing in my Hyderabad store versus 25% of E MIs through credit card and debit card, whereas it will be 95% in the tier -2 and tier -3 cities with paper financing and 5% only through credit card and debit card EMIs on the machines over there.
Drashti: And my second question would be, what impact do you see because of the ban on imports of the IT products for your kind of a business?

Karan Bajaj: Anyways, we usually have branded stocks lying with us. So, that is no problem. The brand's manufacturers and vendors also have a lot of stock available with them. It was definitely a temporary scare that was out there in the market that there would be a shortage of stocks and all. But then, the bigger brands, they' re all aligned themselves and everything is compliant. So, for them, it is going t o be no problem in securing stocks. And same thing with us; we will not have any issues in securing stocks going forward as well.
Drashti: So, you don't see any impact now?
Karan Bajaj: Not really.
Drashti: And my last question would be , have we resorted to any discounts in the June quarter for AC specifically because suddenly we saw growth well for ACs, to clear up?
Karan Bajaj: In our business, if there is a direct discount, you would see that in the reduction in the profits as well. B ut now the numbers are out

there for you to compare it to other previous quarters and get your understanding on. The discount was not done if I tell you there because June anyways is a part of the summer period that we operate in. So, we didn 't see any deg rowth or any desperate measures to be taken in any of the quarters, not now, but even the COVID year for that matter. We were heavy on stock in the air conditioners. We never discounted drastically to liquidate our stocks because these are all stocks that are negotiated well with vendors. They all make sure that they protect you. So, there is never a discounting that helps us grow the business and it 's always temporary and we don 't usually want to get into that practice because it is not a healthy practice for us and even for the staff on the floor to get into the whole discounting process.
Moderator: The next question is from the line of Naitik Mohata from Sequent Investments. Please go ahead.
Naitik Mohata: Most of my questions have been answered, just one question regarding the inventory days. I think that inventory days have gone down by 20, from 60 days to 40 days during the quarter. Could you just throw some light on what has facilitated that and do we see this number being sustainable in the f uture?
Karan Bajaj: If I compare the number of days, definitely we have gone down. It is majorly a comparison from the last year quarter, majorly because of the cooling product category. You could see the decrease in inventor y majorly happened in the cooling product category which was refrigerators,

air conditioners, and air coolers. Because it was pouring out here, we made sure that we don 't carry that many air conditioners and air coolers that we usually would do during the summer period because the peak sales of summer actually didn 't set in through the March, April, and May period. That is why you would see a reduction in inventory. The only other quarter that inventory goes up in our calendar is during the Diwali -Dusse hra quarter, i.e., Q3. Again, you would see a higher number coming and setting in during that quarter and then eventually reducing by the end of Q3 and then entering of Q4. For 2 quarters, you have to maintain

inventory at a higher level. And then, this year, it was strictly because of the weather that we had to control inventory and make sure that it is in line with the sellout that we do. Because the sellouts were lower during that initial period of the quarter beginning, we had to reduce our inventory and that is how it trended down to by the end of June.

Moderator: The next question is from the line of Tushar Sarda from Athena Investments. Please go ahead.

Tushar Sarda: I have two questions; they are related. I just wanted to understand your margins because I thought the Delhi store opening would have dragged the margins a bit. If you can give details on the operating expenses at Delhi – salary and the fixed cost? And is there a drag on the margins because of the Delhi store? Because, they would have just pro bably reached about breakeven level or below breakeven level.

Karan Bajaj: Tushar sir, Delhi on a whole if you see, it just contributed Rs. 74.4 crores or Rs. 75 crores odd roughly in that total quarter of Rs. 1,600+ crores. If I just give you a breakup, definitely, yes, there were other costs involved. The breakeven level was a little higher number for that region, but then there was not a significant impact if I say that even if they would have improved to Rs. 100 crores to Rs. 125 crores sellout if the A Cs would have performed that if the rain would not come into play. There was a very nominal number of change that would have happened or dragged the margins down a few crores here and there. Not much of a major impact because the contribution itself is quite low. But the margins are in line because we performed. Whatever we sold there were in

line with what we were selling in our existing markets. There was never a discounting done or never a difference in the vendor margins that we got from our OEMs. That way it was in line with that.

Tushar Sarda: That I understand. Therefore, your gross margins would be lower because your sales are lower. But the fixed expenses you are already incurring. Right?

Karan Bajaj: Yes, sir . Tushar sir, if I give you the exact number, the overall operational cost there, it was an approximate burn of around Rs. 3.5 crores in that region, sir.

Tushar Sarda: That's it? You have 13 stores, right?

Karan Bajaj: Thirteen stores. And 1 store that is operational is the 14th store which is the LG exclusive store in Gurugram.

Tushar Sarda: Only Rs. 3.5 crores for 13 stores for the quarter?

Karan Bajaj: Yes, sir.

Moderator: We will take the next question from the line of Deepak Poddar from Sapphire Capit al. Please go ahead.

Deepak Poddar: I have only 1 question around your EBITDA margin. I think in the previous call as well, we were of the view that 6.5% to 7% would be a benchmark EBITDA margin that we generally look at in our business. But now with this better product mix and higher AC sales this quarter, our EBITDA margin has gone up to 7.7%. I just wanted to understand our benchmark margin, are we moving it to 7% to 8% or 6.5% to 7% would be the benchmark margin we would be doing?

Karan Bajaj: I would like to stick to the older number only. It will be in line with that. Definitely, as enhancement is going on – as I told you like we have added up extended warranty, insurance business that has started doing very well, audio business picke d up, AC did quite well, and mobile productivity increased. We have started negotiating better with our vendors with bigger brands like Xiaomi, Vivo, & Oppo. There also, we saw a little improvement coming in. So, all quarters put together from NBFC to cred it cards to Amazon Pay, we renegotiated better with them, better terms. At an overall level if I look at that number, we will stick to that 6.7% to 7% kind of range. That we are quite comfortable delivering. I don 't want to overcommit that. But definitely, yes, this quarter outperformed the previous quarters for us also.

Deepak Poddar: I missed your last line, sir. What will outperform?

Karan Bajaj: I said yes, it definitely crossed our expectations also because there was an improvement everywher e, especially the straightaway contribution coming from the EW business which was around Rs. 4 crores to the bottom line. So, overall put together, there was an improvement in the EBITDA margin for Q1. But to be fair, we would stick to the 6.7% to 7% EBITD A in the coming quarters as well.

Deepak Poddar: I missed that Rs. 4 crores thing. What was that contribution?

Karan Bajaj: extended warranty. We started the insurance business with OnsiteGo and OneAssist EW warranties with the banks and all that we started giving out on our secondary products like mobile phones, televisions, and large appliances. So, that product category also grew for us. We did around Rs. 12 odd crores in the first quarter as the revenue from that business which contributed to a round Rs. 4 crores at the PBT level.

Deepak Poddar: Do we capitalize or amortize over the years or we just book as a revenue in this year itself?

Karan Bajaj: This is done through a third-party vendor. So, what we realize is our profits only. We don' t take care of the insurance from our end. We only facilitate the product on our floor. We only book the percentage revenue to it. We don 't capitalize on it like an insurance company because we are only selling and servicing the product from their end on the floor through the liabilities of the insurance companies like OnsiteGo and OneAssist and all.

Mo

derator: Ladies and gentlemen, as that was the last question, I would now like to hand the conference over to the management for closing comments. Over to you.

Karan Bajaj: I would like to thank you all for joining into the call. I hope that we are able to answer all your questions. For any further queries, you may get in touch with us or SGA and we will be happy to address all your questions and queries. Thank you once again for having faith and confidence in us. Thank you very much.

Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of Electronics Mart India Limited, that concludes this conference call. We thank you for joining us and y ou may now disconnect your lines.

Call: Nov 2023

To,
Listing Manager The Secretary
The National Stock Exchange of India Ltd., BSE Limited
Exchange Plaza, Plot No: C/1, G Block, PJ Towers
Bandra Kurla Complex- Bandra(E), Dalal Streets
Mumbai - 400 051 Mumbai - 400001
Symbol: EMIL
Series: EQ Scrip Code: 543626
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for Second Quarter and First Half ended 30th September 2023 held on 03rd November 2023.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the transcript of the earnings conference call held on Friday, 03rd November 2023, to discuss the Un audited Financial Results for the Second Quarter and First Half Year ended on 30th September 2023. The same is available on the website of the Company at .
https://investors.electronicsmartindia.com/earning -call-transcripts -and-investors -presentation
We request you to take this information on record .
Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 09
th November 2023
Place: Hyderabad

"Electronics Mart India Limited
Q2 & H1 FY24 Earnings Conference Call "
November 03, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 4th November, 2023 will prevail

MANAGEMENT : MR. KARAN BAJAJ – CHIEF EXECUTIVE OFFICER – ELECTRONICS MART INDIA LIMITED
MR. PREMCHAND DEVARAKONDA – CHIEF FINANCIAL OFFICER – ELECTRONICS MART INDIA LIMITED
STRATEGY GROWTH ADVISORS , INVESTOR RELATIONSHIP ADVISORS – ELECTRONICS MART INDIA LIMITED

Electronics Mart India Limited
November 03, 202 3

Moderator: Ladies and gentlemen, good day , and welcome to the Electronics Mart India Limited Q2 and H1 FY24 Earnings Conference Call . This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions , and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star and then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conferenc e over to Mr. Karan Bajaj, CEO of Electronics Mart India Limited. Thank you, and over to you, sir.
Karan Bajaj: Thank you. Good evening, and a very warm welcome to everybody present on the call. I have Mr. Premchand Dev arakonda, Chief Financial Officer and Strategy Growth Advisors, our Investor Relationship Advisors . We have uploaded our results and investor presentation for the quarter and six months on the Stock Exchange and Companies website. Hope everyone had a chance to go through the same. To start with, the Indian consumer electronic market experienced notable growth and development in the first half of this year.
In the dynamic landscape of consumer technology in India, the first half of 2023 has brought about a noteworthy shift. Even though there has been a minor 4% decrease in smartphone sales, their worth has risen by an impressive 12%. This implies that consumers are gravitating toward high-end devices. The Indian consumer market is undergoing a transformation driven by evolving consumer preferences and a growing appetite for innovative products. The growth highlights the resilience and adaptability of the Indian consumer market in the face of changing dynamics.
The technical consumer goods market exhibited an 8% growth in value.
Meanwhile, the consumer electronic sector saw a 13% surge in volume, demonstrating a strong market presence. The industry report illustrates growth across diverse product categories, emphasizing the prospect within the Indian consumer market. While online shopping provides convenience, it is worth noting that a substantial portion of buyers conduct online research but ultimately make their purchases offline.
This indicates a blending of the lines between online tradition and traditional offline stores, reflecting an evolving consumer landscape. Currently, our company is associated with more than 100 electronic brands with over 6,000 SKUs and has a long -standing relationship of more than 15 years with a certain number of brands that operate in product categories such as large appliances, mobile phones, smart appliances, IT, and other categories. In Q2 FY24, we have delivered strong growth of 7% revenue year -on-year and 14% year -on-year in H1 FY24. Our EBITDA for Q2 FY24 grew by 28%, and for H1 FY24, it grew by 31%. Our EBITDA margins improved to 7.4% for Q2 FY24 and 7.5% for H1 FY24, even after opening of new

stores across regions. In H1 FY24, we have opened a total of 14 stores , of which 13 are multi - brand outlets and one is an exclusive brand outlet.
Currently, we have a total of 140 stores, 127 stores which are MBOs , and 13 stores which are EBOs. Out of 140 stores, 119 stores are leased, 11 are owned , and 11 are partly owned and partly leased. As of date, we are present in 52 cities across four states.
Even after the absence of the festive period in the later part of Q2 FY24, we have managed to have a good store sales growth of 8% plus in H1 FY24 and 2%

plus in Q2 FY24. The current quarter, Q3 FY24, is filled with festivities, and we are looking forward to the busiest business time ahead. We believe that our local market knowledge, supply chain efficiencies , and effective inventory management have enabled us to attain higher cost competitiveness and customer profitability.
Our customized product assortment and comprehensive product portfolio enable us to achieve better visibility, brand recognition, deeper market penetration, and an increased customer base.
To reiterate, our focus lies on providing best consumer experience, better product availability and rural connectivity spreading the hor izon of EMIs in all directions.
With this, I request Mr. Premchand Devarakonda, our CFO , to update you on the financial performance. Thank you all.
Premchand Devarakonda: Thank you, Karan sir. Good evening , and a warm welcome to all the participants. Now, I would like to present the financial overview of our company.
For the second quarter of FY24, our total revenue stood at INR 1,313.2 crores as against INR1,227.7 crores , with a growth of 7% year on year. For H1 FY24, our revenues stood at

INR3,002.3 crores as against INR 2636.2 crores , with a growth of 14% year on year. EBITDA for Q2 FY24 stood at INR 96.6 crores as against INR 75.4 crores , with a growth of 28% year on year. For H1 FY24, EBITDA stood at INR 266.6 crores as against INR 172.4 crores , with a growth of 31% year on year. EBITDA margins for Q2 FY24 stood at 7.4%, and for H1 FY24, it stood at 7.5%. PAT for Q2 FY24 stood at INR37.4 crores as against INR24.1 crores , with a growth of 55% year -on-year. For H1 FY '24, PAT stood at INR97.6 crores as against INR64.8 crores , with a growth of 51% year -on-year.

Our annualized ROCE and ROE for H1 FY '24 stood at 22.1% and 15.2%, respectively. The working capital days stood at 59 days. At the end of the quarter, the gross debt to equity stood at 0.3x , and the net debt to equity was 0.2x. Further, our net debt to EBITDA stood at 0.68x.

Our cash flows from operations for H1 FY '24 stood at INR280 crores post Ind AS effect , which was INR28 crores in the previous year. If you see pre-Ind AS cash flows from the operations for H1 FY '24, it stood at INR225 crores as against negative cash flow in the same period last year. For H1 FY '24, the same-store growth rate stood at 8.4%. For H1 FY '24, around 44% of our retail sale came from large appliances, 42% from mobile and 14% from small appliances and IT. Around 99% of our revenue came from retail segment.

With this, I open the floor for questions and answers. Thank you one and all.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and -answer session. The first question is in the line of Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: Hi Karan. Just two questions. One is, can you help me with the mix for this quarter versus the base quarter?

Karan Bajaj: You said the product mix for this quarter?

Manish Poddar: Yes. Product mix for this quarter versus the base quarter?

Karan Bajaj: The product mix for mobile phones was around 48%. Large appliances was around 37%. Other categories like IT and small appliances put together was around 15%.

Manish Poddar: What was the same number in the base quarter?

Premchand Devarakonda: Base quarter, for larger appliances, it was 49%. Then 36% for mobile and 15% for others.

Karan Bajaj: Manish, to add on to this thing. Last quarter, there was a INR150 crores , Dussehra Diwali sale that got started on 24th of September last year. That usually is a heavy quarter. The period is heavier for large appliances and that category, televisions, washing machines, air conditioners and all put together. That is why you would see a mobile mix higher in Q2 this year versus last year. The festival period usually would be heavier on the appliances side.

Manish Poddar: So, if I have to understand this gross margin bit, if I look at the gross margins Y -o-Y, you have got about a 130 -bps expansion. Mobile sale has improved by 12%, and that is a lower -margin business. What explains the improvement in gross margin?

Premchand Devarakonda: This year, we got a lot of gross margin contribution from the sale of extended warranties.

Manish Poddar: So, how much was that salience?

Premchand Devarakonda: Extended warranty for the first half year of the current year, it was INR31.5 crores as against INR18 crores in the last year. So, there the gross margin is quite high.

Karan Bajaj: Manishji, it was a blend of improvement that we have done. Firstly, as you know that definitely the mobile gross margins are the lowest. So, the growth there was there. But the emphasis on other product categories where the margins were higher plus the newer introduction of the brands together like brands that we added like Panasonic, Haier, and Blue Star across categories. Then we got a very small amount coming in from the growth of AZ as a market growing up during that quarter also.

So, it was a blend of everything that has emphasized us to enhance the margins. So, extended warranty, other actuary businesses all put together. So, I think that is why you would see an improvement in the gross margin there.

Manish Poddar: So, the bigger question is how one should look at this margins going ahead is what I am trying to understand. Because I thought generally quarter 2 margins are lower than quarter 1 if I look at the trend of the last few years?

Karan Bajaj: Yes, Very true. H istorically , that is what has been happening. Usually, you would see a Q2 gross margin being lower than Q1 because Q1 is heavier on the higher margin products like ACs, Coolers, and refrigerators.

But now , what has happened is that this is the extraction, this
is the maximum extraction that you would see. You know because new product categories got
added. There were efficiencies across all categories. The margins have been improved. So, all
put together this is you know a better number that was delivered during the quarter 2 results.
Manish Poddar: Okay, one more if I can. Just on this inventory part if I look at the balance sheet, the inventory,
I understand year -end inventory has ACs generally. But I look at the absolute amount INR740
crores versus INR773 crores at the year end. Despite let's say us opening more stores, there is a
shift in Diwali. The lower stocking of inventory, what should one read from that?
Karan Bajaj: Sir, last year as I told you, 24
th September was Navratri's first day. So, usually we pick up our
stocks by 10th or 12th of September. So, last year we would see a higher stocking coming in for
the Dasera period starting early last year. T his year we started by the last week again. But it
was not as aggressive. It was majorly only for the phones because Apple got launched during the last week of September this year. So, we picked up huge inventory on Apple. So, that was
one major thing where the inventory went up. But for the larger appliances, it started as early
as the first week of October.
Manish Poddar: Okay, so you are saying this number will get bumped up in this quarter.
Karan Bajaj: Yes, it is right now. If I tell you, it is bumped up little more higher to what the festival period it
would be. So, it will again come down post -Diwali season. Because 12
th November is Diwali.
So, it might not be starting up by now.
Moderator: Thank you. The next question is from the line of Ankit Kedia from PhillipCapital. Please go ahead.
Ankit Kedia : Sir, if I look at your revenue first, thank you for giving us North and South cluster revenues
separately. Now, if I add both the revenues and take your net revenue reported n

umber, the
difference would be the other operating income. Which is typically the commission income
and the incentives which we get. I see there is a INR20 crores decline in this number from
INR117 crores, INR118 crores to INR98 crores. Now, what is leading to this decline in the
quarter?
Karan Bajaj : Sir, what has happened now is that these are incomes pertaining to the other incentives that we
usually get from the brands. So, what we started doing now is we started emphasizing on the brands to give this discounting for us in the invoice itself. So, that is why you would see a lot
of the invoicing going up in the invoicing itself rather than getting attributed to the other
income categories.

So, over a period of time in the future also, you might see a decline in that number because the
income that we would receive earlier in the previous quarters would be post -invoicing. Now,
we are trying to get that in the bill itself so that we enjoy that margin upfront.
Ankit Kedia: Sir, so if I, okay, let me put it the other way. If I add this incentive in the South business
because North is very small. And then if I look at x -Delhi, then the growth is only 3% in the
revenues. Right? Partly could be due to the shift in festive. But what calls for only a 3%, you know, revenue growth at South Delhi than the total revenue?
Karan Bajaj: Sir, that absolute number would be around 7% if I look at that number. If I look at the Delhi
contribution, the Delhi contribution was very minuscule in terms of the number. So, because it
was around INR55 crores. So, I would see a hardly growth of INR20 crores –INR22 crores
coming in from that region. Whereas , the total overall number growth was around INR100
crores in the absolute revenue side, not the other income put together.
I am talking about the net product sale. So, that was around INR110 crores out of which Delhi
contributed around INR25-odd crores. The rest of the movements like Andhra group for us,
upcountry Telangana group for us, definitely the most matured stores for us are in the
Hyderabad city.
So, that is where the least growth has come in around 4%. But if I look at the overall number, the majority of growth has come in from Andhra upcountry stores and Telangana upcountry
stores.
Ankit Kedia: Initially, what you said is now the brands are giving incentive in the bill itself. So, we will not
see that in the operating income, we will see it in the product income only. Now, if I assume
this quarter also that INR98 crores, I put that in the product income completely. And then , if I
look at X of Delhi, then we are only 2.5% growth. So, that number comes to around INR1,260
crores.
Karan Bajaj: That number would not come up there, sir. That number would come in the cost. I think Prem sir would explain that better to you. I will give it over to C FO for now.
Ankit Kedia: Yes, Prem sir.
Premchand Devarakonda: I didn't get your question. Can you repeat that?

Ankit Kedia: Sir, from your revenue, if I remove INR55 crores of Delhi, I get a INR1,258 crores revenue. And in the base quarter, if I remove Delhi INR26 crores, I get INR1,202 crores. That is a growth of only 2.5% X of Delhi revenue growth. What accounts for such a low growth X of Delhi market?

Premchand Devarakonda: Okay. If I remove the Delhi from the revenue. I will give the bifurcation. I am talking about the retail sales. We will talk about revenues.

Ankit Kedia: I am talking of total revenues. I am not talking of retail sales, sir. Because the difference in the incentive is very difficult for us to calculate, right? And most of the incentive, because Delhi is

a very small percentage, I am assuming that all the incentive is coming from south. And if there itself we are not seeing growth, we are seeing decline,

then the absolute revenue growth is only 2.5% for us.

Karan Bajaj: Yes, sir. One second. Sir, I am just noting down the numbers. Give us a second for that, please? Can we go to the other question? Can we come back to you later little?

Ankit Kedia: No worries. I will appreciate that. Second question is about other expenses. Other expenses are broadly flat from INR72 crores to INR73 crores. What is happening in the Delhi market? While on the EBITDA front, we have turned around Delhi. But in the base quarter, how much was the expense? And now, how should we look at this turnaround or margin expansion in the Delhi market, if you can highlight? That will help us in the conclusion?

Karan Bajaj: Sure, sir. I will give you a little breakdown on the major expenses that we note down, where there was a decrease or increase. Firstly, advertising and promotion. Because coming back to the same festive period last year, we started spending money on our outdoors, print, radio, and all. So, there was a decline and definitely a decline in the Q2 versus Q2 revenue spent on advertising, which has significantly gone down. And sales promotion is directly proportionate, which are the costs that we bear with NBFC, which are directly proportionate to the increase in sales or decrease in sales. So, that was one major thing.

The power and fuel has gone up by a little, a smaller number. And apart from that, the other expenses that we bear has all the other expenditures, like maintenance and all, which would include housekeeping staff, security, which are directly proportionate to the stores, which we launched during that period, which were not operational or operation, we still had to put in security and a little manpower. So, these stores directly, the cost for the maintenance and those things have gone up because of housekeeping, security and a little manpower that we deployed for those sources. So, that was a major thing.

But the major savings came in during that quarter in the advertising front, in the marketing and advertising front, which we saved around approximately INR5 crores, which would then probably increase in this quarter because the festive period started this quarter from 15 October.

Ankit Kedia: And sir, my last question is on the capex front and store opening front. How are we looking at next six months of store opening and what will be the capex, remaining capex? Because we have done around INR57 crores of capex in the first half. So, for the remaining period, are we buying any more land and how many stores are we looking to open? If you can just separate NBO and EBO?

Karan Bajaj: Yes sir, the total IPO expense, the total IPO that we had raised initially last year, out of which INR81.6 crores is left with us in the capex head for us to spend, out of which we will be spending around INR30 odd crores by this financial year end. And so, that is the plan because we already have stores that are in pipeline, around 15 stores that are in pipeline yet to open up in the next two quarters that we are operating in.

Apart from that, there is nothing major, no major land acquisition or building acquisition left apart from the one large part of the property that we were yet to pick-up, which we had given an advance last year that we procured and finished the registration last month for it. Apart from that, everything is organic where it is on the lease model. So, that is the plan, sir. W e will be opening around 15- odd stores in the coming time, sir, in the next couple of quarters, this quarter and the next quarter.

Ankit Kedia: So, we have already opened 14 stores. You are saying another 15 stores will open. So, we will end the year at around 29 store addition INR57 crores capex we have done, another INR30-odd crores. So, around total INR90 crores capex for the full year is what we are guiding?

Karan Bajaj:

Yes, sir.
Ankit Kedia: Thank you so much, sir. I will wait for the clarification on the revenue.
Karan Bajaj: Yes, Ankit, thank you.
Moderator: Thank you. The next question is from the line of Disha Kansara from Molecule Ventures.
Please go ahead.
Disha Kansara: Sir, somebody asked you regarding the improvement in gross margins where you mentioned the numbers of warranty. So, if you don't mind, could you please repeat that for me?
Karan Bajaj: From last year, the same quarter, the base quarter, it was around INR18 crores , which has gone up to INR32 crores approximately, ma'am.
Disha Kansara: For the quarter?
Karan Bajaj: For the H1, ma'am.
Premchand Devarakonda: So, for the base quarter, it was INR4.6 crores whereas the current quarter, it is INR18 crores.
Disha Kansara: Okay. Got it, sir. And, sir, my second question is regarding growth. So, our SSSG in this quarter was close to 2%. So, sir, are we facing any kind of growth challenges as such? And if yes, then, so which factors were responsible for this drop in SSSG?
Karan Bajaj: Right. Ma'am, if I look at this SSSG, this is predominantly for the stores which were operational during the last quarter as well in the last year. So, if I look at the overall number, it will be a little higher, but this is, it pertains to the same quarter where it was operating without the festival period.
So, the festival period actually starts off a major growth for us and then the dull period, which is Ashaddam and Shraadh, so they actually came in the September month whereas last year we started, finished that, started Navratri on 24. So, the festival gap majorly makes a major difference. INR177 crores was the absolute number that we did in the 10- day business during the first day of Dussehra, first 10 days of Navratri during last year which we didn't, do it because of the Navratri being on 15 th of Octobe r, and before that there was Shraadh in the

northern region and the southern region where there is Ashaddam in a similar way like Shraadh is in the north. So, those things definitely would impact.
And then overall the sentiment during that period is a little lower. So, people usually wait for the good days to start, the festival period to start because there are lot more offers starting off during the festival period. So, customers usually wait for the Dussehra -Diwali period, especially in South Dussehra, it's a bigger festival, especially in Andhra. So, that is why you would see that difference in quarter -to-quarter. But historically , if I look at October, November, December where all the festivals, both the festivals are in the same quarter, you would see a similar number and growth.
So, the SSSG for us, we would look at the absolute value of the volume on the store across categories. We saw good trajectory coming especially for mobile phones and ACs. So, that has been on a good higher growth side. So, ACs are still growing by almost 28%, 30%. Same thing with mobile phones. So, that is a good sign. Whereas, right now being World Cup, so you would see a good growth coming in televisions as well. So, televisions were a little slower last quarter whereas this quarter the television sales have also grown up especially for high-end screens, contributing to the World Cup sales.
Disha Kansara: Okay. So, sir, can we expect this number to normalize in Q3?
Karan Bajaj: Normalize in terms of the split, the product split?
Disha Kansara: No, no, the sales…
Karan Bajaj: Yes, I am sorry. SSSG, SSSG definitely, you would definitely see an improvement because the overall number would grow. So, you would definitely see that growth coming from the existing stores also and from the stores that we are, which were operational a year older.
Disha Kansara: Okay. And sir, this time you have given the margin breakup for our Delhi stores and our stores in S

outh. So, currently the EBITDA in Delhi NCR is close to 0.4%. So, sir, I just wanted to understand the roadmap or your thought process regarding these Delhi NCR stores. So, how are we planning to improve our economies of scale in Delhi stores?
Karan Bajaj: Right. Delhi as a market has been quite exciting for us personally to make sure that we deliver our numbers in that region. There was a lot of learning initially, a lot of tweaking that we had to do because the southern market that we were operating or the brands that we were operating with had to change a little bit. So, the product has got a little change there. But the productivity that we are doing every day gives us the ultimate look out for the future that Delhi is definitely going to deliver us a bigger number in the future.
So, in the pipeline as we talked, we have got 13 multi -brand outlets and one exclusive brand

outlet. Another seven to 10 stores is what we have in the pipeline. We will be opening one store right before Diwali. So, the new stores that we are opening are majorly in the larger areas
which are more prominent or the top 10 locations for Delhi as a consumer durable market
which are Janakpuri, Pitampura, Rohini, Lajpat Nagar, Sector 29 in Gurgaon. So, these are the prominent markets where our stores also will be visible.

So, eventually, we are just a year old. So, we know that the track we are on with the growth
that we are delivering for Delhi in the future. Overall put together, we will see a higher growth
coming in. I think this number that we have delivered now, and this was through the bad
summer season there because the summer was really bad in north. So, we could not deliver the AC and cooler sales that we were expecting in the Q1 which are going to help us grow better.
But Diwali is on track. So, I am pretty sure that at least last summer didn't go well but this
summer is going to do well. So, we are on track and once the new stores open up, we are quite
confident that these numbers will definitely improve.
Disha Kansara: Okay, sir. And sir, just one last question. Can you give us the advertisement expense number
for south and for Delhi?
Karan Bajaj: The total number that we have spent on advertising for Q2 was INR9.3 crores , out of which
Delhi, we have spent around INR1.1 crores , ma'am. So, around INR9.3 crores out of which
INR2 crores, approximately INR1.1 crores is spent in Delhi. The rest of INR8 crores is
approximately spent in the existing market in AP and Telangana.
Disha Kansara: Okay, got it, sir. Thank you, sir.
Karan Bajaj: Thank you, ma'am.
Moderator: Thank you. The next question is on the line of Dolly Choudhary from Niveshaay Investment Advisors. Please go ahead.
Dolly Choudhary: So, sir, thank you for the opportunity. I had a few questions. So, just someone asked regarding land. So, we are currently holding INR236 crores worth of land. I wanted to know, if they are planning to buy any more stores. So, how can we see this figure going forward?
Karan Bajaj: Ma'am, nothing major that we haven't pipelined, or we haven't discussed anything. So, the one
pending building that we had for which we had already paid in advance was in Delhi, Lajpat
Nagar, which we just bought out recently. Apart from this, nothing that we signed for now, nor
we have looked at property that we will be buying at least in the next, this financial year at
least. Nothing major acquisition, ma'am, to buy land or building.
Dolly Choudhary: Okay. And, sir, I also wanted to know regarding our employee cost. Like as a percentage of
revenue, it's quite low comparatively to from our peers. So, can you please throw some light on
this?
Karan Bajaj: Ma'am, there are two things in this, majorly how we operate on the store level is that we don't
have our sales guys on the floor. It is only the managers and the cashiers and the bac

k-end staff, whereas the major sales team comes in from the respective brands. That is why you
would see a major differentiation between us and the top four -five players, where they have
their own manpower. So, that's why our manpower cost is a little lower, number one.
Number two, ma'am, the second cost that you need to attribute is towards the security and housekeeping, which comes under a different head. So, now that is all outsourced, right? So,
for that reason, they don't come under our direct employee cost. But when we calculate

internally, we look at that as an employee cost as well. So, but the absolute number would be a
little higher then.
Dolly Choudhary: Okay. And regarding revenue guidance for Delhi region, so the margins have been quite low
from there. So, if we see the contribution and revenue increasing from Delhi region, so will it
take a hit on EBITDA margins going forward? Because the margins have been quite intact.
But as and when the Delhi contribution increases, the margins can decrease. So, how can we
see that, well?
Karan Bajaj: There would not be an absolute decline on the gross margins or the EBITDA margins per se.
But what will happen is that once the productivity goes to an optimal level that we have
decided for, you will see an enhancement and a growth coming in. So, right now, what has
happened in the last few quarters of last financial year, we were actually bleeding or burning
money there, right?
So, because we just started operations, we started spending money on rentals, manpower,
electricity, other expenses without booking any revenue. So, those things now are, in terms of

the breakeven will be sooner. We've spent across around INR30 crores last year to operate in that region, which will come down and, that money also would be saved.
So, that will add up to our profits as well eventually. So, the margin will definitely get improved because the gross margins in both the regions remain same. So, once the productivity goes up, once we open up the newer stores, once we are more visible and the throughput increases, cost we will come back to a normal fee level.
Initially, because this year, our contribution of Delhi would hardly be around INR300 crores.
So, that kind of a number will not impact the overall plan that we have for this year.
Dolly Choudhary: Okay. And like I wanted to know the company's approach regarding the Telangana region, like specifically for Hyderabad. So, we have around 50 stores there. So, like is the, like Hyderabad and we have majority of market share, but is the market so significant because no market cannibalization happening there? So, I want to know companies take on that, if they are planning to open any new stores in Hyderabad also?
Karan Bajaj: So, definitely any region that we operate in, let it be Guntur, Vijayawada or Hyderabad, the existing markets, wherever we see an opportunity, if the organic growth is there and the markets are growing, where the residential areas or the markets grow beyond where our stores are not available, we will definitely look into this market and we are always open to expanding the existing markets as well.
Dolly Choudhary: So, like we have any expansion, opportunity of planning in Hyderabad region currently?
Karan Bajaj: Nothing right now. Probably post -Diwali now, though you have reminded me that I need to look at Hyderabad market as well, definitely after Diwali, we will look into that. But nothing as of now in Hyderabad.

Dolly Choudhary: So, like we have 50 stores there. So, like is the market such big in Hyderabad and no market cannibalization?
Karan Bajaj: So, if I give you a direct comparison, there are few markets where Vijay Sales, Reliance or Croma are available where we don't have a store because we th

ink the markets are quite small there in Hyderabad, which are the peripheries of Hyderabad city. So, once we know that these markets are matured or developed, then definitely we would like to open a store there.
Dolly Choudhary: Okay. And sir, just one last question. Like in our current assets, we hold a significant portion for balances with government authorities. So, can you please tell us what is that about?
Karan Bajaj: Ma'am, that pertains to GST majorly, the balance with government authorities.
Premchand Devarakonda: Sir, that is nothing but input credit, which we have to avail.
Dolly Choudhary: Okay, sir. Thank you. That will be all.
Moderator: Thank you. The next question is on the line of Lakshminarayanan from Tunga Investments.
Please go ahead.
Lakshminarayanan: Thank you. Sir. I want to know what is the sales mix between OE sales, that is Original Equipment sales and Non -Original Equipment sales, which includes warranty, installation, TV stands and all the other things, right, there are certain areas which comes around? What is that…
Karan Bajaj: So, sir, if I give you a broader number out of the INR1313 crores that we have done, that number would be around 4.5%, sir, for the other categories like fans, insurance, accessories and other categories all put together in terms of revenue.
Lakshminarayanan: Installation, services, all those things?
Karan Bajaj: Yes, sir.
Lakshminarayanan: Okay. And how does it grow? Like, I mean, as a promotion, in the last five years, has it grown higher, or it's been stagnant?
Karan Bajaj: Sir, definitely they have grown higher because these categories were not dealt with those earlier. So, the categories like built -in appliances, kitchen appliances, they are growing. But if you look at external warranty, accessory business, the new category business that we have added in the last 14 months - 18 months, they definitely are churning around and growing. But they would be at a similar level. They will not grow over more than 1% of the total revenue or 2% of the total contribution of the top line, sir.
Lakshminarayanan: Got it. And what is the sales mix between cash and non -cash? In cash, people are actually paying on cash and people who are paying through cards and UPI and other things?
Karan Bajaj: So, that trend in the last seven quarters - eight quarters have remained the same only. There is not much of a change there. So, it all remains the same only. So, credit card, NBFC for us is

quite prevalent. So, credit card, yes, so that is remained there. Only cash anyway is very

insignificant in the southern regions, sir.
Lakshminarayanan: Sir, what proportion cash sales will be?
Karan Bajaj: Sir, cash would be less than 10%, sir.
Lakshminarayanan: Got it. And how much would be EMI plus finance sales?
Karan Bajaj: It's around 65% plus, sir.
Lakshminarayanan: 65% plus. Okay. Thank you, sir.
Karan Bajaj: Thank you, sir.
Moderator: Thank you. The next question is on the line of Divyesh Shah from Uchit Capital. Please go ahead.
Divyesh Shah: Hello. Good evening, Mr. Bajaj. Sir, I have one strategic question regarding our brands. Sir, ground level in Andhra and Telangana, we are famous as a Bajaj Electronics as a retail stores. But whereas companies is concerned, we are listed as an electronics mart. So, don't you feel that in the long run, there is a clashes of brands between Bajaj Electronics and Electronics Mart? So, I want your thought process to, why not consolidate as one brand? To get the benefit in next four years - five years.
Karan Bajaj: Right, sir. we would look into that , we had a different strategy for it. So, once we are clear and confident that strategy works for us, because for a longer term, right now we are just a year old, but for a long -term perspective, we had a different ideology for doing that dif

ferent brand
in that region.
So, in the future, if we feel that we need to change the name or have a single name across the country, then definitely we will do that. But right now, it is working for us, and it is in line with what idea we had under that brand that we wanted to grow, sir.
Divyesh Shah: But, sir, majority we are known as in Hyderabad, in Telangana as a Bajaj Electronics.
Karan Bajaj: It is simple as that. Sir, our advertising or other, everything is localized. So, we don't feel that the recognition of brand Bajaj or the recognition of brand Electronics Mart in Hyderabad or vice versa would impact us in terms of recognizing a brand. Because we had a different, it is all localized that we are doing. So, the customer base is very different.
If it had been in the Andhra, Telangana market, which are two similar states, then probably we would have had an interest in telling customers that it is the same brand. But when operating two different geographies all together, we don't consider the customer base to be similar, sir. But long-term perspective, as you said correctly, we would look at, incorporating or merging it in a way where customers know that it is the same entity.

Divyesh Shah: Okay, sir. And, sir, my next question is, what is our general lease rent per square foot? Generalize.
Karan Bajaj: General rent per square foot, sir, if I look at Tier 2, Tier 3 cities. Sir, it is differentiated between three clusters that we majorly operate. One is upcountry market in AP and Telangana, one is Delhi NCR, and one is Hyderabad region. So, Hyderabad region, we pay out around INR75 - INR80 on average. Whereas, the Tier 2, Tier 3 cities in AP and Telangana, it comes out to around INR40- INR45. And Delhi NCR comes around INR120- INR130, sir.
Divyesh Shah: Okay. And, sir, who is our nearest competitor in Delhi?
Karan Bajaj: Sir, our nearest competitor in Delhi is that Delhi has a market for two things. Firstly, Vijay Sales, Reliance and Croma are the largest people in terms of organized players. But Delhi, again, is one of the largest markets in the country for distribution mom -and-pop stores.
So, around 65% of the market share in Delhi NCR, across Delhi NCR, including the smaller satellites around it, are still run by the mom -and-pop and distribution channels. So, they are equally quite strong in that region, sir. Whereas, West, South are more organized and more developed and larger players.
Divyesh Shah: Okay, sir. Thank you.
Karan Bajaj: Thank you.
Moderator: Thank you. The next question is from the line of Ankit Kedia from PhilipsCapital. Please go ahead.
Ankit Kedia: Sir, if we hear the commentary of other distribution companies, we are seeing some pressure in demand. So, are you seeing any differential demand for the month of October or early November in terms of, say, Hyderabad, upcountry, Andhra or Delhi market? Any difference in demand, are you witnessing?
Karan Bajaj: So, Ankitji, yes, definitely. That is what I also found out that the markets were a little slower in few of the clusters. But this is a part and parcel of the business. But tragically, we are on a target that we have taken for this season. So, I think, we are on track for that, sir. W e don't need to worry on that thing. But definitely, yes, few of the other regions that we were looking into didn't perform the way they were supposed to perform this festival period. So, like what they were doing in the previous festival period, in the last year and the year before that.

Ankit Kedia: And which regions would that be, sir, which are not performing well, and which are doing better than your expectations?
Karan Bajaj: Sir, that is, see for me, the base in Delhi itself is so small that I can't comment, whether it is performing good or not. We are getting good growth in Delhi anyway. So, that is a new

market
for us. We are growing, expanding. So, then I would not directly look into the market over there in terms of whether that is performing or not. But East is a little slower this time. The

Kerala belt is a little slower. But apart from that, all major regions are doing well, sir. Even marketing are doing in India.
Ankit Kedia: Sure. And so, if I look at the margins in the South, Andhra, a lot of your stores are new stores in, Andhra, less than two years. So, if I have to remove Hyderabad as a city, and then if I have to see the actual growth in the Hyderabad, how would the margins be, ex of Hyderabad for you in the South market? Because those are still growing and not mature stores out there.
Karan Bajaj: So, sir, see, if you look at AP and Telangana, our countries split. One advantage that today we hold there is that the product mix for mobile phones is a little lower than Hyderabad city. So, automatically, the larger appliance or larger product category would have a higher gross margin. So, the blended margin there would be a little higher, point few pieces higher than the Hyderabad city margin because of the product mix.
Ankit Kedia: Sir, but if I take your top ten stores in Hyderabad, they would be doing INR1 ,000 crores plus revenue. And those would be more ownership stores. Rentals would be pretty much not there in those stores?
Karan Bajaj: Sir, I was looking at the broader number, but if you actually break down store -wise, then definitely, yes, Hyderabad, the EBITDA, store -level EBITDA for these stores will be higher because their own stores and the productivity cost per square foot is the highest there. So, the cost of expense in terms of manpower, electricity, everything would be in two- point percentages. You know, but if I look at the actual number for Andhra and Telangana stores directly compared to it, then you would look at a regular store EBITDA margin of 7%, 7.5%, 8% kind of a number, sir.
Ankit Kedia: So, should I assume right that as these stores mature in Andhra, the margin expansion can happen or do you think they have reached their peak margins at around INR25, INR30 crores revenue mark which they are currently at?
Karan Bajaj: So, definitely, yes. So, once we emphasize on the productivity per store, that will definitely help us increase our EBITDA at store -level. But, again, the Tier 2, Tier 3 market have their limitations on how much we can extract out of a certain market because the market clusters are very small there. And non-premium clusters.
Ankit Kedia: And, sir, any update on the revenue question of mine which we discussed previously?
Karan Bajaj: Yes, Prem sir is ready sir.
Premchand Devarakonda: Yes. So, last year, we earned about seven, during the second quarter, we earned about 7.5% incentive income. Sorry, it is a 7.5% on the retail side. So, this quarter, we earned only 4.9% on the retail side. So, had we earned the same rate of return during the current quarter and without considering Delhi revenues, the growth in our revenues would have been 7.9%.
Karan Bajaj: Sure. So, this drop in incentive, is it because of festive delay? Is it because of market share loss? Or the brands have reduced incentive, and can we get back this incentive in quarter three? So, can we see a disproportionate growth in incentive in quarter three?

Premchand Devarakonda: No, no, no. What happened, this time, see, we have two types of incentive. One is on-purchase, that we call it as sell-in. The other one is sell -out commission or sell -out incentive, which is calculated on the sales target pursued by us. So, what happened, this time, most of the sell -outs, we ask the brands to give it on the invoice itself, without waiting till the product is sold. Thereby, we will save the cash

outflows.
So, that is a shift from sell- out, which is a separate line item in the P&L. So, from sell -out, it moved to COGS. Because whatever incentive we earn on purchases will be reduced from the cost of goods sold. So, this is a movement from one line to other line. So, that is the reason why we, I mean, if you look at the top line, I mean, total revenue growth, it shows little lesser growth.
Ankit Kedia : Sir, I didn't understand, but I will take it offline with you after the call, sir, to understand in more detail.

Premchand Devarakonda: Sure, Ankit. Sure. Thank you, Ankit.
Ankit Kedia: Thank you, sir.
Moderator: Thank you. The next question is from the line of Gaurav Arora from Equirus. Please go ahead.
Gaurav Arora: Okay. Sir my question is on the competitive intensity in the largest analysis segment. So, the demand seems to be pretty weak over there right now. So, two questions regarding that. If I look at Q1 versus Q2 and so far in Q3, have you seen, competitive intensity getting, more intense or a let -up in the same? And, in case, and, how does that impact your margins? I mean, does higher competitive intensity within brands, does it, benefit you? And to what extent does it do so?
Karan Bajaj: Gauravji, very true. If I look at the H1 of this year, the demand for the cooling products went a little down. But AC kept on growing. AC was still growing and still growing. So, you know, AC is still up by 30% if I look at it. Refrigerator went a little down. Washing machine was a little sluggish last quarter. Television was a little sluggish. But again, I see a growth coming in during the World Cup and the festival period this year for the large appliance category, especially for television and high end above 65 inches or less, 75 inche s, that category.
So, if I look at the overall blended margin, so the decrease in 5% or 6% kind of a number or growth of 5% in few of the categories, plus or minus, has not impacted the overall margin level per se because most of the larger appliance category would remain in the similar gross margin level. But if I see a drastic product change, product mix change, then definitely, yes, we would look at half a percentage change in margins here and there. But the demand, as you said very correctly, was a litt le sluggish last quarter.
And then the festive period starting this year would be on 15th of October with the first Navaratri starting in the Q3. So, now we are seeing the trends coming in. But as somebody else earlier on the call was also discussing, the market sentiment in few of the regions was a little slower. Like Onam didn't do that well in Kerala. Kerala is a little slower this year again. You

know, East market didn't perform the way it performed during the last Durga Puja or the summer this year.
The Q1 was quite good for the East market this year. Whereas, North, South and West were struggling for summer this year. So, a lot of external factors actually affect the product mix and especially the cooling product categories. But festival period overall here in North and South looks good. And we are hoping that, you know, we sail through this with good numbers.
Gaurav Arora: Sure, sir. Thank you so much.
Karan Bajaj: Thank you, sir.
Moderator: Thank you, sir. As there are no further questions. I would now like to hand the conference over to the management for the closing comments.
Karan Bajaj: I would like to thank you all for joining the call. I hope we were able to answer all your questions. And for any other further queries, you may get in touch with us or our SGA, our investor relationship advisors. We will be happy to address all your queries. And we wish you all a very happy Diwali and a happy festival season in advance. Thank you, everybody.
Moderator: Thank you, members of the management. Ladies and gentlemen , on beh

alf of Electronics Mart India Limited, that concludes this conference call. We thank you for joining us , and you may now disconnect your lines. Thank you.

Call: Feb 2024

To,
Listing Manager, The Secretary,
The National Stock Exchange of India Ltd., BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for Third Quarter and Nine Months ended 31st December 2023 held o n 07th February 2024.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the transcript of the earnings conference call held on Wednes day, 07th February 2024, to discuss the Una udited Financial Results for the Third Quarter and Nine M onths ended on 31st December 2023. The same is available on the website of the Company at the below -mentioned link:

https://investors.electronicsmartindia.com/earning -call-transcripts -and-investors -presentation

We request you to take this information on record .
Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 12
th February 2024
Place: Hyderabad

"Electronics Mart India Limited's Q3 & 9M FY'24 Earnings
Conference Call"

February 07, 2024
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th February 2024 will prevail

MANAGEMENT :
MR. KARAN BAJAJ , CHIEF EXECUTIVE OFFICER , ELECTRONICS MART INDIA LIMITED
MR. PREMCHAND DEV ARAKONDA – CHIEF FINANCIAL OFFICER , ELECTRONICS MART INDIA LIMITED

Electronics Mart India Limited
February 07, 2024

Moderator: Ladies and gentlemen, good day , and welcome to Electronics Mart India Limited Q3 & 9M FY'24 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company , which are based on the opinions and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bajaj. Thank you and over to you, sir.

Karan Bajaj : Thank you very much. Good evening, and a very warm welcome to everybody present on the call.

Along with me, I have our CFO – Mr. Pre mchand Devarakonda , and Strategic Growth Advisors, our Investor Relations Advisors.

We have uploaded our "R esults " and "Investor Presentation" for the Q uarter and Nine Months on the s tock exchange and the Company 's website. Hope everyone had a chance to go through the same.

To begin with the update on the store opening front in Q3 FY '24, we opened seven MBO s; out of this, four MBOs opened in Andhra Pradesh, two opened in Telangana, and one specialized MBO Kitchen Story in Delhi NCR.

Our Company is currently associated with more than 100 electronic brands with over 8 ,000 SKUs and has a long -standing relationship of more than 15 years with a certain number of brands, which operate in product categories such as large appliances, mobile phones, small appliances, IT category, and others .

In nine months of FY'24, we have opened 21 stores. Our store count at the end of December 2023 stands at 147 stores, 1 34 stores of which are MBOs, and 13 are EBOs; out of 147 stores, 125 stores are leased, 11 are owned, and 11 are partly owned and partly leased stores . As on date , we are present in 58 cities across four s tates.

Coming to Q3 , we have delivered robust growth of 21% in revenue year -on-year at Rs. 1,789 crores and 16% year -on-year for the nine months FY'24 at Rs. 4,791 crores.

Our EBITDA for Q3 F Y'24 stood at Rs. 115 crore s, and for the nine months F Y'24, it stood at Rs.342 crores. EBITDA margins stood at 6.4% for Q3 FY'24 and 7.1% for the nine months FY'24. Our SSG for the quarter stood at 13.4% , and for the nine -month, FY'24 stood at 10.1% .

We are concentrating on strengthening our position in the areas where we currently operate before exploring new er markets. This strategy has allowed us to establish our brand in the markets of Telangana, Andhra Pradesh , and Delhi NCR. This is not only helping our customers to those regions to connect with our brands, but also to familiarize them with our range of products. It enhances our understanding of the market and the preferences of our custom ers.

Our future plans involve further expanding our store network in Andhra Pradesh, Telangana. Additionally, we aim to gradually extend our presence to the NCR region as well.

Following our focused strategy expansion based on defined clusters, our knowledge in local market dynamics, efficient supply chain management and strategic inventory control have contributed significantly to achieving c ost competitiveness and consistent profitability. The customizations of a product assortment and maintenance of a comprehensive portfolio play a pivotal role in securing enhanced visibility, brand recognition, deeper market penetration and an expanding customer base.

With this, I request " Mr. Pr emchand Devarakonda, our CFO, to Update you on the Financial Perfor

mance. " Thank you.

Premchand Devarakonda : Thank you, Karan, s ir. Good evening, and a warm welcome to all the participants.

Now , I would like to present the " Financial Overview " of the Company :

Our revenue from operations for Q3 of FY '24 stood at Rs. 1,789 crores as against Rs. 1,482 crores , with a growth of 21% year -on-year. For the nine months of FY'24, our revenue stood at Rs. 4,971 crores as against Rs. 4,118 crores , which has a growth of 16% year -on-year.

EBITDA for Q3 of FY'2 4 stood at Rs. 115 crores as against Rs. 73 crores, a growth of 58% year -on-year, and for the nine months FY' 24 EBITDA stood at Rs. 342 crores as against Rs. 245 crores with a growth of 39% year -on-year. EBITDA margins for Q3 FY '24 stood at 6.4% and for the nine months of FY' 24 stood at 7.1%.

PAT for Q3 FY'24 stood at Rs. 46 crores as against Rs. 22 crores , has a growth of 109% year -on-year and for the nine months FY' 24 PAT stood at Rs. 143 crores as against Rs. 87 crores w ith a growth of 65% year -on-year.

ROC an d ROE on an annualized basis for the nine months of FY'24 st ood at 20.6% and 14.4% respectively.

The working capital days a s on 31st December '23 stood at 53 days. The gross debt -to-equity as on 31st December '23 w ere 0.33x and net debt -to-equity w ere 0.26x, and our net debt -to-EBITDA stood at 0.77 x.

Our cash flow from operations for the nine months of FY'24 stood at Rs. 312 crores. For the nine months of FY'24, same-store growth rate stood at 10.3%.

For this nine-month period, about 44% of our revenue came from large appliances, 42% from mobile and 14% from small appliances , IT and others. In Q3 FY '24, around 99% of our revenues came from the retail segment. And the top five brands contributed around 60% of our revenue .

With this brief presentation, I open the floor for questions and answers.

Moderator: We will now begin the question -and-answer session. We have a first question from the line of Shrinjana from RatnaTr aya Capital. Please go ahead.

Shrinjana : So, my question was on the gross margin side. There is some expansion on the gross margin even if we see a year-on-year, 1% sort of c enter. And in terms of mix if we see, the mix change has not favorable particularly. So , can you explain that a little bit what would -?

Karan Bajaj: Can you repeat your second part of the question please? I could not get that.

Shrinjana: So I was just asking on the gross margin front. T he gross margin has expanded year -on-year basis from 13% -odd to 14.2%. And in terms of mix, the change in the mix is not in favorable , right , because the own share has increased. So , can you explain that a bit?

Karan Bajaj: See, the two things are here. As you correctly said, the gross margins have increased. So , even if you look at the previous quarter, the gross margin was a little high compared to this particular quarter. There are two major quarters that have better gross margins that usually we have seen in the past. But now what has happened is because we've improved a lot of other product categories , which deliver at a higher margin , so blended margin overall would look better. I would say it would remain in the similar range , going forward as well . But definitely since the time in the last cou ple of years, we've worked really hard to make sure that the product mix is optimized. We emphasize more on margins and make sure that our gross margin levels increase. That is what we've done and that is what you see the delivery today happening because of that region, the work that we've done in the last couple of years to make sure that our gross margins from about 13.7% to 13.8% increased to over 14 .1% to 14.5%. So that is what we had worked toward . And the second question for the product mix would definitely be the mobile phone as the category is increasing, but at the same time, what we've d

one is , we've tried extracting more on accessory business, be it tampered , chargers, cables ; we're adding up those categories as well , audio categories, headphones, a long with mobile phones a s an attachment. U sually , when you attach stuff that particular category along with mobile phones, you would definitely see an

increase in margins there as well. So , all that put together helped us increase our gross margin even though the product mix got a little var y towards mobile phones in the last quarter as well.

Shrinjana: Just one more follow -up on this. So, in the last call, I think you mentioned that there is some accounting change also wherein the incentives that we were earlier recognizing as a part of the sale now in the bill value itself, we are getting the deduction there , so that gets subtracted from the cost . So is that also affecting the margins in the business ?

Karan Bajaj: If I say in another way, what was happening is not from the sa le but from the purchase that we should take in now it comes in invoicing are not as a separate credit, not that we used to get, you would see a little dip in the incentive income that we would be receiving in the last few quarters because now most of t he brands we are trying to push them to invoices e verything in the bill itself, so that the other operating incomes become a little lesser, that was the plan , and so the cash flows also get better. So that was the whole plan, but we're trying, but a lot of brands because we've been working with them for so long and the same accounting practice, it's very difficult to change them now. So , the major component still remains on invoicing, but there are a lot of other schemes like sell-in and sell -out, cash discounts, price drop schemes, defective schemes, marketing, and everything comes post -sell-out, yes, post-sale support for us.

Moderator: The next question is from the line of Sanika from Sapphire Capital. Please go ahead.

Sanika : In the previous call , we had given a margin guidance of 6.7% to 7% going forward and this quarter we can see a slight dip in the margin. So , is it because Q3 is seasonally we ak or something , and going forward can we expect to come back on track to 6.7% to 7% kind of margin?

Karan Bajaj: This quarter is a little heavy. If you talk about the EBITDA margins going a little down compared to the previous quarter, that definitely would be there because we went a little aggressive on our marketing strategy that we had planned, there were other costs like business promotional would be little higher and directly proportionate to the business that we would do and this being a

festive period, all retailers in the market is a little more aggressive in terms of discounting and in terms of p romotions and all. That is where we had to put it on the line and the same way. So that is why you would see that 0.2- 0.3% difference in that number. But , I would say things going forward also would look similar. And this being the largest quarter for us in terms of revenue also, we had to make sure that our marketing spends are higher especially in Delhi. So , subsequently in Delhi, we spend around 5.5 crores additionally than our budgeted number for the cost of marketing being higher compared to the regi ons that we operate in AP, Telangana, and Hyderabad. So, you would see definitely a dip, but again it is in line with the gross margin that we expected and expense that we would bear for that particular quarter looking at the revenue that we generated.
Sanika : So, going forward, we can expect to come back to our stated guidance, right?

Karan Bajaj: What happened is like this coming quarter Jan -Feb-March like for example last year , our marketing spend would be similar for example, but then this year if the summer start s a little e

arly in this region , then we would need to expand our marketing budget . Like last year , the marketing budget got split into two quarters , majorly because Dussehra and Navratri s tarted in September. Our marketing budget got split between two quarters in Q2 and Q3 for a festival period whereas this year it was strictly only in one quarter . You would see that impact of the cost going up for few things. Same thing with summer this year like Jan -Feb-March, right now it is a little cooler in Delhi and N orth region. Our spending is next to zero there. But if you look at probably next 15- 20 days we start the summer period here and according to the sales growth, we would look at expa nding and promoting with cash back offers and marketing and all of that. So then it is more like a seasonality of a business t hat would come in, and then definitely then there would be a little less or a higher number in the Q1 of next financial year. It is more of seasonality, but we would remain in the same range and it would all depend on what the sellout is and what the revenue that we're generating on the floor on a daily basis.
Sanika : For the next 2-3 years, what kind of revenue potential are we looking and what are our expansion strategy?
Karan Bajaj: Our expansion strategy would be to open around anywhere between 25 to 30 stores comfortably. We've already identified a lot of stores in the existing markets that we are operating today . Like for the first nine months of this year, we've opened 21 stores. Last quarter itself, we opened seven stores , and there are another seven to 10 stores that in pipeline t o open up in the fourth quarter. So, this year count, we would be upwards of 35 stores that will be launching and kind of a similar number in the next couple of years , that's the plan . But most importantly, we don't attribute our growth coming in from the newer stores. For example, l ast quarter on a growth of almost Rs.300 crores, the contribution coming in from the seven stores that we opened in Q3 was hard ly Rs.10-11 crores , rest of the growth came in from the existing stores. Usually , we would attribute the store growth in the next couple of years to the new store that we opened in the last 12 months of that particular year . So that is wha t we look at . And #2 would be, we would look at a very comfortable number of 15%, 18% kind of growth coming in for the next few years . Until and unless there is a new technology product that comes in or a new change in technology that helps us grow better. But what we see in the next couple of years is that the product or the technologies will remain the same. So that is where we would see this kind of growth coming in from the existing stores.
Moderator: The next question is from the line of Krishna from Capital mind. Please go ahead.
Krishna : We can say that operating leverage is kicking in slowly. So, I have a couple of questions. I'll start with the first one. S ir, general ly, what is the number of months i f we take for the new store to break even on operating front?

Karan Bajaj: Krishna, there are two things here. The existing market that we are operating is Hyderabad, AP and, Telangana, the brand is recognized, right? H ere, we will look at a 10 to 12 months kind of a break even period, whereas the new markets that we're operating , like in Delhi NCR today , from the first total, what today we are at, we've seen the projected numbers to go around 18 to 20 months and that is what w e're delivering today. O nce we establish , the brand is more recognized, the more number of st ores, so we keep adding after that, then it will come on to a similar level that we would expect in our existing geography. But right now in Delhi NCR region, it would be around 18 to 20 months , and AP, Telangana region would be around 12 months.
Krishna: Sir, my second question is that you

said the current number of stores in the north cluster is generating around 0 .2% EBITDA margin, but you are expecting that to slowly move to the

current 7% range which the South cluster is managed to get it. So, any timeline you have it, s ir, I mean , the current 20 store s which we have in the NCR, when can we see the margins to go from current to 0.2 to around 7 %?
Karan Bajaj: Krishna, these stores have been operational for around 14 months. We have another 7- 8 months of breather for these stores to grow. Right now, we are quite confident because last quarter also it was a similar number. Last time, we missed on the summer period in Delhi because it was cold there, and started pouring a little early. So , summer went for a toss last year , especially the cooling products , where we have the highest margins . This year, we're expecting that to be in line with our expectat ion of sell- out for AC s and air coolers , that will settle a little more higher margins. I think we would like to give it another 6-8 months for it to develop further and come up to the same level as what we're operating back home in Hyderabad.
Krishna: I just have two more questions, s ir. So one is that, so I can see that we are slowly getting our presence in Kerala. So , is that our next region of growth in Kerala?
Karan Bajaj: No, Krishna . Kerala was just an acquisition for the existing business of Hecker, the kitchen business that we have , taken over from them. There's no other plans we would be opening a multi-brand stores right now there . We are concentrating only on Delhi NCR and AP, Telangana region .
Krishna: So, you said that the majority of the growth will come from the existing store , because the new stores will have some time to mature and they have been doing the same-store sales growth upwards of 13%/ 14% which is really healthy. So , do you think we can sustain this same-store sales growth about 12% / 13% for the next 2- 3 years ?
Karan Bajaj: Krishna, I hope we sustain that kind of a number, but then see, like this year it definitely helped us with the 5G rollout , ACs went up, 5G rollout was good, last year in television the world cup did really well. So a lot of categor ies, audio picked up, accessor ies picked up , a lot of categories apart from the core business also picked up and started doing very well. So , we're also concentrating on those businesses to develop in the existing time from the existing stores. But

because the stores are at a very high base anyway, it becomes very difficult for it to keep sustaining at that level. But at a 10% growth is what we're quite comfortable we try to achieve that number at least going forward.
Moderator: The next question is from the line of Manoj Gori from Equir us Securities. Please go ahead.
Manoj Gori: My question is on the Delhi market. If I look at the EBITDA margin performance probably for the first half, you said like you have done somewhere around 0.4% kind of EBITDA margin, which currently for the nine months it's close to around 0.2% . So obviously indicating that there have been some losses into Q3 and probably if you look at this was seasonally in terms of festive season, it was a heavy quarter for the D elhi stores. So though the store say a revenue growth seems on the higher side at 6 0%, but do you feel like it was somewhat below our expectation and probably the scale was benign and accordingly we face challenges in terms of EBITDA?
Karan Bajaj: Definitely , yes. As you said very correctly, if I look at the blended EBITDA margin that we delivered this quarter , particularly for the first nine -months comes out to 0.2% would look a little lower than the last quarter is because we had generated revenues of around Rs. 55 crores last quarter versus 83 crores this quarter , the top line definitely w as higher, but then at the same time, we spend over Rs. 5

.5 crore s on advertising which was not attributed in Q2. So, if I look at that number , it is around 4%, which is a very big number. So we could have added more stores which are in the pipeline . Once the stores are going to come in , probably next Q3, if we look at it, we will have a similar marketing budget, but with double the number of stores available there for us to sell . It is more like an investment that we're doing right now to make sure that the brand is recognized and the stores that are in the pipeline that we are opening in the next couple of months or also, they sell out really well at the beginning. So , it was a strategic move. We could save a little more money here and there and make this number look better. But our strategy was a little different ; we are looking at a long -term strategy for Delhi. So Delhi has to be given 2- 3 years for it to grow in addition right now . So, this is an investment that has gone through. And we are quite happy actually with the performance that we've done in Delhi.
Manoj Gori: So, in the medium term, probably from FY' 25 or FY' 26 point of view , looking at the complete Delhi operations or the north market, how do we see margins moving up, probably any aspirational targets that you have set or probably given that you would be having a strong visibility on the overall markets, where do you see this margins moving probably from two years, three years like not any specific number i f you can highlight but at least some trajectory, whether it could be towards mid-single digit, anything on that?
Karan Bajaj: Right now, if I look at the existing market, we are hov ering around 7%. And if I start comparing that because the productivity per store year on an average is up wards of 60, 70 crores in Hyderabad city, 40 crores in the Telangana market, and 32 crores in the Andhra Pradesh market. So what happens is that if I calculate the cost of running the store's expenses, rentals, manpower,

electricity, and all that put together versus Delhi as a market, the cost of running all these stores

is a little expensive there. So , if you look at the actual number there, I would not expect it to reach 7% mark immediately in the next 10 months, 12 months or 14 months, but it definitely would be upwards of what it is today . And what would happen is that even if these existing 13 stores that we operate today or 12 multi kind of one exclusive brand outlet, even if they become profitable in the next 10- 12 months and start giving out a higher number of EBIT DA, what would happen is the newer stores will pull down these numbers , because we need for the next couple of years, our plan is to add 20 stores , 14 in the pipeline, six open up in the next 45 days and then an additional of another 10 stores in FY '25-26 as well . When we keep on adding up these stores, the total of 40 stores operates 35 to 40 will be in operation al in next three years , there will definitely be a downside coming in from the newer s tores that we open up until and unless business stabilize. For the next couple of years, we're not worried about this number. So, what we're looking at this EBITDA at least to be positive for us , that itself is good eno ugh for us to sell through in Delhi a s the market. So that's the plan for now.

Manoj Gori: If we look at probably on the future expansion plans into N orth market, so just to understand from a return profile point of view, are we looking to buy properties, anything we have identified so far or we will continue to work on the lease model?

Karan Bajaj: Sir, majorly i t's going to be on the lease model itself because right now , say our expansion is happening at the periphery like Najafgarh, Burari , Nangloi , few areas outside Gurgaon. So, those areas definitely would be a rental model only. But as I said on previous calls , also the clusters where the competi

tion is quite big or where the clusters are at a certain size where we feel that , say if it is the cluster where Reliance or any other local partner put together is doing 100, 200 crores as turnover , those kind of places we would like to buy properties because that is where the competition is go ing to be in intensive in the future and the markets are going to keep growing. For a smaller cluster, we're not interested to buy . Only in bigger clusters which are upwards of 100 - 200 crores , that is where we would look at buying out. But right now , major expansion of buying out in the major pocket of Delhi has been completed like , Lajpat Nagar, Janakpuri, Pitampura, Rajouri Garden . We completed only one or two locations in Gurgaon or less right now. But at the same time, we're not able to find a property. So probably once we do it, we might buy out those properties if required, but apart from that, there's no major plan of buying out properties in Delhi .

Manoj Gori: If I look at the Indian home appliances space and probably the categories in which you are present into , so normally what we expect is like th ese categories are likely to grow into double digits in volume terms. Now , when I look at probably not guidance but the aspirational target of SSG of close to around 10 %, so obviously that goes well with the category growth rates, but also on the other hand, you do agree that there has been a shift happening from general trade to large organized players. So that should actually lead to higher SSG numbers on a sustainable basis. Correct me if I'm wrong or probably I'm missing something on the understanding part .

Karan Bajaj: You are absolutely right in terms of the market moving and shifting from the general trade to organized trade. But then two things . It depends on the particular category , like mobile phones, definitely yes, are moving from general to larger format sources majorly. But when you consider consumer durables , especially in modern or developed cities, already 90% -plus share is with the organized retail er. It's only limited shares is with a general trade partner for consumer durable specifically. Agai n, kitchen appliance is the category in the general trade market today , talking about mixies, geysers, and all that kind of category still with general trades very predominant in that category. If you a re talking about Tier 2, Tier 3 towns, if you're talking about underdeveloped markets or cities which are just about to grow now or a state like Odisha, Goa, these kinds of places, or if I talk about E ast completely apart from Kolkata as one city, all these are driven by general trade players or even up wards of Punjab and Jammu Kashmir, Haryana that few of the belts there, is all driven by genera l trade market but the market that we've been operating predominantly majorly say in AP, Telangana a re all majorly organized in market . So I would not say that the consumer durables growth there would be coming in from majorly or we would have to grow a little more higher. But mobile phones actually shift , you can see, because mobile phones are now shifted upwards of Rs.20,000. 30,000. So that kind of sales of phone , people would not want to go to a small mom -and-pop store. They would like to go to a bigger format store, experience the device, check on the financing options there, see all the other offers, cashback, and stuff like that, and then particularly buy from a bigger store and not from a s maller store in that category at least.

Moderator: The next question is from the line of M iyush Gandhi from Cognizant Capital. Please go ahead .

Miyush Gandhi: I just wanted to understand the free cash flow that we have reported for nine months seems to be a very big number. So , does this go down in Q4 before we fill the inventory for the AC business?
Karan Bajaj : Definitely , in Q4, we'v

e already started stacking up a lot of inventory for air conditioners and we're seeing a little favor of s ummer falling in place in this region at least. So by the end of Q4, you will definitely see a similar number that you saw last year at the end of 3 1st March or probably a little higher b ut in the same line only because ACs and cooler need to be picked up and kept as inventory available with us. We will see definitely a decline in the cash flows there and increase in the inventory levels during that period. And Prem sir, our CFO, would like to add something to this.
Premchand Devarakonda: Sir, normally , what happens at the end of the season, you can see the free cash flows will be on the higher side. But at the beginning of the season, it will definitely go down. That is the scenario.
Miyush Gandhi: But I was just trying to figure out was that given that this year our margins are much better than last year, do we end up in a free cash flow positive situation or do you still feel we'll still be negative ?

Premchand Devarakonda: Definitely , it will be positive .
Miyush Gandhi: Karan, I just wanted your perspective . The general understanding in the market , at least from the FMCG side of the industry, is that there's a slowdown in the rural areas. We also have substantial operations in rural areas. So what is your sense -- is that K shape recovery, something which you're also observing or it's not true for the consumer durable s space?
Karan Bajaj: We have not felt that in the last six months , or we have not seen that the consumption has been reduced or we don't see that effect in the s tores there. Definitely , yes, the tier two stores that we opened majority in the last two quarters only for us to judge also and tell them because the base is zero there for us and we started operations , so definitely we would see a growth coming in those stores m onth-on -month. But probably if I tell you an example of where we've been operating in Tier 2, Tier 3 town s for the last four or five years few of them , even they are growing and there's a demand especially for premium products increasing in those sectors there. So , talking about 85 and 75 in televisions , talking about side -by-side theaters or rapid devices or high end mobile phones , there definitely we see an increase. So , we don't see a slowdown there at all. So that momentum is quite positive for us even in Tier 2 and Tier 3 town s.
Miyush Gandhi : Correct me i f I'm wrong . You mentioned 35 stores for ' 25 financial year , is that the number we should look for, or that's a little higher?
Karan Bajaj: Like this year, we already opened 21 stores in the first nine months and then another out of which seven were in the last quarter , we will end up opening another seven to 10 stores in the next 45 days, out of w hich few of them we opened last week a s well . So, 30 - 35-plus is very comfortable , and we'll open. We've already identified , and the paperwork is done, so there are already 10 stores in the pipeline that we will open up in the next financial year because they're getting ready. They won't be opening up before 31st of March. So that's why we know that out of that 10 , 12 stores we will open up next year w hich are already signed up for and then another 20-plus locations is what we've identified across Delhi NCR and AP , Telangana. So , we are quite confident that we very comfortably will end up opening 30- plus stores in the next financial year as well.
Miyush Gandhi : So, 35 stores we're talking about this financial year, I mean, because we were at 21, we said 7 -odd are ready and then we would reach to 28 and then you're saying another seven will get opened , so 14 stores in this quarter itself, is that right?
Karan Bajaj: No, no. 21 stores , we opened in the first nine months of the year , out of which seven we opened last quarter its

elf.
Miyush Gandhi: Around 28- odd stores in this financial year ‘24 and 30 -odd stores or 30 -plus stores in the next financial year, would that be a fair understanding?

Karan Bajaj: Yes.
Miyush Gandhi: In the last couple of quarters, we had actually disclosed this revenue from sale of these warranties and guarantees offered by third -parties . Would it be possible for you to share in this quarter h ow has that number mo ved because that w as kind of adding ?
Karan Bajaj: I'll take it offline with you because I don't know the exact number right now because we have increased our sales for other categories that would include the actual warranty, accessories, audio and beyond . So that overall put together quarter -to-quarter almost increase of around 24 , 25 crore s, out of which you could a ttribute say 50% of it towards extended warranty and 50% of it

towards the other category.
Moderator: The next question is from the line of Raj vi Shah from Bright Securities. Please go ahead.
Rajvi Shah: I just had a couple of questions. The first one is, can you shed some light on the product mix this quarter , as many festiv als were there?
Karan Bajaj: So the mobile mix was around 40%, appliances were around 44% , and the other categories w ere around 14% of small appliances and 19% i n the other category. So that was the major split this quarter. So there was a decrease in the large appliance category and an increase in mobile as a category and IT. L arge appli ances, televisions grew, whereas refrigerators and washing machines were more or less flat o nly this quarter. The AC s went up though in that category, but the volume of that product catego ry in refrigerators and washing machines were more or less flat. Air conditioner s were the maximum growth i f you look at Q3 versus Q3; so air condition ers grew by almost 50%.
Rajvi Shah: What guidance can you give on the future revenue growth?
Karan Bajaj: So, guidance for the revenue would be in same line that we've been delivering in the past probably a little more . I would not say we're not going to go a little more aggressive because the majority of stores coming in the next few years would be in the Delhi -NCR region. So , the market size is big there though, but it will take a little more time to establish those s tores and make sure that they reach a certain threshold that we expect them to be at . For the next couple of years, we would be in the same line. We would not go aggressive in terms of the number, but because of the store expansion , the contribution from the store to develop over a period of 12, 14 months and we start delivering as the expected numbers w ould be there. So we would be in line with what we're doing right now and for the next couple of years as well, that is the strategy .
Moderator: The next question is from the line of Dolly Chou dhary from Ni veshaay Investment Advisors. Please go ahead.

Dolly Choudhary: I just had one question. So like as we know NCR is a big market for the Company , but at the same time, I think it's very competitive also. So , I just wanted to know what specifically Company is doing to attain the market share there?
Karan Bajaj: I would say that is our business secret. So, I would not like t o disclose. but actually , on a serious note, say , it is a technology product that we're selling, right ? Most importantly, you got to sell a product category that is prevalent in the market today , the brands that are prevalent , customers come in for an experience, that is what we try to improve . So right now , we spend a lot of money in our back end, in our front end , store experience, product categorization, add up new product categories, bring everything under one roof, give a better regional experience. So that way not only we are competing with o

ur offline peers, but even competing with the online space as well.
That is really important. After-sales service, your team on the floor , everything makes a lot of difference when you want to compete against your competition. And price is not just one factor maybe i f you ask me . We never consider price to be a major factor in differentiation. I think the product m ix, the brand that we deal with the new category that we've launched and growing in those products fronts giving out a best service to the customer , that is all put together is what makes a lot of difference.
Dolly Choudhary: So like overall, we're targeting on customer experience?
Karan Bajaj: Yes, Not only that, but in terms of marketing now , we started spending a little more on say Google ads , a little more on YouTube, a little more on digital than the predominant print media that we used to do. So we try experimenting with that as well q uarter -to-quarter . We're doing a lot of events like last week just finished the Com ic Con Event, where we attracted a lot of people, over 80,000 w alk-ins were there for that event w here there were youth between 18 to 24 years of age who are pure gamers . So we could increase our gaming laptop as a category . So, it's smaller events, but w e are trying to strategize individually for every category . Like for kitchen appliances, we're doing events for cookery shows and stuff like that. For every category, we want to emphasize our depth of product displays that we have , conducting individual events
apart from regular prints or radios that we've been historically doing.
Moderator: The next question is from the line of Pooja Kamdar from G eeCee Securities. Please go ahead.
Pooja Kamdar: So, have we encountered more sales through credit facility on YoY basis and what percentage of revenue is it?
Karan Bajaj: Not much of a change, like probably hardly a difference of 1%, 2% increase in the credit card sales, whereas N BFC still remains the highest contributor. The second would be a credit card . The third would be wallets and cash. So, NBFC still is the prevalent category for us.
Moderator: That was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you , sir.

Karan Bajaj: I would like to thank all of you for joining into the call. I hope that we were able to answer all your questions and for any further queries you may get in touch with our team or S GA and we'll be happy to address all your queries. Thank you once again.
Moderator: On behalf of Electronics Mart India Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: May 2024

To,
Listing Manager, The Secretary,
The National Stock Exchange of India Ltd., BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for the Financial Year ended 31st March 2024 held o n 27th May 2024.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call held on Monday, 27th May 2024, to discuss the A udited Financial Results for the Financial Year ended on 31st March 2024. The same is also available on the website of the Company at the below - mentioned link :

https://investors.electronicsmartindia.com/earning -call-transcripts -and-investors -presentation
We request that you take this information on record.

Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 31
st May 2024
Place: Hyderabad

"Electronics Mart India Limited Q4 FY'24 Earnings Conference Call"

May 27 , 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 27th May, 2024 will prevail

MANAGEMENT : MR. KARAN BAJAJ – CHIEF EXECUTIVE OFFICER , ELECTRONICS MART INDIA LIMITED
MR. PREMCHAND DEV ARAKONDA – CHIEF FINANCIAL OFFICER , ELECTRONICS MART INDIA LIMITED

Moderator: Ladies and Gentlemen, Good Day and Welcome to Electronics Mart India Limited Q4 FY'24 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as of the date of this call . These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants' lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Karan Bajaj, CEO of Electronics Mart India Limited.
Thank you and over to you s ir.
Karan Bajaj: Thank you. Good evening, and a very warm welcome to everybody present on the call. Along with me is Mr. Pr emchand Devarakonda, our Chief Financial Officer.
We have uploaded our Results and Investor Presentation for the Q uarter and Year-end F Y'24 on the Stock Exchange and Company' s website. Hope everyone had a chance to go through the same.
In FY'24, the segment has observed a robust surge in consumer demand for premium appliance s. It includes large -screen televisions, smart inverter ACs, spacious refrigerators and top -loading washing machines, among others. Concurrently, appliances presenting a comp iling value proposition, combining connectivity, convenience, comfort and energy efficiency , have sustained positive growth .
Anticipating a robust performance, the consumer durable and electronic industr y is poised for a double -digit revenue surge in F Y'25. This optimistic outlook spans across diverse markets, emphasizing the significance of premium , value -added and features of the products driving the industry's growth trajectory.
To share an update on the store opening front in Q4 FY'24:
We opened 12 MBO s, out of these , four MBO s opened in Andhra Pradesh, t hree opened in Telangana, and five in Delhi NCR region. In F Y'24, we opened 33 new stores. Our store count at the end of March '24 stands at 160 stores, 147 of which are MBO s and 13 are EBO s. Out of 160 stores, 137 stores are lea sed, 11 are owned and 12 are partly owned and partly leased premises .

As on date , we are present in 62 cities across four states . To give you comparison of region wise stores opening , out of 32 new MBO stores opened in F Y'24, 13 stores opened in Andhra Pradesh, Telangana, which also added 30 new stores, six stores open ed in Delhi NCR region , and one new store of EB O opened in Delhi NCR region during FY '24.
Given the healthy cash flows from operations in F Y'24, we are optimistic on the future cash flows from operations being effective working c apital management and hence almost all f uture store additions will be well funded through internal accruals and remaining IPO proceeds.
Coming to Q4, we have delivered robust growth of 15% revenue year -on-year at R s.1,524 crores and 15% year -on-year increase for FY '24 at 6 ,285 crores. Our EBITDA for Q4 '24 st ood at 108 crores , and for F Y'24 it stood at 449 crores. EBITDA margin stood at 7.1% for Q4 FY'24 and 7.2% for the whole financial year of F Y'24.
Our S SG for quarter stood at 7.3% for F Y'24 and stood at 8.4% for the whole year on account of investment made to open our new stores in geographies that is , NCR . The Company has increased investment in b rand building , sales and marketing for which it expected that the EBITDA margins will improve as revenue throughput from new geography stores will increase even tually.
Also, to highlight like -to-like sales growth in F Y'24

region wise, starting with Hyderabad City
which grew approximately at 9% for 68 crores , Telangana excluding the Hyderabad Stores, 17 stores stood at 11%, Andhra Pradesh grew by 22% for the 28 stores and Delhi grew by 95% for the 14 stores.
Our store productivity per store on per square feet is visibly comparatively little lower due to the six M BO new stores that we opened in the month of March in Q4 , aggregating to an approximate of 38,000 square foot. So comparative numbers look flat or reducing though practically it is not the case.
Also, to highlight on the operations of few stores in F Y'24, few of the stores in Telangana and Delhi region were ready for operations , but due to some hindrance we did not commen ce the stores during that period.
We are concentrating on c entering our position in the areas where we currently operate before exploring new er markets. This strategy has allowed us to establish a brand in markets of Telangana and Andhra Pradesh. This not only helps customers in those regions connect with our brand, but also familiarize them with our range of p roducts. It enhances our understanding of

the market and preferences of our customers. We are confident that this approach will contribute to achieving a significant market share and establish dominance in our current markets.

Our future plans involve future expansion in our store network in Andhra Pradesh and Telangana . Additionally, we aim to gradually extend our presence to the NCR region and deepening our roots there .

Following our focused expansion strategy based on defined clusters, our proficiency in local market dynamics, efficient supply chain management and strategy, inventory control has contributed significantly to achieve high-end cost competitiveness and consistent profitability.

The customization of our product assortment and maintenance of a comprehensive portfolio , play a pivotal role in securing enhanced visibility, brand recognition, deeper market penetration and expanding customer base.

We provide a complete and unique shopping experience to our customers by showcasing a wide range of electronic products under one roof in our MBO model and providing a specialized brand experience with our EBO model . We work with limited brands, but in huge volume as compared to other players who have more brands onboard. This gets EMIL in a competitive edge and better bargaining power with top brands versus t he top peers .

With this , I request Mr. Premchand Dev arakonda , our CFO to update you on the financial performance. Thank you , all.

Premchand Devarakonda: Thank you, Kar an, sir. Good evening and warm w elcome to all the participants.

Now , I would like to present the financial overview of the Company for the 4th Quarter and the Financial Year 2024 . Our revenue from operations for Q4 FY '24 stood at 1,524 crores as against 1,327 crores, a growth of 15% year -on-year. And for FY '24, our revenue stood at 6 ,285 crores as against 5 ,446 crores w ith a growth of 15% year -on-year .

EBITDA for Q4 FY24 stood at 108 crores as against 91 crores , has a growth of 18% year -on-year, and for F Y24 EBITDA stood at 449 crores as against 336 crores , recorded a growth of 34% year-on-year. EBITDA margins for Q4 FY'24 stood at 7.1% and for F Y'24 stood at 7.2% .

PAT for Q4 F Y'24 stood at Rs. 41 crores as against Rs. 36 crores, a growth of 12% year -on-year. And for FY '24, PAT stood at 184 crores as against 123 crores , shown a growth of 50% year -on-year.

ROC E, ROE on an annualized basis for F Y'24 stood at 17% and 13.4% respectively.

The working capital days as on 31st March '24 stood at 74 days, which was mainly due to stocking of inventory to meet the demand d uring the upcoming and ongoing summer season.

Both the gross debt -to-equity and net debt -to-equity stood at 0.5X , and the net debt -to-EBITDA stood at 1. 4x.

Our cash flows from operations stand healthy at 160 crores for FY'24. As a result, the cost of borrowings got reduced by 7% year -on-year in F Y'24 in spite of 26% increase in the investments in inventory and receivables.

For FY'24, same-store growth rate stood at 8.4%. For FY '24, around 45% of our revenue came from large appliances, 42% from mobile and 13% from small appliances , IT and others. About 98% of our revenues come from the retail segment, and the top five brands contributed around 60% to our revenues.

With this brief presentation, I open the floor for Q&A. Thank you, everyone.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: This time around OEMs have reported very strong numbers for AC sales. However, the same is not reflecting into our top line growth for this quarter. S o, Kar an, what is the reason for this , if you can elaborate on this please?

Karan Bajaj: Usually with seasonality products , firstly what we look at or what I would suggest personally to look at not one month or a quarter end period, I would say suggest to look at an annual basis or a half yearly basis say we usually internally look at it from Jan to June and then it depends on when the peak heat summer starts off in the region, that we will be operating . So, I would say that March last week picked up really well for Hyderabad , April first week really picked up for Telangana upcountry market , second week was really peak for Andhra upcountry market. So , we would look at a blended growth number and we're really happy with what numbers we have delivered. So , probably you would see that reflection on the growth of that particular category when we would talk about Q1 FY '25 numbers in the coming times, but then we're quite happy with what we performed . Last year, if you look at our March numbers, the base itself in March

and April was very high again. And then last year the festival period of Ugadi was in March, compared to tha t happening in April this year. So periodically we would look at the peak coming in, in different periods. So these are all localized testicles , localized period. So all these matter a lot, but we see full blended, Jan to June how much growth came, that is in line with what you would hear from the m arket coming through.
Devanshu Bansal: So you're saying Jan to June should more or less reflect with what OEMs -?
Karan Bajaj: Devanshu, secondly what happens if you see OEMs number it depends on billing before the season starts b ecause, see for them, the primary happens when they bill it to us, right. And for us we stock up as early as Jan, Feb, March. So for them that quarter number look higher compared to what we start selling only in March, April May, that's it.

Devanshu Bansal: And Kar an, one more follow up on this. So whatever OEMs are reporting, so that should be reflected in only part of our business , which is AC , ref, etc., that kind of a growth can be sort of reflected in overall business as well ?
Karan Bajaj: Again, two things . As you are saying about certain category , so what happens if you a particular category demand for example if you see this quarter or this summer this quarter cooling products go up . So not like a Diwali quarter where all product categories go up equally well. This will only be focused on the cooling product category, the air cooler , air conditioners, refrigeration products. You would only see a majorly spike or the major growth coming in these categories first compared to fol low up by mobile , IT as a category , then audio, then home appliances , and washing machine like for example would be a little much slower compared to other quarters in this quarter becau

se the cooling product demand goes up. It is not necessary that all product categories would give you similar demand trend .
Devanshu Bansal: And cooling in Jan to June is what percentage of your business, Kar an, any ballpark -?
Karan Bajaj: Overall blended to be around 15%.
Devanshu Bansal: For first half of the year as well, Jan -
Karan Bajaj: Before the annual I am talking about.
Devanshu Bansal: You indicated that the premiumization trend is going on well, but our ticket size growth was 2% for full year. Just wanted to check , is this a reasonable level to bak e in or this was an aberration and trend should improve from here on?
Karan Bajaj: See, it only depends like we have seen growth in this category, if you see the pricing of the air conditioner this year, you will see that there is not much of growth in the pricing. So if at all the premiumization is happening, it is happening in terms of the feature, but not necessarily that it would reflect in the ASPs going up as well drastically. but not necessarily that it would reflect in the ASPs going up as well drastically.
Devanshu Bansal: This working capital has increased by about 230- odd crore s in FY '24 and we have opened about 33 stores. So this implies about 7 crores per store. So is this the optimal level of inventory that we stock in a new store or there was some comment around stocking up , etc., as well, so your thoughts on that please?
Karan Bajaj: Two periods that you actually have to look at in our business or especially with us is that summer quarter before that we start picking up inventories. The 31st March, the number , if you see our inventory levels are around 900- crores plus. That is majorly because there is Rs.400 crores of cooling product, number one . Number two, the second period that you will look at is during Dussehra, Diwali. That is the period when we again start picking up a lot of inventory across

categories. There are two periods where you will see a higher inventory count and the Diwali quarter usually ends up by 31st of December. So you will see a lower inventory number there. But the peak of the seasons would come in October, November , and summer p eriod s, that is March, April. These two quarters you would see higher inventory levels on the books , so is the working capital requirement higher as well .
Devanshu Bansal: Typically, for a new store, what is the inventory that you sort of -?
Karan Bajaj: The two things there. Again, if it is only display per se would be around 2- 2.5 crore s and usually over the counter product like mobile phones, kitchen appliances, accessories, laptops , would have the backup in the store s. So that would be another 50 lakhs to 70 lakhs of stocks. So that would be around Rs. 3 crores of stocks in the store of a new opening.
Moderator: The next question is from the line of Percy from IIFL . Please go ahead.
Percy : Looking at your North cluster sales last year Q4 it was 53 crores, now it is 69 crores , so which is about a 30% kind of growth. Correct me if I am wrong, number of stores itself YoY would have gone up by more than 30% . So why is it that we are not seeing a ramp up in the sales per store?

Karan Bajaj: So very rightly said that you look at 52 crores to 69 crores jump in Q4, that would add up to around 30% approximately in growth, but the new stores that we added up in Q4 versus Q4 on that financial period was on the 30th of March in '24. So we launched six new stores during that period itself on the last two days of the quarter end. So the sale , that you actually see or the growth that you see is from the like -to-like stores only, whereas the new stores were all opened on the 30th of March itself, two days prior to the yearend.
Percy: If I take a quarter -weighted average for the number of days, how many stores were open in Q4 FY'24 in North c

luster?
Karan Bajaj: Six stores.
Percy: No, no, no. I am saying total number of stores which are opened in Q4 w eighted for the number of days they were opened they would be what 14, 15 stores, right?
Karan Bajaj: So we were operating 14 stores totally in that region before and we have added up six more stores during that period with plus one E BO as well. So out of which the opening of the stores were only there for two days for that quarter in Q4 for six stores.
Percy: And similarly, s ir, can you tell me the average number of stores which were operational in the North cluster in Q4 last year?

Karan Bajaj: 14 stores.
Percy: No, no. In Q4 last year, how many stores did we have in North cluster?
Karan Bajaj: In Q4 last year, only 14 stores were operational , 14 and versus this year in Q4 it was 21 stores.
Percy: Basically , there has been no store addition -
Karan Bajaj: There is no addition of the store. The growth which you would see is for like -for-like stores.
Percy: So the SSG growth in the North region is like 25%, 30%?
Karan Bajaj: Yes.
Percy: So how does this work out in terms of store economics? So supposing if we have to get to let's say pre Ind AS EBITDA margin of let's say 5% to 6% in North cluster, what kind of sales per store do we need given the economics t here, given the rental would be maybe a little higher or whatever else, what kind of sales per store will give us a 5 % to 6% pre -Ind AS EBITDA margin in North cluster?
Karan Bajaj: So North cluster will give us that number upward of 35 crores average per store net of GST .
Percy: Because see, the reason why I am a little confused on this is that if we look one or two years ago where North was not there at all, we were making maybe around 5 .5% pre-Ind AS margin on the entire Company and at that time our sales per store was about 45 crores.
Karan Bajaj: Correct.
Percy: So why is it that we will make the same margin in North India at 35 instead of 45? I thought it would be more than 45 given that the rental , etc., would be a little higher.
Karan Bajaj: See, the Delhi, the numbers that we were discussing right now , that pertains to most of the stores that we bought out there, especially the higher rental s tores . So we have invested a lot in buying our property. The actual rent would not be there in terms of that calculation , and the rental property is fixed.
Percy: Secondly, can you give us some idea on what kind of SSG you are targeting for FY '25 at an overall Company level?
Karan Bajaj: Sir, including the new stores SSG around the big day, we look at stores which we opened which are operations for our whole financial year. So for those stores, we will look at a comfortable number of 9% to 10% , and including the newer store opening, we will look at because depending

on this quarter , we open the store. So, we will look at a blended growth of around 15% -plus comfortably.
Percy: In FY'25 on a full year basis versus full year FY '24, do you see any levers for EBITDA margin expansion, or would it be roughly at the same level as FY' 24?
Karan Bajaj: Sir, if you see they're already in improvement that has come in place. So you would see a similar line of EBITDA margins coming up because in our industries become very difficult to actually extract higher margins because the cost of rental , manpower , advertis ing, a lot of things involved, especially now with just like payments, credit card penetration going up, NB FC costs going up. So these are all costs that we actually can't control because they are directly linked to the mode of payments an d all. So , I think we would look at a similar number also going forward.
Percy: If I look at mobiles category, we all know it is a low margin category, but it is also a high throughput

category. So at a gross profit per square feet, the absolute rupees gross profit per square feet, is it inferior to other products or it would be in line with other products ?

Karan Bajaj: If we look at that absolute number in terms of percentage, it definitely would be lower than large appliance as a category. S o what , we look at mobile as a category , we would rather look at the number of rotations of the c hurn that we would do for that category. So, in that sense this would boil out to a similar percentage.

Moderator: Next question is from the line of Manoj Gori from Equir us Securities. Please go ahead.

Manoj Gori: If I look at the overall breakup , probably if I derive the revenues for small appliances, mobile phones and large appliances , there seems to be some impact on these small domestic appliances during the 4th Quarter and that by some margin, so probably it should be more than 30% decline. Is that understanding correct , and if yes probably, how do you look at the domestic appliances going forward, any outlook on this?

Karan Bajaj: Actually , if you look at the kitchen appliances and the other categories that we have demonstrated when you say other categories, they , majorly , pertain to accessor ies and other product categories which we were in the midst of revamping in a store -level and we wanted to introduce new er brands and streamline that process because that product category is screen guard, cases, headphones, there is a lot of change of models or attrition there in terms of loss of unsold products. So, we had to take a strong st ep where we had to revamp that whole category again and start off from scratch , create a model where we have tied up with brands where they take the stocks back after every quarter whatever stocks are left with us s o that we don't have the loss of inventory at the end of the year or a dead stock with us . That is why we had stopped the sales for that particular category in a way and now we see that growth coming back again on track for those categories as well. And to an extent like ultra-wet grinders or mix ies or rice cookers, in the kitchen appliance category , we see a steep degrowth is because of the utilizatio n

of the product, because now everything is like ready-to -make idli maker so people are now actually picking up ready -to-make rather than cooking or making that dough at home. So that category is where we see a major degrowth, whereas in categories like fans, water heaters, water purifiers, and vacuum cleaners, we see decent growth coming in.

Manoj Gori: So probably , the growth rate might differ at least for in the near term for this category ?

Karan Bajaj: You are absolutely right.

Manoj Gori: But it should be back on track somewhere on the expected line somewhere around from second half of FY '25?

Karan Bajaj: Hopefully because we have added up new categories as well. L ike right now , we're focusing on built- in category as well. H op chimneys along with microwaves , built-in appliances , and built-in ovens. That is the category that we're expanding because the ASPs are quite high there compared to the traditional microwave, hop and chimneys. I n the coming times, we are experimenting with a few of the stores like 7-8 stores right now in this quarter. So, probably in the next coming quarter if we see good results coming in, that will add up to a higher value coming forward.

Manoj Gori: My second question would be on the North market . So probably this is the first full summer of probably undisrupted summer that we are witnessing in the North market . How has the overall experience been into this market , probably if you can throw some light on the learning, and how do we see this market ramping up for us in the years ahead, s o if you can share your thoughts over here, that would be helpful?

Karan Bajaj: Definitely ,

no complaints on North as a market in terms of the heat wave going on there, definitely supporting us with our sellout . Productivity per store is what we look at , and that is also on track. But then when we look at the market si ze, that was the reason that we entered that market, right. So when we look at the market size, we would rather now start looking in the future that how do we c apitalize on that growth story there , how do we grow more , how do we deepen our store, increase our productivity first , so like the way we do back home in Hyderabad , Andhra , Telangana. So that is the future goal for us now. T he numbers are good but then there is nothing that in terms of to be happy what numbers we are delivering , that's a long story for us to grow there, it will take long more time for us to establish ourselves there, but we're quite happy with what is happening in that market today.

Manoj Gori: You targeted to achieve that break even by 4th Quarter of FY '24 and you were almost running back . Where do you see yourself by end of FY '25 in terms of margin trajectory into N orth market?

Karan Bajaj: So in terms of growth rate, it will be in line with what you've seen. So we'll see that kind of number coming in, especially now. So right now we are in good summer there. I don't know how long the summer is going to last ; it probably might last for a couple of weeks, probably a month. We are ready with the stocks , we're ready with the stores. It all depends on seasonality products doing quite well there, number one . Number two, everything if you look at the average during the other months and during the upcoming Diwali season this year, I think if things are on track, we should be doing decently good growth there in that region.

Manoj Gori: And on the margin front , should we see -?

Karan Bajaj: Margins will all remain the same more or less, because we 'll be adding up of new stores as well for this coming year as well. So expansion in Delhi or that region is going to be heavier than other regions. So our focus is going to be on that region right now. D efinitely , you would s ee a similar margin throughput only until and unless the stores get matured in the next couple of years, they start delivering higher throughput. That is when we would see or the cost coming under control because rig ht now , we're spending a lot more on marketing. So once those things come under control or in line with what we do back home, then you would see a higher EBITDA margin coming from those stores .

Moderator: The next question is from the line of Ankit Kedia from Phil lip Capital . Please go ahead.

Ankit Kedia: Two questions from my side . If you see one of the competitors, Croma over the last one year has expanded that white format aggressively, which is predominantly , reseller for iPhones , and we have other players also know expanding that . Are you seeing a lot of your premium customers move out of your stores and buy from those type of reseller stores of iPhone in the market , is that business model very different than in your core Hyderabad market y ou could contemplate such a store format yourself and retain those customers and expand in that iPhone category?

Karan Bajaj: We also do have some exclusive stores for Apple , especially , in our Tier-2-3 towns , and if given the right opportunity , right chance , we would like to expand that exclusive brand outlet format as well , but always running an exclusive brand format store is limited to a particular product range or a brand , right , and the limitation in terms of how much you can d eliver out of a store. There is an advantage that your brand exclusives is a disadvantage that the store sizes are smaller or the throughputs are lesser , you're limited to certain category of product whereas the multi - brand should give you a leeway of selling multipl

e range of products and a higher range of products with the l arger store format. So exploring an opportunity is always open with us. We already have that format with us and that's doing quite well for us. So given through that is all decided by the brand, especially with Apple. So they tell us where to open or they tell us which market to look at n ext. And then definitely , initia lly for those, the cost is a little higher because the investment goes from the retailer first and then Apple has a contract of reimbursing it over a few quarters. So the business for Apple anyways with us in our multi brand store is also increasing . At the same time, what we have proposed is to renovate few of the zones of Apple in

our existing stores a nd make the display area larger so that customers can experience a wider product range from Apple and, at more reach with the similar concept of what an exclusive Apple Store would have . So that again is in pipeline . Given an opportunity with any brand or any product category, we would like to expand with them in either of the formats, either give them a higher space area as per the throughput in our multi -brand stores or come out with an exclusive brand outlet opportunity. But then the exclusive brand opportunity would be more through the manufacturer or the OEM to decide and then move forward rather than the retailer himself.

Ankit Kedia: When you say in tier -2-Tier 3 -markets you have already done that. So these are like the EB Os what we have and these are also MB Os and with a larger share given to Apple for you in those markets because I am talking from a Telangana perspective to maintain your market share right in that state , will that be an important for you to not let the other players get that real estate also in a mall or next to you selling the same products and accessories?

Karan Bajaj: Very, very truly said. So a few of the key areas our markets where we already have our MBO stores where we feel that the productivity of this particular category is going up, if Apple or any other brand feels that there is a requirement of an exclusive brand outlet, then obviously we would be the preferred partner or if we get an opportunity, we don't leave it. We have stores beside our multi -brand stores a lso or store s on standalone area where we don't have a multi b rand store but an exclusive store for a few of the brands. It works both ways . as you correctly said, the emphasize is not to open an exclusive brand outlet to the retail in our share , but at the same time, we have an opportunity to grow in our multi -brand outlets as well, especially for mobile phone because it is a very dynamic category a nd a very big category. I would compare it to like ocean compared to other category , which would be much smaller than size. There is a demand , and the supply makes a lot of difference . We got to keep a lot of other things under check for selling mob ile phone s than just having a presence there.

Ankit Kedia: Second question is on your FY'25 store opening. Do you see in Telangana and Andhra market,

are there enough spaces in Tier-2, Tier-3 cities for you to continue to expand? And do you think there a smaller store format between two cities c an also be worked out like a hub-and -spoke model where you can open up 4,000, 5,000 square feet store if a customer wants , give a two -day delivery kind of a thing while you cherish giving a same day delivery for ACs and others but predominantly in a smaller city while you can have a store but a smaller store with a two -day fulfillment kind of a thing?
Karan Bajaj: Absolutely right again. G iven an opportunity there, if the market size demands a l ittle smaller size store, we would do that , obviously , we would not open a really big store . But if you look at our Tier-3-4 town stores that we open lately or we are open

ing right now and expanding because the market is still untouched in few of the areas in Andhra and Telangana both . So there we limit ourselves to something between 6,000, 7,000 also. So not necessarily, but 4 ,000, 5,000 would be a little smaller for us, but 6,000, 7,000 is what we would look at rather than doing a 10 ,000, 15,000 square feet store.

Ankit Kedia: So let me put it the other way. If I look at three years out, right where you are opening around high team stores in these two states, do you think that growth can continue for three years for you to open these stores and you can pilot with that 6 -7 special store format , see the experience today and then probably expand three years out?
Karan Bajaj: See, that can be done. Again, we do not want to lock ourselves into a certain format of stores. If given an opportunity , the market grows, that store particularly delivers a higher number, probably , we might do a second store in the same city, like for example, after five years of operation in Guntur City in Andhra Pradesh, we opened two more stores at the same time in that city. Now we have three stores . But our competition has eight stores in that region in the same city periphery. So when I look at my overall number, especially coming in from Andhra , today, my Andhra s tores delivered approximately 800 crore s plus of business, right? But if I look at my direct competitor s there , which is So no Vision , Digital Vision these are all guys which are upwards of 700, 800, 1,000, 1,500 crore business . We see a great opportunity . Our store count is less than half in terms of bigger partners like Reliance, also , Sono Vision has 60 plus stores, we are still operating with 38 , 39 stores in that region. So we still see that there is a huge opportunity for us to go especially with the underpenetrated mobile phone as a categor y there. So today if you look at our product mix in that region e specially on mobile phones, it is still a little underpenetrated compared to our other city stores . So we feel that there is a huge opportunity for mobile as a category to grow in our store for large appliances to grow in our store , for air conditioners to grow in our store, especially with the new store opening that we're doing there right now.
Ankit Kedia: Last question is on the warehousing in Delhi. When we started Delhi, the idea was initially you need to keep a lot of inventory in Delhi , because we have lesser numbers of stores and as the number of stores increase we get that leverage out. So today where you have 15 stores in Delhi NCR region , how does that throughput play out and are you happy with that warehouse capacity and has the inventory remained the same or only the store level inventory happening in the D elhi market and is that playing out according t o the plan?
Karan Bajaj: Yes, that is on track. So we already have like 14 stores in pipeline today in Delhi NCR region for the next 12 months, right? So we opened six on the 30th of March in Q4 FY '24 and then we got another 14 stores in the pipeline which we will open in the next 8 to 12 months, right? So when we know that something is opening up and something is go ing to come up in the next couple of months, we would rather l ook at our warehousing to be ready to take up those stores as well in the future. So that's how we p lanned and we have got three warehouses now. So now once we expand further downward in Haryana or towards Gurgaon, we probably come up with one more warehouse in that region because right now we would be doing Delhi Ci ty, UP and then Haryana and then penetrate further down in these regions. So then we would eventually need bigger warehouse in that region. So as per time, we would definitely expand and grow.
Right now it is in sync with what we would need, and this being summer season anyways, we stocked up more

and we filled up stocks in the warehousing required for the summer period.

Moderator: The next question is from the line of Piyu sh Gandhi from Cognizant Capital. Please go ahead. Yes.
Piyush Gandhi: I just wanted to know what are our plans in terms of new store opening for the year ? You mentioned 14 in NCR. How many are we planning overall?

Karan Bajaj: So we would be doing around 30- plus stores in this financial year , out of which we have already opened six in the first quarter itself and then another five are getting ready which are due opening in the next 30 to 40 days. So probably this first quarter itself, you will see the opening of first ten stores out of the 30 store count that we p lanned for this financial year .
Piyush Gandhi: I just wanted to maybe get a sense from you . As the density of our own stores in South region increases, are you seeing any signs of cannibalizing?
Karan Bajaj: Oh, yes, definitely. In fact, we try to cannibalize our own stores because what happens is especially for the peak days or the bigger days, b ecause our competition works in clusters, so usually you don't want to lose out a lot of sales from your top performing stores or growing stores, right? So you then try to cannibalize your own stores a little bit because then you tap into a new geography, new market in that same periphery and try to create a new customer base along with cannibalizing your own customer base from your existing store s nearby. Strategically, we will do it.
Piyush Gandhi: Yes, I understand that overall throughput increases, but what it also causes is that per store sales goes down and also the return on capital employed also starts reducing. So any sense on how do you handle -?
Karan Bajaj: This is a calculation on how and when we do it. It is not necessary that we start doing it, try to cannibalize the store, which is at 30 -40 c rores on an average. So whenever we try to do it is there for all the stores which are 100 c rore plus for us for example. That way.
Piyush Gandhi: Any sense on how is the return profile for our Tier-2, Tier-3 stores like the experience of new stores that we have opened in last 2 -3 years, how has it been, are they at par with the Company average or are we diluting a little bit there, any sense on those?
Karan Bajaj: So definitely yes , the throughput would be a little lower than your metro cities, because of your premium product selling there or your high end not selling in the larger number there in terms of the volumes are there, but the value or ASPs would be little lower comparatively, right, number one . Number two, so in line with what growth we would look at those coming in year one, year two, year three whereas the base for that particular store . If I open a store in Hyderabad, I would look at 30, 35 crores in year one then eventually go to 45, 50 crores in year two and then averaging around 60 crores in year three onwards, right , for a Hyderabad metro store. But if I look at a store in a Tier-two or a Tier-three town, I would start looking at 25, 30 crores in year

one, then 35 crores in year two , then stabilize it by 40 c rores in year three onwards. So that is the throughput that I would look at there , because the incremental growth coming in would not be higher than 15%, 20% for the first few years a nd then eventually stabilizing at around 3 5, 40 crores on an average once you start maturing from there on.
Moderator: The next question is from the line of Gautam Goyal from HC M R Private Limited. Please go ahead.
Gautam Goyal : My question is basically like, could you please explain us more on the store unit economics, so like what is the CAPEX investment , work ing capital you've already mentioned that you probably do around 2.5 to 3 crores but like what's the CAPEX investme

nt and what is the payback period and like a break even for us in the store ?
Karan Bajaj: How we would do the math is we say approximately for taking a 10,000 square feet store , we will look at a CAPEX investment around Rs. 2,500 a square feet. So that would be around 2.5 crore s for making up the store and then another 2.5 crore s of inventory. And this inventory would be majorly for the displays of stock and then a little bit towards the backup stock for over the counter product delivery from the same store . And then in different seasons , that is two big seasons in a year , then we wi ll look at this number going up a little higher for the backup inventory, especially for summer if it's cooling products and for all the product m ix during the Dussehra, Diwali period in October, November quarter. That is how we look at . Around 2 .5 crore s of inventory and 2 .5 crore s of CAPEX, around 5 crores is what we look at as our store cost initially when we set up a new store of a 10,000 square feet area.
Gautam Goyal: So what is the breakeven for that, like any breakeven or payback period that we can say?
Karan Bajaj: As for existing market with the brand you already known or if you're opening a store in AP, Telangana, Hyderabad, s o what we would look at is the breakeven would be around 12 to 14 months because we are as much established here, there is no additional cost here, stuff like that . Whereas if I look at Delhi NCR market, which is quite new to us, which is a year and a half, two years approximately. So that region would give us that turnaround in 20 to 24 months.
Gautam Goyal: What would be our growth expansion for like the next years like, so are we exploring new spaces, new cities , new states or like we are contented by the fact that we will just grow more in Hyderabad, Telangana, Andhra Pradesh and Del hi NCR region?
Karan Bajaj: We're quite new in Delhi NCR and then there's a lot of huge periphery available in Delhi NCR, right? So , we're talking about the whole of GT Karnal R oad up till Chandigarh, Panchkula and

then eventually Punjab. We're talking about Western UP right now where we already have stores in say, Ghaziabad and Noida, then we expanded to Greater Noida in the coming times and from there up to whole of UP is available for you , then you're talking about AP , Telangana as a periphery , you're talking about bor ders of AP, Telangana that are available probably, O disha in

the next coming years. So that way , the geography that we're present in, we would like to explore two of these regions nearby, especially strengthening ourselves more up north because that is more of a bigger market size than what we would do down s outh here in the neighboring states like O disha for us.

Gautam Goyal: So, like basically we're saturated in like states like Andhra Pradesh and Telangana. So we're not like majorly focusing on expanding there. We are focusing on the north market, right , am I correct?

Karan Bajaj: Right now , it will be more of 50 :50 mix up North and down South , because there are a lot of markets that we don't even have a store here. AP, Telangana expansion will go on and then with that what happens is that organically every year , whichever city you've already entered in the past, y ou would see a new market developing in the same city . So organically , also you need to expand in those territory because then you start losing out to your competition, or you don't get the benefit of inventori es, marketing and all. So , there's no point of view opening a new territory when we have not captured our own territory completely first.

Gautam Goyal: From the revenue point of view, what is the split between the financing and direct purchases in the urban metro cities and in the Tier-2, Tier-3 towns?

Karan Bajaj: So the total blended would be around 65%: 35%, 65% being throu

gh credit card, payment
financing or the financing activities on the floor versus 35% through UPI , direct payments and cash payments. So that is the major split across m etro as well as upcountry market , there will be a differen ce of 1% or 2% here or there.

Gautam Goyal: And this is for Tier-2 like this number for financing I guess would increase a bit for the Tier-2 or Tier-3 stores?

Karan Bajaj: Similar line only. So there w hat happened in fact South and West ern India anyways Tier-2-3 towns also quite strong with NB FCs whereas you talk about the East or pure pocket up north, then the transactions on NB FCs would be little lower because the penetration there on debit card, credit card or other financing activities would be higher there .

Moderator: The next question is from the line of Arnav Shah, who is a retail investor. Please go ahead.

Arnav Shah : So I notice that the Company 's product mix is , the revenue from mobile phones has increased from 37 %, 38% to 43%. So, could you give guidance on the future product m ix?

Karan Bajaj: The product mix for mobiles or these other categories more or less remain the same tune. We will not see a drastic jump here. But then as I told you that earlier in the call, also like few of our markets like in Andhra, also if you look at the penetration there for mobile phone is still a little

lower. I would look at that going up by one or two more per cent in the coming time, but it will not drastically change from here on going forward.

Arnav Shah: In extension to that question, could you guide us on the gross margins that you enjoy in each of the segments between mobile phones and large appliances and small appliances?

Karan Bajaj: I will give you a broader number. So for blended number, it would be what you see on a balance sheet around 15% and the lowest I would tell you would be around 7% to 8% for IT, m obile as a category and the larger appliances would be upwards of say 17 %, 18%. That would be the average out . The blended would be around 15% for all product categor ies.

Moderator: Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to the management for closing comments.

Karan Bajaj: I would like to thank all of you for joining into the call. I hope that we were able to answer all your questions and for any further e nquiries you may get in touch with us or our IR partners, SGA, we will be happy to address your queries. Thank you once again, everybody.

Moderator: On behalf of Electronics Mart India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

To,
Listing Manager, The Secretary,
The National Stock Exchange of India Ltd., BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for the First Quarter ended 30th June 2024 held on 09th August 2024.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on Friday, 09th August 2024, to discuss the Un-audited Financial Results for the First Quarter ended 30th June 2024. The same is also available on the website of the Company at the below-mentioned link:

https://investors.electronicsmartindia.com/earning-call-transcripts-and-investors-presentation

We request that you take this information on record.

Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 13th August 2024
Place: Hyderabad

"Electronics Mart India Limited
Q1 FY25 Earnings Conference Call"
August 09, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th August 2024 will prevail.
MANAGEMENT :

- MR. KARAN BAJAJ – PROMOTER AND CHIEF EXECUTIVE OFFICER – ELECTRONICS MART INDIA LIMITED
- MR. PREMCHAND DEVARAKONDA – CHIEF FINANCIAL OFFICER – ELECTRONICS MART INDIA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Electronics Mart India Limited Q1 FY25 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Karan Bajaj, Promoter and CEO of Electronics Mart India Limited. Thank you, and over to you, sir.
Karan Bajaj: Thank you. Good evening, and a very warm welcome to everybody present on the call. Along with me, I have Mr. Premchand Devarakonda, our CFO. We have uploaded our results and investor presentation for the quarter-end Q1 FY25 on the stock exchange and the company's

website. Hope everyone had a chance to go through the same. We begin the year on a strong footing, aided by our increasing presence in key markets where we operate.
Revenue from operating grew by 17.3% year-on-year. EBITDA grew by 18.3% on year-on-year basis, with margins remaining stable at 7.8%. On a Pre-Ind AS basis, we have done margins of 6.3%. During the quarter, we've driven a strong uptick in consumer spending due to a hot summer season. We've witnessed robust growth, particularly from the compressor product segment, which includes air conditioners, coolers, and refrigerators.
This demand was further boosted by the heat wave which occurred in India during the same period. At EMIL, we have always had a strong focus on inventory management and we are fully capable of sufficing the elevated demand due to our effective inventory management. Large appliances continue to remain a significant contributor to our revenue.
As of June 24, large appliances contributed 53% to our revenue, with mobile and small appliances contributed 35% and 12% respectively. In Q1 FY25, we have opened 10 new stores. Our store count at the end of June 24 stood at 170 stores total, out of which 157 stores are multi-brand stores, and 13 are exclusive brand outlets.
As of date, we are present in 66 cities across 4 states. Currently, in the Delhi NCR region, we have 24 stores, in Andhra Pradesh, 44 stores and in Telangana 101 stores, and one store of Kitchen Stories in Kerala. Moving to working capital, we have seen a jump in working capital in March due to our increased inventory anticipation and a strong demand in the upcoming summer season.
But as of June 24, this has reduced and it is below 50 days. As mentioned earlier, our inventory levels will always be higher during the two quarters of September and March due to the festive season and the summer season. We continue to remain committed to cash flow driven growth and we will keep working on further optimizing our inventory and supply chain.
SSSG for Q1 FY25 stood at a healthy 8.6%. I am also happy to share that we continue to remain EBITDA positive in our north cluster with EBITDA margins of 2.6%, which can be significantly scaled up further as we grow our base of operations in that region. Our strategy remains centred on solidifying our presence in existing markets before venturing into new territories. Tailoring our product assortment and maintaining a diverse portfolio are crucial to enhancing visibility,

strengthening brand recognition, and achieving deeper market penetration while expanding our customer base.
We at EMIL place great importance on understanding local market dynamics to ensure sustained profitability and growth. Delivering a unique shopping experience with an extensive range of electronic products continues to be a top priority for us. Looking ahead, we plan to open around 25 new stores in this upcoming financial year, anticipatin

g a robust double-digit growth in
revenue for 2024-2025.
Our strategy includes optimizing store operations and enhancing inventory management to maintain cost competitiveness. Furthermore, we will expand our reach in select geographies and reinforce our footprint in existing markets, all while nurturing and building partnerships with leading brands. With this, I request Mr. Premchand Devarakonda, CFO, to update you on financial performance. Thank you all.
Premchand Devarakonda: Thank you, Karan Sir. Good evening, and a warm welcome to all the participants. Let me begin with the Q1 FY25 financial overview. Our revenues for the quarter stood at INR1,975 crores as against INR1,685 crores in Q1 FY24, with a growth of 17.3% year-on-year. EBITDA for Q1 FY25 stood at INR154 crores as against INR130 crores, with a growth of 18.3% year-on-year. EBITDA margin for Q1 FY25 stood at 7.8% as compared to 7.7% in Q1 FY24. PAT for Q1 FY25 stood at INR72 crores as against INR60 crores, with a growth of 20.3% year-on-year. ROCE and ROE on an annualized basis for Q1 FY25 stood at 28.6% and 20.1% respectively. The working capital days as on 30th June 2024 stood at 50 days.
The gross debt and net debt to equity stood at INR0.2X and our net debt to EBITDA stood at INR0.36X. Pre-IND AS cash flow from operations stood at INR479 crores. For Q1 FY25, SSSG stood at 8.6%. With this, we can now open the floor for questions. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Mehul Desai from JM Financials. Please go ahead.
Mehul Desai: Sir my first question is basically on the Delhi performance. Obviously, we have seen some improvement and profitability here. If you can help me with SSSG growth in Delhi for the growth, I mean for the stores, I think 7 to 8 stores which were opened during the launch. How have they performed in this financial, in this quarter and how is the margin of those stores which were initially launched those 7 to 8 stores?
Karan Bajaj: Okay, Mehul, firstly, I will ask Prem sir to give you the complete details later on offline because

right now, I would not have the sheet with me. But just to give you a broader number, you would see the stores have been all positive there and the major contribution would be coming in from in terms of the profitability as well as the sales would be coming in with the first set of 8 stores that we launched on the 14th August 2022.
All of these stores are on track on doing INR30 crores plus mark that we had initially targeted for these stores. So I would say that these stores are on track and all positive, EBITDA positive. Whereas you would see a major growth coming in from these stores and the contribution that happened which are 96% growth from the Delhi region, 6 stores were actually opened on 30th

of March which then contributed to a certain number during the summer period. But because of the first set of 8 stores that were launched in August 2022 they contributed a higher share of cooling products during the summer period.
Mehul Desai: Okay. Understood. And secondly how has been the performance in your key market of Telangana in terms of revenue?
Karan Bajaj: So, Telangana and Andhra both have done really well especially the upcountry market. So Andhra Pradesh on a whole has grown up by almost 45%, 50% kind of a number same thing with Telangana upcountry stores. Whereas Hyderabad has a cluster where we have the maximum number of stores and a very high market share.
That particular cluster has grown by almost around 4.5% because it stands on a very high base. So there and then we didn't open any new stores in the last couple of years, Mehul, that is where you would see a lesser growth coming in from the bigger geography that we operate in versus new geography that we rented in the past few years.

Mehul Desai: And lastly on this North region store level profitability of 2.3%, by when do you think we can touch this 5% kind of number? Are you targeting it in FY26-27, or what is your estimate that when these can be at 5% kind of EBITDA?
Karan Bajaj: Mehul, firstly it would be too early to comment on it right now that when exactly it would be, but we hope it happens as soon as possible because we have seen the first set of stores doing really good for us. Then what happens is that those set of stores that are delivering profit, there will be a little drag in from the number of stores that we would open up. Like for example, before Diwali we plan to open another 5 or 6 stores.
These are all big stores. So the denominator itself being lower, there will be a higher drag on the total profitability for that cluster in the coming times. So we would look at this stabilizing at least by 26 that is what the plan is and say by FY27 or 28 then we should be looking at the similar kind of numbers that we would get back home in Hyderabad.
Mehul Desai: Okay. And store addition guidance of 25 to 30 stores remains intact, right?
Karan Bajaj: Correct. That was the initial plan of 25-30 stores. Out of this, 10 stores we have already been launched in the first quarter across the region that we operate in. 25 more stores are getting ready across the region. So hopefully this financial year we will end up very comfortably doing around 30-plus stores.
Mehul Desai: 30-plus stores. Understood. Got it. Thank you so much, sir.
Karan Bajaj: Thank you, Mehul.
Moderator: Thank you. Our next question is from the line of Raj Malhotra from HM Financials. Please go ahead.
Raj Malhotra: Thank you for the opportunity, sir. So my first question was, can you please share the sales growth between sub-segments within the large appliances category?

Karan Bajaj: Yes, sure. ACs grew by 50%, refrigerators grew by around 8.5%, washing machine there was a growth of around 2.5%. That was a large appliance category that we will look at, and television grew by around 8.5%, 9%.
Raj Malhotra: Okay. Got it, sir. I had a second question. Second question was which cities would you be targeting in terms of Tier 1, Tier 2 and Tier 3 cities within the North cluster?
Karan Bajaj: Right now, we are operating in NCR. The initial plan was that we would start our operations across the geography of NCR. So that would be -- I would not consider them as Tier 2, 3 towns, but a store which would be considered as Tier 2. Say, for example, we are planning to open a store in Najafgarh, Nangloi, Burari. Those are peripheries of the NCR region. They would be considered as a Tier 2 town only for us, you know, technically, in terms of the portfolio of the product mix in that particular store. Whereas, Rajouri Garden, Lajpat Nagar, Janakpuri, and Pitampura would be all considered as a Tier 1 or a main primary metro store kind of a concept

that we would look at.
Raj Malhotra: Okay, got it. And, sir, I had a follow-up question on my first question. You mentioned it in terms of overall growth, but I wanted in terms of SSSG for large appliances.
Karan Bajaj: Sorry, I didn't get your question. You wanted…?
Raj Malhotra: When I asked my first question, you mentioned about overall growth, but I wanted in terms of SSSG growth for large appliances. If you could please…?
Karan Bajaj: SSSG growth for large appliances, okay. I'll give you that number in detail as well. So the Hyderabad cluster, you would have seen a growth of almost around 7% to 8% on the cooling products across categories that would be ACs, refrigerators and coolers, right? Because of the base being very high, you look at that number.
If I look at, say, a Delhi cluster, that number for the first set of eight stores would look somewhere around 80% growth because the base was quite low. And if I talk about Andhra Upcountr

y and
Telangana, upcountry stores, the SSSG for a mature store, which is operational over one year, you look at a number of around 30% approximately.
Moderator: Our next question is from the line of Pooja Mehta from JC Securities. Please go ahead. The line from Pooja ma'am has been disconnected. The next question is from the line of Drashti from Thinqwise.
Drashti: So my first question would be, so you mentioned in the presentation that the same-store sales growth is 8.6%. Whereas in last year, quarter 1, '25, our same-store growth was 13.6%. And in fact, quarter 1 is typically high on the cooling products. And this time, the entire industry has done extremely well on the cooling products.
Now, Hyderabad, I understand is a big market for us, where you just mentioned that the SSSG growth was 7% to 8%. But other parts of the country, our SSSG growth itself was very, very high. So I'm trying to understand why that overall SSSG growth is so low, like at 8.6% despite

the AC market doing so well and our other markets also doing so well? That would be my question.
Karan Bajaj: Yeah. how we would look at it is that our SSSG would contribute to multiple categories, which have a very high base. Say, for example, mobile phones, they contribute around 35% of the total top line, televisions, kitchen appliances, then you have washing machines, home theatres all at the same time. So when I look at this breakup compared to the other players, smaller, bigger players in the market, where the base is smaller.
If I give an example of a Delhi or our Andhra upcountry stores, or Telangana upcountry stores, you would look at a much higher number than the competition is because the base was lower. And on that base, when you add up, I'm talking about only SSSG for matured stores, not even the new stores added to that particular cluster. Then you would look at a much higher number, say, INR175 crores in Telangana upcountry did almost INR250 crores, which is almost a 40% jump there.
Same thing with Andhra Pradesh, we did INR2,236 crores last year versus INR354 crores this year, which is almost a 50% jump in that particular cluster. So when I look at that cluster, which has a smaller base, you would look at that jump number being very high in terms of the absolute percentage. But internally, we would also look at the absolute value of growth that has come in. So, that is equally significant for us to look at when we grow, right?
Drashti: Understood, sir. So would that mean that this 8.6% is the value growth? So would that mean that the premiumization theme that we were looking at actually in those summer products has not played out that well and people are not -- so maybe the pricing has not increased or the premium product sales has not increased. Would that also mean that?
Karan Bajaj: Yeah, for cooling products, what happens is that cooling the maximum premium, you can talk about a 3-star and a 5-star. That would be the higher differentiation in that. And that also, the gap within the last few years has come down. So today, a 3-star and a 5-star would actually wouldn't be at a higher price difference than more than 4% or 5% in terms of absolute value. And plus with the PLI schemes coming in, a lot of aggressive manufacturers have not increased their pricing this season as well. You will not see an absolute value growth coming in. The quantity has increased mainly. So you will see more of volume growth compared to a value growth coming in this season.
Drashti: Understood, sir. Sir also, in our presentation, we mentioned that summer product sales, which is typically April to June, last entire year was INR1,700 crores. So would that mean that the large appliances sales which come in the quarter, which this quarter was around INR950 crores. So this is what I was not able to understand that the large appliances sales was INR982 cror

es. But
the April to June quarter, we mentioned last year was INR1,700 crores. So if you could just help
explain that discrepancy?
Karan Bajaj: One second. If you can just repeat your question once again, please. I just do not understand it
clearly.

Drashti: Yes. In your presentation page number 28, you mentioned the summer season revenue. So April
to June, which is the quarter one. So, which would mean that the entire quarter one large
appliances sales would be the summer season sales. But here the number is INR1700 crores for
last year. Whereas, our quarter one sales for last year was INR828 crores. So, what is this
discrepancy or?
Karan Bajaj: Last year, quarter one, this number was, so the total quarter number for FY '24, you are saying
last year, right? So that was around INR1651 crores. Sorry, that was around INR1600 crores for
Q1 versus, say, approximately INR1900 crores this year, which for cooling products specifically
was INR780 crores last year versus INR982 crores this year.
Drashti: Okay. Because here, you have mentioned summer season revenue April to June specifically
between the quarter one and that is INR1700 crores. So that is what I did not understand. What
was this discrepancy?
Karan Bajaj: I hope I am clear to doubt or you want to understand better with the team later on?
Drashti: Sure, We can take this offline. Thank you. And so my last question would be, so we have trade
receivables of INR180 crores but ours is a retail store. So, which means that cash is typically,
the transaction is on cash and not trade receivables. Understand that this trade receivables would
relate to our wholesale book but our wholesale revenue is only INR60 crores. So, what explains
this high trade receivables for us?
Karan Bajaj: Yes, RCA for Prem sir would like to answer this please.
Premchand Devarakonda: Ma'am, actually this trade receivables are the amounts due for settlement by the banks and
NBFC. It is not mainly on account of the wholesale sales. Normally the turnout, the settlement
takes in case of NBFC sales that means when the customer allows the NBFC credit so that
settlement takes 3 to 7 working days. So, those are the amounts due from the NBFC, and the
second thing is the due from the credit card settlement and third thing is we will have the credit.
I mean, we earn a lot of credit notes that is incentives, which are accrued on the cut-off date but
the settlement happens in the subsequent quarter.
Drashti: Understood, sir. So, of this INR181 crores, INR40 odd crores is more than six months. So, would
that be related to the wholesale business?
Karan Bajaj: So, Wholesale would not be of that much. So wholesale business itself is not that big, so that
would be pertaining to the credit note income that we would be getting, and so we would accrue
this income whereas the schemes would be quarterly, annually and biannually so for which until
and unless and we don't actually receive the amount in realization from the companies, we don't
take them in our books until and unless and we will show them as receivables.
Drashti: Understood, sir. Thanks.
Moderator: Thank you. Our next question is from the line of Shreya from Anand Rathi. Please go ahead.

Shreya: Hello, sir. Thank you for the opportunity. So, my first question is like what is the difference
between on the store economics in NCR region and versus in AP and Telangana and my second
question is like how what is the strategy to deal with competition in NCR?
Karan Bajaj: Okay, so the store economics in terms of the capex and the opex of the store. So, capex more or
less remains the same in all the geography in the country until and unless we are cutting down
on the size. So per square foot rate would remain the same, whereas the size might vary.
Usually, we look at a 10 000 squ

are feet store so the capex might vary for a 8,000 versus a
10,000, 12,000 square feet store. So that would be on a broader level for capex expenditure
whereas in opex and running of the store we would look at targeting at least INR25crores, INR30
crores wherever we open a store for year one so that is how we do our math that our rentals
should be around 2.5%, 3% year one manpower under 2%.
So the cost of running the stores back home in Hyderabad, say, because the stores are mature
now, it would be around, say, 6% to 7% of store operational costs, whereas in Delhi, it would
be around 10.5%, 11% today, initially because the stores would increase a certain productive
rate and then from there on, come down to a similar level of margins or expense that you would
look at back home.

And on the second question in terms of the competitive scenario, why we entered Delhi was because it runs on a similar product category of the brands or the product mix is very similar to what we do back home. So we would have in terms of differentiation our USP has never been pricing, so we never go out to compete on pricing but we would like to showcase more of premium, better store locations, the display would be a little more enhanced in terms of the categories that we would display on store, bringing more technologies on the floor everyday work with exclusive brands or more international brands rather than getting our private labels and exclusive licensing deal.

That has been the philosophy of the company, and that is how we feel that few of these competitive edge that we have over our competition would help us grow better because Delhi itself is a very big market and the consumption is going to be used in premium there

Shreya: Understood, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Yug Modi AP Capital. Please go ahead.

Yug Modi: Yeah, hi sir, thank you for this opportunity. Sir, how is your EBITDA margin guidance for the NCR region for the full year and overall pre-Ind-AS EBITDA margin guidance?

Karan Bajaj: Sorry, can you go a little slower please? Second question, I didn't understand.

Yug Modi: What will be our overall full year pre-Ind-AS EBITDA margin?

Karan Bajaj: For NCR or for the total group you're saying?

Yug Modi: For both, sir.

Karan Bajaj: Okay, so NCR, so overall number that we're looking at pre-Ind-AS would be around 6%, 6.5%. That is what we're looking at. And post-Ind-AS, it would be around 7.5%, 7.8% kind of a number.

Yug Modi: Sir, how much growth have we seen in our sales excluding the compressor products?

Karan Bajaj: Except in Q1 you're saying the sales growth for other categories, except compressor products?

Yug Modi: Yes, excluding compressor products?

Karan Bajaj: So mobile and IT would be around 10% to 12%. That was the number that was the growth for that quarter one for that category and around a similar number for televisions.

Moderator: Thank you. Our next question is from the line of Manoj from Equirus Capital. Please go ahead.

Manoj: Yes, thanks for the opportunity sir. So, my question here is, if you look at the gross margin profile during the quarter, we have improved by roughly around 30 basis point on Y-o-Y basis, despite larger appliances growing significantly faster versus the other product categories. Are we seeing any incremental price competition in the industry, probably in the North markets more? Because if you look at this year, it was a dream run when it comes to the compressor driven product category. So, ideally, we could have done better. But, can you throw some light on how situation is at the ground level with regards to competitive scenario?

Karan Bajaj: Manoj ji, two things. Very correctly, you said that though there was an increase of almost 0.3% in the gross margin levels and that would majorly get attributed towards the cooling pro

duct
increase in sales in the product mix during that quarter. But, unfortunately, summer in Hyderabad, that is where our biggest base is, didn't pan out for a whole of 90 days.

It was just majorly for 30 or 40 days of the first beginning of the season, whereas the second half of the quarter contributed well from the Delhi-NCR region during the heat wave. And then again, the base being smaller there, though we could see 100% growth in that region for cooling products, the actual contribution on the top line was negligible. So, whereas the other categories also equally contribute.

So, if I would say that the other way around would be that the third and the fourth week of June actually didn't perform really well in the existing market where we have a really big base. So, all put together is the number that you would see. But then overall, you said very correctly, like NCR being a newer region for us with limited stores that we operated, we did well.

But again, there is a huge scope of growth there in the coming time, because the markets are all of newer customers expanding and opening, you know, a new store there. That is what the plan is. Once we do that, once we establish, we would see a major chunk coming in the next couple of years from that region, especially during the cooling period, the cooling product compressor sale period, that is Q1.

And then maintaining the base in Hyderabad is what is epitome here, because that we are sitting on a very huge base in the southern region. So, I think overall, once with the new clusters coming

up where Andhra, Telengana, upcountry stores and all of those other clusters that we now expand and grow, we start contributing on a higher number, then you would see, you know, a change coming in in the future as well. We will see probably a higher growth coming in and you would see correctional margins that would be coming in the next two to three years.
That is what we look at right now. And on the second question, for growth, definitely yes. We are striving to work harder, deliver much better numbers. Obviously, competitive scenario is there. We're talking about cooling products being sold from every mom-and-pop store, whereas in the cooling season, it is more to do with the supply and the installation deliveries rather than the pricing itself. So, the competitive scenario was less on pricing, discounting and more on the availability of products in the region, faster deliveries, strategically locating our warehouses, inventory management. These are the points that would help us sell better during the cooling season.
Manoj: Correct. So, my question here, again, second question would be on the store metric. So, if you look at the southern stores, obviously, they are far more profitable. But do you expect, given the north markets would be somewhat different to our core markets, even there the margin profile or the profitability level should be similar to southern markets or probably that could be a tad lower, given the competitive scenario over there. And so, any broad indication on the profitability levels between the two markets?
Karan Bajaj: Right. Manoj Ji, again, correct understanding that our different geographies would be different for gross margins and especially for cooling products or products which get desperate to give out margins to all small and pop dealers or anybody online, offline. So, we have to be very careful on this branch you work with. That's why very selective brand is what we display on a storefront so that we can maintain our margins across categories and retain our gross margins.
Right now, we don't see a major change in gross margin levels between our northern cluster and our southern cluster. It would all remain more or less in the similar line, whereas the expense in that particular cluster would be a little higher initially compared to what we d

o back home. So,
once the stores get matured and start increasing their productivity, we will look at a similar expense ratio as well.
Manoj: Lastly, we obviously understand the growth trajectory in terms of new store openings into north markets. So, can you elaborate a bit in Andhra market, the reason why we have sharpened our focus over there? I know you have spoken about this in the past, but can you just reiterate like what are the key reasons that we are able to see that we are going aggressive into AP market as well? And what is the growth potential, how we see this market evolving in the next 5-10 years? That would be helpful, sir.
Karan Bajaj: Right. Manoj, AP always was on cards for us to expand and grow, but basically, we wanted to do an organic approach. If you look at our competition there, a few of the bigger retailers out of single individual cities would have, say, a player out of Guntur has 10 stores, where we had only one store earlier. Vijaywada, somebody's got 10 stores. We had two stores. So, every city, Nellore is very big, Vijaywada, Vizag.

So, the thing with Andhra Pradesh, the market size is very big, but again, fragmented between different cities and almost 10-12 big cities, large cities, where we started with one-one store each few years back and we wanted these stores to mature, stabilize, and then we wanted further down, then expand into the other clusters and areas, cities where we were not available. That is why you would see a higher jump coming every quarter in that particular region.
From last year, Q1, we were at 30 stores. This year, we were at 44. Last quarter, FY, 24, Q4, we were at 41 and increased three more stores in FY, in Q1, FY, 25. So, another 10-12 stores are in the pipeline coming in for that particular region, because not only untapped markets are getting opened now, but along with existing stores, where Vijayawada, Guntur, Nellore, Vishakhapatnam, those cities also have added two or three stores.
So, you would see both existing markets as well as new markets coming up. That is why for the next couple of years, you would see rampant growth coming in Telangana upcountry market as well as for the Andhra upcountry market.
Manoj: Correct, sir. So, that was very helpful. Thanks a lot and wish you all the best.
Karan Bajaj: Thank you, Manoj. Thank you.
Moderator: Thank you. Our next question is from the line of Ashish Raut from ZK Securities. Please go ahead.
Ashish Raut: So, very good evening, sir. I have three questions to ask. So, the first question is, what growth rate should we expect in our average ticket size for the upcoming years?
Karan Bajaj: Okay, Ashish ji, growth rate for ticket size, I think, except few categories, it will be difficult now because everything getting manufactured in India and market getting competitive, especially for

the premium products, we would not look at a major growth in the prices until and unless there is a technology change. Like for example, a 75-inch ultra HD television would cost you INR1.5 lakhs, whereas a QLED would cost you INR2.5 lakhs.
So, until and unless there is an 8K television that comes in that particular segment, where the price or the ASPs would increase to INR3.5 lakhs-INR4 lakhs rupees, that is where we would see an increase in price. But apart from that, we would actually see the volume growth coming in rather than an absolute value growth in those particular ASPs or categories.
Ashish Raut: Okay. And the second question is, how much inventory do we stock up in new stores which are yet to be fully operational?
Karan Bajaj: The inventory, how we do it is over the counter products initially, yes. The newer stores will have lower productivity. So, for the over-the-counter products where the stocks have to be available at the store like kitchen appliances, small appliances, IT products, accessories, laptops,

32-inch televisions, 43-inch televisions, these kind of categories are kept one is to one, one is two kind of a ratio. And once the productivity of the store increases and we know the throughput or the potential of the particular store, then we increase the inventory at store for those particular products.

Ashish Raut: Okay. Understood. And lastly, what has been our same store sales growth in the NCR? Sorry, which region? So, what has been our same store sales growth in the NCR?
Karan Bajaj: Sorry, which region?
Ashish Raut: So, what has been our same store sales growth in the NCR?
Karan Bajaj: In NCR, sir. the NCR for the first set of eight stores that we had opened up, those stores are upwards of 70% growth, sir. And then that is nothing to be proud on that or I would not say that 70% is something that you do not look at as a benchmark number. But the cooling season did very well this year. Then last year, it was not that high. So, that is why you would see that such a big number growth coming in for that particular SSG there.
Ashish Raut: Okay. Thank you, sir. Thank you. All the best.
Karan Bajaj: Thank you.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Karan Bajaj: Thank you, everyone. I would like to thank you all for joining in the call. I hope we were able to answer all your questions. And for any other further queries, you may get in touch with the CFO or team or Mr. Deven Dhruva from SGA. And we would like to address all your queries here on. Thank you very much.
Moderator: Thank you. On behalf of Electronics Mart India Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2024

To,
Listing Manager, The Secretary,
The National Stock Exchange of India Ltd., BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for the First Half Year and Second Quarter ended 30th September 2024 held on 11th November 2024.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on Monday, 11th November 2024, at 04:00 PM to discuss the Un-audited Financial Results for the First Half-Year and Second Quarter ended 30th September 2024. The same is also available on the website of the Company at the below-mentioned link:

https://investors.electronicsmartindia.com/earning-call-transcripts-and-investors-presentation

We request that you take this information on record.

Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 13th November 2024
Place: Hyderabad

"Electronics Mart India Limited
Q2 & H1 FY25 Earnings Conference Call"
November 11, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th November 2024 will prevail.

MANAGEMENT :

■ MR. KARAN BAJAJ – CHIEF EXECUTIVE OFFICER – ELECTRONICS MART INDIA LIMITED
■ MR. PREMCHAND DEVARAKONDA – CHIEF FINANCIAL OFFICER – ELECTRONICS MART INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Electronics Mart India Limited Q2 and H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask question after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Karan Bajaj, CEO of Electronics Mart India Limited.
Thank you, and over to you, sir.
Karan Bajaj: Thank you. Good evening and a very warm welcome to everybody present on the call. Along with me, I have Mr. Premchand Devarakonda, our Chief Financial Officer. We have uploaded our results and investor presentations for the quarter and half yearly-end FY'25 on the stock

exchange and the company's website. I hope everyone had a chance to go through the same.
In H1 FY '25, our revenue stood at INR 3,361 crores, reflecting a growth of 13% year-on-year. Our EBITDA stood at INR 238 crores against INR 227 crores, also growing by 5% year-on-year with EBITDA margins at 7.1%. In Q2, heavy rains in South India have impacted demand. But we anticipated that the consumer spend will rebound as conditions normalize. Additionally, Q2 tends to be a softer period for electronic retailers and this year, we faced additional challenges as well.
As mentioned, with South Cluster, especially Hyderabad and Vijaywada, our key markets experienced heavy rainfalls, causing reduced footfalls and weakened demand. Air conditioner sales were impacted by the extended monsoon. However, the category also demonstrated resilience as a consistent performer, maintaining steady sales for the first half of the year and showing a growth of 46% in Q2 FY '25, a growth of 24% Y-on-Y.
Large appliances contributed to maintain their spot as the largest revenue contributor. For H1 FY '25, large appliances contributed 46% to the revenue, mobile phones contributed 42% and small appliances, IT and other categories contributed 12% collectively. In the first half of FY '25, we continue to expand our store footprint. We have opened 18 new stores, our store count as of September 2024 stood at a total of 177 stores, out of which 164 stores are the multi-brand stores, 13 are exclusive brand outlets.
We are present in 70 cities across 6 states currently. In NCR region, we have reached up to 25 stores. We remain confident in our full year guidance of adding 25 to 30 new stores. Going forward, our strategy would be to further strengthen our presence in Delhi-NCR cluster and the existing market at the same time. As we prepare for the upcoming season, we expect consumer behaviour to revolve with an increased focus on premium electronics.
Moving towards working capital, we typically see an increase in inventory during the September end in preparation for the festive period. As of September '24, our inventory days stood at 62. Going forward, our strategy will be to focus on optimizing inventory levels to drive higher cash flow conversions, which will further strengthen our balance sheet. Same-store growth for H1 of FY '25 came at 6%. And I'm also pleased to report that our North cluster has remained EBITDA positive for the 3 consecutive quarters and we expect this improving going ahead, our goal is to

steadily improve margins in the North cluster, aligning them with the performance of the South cluster.
As India continues to move up the ladder in terms of GDP per capita growth, the increased disposable income is fuelling great demands for premium consumer durables and electronics such as air conditioners and washing machines, refrigerators. With increased purchasing power, more households can

afford these products, transition from aspirational purchase in the cities in
many urban and semi urban areas.
Additionally, a growing middle-class population, coupled with improved access to financing options and innovative product offering, is expected to significantly boost sales in these 3 categories, driving further growth going forward. At EMIL, we strategically partner with top brands and offer a wide range of products pursuing us to serve a broader base of customers. As India's GDP per capita continues to rise, we have been witnessing increased demand for high-quality consumer durable with a noticeable shift towards with the top 5 brands in key segments. Our comprehensive product collection enables us to meet this growth demand. While our focus on trusted brand drives customer satisfaction, this powerful combination of strong brand partnership and broad product offering position us for significant growth going forward.
With this, I request Mr. Premchand Devarakonda, our CFO, to update you on the financial performance. Thank you all.
Premchand Devarakonda: Good evening, and warm welcome to all the participants. Let me begin with the Q2 FY '25 financial overview. Our revenues for the quarter stood at INR 1,386 crores as against INR 1,303 crores in Q2 FY '24 with a growth of 6% year-on-year. EBITDA for Q2 FY '25 stood at INR 84 crores as against INR97 crores, a degrowth of 13% year-on-year. EBITDA Margin Q2 FY '25 stood at 6.1% as compared to 7.4% in Q2 FY '24. Pre Ind-AS EBITDA for Q2 stood at INR 54 crores with a margin of 3.9%. PAT for Q2 FY '25 stood at INR 25 crores as against INR37 crores, a degrowth of 34% year-on-year.
Moving on to the H1 FY '25, our revenues stood at INR 3,361 crores as against INR 2,987 crores in H1 FY '24, a growth of 13% year-on-year. EBITDA for H1 FY '25 stood at INR 238 crores as against INR 227 crores, a growth of 5% year-on-year. EBITDA margin for H1 FY '25 stood at 7.1% as compared to 7.6% in H1 FY '24.
Pre Ind-AS EBITDA for H1 FY '25 stood at INR178 crores with a margin of 5.3%. Same-store sales growth for H1 FY '25 was 6%. PAT for H1 FY '25 stood at INR97 crores as against INR

98 crores, a decline of 1%, which is marginal. For H1 FY '25, SSSG sales rate stood at 6%. ROCE and ROE on an annualized basis for H1 FY '25 stood at 17.8% and 13.2%, respectively. The working capital days as on 30th September '24 stood at 66 days. The gross debt and net debtto equity stood at 0.4x and our net debt-to-EBITDA stood at 1.09x. Pre Ind-AS cash flow from operations stood at INR 260 crores. In this brief presentation, may I now open the floor for questions. Thank you one and all.

Moderator: We have the first question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: First question, Karan, is there has been some growth moderation in Q2 after the very good Q1. You alluded to some sort of operating challenges for that. I just wanted to check, has there been some postponement of sales into the current festive? So if you could just help us understand how has been the trend so far in Q3?

Karan Bajaj: Devanshu, if you see historically also Q2 is always a lower quarter compared to Q1 and Q3, so Q3 becoming a festive period quarter where Diwali and Dussehra is there versus no big festival, no big product launches during the Q2. So that definitely impacts. And then moderate rainfall versus a heavy rainfall, which we experienced this time in lot of geographies that we are present in, definitely impacts a lot of footfall.

So that is, not like the only reason, but one of the key reasons for the lower growth, I would say. And definitely, what is happening is, trends over the years, whereas the festive period becomes like a go-to market for consumers to come and buy because there was a discount, cash backs and offerings by all retailers and companies.

So definitely, as s

omebody buying a product during the last week of September usually would postpone it by a weak or so, because this year, if you see, we started the festival on the 2nd of October with first Navaratri on the 3rd October. That kind of postponed buying is always there. Q3 has been good, no doubt on that. The festive period was -- there were no struggles in festive period. But then how the Q3 pans out during November and December is major importance because usually, we would see a little dip in sales post the festive period once all the brands and cashback offers would get reduced, starting this week. So then you would see that impact coming there as well.

But overall, no complaints. So this was -- there has always been a quarter where -- there is one of a quarter where the numbers go down a little bit because of a lot of external factors but as expected, Q1 did well as expected. Diwali did well. That is in line with the numbers that you would expect, and then you have a lot of costs involved in running operations, especially for new stores that get launched during that quarter or new stores that are getting ready. So a lot of capex involved, a lot of manpower already onboarded.

All of those things bring down the margins a little bit. But all is under control and in alignment of what we had planned for the new store opening expansion seasons, for the Diwali season that we had planned because we had to -- from inventory perspective also, we had to buy out a lot of stocks in the last week of September, and that was the time when iPhone 16 also got launched. There were a lot of reasons that we had to increase our inventory. That's why you would see 62 days of inventory on the books because first week of October itself would be the beginning of the season starting from Navaratri. We had to get all the stocks ready and in our warehouses. So you would see that cost also going up a little bit, yes.

Devanshu Bansal: Understood. Karan, just qualitatively, if you could indicate between Navaratri and Diwali, which is a 30-day period, like-to-like this year versus last year, how have been the trends? Any qualitative or quantitative numbers that you can throw here?

Karan Bajaj: Navaratri and Diwali, obviously, will not be able to give you an exact number on that, but the flavor has been good, all positive. So there was -- so it has been in line with what we saw historically on the 15th of August this year, what we saw during other big festival days. Navaratri and Diwali and Dussehra, Dhanteras have all panned out to our expectation.

So there is no complaints there. In fact, a few regions that you saw being flat, like, for example, the Hyderabad cluster being flat during Q2 has also performed really well during Diwali, though definitely it is not that high growth from that region, but the base being very high, we still saw good growth coming in from that region as well.

Devanshu Bansal: Understood. Lastly, Karan, I wanted to check the company has done a good job with no major increase in working capital despite 18 new store additions in first half. Typically, in the industry,

we see peak inventory levels at year-end, right, because of all those air conditioners stocking
that we have to do to sort of fulfil the season's demand. So I just wanted to check what is your
expectation on debt level for the company at year-end, right? So we may have to sort of invest
in the inventory. So any thoughts on that?
Karan Bajaj: Devanshu, just to actually detail out your question a little further. So more than year-end on 31st
March, definitely, you will see higher -- not higher debt levels, but higher inventory levels
panning out because of the cooler, AC and refrigerator category being in demand during that
particular season of summer. But if I give a comparative to our Q3 numbers, then you would see
a much drastic difference in terms

of the number of inventory days and debt levels both panning
out on 31st of December.
Because it has already been - whatever inventory we get planned out for Diwali has already been
sold, so we're not carrying a lot of inventory currently with us, except a few categories, which is
part of the plan that we have, where we have additional offers.
We usually would end up buying a little more stocks for this quarter as well, where it will support
us on the margins. So apart from that, everything is in line. And the debt level also would be in
line. It will not be -- historically, what we would see right now comparatively, it will keep on
going down, not drastically, but a little bit going forward as well.
Devanshu Bansal: Okay. So even after these 12, 13 more additions in H2, you do not see any significant increase
in debt levels, right?
Karan Bajaj: Yes.
Moderator: We have a question from the line of Prafull Rai from Arjav Partners.
Prafull Rai: I just have one question. We have guided for a 20% kind of revenue growth for the year, and
that is what the general guidance we have been giving. Do you think you'll be able to meet that
kind of a guidance given the sales in the festive period?
Karan Bajaj: Hi Prafull, yes, we were looking at a 15% to 18% growth. That is what we've been commenting
out in the market every time we meet someone. So 15% to 18% is what we comfortably achieve.
That is not a problem.

Prafull Rai: So it should be able to make up for the kind of a low growth in Q2 in the rest half of the year,
right?
Karan Bajaj: Yes. if you look at the numbers where what guidance we have given out or what numbers you
would pan out, we are more or less at 50% mark of it anyways. So we don't worry. about how-
what has been behind us versus what is going to come in the future. So, Diwali went well, things
are under control.
Now, the only delta that you would see in the higher number would be by the end of Q4, where
summer sets in early, as early as second or third week of March, and we'll have an additional,
say, INR100 crores, INR150-odd crores of sales happening during the last 10, 15 days of
summer. Apart from that, you will not see a major change. There will be a delta of INR100
crores, INR150 crores, not more than that.
Prafull Rai: And secondly, on the margin side, see, when we started rolling out in NCR region, we saw some
kind of a margin dip because of expenses involved. But now it looks like we are stabilizing there.
So did you see some kind of operating leverage playing out for us?
Karan Bajaj: Prafull, just to answer your question, what will happen is, right now, we're at 25 stores. We are
adding up 6 stores in the next 20, 40 days. So what will happen is because of the denominator
being lower, additional 7, 8 stores together adding up in the next, say, next couple of months or
a month or so, it will automatically bring down the margin a little bit. But we are looking at that
region to stabilize.
We have to give it a little more time, but we are looking at that region to give us a similar kind
of margin at least for the existing stores, the 7, 8 stores that we opened 2 years back. So those
kind of stores will start giving us almost similar number in the next 12 months or so. We're
looking at that region growing in terms of giving us a leverage on our balance sheet in the next
12, 14 months, nothing before that.
Prafull Rai: So you will start seeing some kind of inch up happening there in terms of the operating profit?
Karan Bajaj: Absolutely. We're not looking at a loss there right now. That is what is more alarming if that
would be the case. Right now, we're not looking at anything in the last 3 quarters going forward,
even this quarter did well. So looking at that number, we are quite confident that we don't need
to worry about that region and get stabilizes from here on.
Moderator: We have a qu

estion from the line of Omkar Chitnis from Trade Brains Private Limited.
Omkar Chitnis: Sir, I have a couple of questions. From last 2 years, I'm observing that from Q1 FYI '23, net sales

per store is reducing. In Q1 FY '23, the net sales per store was INR12 crores at presently INR7.2 crores. Is there any rectification action we are taking for this?
Karan Bajaj: Yes. So Omkar, actually, you pointed out the right question where I think the right comparison would be that what are the additions of stores that we add up on square feet that we add up in that particular quarter or the year. Last 2 years, as you said correctly, we've been expanding

drastically and we've added new clusters and we added new space at a much higher rate than what we've been doing in the previous years or quarters.
That is why you would see that the average ticket size or the revenue per square foot would be a little lower compared to our previous quarters. But if you look at the actual number of the sales generated from the existing outlets that we are there or the mature stores or the stores getting matured, which we opened in the last 12 to 14 months, those two have been doing really well. And then we see that number comparative number. But in the presentation and in the public market, we would actually have out total store count versus the average per square foot revenue or the revenue per store generated.
That is why because the number of store count increases drastically, you would see a drop in the productivity per store. But we can give you a complete breakup of historical data as well, whereas you can compare it at a much detailed level where you will understand that the clusters that we've opened stores, which are matured, or 12 months or 14 months older stores have also grown by 18%, 20%.
Prafull Rai: Okay. Understood. Sir, as you mentioned, there are 177 stores as of Q2 FY '25. How many stores are profitable as of now, sir?
Karan Bajaj: Sorry, how many stores are in profit?
Omkar Chitnis: Yes.
Karan Bajaj: Omkar ji, looking at 7 stores that we opened last quarter, out of which you can say that these stores will take another -- all these 7 stores will be operationally profitable because they are in the existing cluster itself. So these stores are all profitable. Only, I would say, one store that we estimated for it not to be profitable is one in Hyderabad, one in the mall, which we would expecting it to go into red in the next 12, 14 months. So that is why we winded up that store. That is the only store that we've shut this financial year till date.
And I would not say that any store is in red, Operational breakeven is required for all the stores, but the only thing that if you open a store last month or in the last 45 days, it takes up a little time for it to get matured, right? Apart from that, no other store in any region that we operate are in the red.
Only how it would -- how we would defer it is that a few stores might make a blended EBITDA of, say, store level EBITDA of say 10%, some would be at 11.5%, some would be at 6.5%. So that is how the math would work out. But Delhi/NCR region on a whole, if you see, is a newer region where the EBITDA margin would be much lower compared to our Southern cluster.
Moderator: We have a question from the line of Drashti from Thinqwise.
Drashti: Sir, can you help us understand what is the unit economics of the older stores that we have? And how do we think about the profitability of those stores? What would be the growth of those stores? What would be the wage inflation and opex growth in those stores? And of the 177 stores

that we have, what proportion would be the older stores? And how are we thinking about the newer stores?
Karan Bajaj: Let's see how it would work out is that we would look at a squ

are foot average of 10,000 square
feet in the mature stores. So that is an average square foot that you take as a benchmark. And then so these stores would -- for the existing cluster because most of these mature stores would be in Hyderabad alone and few of them in the Telangana upcountry market in Andhra Pradesh in Vijaywada, Vishakhapatnam and Tirupati. These are the older stores that we opened, say, 5, 7 years back.
These kind of stores, which are in a cluster where they've already matured to, say, INR50 crores, INR70 crores, INR100 crores. These kind of stores would grow at a much lower pace compared to the newer stores that we opened in the last 24 or 36 months.
So the newer stores that we would open recently would pan out to grow at, say, 18%, 20%, 30%, depending on the lineage of the store. But the mature stores, especially in the clusters where we are cannibalized by opening a newer store nearby, those stores would look at a growth rate of

1% or 2%, 3%, not more than that until unless there is a new technology change or new addition on the floor for new technology products. But these stores are all matured at, say, INR70 crores, INR80 crores on an average.
So that way, the EBITDA margin for these particular stores would look at, say, 9%, 10% kind of a number. And properties that we own where there is no cost of rental for the mature stores, then you look at 1%, 1.5% higher than the rented out stores. That is how the differentiation would be.
The newer stores would start panning out in the Southern cluster would start panning out at 5%, 6% initially for the year 1 and then eventually stabilize at 6%, 7%, 8% going forward in terms of store level EBITDA margins. And the growth rate year 1, year 2, year 3 would pan out to say 50% depending on -- for the year 1, depending on what quarter or what point we open, we were too to stabilize at 30%, 35% year 3 then would be at around 20%, 25%. And then from there on year 5 onwards, it would be at 7%, 8%, 10% kind of a number because these pockets are in Tier 3, Tier 4 towns. So you will not see a big cluster of markets and a big growth coming up there at the same time.
So it is all organic there, whereas in terms of the mature stores today out of 177 stores, you could count around 80 stores being under 24 months and the rest of the stores, especially the MBO stores are all matured over 24 months.
Drashti: Is it fair to say that it takes typically 2 years for a store to mature and after that, the growth expected in those stores would be just 1%, 2%?
Karan Bajaj: No, no, no. it depends., for example, if we cannibalize the store, for example, if I have a store in Hyderabad, which is 10 years old, which does INR100-odd crores, and we cannibalize the store because it can't take up more people than INR100 crores in turnover for big days, there's a lot of spillage and all your parking issues or a lot of those things.

When we cannibalize or we see that customers can't travel 3 or 4 kilometers or we need to open one more store in a similar cluster, then that's when we cannibalize, and once we cannibalize that store, then the growth rate is single digit there. But in case there's a market where the growth is -- the store is INR70 crores, INR80 crores and still growing at 10%, so that is a different store. Where we don't cannibalize it, there you'll see higher growth even for the mature store. But for the stores which are over INR100 crores and all, we usually would open a new store in the same periphery because there is a lot of spillage or there is a lot of leakage during big days, weekends, summer, Diwali, Dussehra, Dhanteras. So that is how we would do. Those stores will look at a number of 1%, 2% kind of a thing, which are 10-, 15-year-old stores.
Drashti: Understood. Sir, why I'm asking this is because what I've seen is in the value growth that we've seen i

n our stores has not been more than 2%, 3%, which is why I'm trying to understand how the mature stores grow because volume growth, I assume, would be hardly anything in those mature stores.
Karan Bajaj: If I give you an example for quarter 2, if you've seen an INR100 crores growth on quarter versus quarter, that is quarter 2 last year versus quarter 2 this year, out of the INR100 crores, the majority of the growth has come in -- see, the mature stores, which are over 3 or 5 years have contributed to a flattish number, say, 0.5% or 1% kind of a growth rate.
But whereas the stores we opened last 24 months have contributed to almost 80% of that growth, whereas the 8 stores that we opened up in that quarter have contributed to a total value of almost INR15 crores approximately on the INR100 crores host.
Drashti: Understood, sir. Sir, in these matured stores, wage inflation would be 7%, 8%. So is it fair to say that these are EBITDA margin declining stores perennially? Or how do you think about that?
Karan Bajaj: Yes. Absolutely. In fact, our industry, if you look at a lot of the major categories that we deal with or the brands that we deal with, we don't see a price increase. In fact, price for air conditioners have gone down by 2% or 3%, air coolers have gone down, kitchen appliances have gone down. Refrigerators, television, washing machine, the average pricing has gone down by 7%, 8% actually, not increased; the other way around.
Only apart from 1 or 2 brands. In fact, iPhone this year also got launched at a lower price than last year. So if you actually see the pricing for iPhone 16 Pro/Pro Max, which got launched in the last week of September, the pricing for the high-end models are down by INR10,000 compared to last year. If you see instead of inflation, there is a deflation of pricing, especially for high-end premium products, where like a 75-inch or an 85-inch which is priced at INR2.5 lakh, INR3 lakh is at affordable at a price of INR1.50 lakh, INR1.75 lakh this year.
Drashti: No, sir, I was asking about the employee cost increase, the wage inflation?
Karan Bajaj: Employee cost, if you see -- that's what if you see this quarter as well, that was a major hit that we had to take in our expense, the rental and the expense on manpower, housekeeping and

security all put together, we would see a higher cost involved there. So that is always -- you

would always look at a 5% or a 4% kind of an increase in that cost every year. You can't avoid that.
Drashti: Understood. And sir, in your opening remarks, you mentioned that you've seen a noticeable shift towards top 5 brands. So what would be the contribution currently? I think it was 65% somewhere last year. So what is the contribution of top 5 brands this first half?
Karan Bajaj: Yes. it would be around a similar range, but acceptance of these brands is going up day by day. Even in our Tier 3, 4 towns, acceptance of, say, an Apple device or a Samsung television. So the customers even in entry level, say, direct-cool refrigerator or semi-automatic washing machine, air conditioners. Now people are preferring for bigger brands and better brands across categories.
Drashti: Despite so many newer brands coming in, people are preferring the top 5 brands, is what you're trying to say?
Karan Bajaj: Yes. yes.
Moderator: We have next question from the line of Viraj Shah from Shah Investors.
Viraj Shah: I just had one question. Sir, within which segment we have seen outperformance in Q2, any uptick in washing machine category because of rainy season?
Karan Bajaj: So usually, you would expect that the monsoon would bring us higher sales in dryers and washing machine. But this year, it was more or less flattish or a little negative, I would say, down by 1%. Even refrigerators and washing machine, both categories were negative this quarter. So that was a surprise for us.

But then a lot of reasons for that. The whole industry was actually down by a higher number in that category. But then especially in Hyderabad, where our base was quite high for washing machine as a category, where we saw almost a 1% dip from the numbers in last year.
Moderator: Next question is from the line of Amish Kanani from Novice Investment Managers.
Amish Kanani: Sir, if you can give us some flavor of the growth, of one, which is a slow growth in the quarter and slightly better growth post the quarter in the Diwali season within mobile, large appliances versus small appliances; which one was a slow growth area in Q2 and which is the kind of, say, area or category which has picked up post Q2 where this Diwali season is looking fine for us.
Karan Bajaj: Amish Ji, not only Q2, but last 6, 8 months, the major -- the usual the growth that we've seen in the last 5 years, majority has come in from mobile phone as a category being the highest growth category individually, there is some slowdown. Mobile, which was growing at 20%, 25% in the last 5 years, now we see a 10%, 12%, 14% kind of a growth only. So that has reduced a little bit. But apart from that, large appliances have been a little flat. Television has seen decent growth. Laptops have seen a decent growth. Kitchen appliances has seen a decent growth. Other categories have seen like audio, specialized audio, all of those things, hot chimneys, those categories have seen a decent growth.

But overall, the mobile phone last 5 years, it was a growth, especially after the 4G, 5G rollout, that growth we've not seen in the last 6 months. So that is a little slower compared to what our estimation on mobile as a category would be.
Amish Kanani: That has kind of picked up post Q2? You're saying there's some sign of growth coming back.
Karan Bajaj: See, nothing. Diwali usually is a mix of all product categories, and it had the majority of the new launches during this period as well. Usually, mobile sales are driven with a lot of factors, especially new launches, new technology changes or some new features in the phone, like AI is the new thing that everybody is talking about now and AI starting at INR30,000, INR40,000 in basic phone also has become a good feature for it to sell better. So the adaptation of AI in the coming times or some better features coming in will definitely have that improvement in purchase of new devices.
Mobile phone as a category runs on 2 major conditions. One is either a really good feature or a new technology change or the upgrade cycle has to get better, whereas upgrade cycle there might be a little delay. And especially with the premium phones and the better quality of phones, we see the upgrade cycle being a little slower compared to the historic period of 12, 14 months. It has increased by a little more higher period this time.
Amish Kanani: Sure, sir. And sir, the second question is about NCR region versus Telangana and AP region. I understand there is relatively newer stores and you would expect that to pick up. Any discernible trend change in, say, similar 2- to 3-year-old store in NCR versus Telangana and AP region? Or

is the NCR as a region is as profitable as South region for us?
Karan Bajaj: Right now, firstly, the most important task there was to understand the market and deliver a similar store throughput. So we are quite confident that first, we achieve a benchmark of INR25 crores, INR30 crores in year; 1 in the NCR region. That is what we are looking at right now.
And the productivity for the first set of few stores that we opened up in the last 24 months or last 18 months, which are mature now, those stores are in line with what we would see in the Southern cluster.
But Delhi as a whole as a brand being very new there for us, we wanted to give it a little more time for it to start delivering us the numbers. It will

be too high of expectation from our group
to understand within the span of, say, 3 years or so, we start delivering a similar number that we do in South, whereas the brand is quite new, the customer preferences are a little different there.
All those things were a learning curve for us in the first 12 months, and we try to fix them and try to go from them. We see a positive growth coming in there. So we look at a very small base are done, now that growing at 40%, 50%, 60% is still a smaller number for us. We would like to create a bigger place in the going time in that region as well and start dominating that market, at least with a bigger market share than what it is currently at.
Moderator: We have a question from Rajiv Bharati from Nuvama.
Rajiv Bharati: Sir, regarding this North cluster, so for the quarter, we'll be having EBITDA pre Ind-AS loss, right?

Karan Bajaj: Sorry, I didn't get you.
Rajiv Bharati: For the quarter, for Q2, at pre Ind-AS level in the North cluster, there should be a loss, right?
Karan Bajaj: Pre Ind-AS level, exactly right, Rajiv. So there would be a decline in it because when we calculate the EBITDA post Ind-AS, the interest, the depreciation or the rental would get marked post EBITDA.
There you would see a little decline there compared to the previous quarter, but like looking at this quarter because the productivity also was a little lower compared to the previous quarter of Q1 or Q4. So then automatically, you will look at a lower number there. So that is true -- what you said is true. But then spanning out for quarter 3, quarter 4, we are in line with our expectation of being positive in that region as well.
Rajiv Bharati: When I compare this against, let's say, your South cluster where you mentioned that the SSG is, I mean, low single digits. There we have still seen we kind of held ground on the cost of retailing bit and the margins are largely stable. So this is -- you're saying it's purely the rental line item which is creating that. Above that, everything else is...
Karan Bajaj: Rajiv, what happens is that like, for example, there are almost 7, 8 properties which are not operational in Delhi as a region, for which we've already capitalized a lot of expenses. The interest has been booked because we bought these properties out and they're quite expensive property. So if you calculate all this, the cost is higher than the actual operational cost that we -- without operations that we are bearing that cost on the balance sheet with the existing operational stores.
So the non-operational stores are also very high in numbers versus the operational stores. So like in Hyderabad or in AP, Telangana region, when you open 130, 140 stores, even if 3, 4 stores are getting made, the cost doesn't impact our margins drastically, whereas in the North cluster, the base itself for operational stores is very low versus what is getting under construction today are almost 40% of the same base. So then the cost also gets negated towards the operational stores.
Rajiv Bharati: Sure. And just because your North -- the South cluster is largely static, this 70 basis point drop in gross margin, is can be purely because of the mix of this North or, let's say, in South also, we have seen a decline as well?
Karan Bajaj: No Rajiv, I would not attribute it to North-South or a particular category mix. If you see, it was a onetime quarter where you would see that kind of a dip in gross GP, whereas the product mix more or less was in line what we expected. The mobile usually in this quarter go up a little bit.
The productivity from other categories were also same.
We do not see majorly, only large appliances like refrigerators and washing machines saw a little degrowth there, but apart from that, not major concern where we would try to tweak something or be worried about something. I think it was just o

ne-off quarter where the margin
got declined. Actually, if you see the whole half year also, it is down by 0.3%, 0.4%. So not much of a concern area as well.

Rajiv Bharati: So the only bit is as and when North clusters proportion increases, the gross margin would not dip. Is it safe to assume that?
Karan Bajaj: Not really, because on a INR1,400 crores, there is a contribution from North Cluster would be hardly INR80 crores. So if you see in that context, it is a small contribution.
Moderator: We have next question from the line of Omkar Chitnis from Trade Brains Private Limited.
Omkar Chitnis: Sir, previously, I got disconnected because of network. My question was how many stores are profitable as of now?
Karan Bajaj: Omkar Ji, actually, I didn't know that your call had dropped. Sorry for that. So Omkar Ji, if you look at how -- so only the stores that we opened in the last 6 months or so, only those stores will be starting off doing operational breakeven, whereas your cost for rentals and all would get covered at 4%, 5% EBITDA margin kind of a thing.
But overall, if you see, there are no stores in red, only it is a one store that we expected it to get in red in the next 12 months or so, which was in a mall because of the rental escalation going up drastically. We have shut that store. Apart from that, no other store of ours is into red where we can -- we are burning money to run that store. So we don't run stores in that manner. So all of our stores are positive.
Only Delhi as a cluster or North as a cluster definitely is much lower in terms of profitability today because a lot of other expenses are getting added to that cluster where the base itself is so low. Apart from that, no other store, no other cluster is in red or I would say that no other cluster is in a worry of our concern where we have to start shutting stores or looking into the profitability of those stores.
Omkar Chitnis: Understood.
Karan Bajaj: The margins would like -- the mature stores in Hyderabad will give you 8%, 9%, 10% kind of an EBITDA, for example. The newer stores will start giving you 2%, 3%, 4%. So blended would be at 8.5%, 8.1%, 8.2% kind of a number.
Omkar Chitnis: Okay. Okay. Sir, as you plan 25, 30 stores going ahead, so are you planning for any QIP to fund those stores?
Karan Bajaj: Sorry, can you repeat your question?
Omkar Chitnis: As you guided for 20 to 30 stores for FY '25 going ahead, so are you planning for any QIP for that?
Karan Bajaj: No, nothing of that sort, Omkar ji. Right now, with our internal cash flows and the lines of debt available with us, we are quite comfortable for the expansion. There is another INR20-odd crores left for our capex money that we had raised during our IPO back in '22. So that also another INR20-odd crores is left with us for our further expansion of capex. So money is there. So no worries on that.

Omkar Chitnis: Okay, sir. My last question is on the Slide 6, I saw that there is 0 sales from online. From last 2 years, we are not making sales from online. Our competitors are going in online aggressively to tap a smaller market. What is our plan for that, sir?
Karan Bajaj: Omkar Ji, historically also, we never were a direct seller for our consumers online as well. We never used to sell from our own portal. So what you see online is on the marketplace of Amazon, Flipkart. So usually only when a brand that we sell like a Samsung, LG or Sony or Apple, whoever it is, is only if they authorize us to sell something online, we sell online. So not that we sell online throughout the year or we sell a lot of products. So there are hardly any listings of online category, and that is only after the approvals of the bigger brands. So we don't intend to go online and sell online until and unless they ask us to do th

at.
Omkar Chitnis: Okay. What is about tapping the Tier 2, Tier 3 cities, sir?
Karan Bajaj: Sorry, can you repeat your question, Tier 2?
Omkar Chitnis: How are you tapping Tier 2, Tier 3 cities audience?
Karan Bajaj: Yes. So with our stores, so definitely -- if you see our stores, almost 50% are in Tier 2, 3 and 4 towns as well. So in the cluster where we are growing right now, we would see good growth coming in from those clusters, but probably a different category, a little more smaller store size, a little more aggressive or differential marketing there because not necessarily that print and radio would work in every cluster there as well. So all of those things are taken care of, and we see good demand coming in from those areas as well.
Omkar Chitnis: Okay. But as you mentioned, strategy, sir, in the case of exclusive brand outlets, are you going for any ownership and operation model type?
Karan Bajaj: No, sir. Exclusive brand outlets will be only for brand like Samsung, LG, Apple. So only after

they would suggest us to open in any of the regions, we will do that, but that is not a key growth strategy for us going forward as well. Probably you might see 1 or 2 stores opening up under the EBO format. apart from that, we don't intend to open EBO formats at all.

Moderator: As there are no further questions, I would like to hand the conference over to management for closing comments.

Karan Bajaj: I would like to thank all of you for joining the call. I hope that we were able to answer all your questions. And for any other queries, you may get in touch with us or Mr. Deven Dhruva from SGA. We'll be happy to address all your queries. Thank you once again.

Moderator: On behalf of Electronics Mart India Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

EM)» To,
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BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE0O2YR01019
Dear Sir/ Madam,
Subject: Disclosure of transcript of Earnings Conference Call for the Third Quarter
ended 31% December 2024 held on 10* February 2025.
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the earnings conference call held on
Monday, 10™ February 2025, at 04:00 P.M. IST to discuss the Un-audited Financial Results
for the Third Quarter ended 31%* December 2024. The same is also available on the website of
the Company at the below-mentioned link:
https://investors.electronicsmartindia.com/earning-call-transcripts-and-investors-presentation
'We request that you take this information on record.
Thanking You,
For and on behalf of Electronics Mart India Limited
Rajiv Kumar
Company Secretary and Compliance Officer
Date: 14™ February 2025
Place: Hyderabad
Bajaj Electronics is a Trademark of ELECTRONICS MART INDIA LIMITED
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Corp. Office : M.No. 6-3-666/A1 to 7, 1st Floor, Opp. NIMS Hospital, Punjagutta Main Road, Hyderabad-500082. Ph : 040-23230244
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Electronics Mart India Limited
"Electronics Mart India Limited
Q3 & 9M FY25 Earnings Conference Call"
February 10, 2025
Eloctronics Mart india Limited
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the
stock exchange on 10th February 2025 will prevail
MANAGEMENT:
¢ MR. KARAN BAJAJ — CHIEF EXECUTIVE OFFICER — ELECTRONICS MART
INDIA LIMITED
e MR. PREMCHAND DEVARAKONDA - CHIEF FINANCIAL OFFICER -
ELECTRONICS MART INDIA LIMITED
Page 1 of 24
EMI) Electronics Mart India Limited
Moderator:
Karan Bajaj: Electronics Mart India Limited
February 10, 2025
Ladies and gentlemen, good day, and welcome to the Elcctronics Mart India Limited Q3 FY 125
Eamings Conférence Call.
This conference call may contain forward-looking statements about the company which arc
based on the belicfs, opinions, and expectations of the company as on date of this call. These
statements are not the guarantecs of future performance and involve risks and uncertainties that
are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity
for you to ask question after the presentation concludes. Should you need any assistance during
the conference call, please signal for an operator by pressing "*" followed by "0" on your
touchtone telephone. Please note that this conference call is being recorded.
Tnow hand the conference over to Mr. Karan Bajaj — CEO of Electronics Mart India Limited.
Thank you, and over to you, sir.
Thank you very much. Good evening, and a very wam welcome to everyone present on the call.
Along with me, I have Mr. Premehand Devarakonda — our Chicf Financial Officer.
We have uploaded our results and investor presentation for the quarter and nine months ended
FY'25 on the stock exchanges and the company's website. Hope cveryone has had a chance to
g0 through the same.

In nine months, FY 25 revenue recorded was at Rs.5,246 crores, reflecting a year-on-year growth of around 10%. EBITDA stood at Rs.337 crores, with EBITDA margins at 6.4% and pre-IndAS margins at 4.7% respectively.
The challenging macrosconomic environment is driven by persistent inflation pressure, subdued discretionary demand and slowing down real estate market in urban pockets. Large appliances continue to dominate as the largest revenue contributor, accounting for 45% of the revenue in the nine months FY '25. Mob

ile and small appliances contributed 42% and 13% respectively.
The store network expanded significantly during this period, with 14 new stores opened in Quarter 3. In Telangana, 2 stores were added, 10 stores were opencd in Andhra Pradesh and 2 in the National Capital Region. Gross store opening in Q4 are expected to be between 10 to 12 stores, taking the total count beyond the 200-store milestone at the pan-India level.
By December 24, the total store count rose from 177 stores as of September ‘24 to 191 stores comprising 178 multi-brand stores and 13 exclusive brand outlets, spanning 78 citics across 6 states. In the NCR region, the total number of stores reached 26.

The company has outperformed its full-year guidance in terms of store addition by adding 31 stores during the 9-month ended period. As of December 24, inventory days stood at 46 days. The company continues to prioritize inventory optimization enhancing cash flow conversion, further fortifying the balance sheet position.
India's cconomic outlook remains optimistic, with the projected growth of 10.3% to 10.5% in the upcoming fiscal year, up from 9.7%. The anticipated growth is supported by increased govemment capital spending and a rebound in demand driven by premiumization.
Further, the Union Budget of 2025 has introduced significant personal income tax relicf by lifting the taxable income limit, With an estimated One lakh crore being distributed to the middle class, this move is expected to cnhance disposable income, dircetly boosting consumer spending, particularly in the consumer-durable scotor. With greater purchasing power, houscholds arc likely to increase their spending to purchase or upgrade their home appliances and clectronics, driving overall demand growth, bencfiting both manufacturers and retailers in the consumer-durable industry.
EMIL's competitive strategy focuses on developing a comprehensive product portfolio and forging strong partnership to capitalize on the region in the demand. By offering a wide array of high-quality products, EMIL is positioned to meet the diverse needs of consumers, ensuring customer satisfaction and Loyalty. The company's collaboration with renowned brands enhances its credibility and appeal allowing to capture large market share as demand contimous to rebound.
To conclude, we have actively expanded our store portfolio over the last 2-3 years. However, as the store matures and achicves higher throughput, we expect to sce a stronger recovery in the unit economics. As revenue flow stabilizes, it will lead to improved margins on the account of operating leverage. We remain cautiously optimistic on demand recovery, maily through a strong summer scason coming forward.
With this, I request M. Premehand Devarakonda — our CFO, to update you on the financial performance. Thank you all.
Thank you, Karan, sir. Good cvening and warm welcome to all the participants.
Let me begin with the Q3 FY '25 Financial Overview:
Our revenues for the quarter stood at Rs. 1,885 crores as against Rs.1,775 crores in Q3 FY 24, a growth of 6% year-on-year.

EBITDA for Q3 FY '25 stood at Rs. 99 crores as against Rs. 115 crores, a degrowth of 14% year-on-year. EBITDA margin for Q3 FY 25 stood at 5.2%. Pre-IndAS EBITDA for Q3 FY 25 stood at 67 crores, which works out to 3.6%.
PAT for Q3 FY '25 stood at Rs. 32 crores as against Rs. 46 crores. SSSG for Q3 FY 25 was 2.8% negative, mainly due to slowdown in Hyderabad region. Excluding Hyderabad regions, all other regions have a decent SSSG.
Now, moving on to nine months of FY '25 Financials:
Our revenue for 9 months FY 125 stood at Rs. 5,246 crores as against Rs. 4,761 crores in 9 months FY 24, a growth of 10% year-on

-year.
EBITDA for nine months FY '25 stood at Rs. 337 crores as against Rs. 342 crores, a degrowth of 2% year-on-year. EBITDA margin for nine months FY '25 stood at 6.4%. Pre-IndAS EBITDA for 9 months FY '25 stood at Rs. 245 crores with a margin of 4.7%.
PAT for 9 months FY 25 stood at Rs. 129 crores as against Rs. 143 crores. For nine months, FY' '25, SSSG stood at 3.8%.
ROCE and ROE on an annualized basis for nine months FY '25 stood at 16.4% and 11.2% respectively.
The working capital days as on 31st December 2024 stood at 52 days.
The gross debt stood at 0.4x and net debt-to-cquity stood at 0.3x and our net debt-to-EBITDA stood at 1.04. Pre-IndAS cash flow from operations stood at Rs. 453 crores.
'With this, now I open the floor for question and answer. Thank you one and all.
Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Manoj Gori from Equirus Capital. Please g0 ahead.
Yes. Thanks for the opportunity. So, my first question is on the sales side. So, when I look at the overall brand's performance, whether we talk about large appliances, who are largely into refrigerators and washing machines, the categories which have been relatively been under pressure plus when I look at some of the ECD categories of the companies which have reported their numbers, so both in 2Q and 3Q, when I look at the sales performance seems to be a bit on the higher side as compared to us.

Karan Bajaj: Electronics Mart India Limited
February 10, 2025
So, even if we look at Whirlpool or IFB, they have reported double-digit kind of growth during Q3 despite a lot of sales that have been done during Scptember month, as the channel would have obviously stocked up for the festive season. So, just want to understand, where is the disconnect? Because when I look at our performance, that definitely seems to be a bit muted when I look at the brand's performance.
Hi, Manojji, you are absolutely right. So, if you look at the cluster division that we operate today in, whereas our matured stores, majority of them are in the Hyderabad cluster, which s at a flat or negative growth by 1 or 2% for us, especially where the larger appliances have been a stronghold for us for a very long time, except ACs.
Because AC, you have seen a very good growth coming from almost 40 odd percent. And that is both value and volume growth. Whereas when we look at a break-up of refrigerators and washing machines, unfortunately, we could not sce a higher double-digit volume growth in these clusters.
Whereas our newer clusters like Telangana country market, Andhra Pradesh, Delhi-NCR have outperformed and done really good. But unfortunately, what happens is that these clusters are really small on the total overall contribution that they have on the total balance shect. So, this was a problem with us in the last quarter as well.
So, until and unless Hyderabad does a good performarce, tll the time it is a bigger cluster for us, there s always going to be a much lesser growth we will see for us especially in the refrigerator and washing machine category, whereas the volume growth is around 2 or 3% only. Whereas if you see mobile phones, air conditioners, kitchen appliances, the growth is much higher. Then, you will sce an inline performance across geographics, and that would help us grow better. But saying that, we keep an eye on an everyday market share actoss categorics and comptition very closely to make sure that nothing is going wrong with us in Hyderabad because that's the biggest cluster for us. And that s on the positive for us where, you know, we have not lost even 0.5% of market share across categorics.
So, that is a good positive sign for us. And there are a lot of other reasons for the market to be a little slower in this region where we operate in Hyderabad. But we are quitc optimistic

that for
the summer coming up, it is gearing up quite well for us. And right now, the weather is also on our side, where it is supporting us that it has become a little hotter during the day in Hyderabad. So, we are quite optimistic going forward for this cluster also to outperform and deliver us better.
And to add up to your question, one more thing, Manoj fi, I would like to give out is that out of the 170-plus stores that we operate, around 75-80 stores today are the stores which have not reached the maturity level. So, in the drastic period of the last 20 or 18 months, you might have seen a lot of store expansions that happened. But ill the time the stores mature and that is where

Manoj Gori:
Karan Bajaj:
Manoj Gori:
Karan Bajaj:

Manoj Gori: Electronics Mart India Limited
February 10, 2025
you sce the actual true color of the store performing and giving us a higher growth and these are all in the newer clusters in Delhi NCR, AP and Telangana whereas in Hyderabad we have hardly opened two new stores. So, it is not about new count that are added up in the existing market in this region.
So, that is why you would see, you know, the market s getting a little slower, not supporting us the way we wanted the growth to be. But we are quite optimistic and quite happy with how itis shaping up now.
Correct, sir. Sir, two subpats on this side. One, if we look at the Hyderabad business, obviously we have a very strong presence over thare. Like, are we confident that we are not losing any 'market share into this market? And probably these are the markets which are facing some issucs at this moment.
Absolutely. As I told you, so that is what we as a homework we do every day across team and across categorics. And if you deep dive into the volume growth that is there in the market today versus what we are delivering and at the same time, the new categories are doing very well for like built-in audio, kitchen appliances, these are the categories that have actually shaped up really well in the last quarter onwards. Then we started focusing on the other products to be, you know, started selling better for us. And you would sce good growth.
AC is an exception. AC we see a 40% growth is because, you know, the penetration was lower. All the brands are very aggressive. And unfortunately, for the last few years, you might have even seen discretionary growth in pricing as well or the ASP is also going up, especially in the large appliances, which unfortunately, this year is not that great.
You are not sceing the support of price increase coming up here, the inflation going up here, you know, we would get a higher growth ratc in terms of value. That has not been supporting s, whereas the volume growth has been in single digits for the larger appliances, especially televisions at 5-6%, washing machines, refrigerator, both at 2-3%. So, you would not see a major jump in value contribution from those categories as well.
Correct. So, our market share remains intact in Hyderabad.
Absolutely.
In Delhi, if you look at even in the third quarter, our sales growth was roughly around 9%. So, that's on the SSSG side. Again, if I look at in AP Telangana, we did saw some challenges. So, did we see similar kind of challenges even in Delhi NCR? Because even there, if you look at the SSG seems to be a bit sluggish than what we would have been expecting.

Karan Bajaj:
Manoj Gori:
Karan Bajaj:
Manoj Gori:
Karan Bajaj:
Manoj Gori:
Karan Bajaj: Electronics Mart India Limited
February 10, 2025
See, that number that has been given is majorly given for the stores which have been matured over 12 months. If I actually see what is in line, so that number would be upwards of 20% for us. Or if T give you an exact number, that would be around 22.5% for the SSSG for the stores which have been operating for 12 months. Stores wh

ich are over above that is around § to 9%.
So, you would sce that decrease, I mean, you see the change there.
But overall performance of Delhi-NCR is up by almost 50% if you compare the quatter-to-quarter number. And for the first nine months, it's p by 60 plus percent, So, we are quitc happy with the performance there. And that is what we are expecting. Definitely, yes, it is a newer 'market. The more we fetch out of the market, the better it is for us. And more sooner it becomes mature and stabilizes for us in the coming times because a lot of stores that have opencd up arc not even 12 months old. So, we are quite optimistic about that cluster as well.
And this is going as we decided that we will touch a certain throughput for the first set of 8 stores that we opened up in 22 August. So, those are in line. So, majorly the SSG that you would see is for those st of § stores that we had opened initially, and then after that the other storcs. Whereas the stores that we opened in the last 24 months are up by 22%.
Correct, sir. Sir, lastly, if | may ask one more question.
Pleasc.
So, obiously, today, when we look at roughly 60-65% of the revenue comes from Hyderabad market, and we do understand these arc matured markets, the stores arc very mature, and accordingly, there will be negative drag on the overall SSSG performance.
Correct.

I'sce this contribution changing probably new stores getting, adding up in the SSSG caleulation next year. And how do you see this 60-65% moving to roughly around 50-55% and by when should we expect that? So, there are two questions. One, what would be the new percentage, new store additions in SSSG for next year? And second, by when should we expect Hyderabad contribution to come down to 50-55%?
Manoj ji, for the next year, like for this last quarter itself, sce right now for the first nine months of this year, we opencd around 31, 32 stores, and another 10 to 12 stores are in the pipelin that we will open up. We have already opened up few stores in Jan and Feb, and few more stores opening up in March as well, especially in the Delhi cluster.
So, this year, we would end up, FY 25 closing, we would end up in addition of around approximately 40 stores, whereas for the next year, FY 126 also we have 35 stores that arc already getting ready for us.

Manoj Gori:
Moderator:
Yash Darak:
Karan Bajaj:
Yash Darak:
Karan Bajaj:
Premchand Devarakonda:
Yash Darak:
Premchand Devarakonda:
Yash Darak:
So, in FY '25, we should be closing the addition by around another 35 to 40 stores. So, that we have already shortlisted in the existing clusters. I am not even adding a new cluster to this. So, to take the count up to almost 225 to 230 stores in the next financial year, that is the idea for the company for the addition of stores, which will majorly be in the existing chusters in NCR Delhi and AP and Telangana.
So, that is the plan. And as I told you earlicr, almost out of the 200 odd stores that will end up by Q4, there will be 80 odd stores which will still be not matured or still under-matured in the time that we would take it to get matured. So, almost say 24 to 36 months it takes around for the store to get matured. So, that is the number of store counts. Around 80 odd stores will be still et to touch the maturity levels in the coming times.
Sure, sir. Very helpful. I have some more questions. Wll get back in the queue. Wish you all the best.
Thank you. The next question s from the line of Yash Darak from RSPN Ventures. Please go ahead.
So, yes, thank you for the opportunity. So, first question with regards to accounting of discounts, if you can explain what leads to a reduction in gross margin in the month of December, cven historically, and how are discounts accounted in the books?
Sir, can you repeat your question because you arc not that clear. Hello?
Yes

. So, my question was with regards to accounting of discounts. Historically also, the gross margin reduces in the month of December. If you can explain how you account discounts and what leads to a reduction in gross margin in the month of December?
Sure.
Sir, the sales promotion actiritics or cashback offers, we roll out during the festive scason, that will be adjusted against the revenues. As a result, the net sales realization will come down. So, that will obviously reduce the gross margin.
Okay, but then what is the sales promotion number in the other expenses if you see? There is a line item on a sales promotion.
Sales promotion is the, nommally we also participate in the dealer buy-down charges. I mean, that is interest subvention to be borne by the dealer is accounted under the head sales promotion.
Tam sorry. I did not get it, sir.

Premchand Devarakonda: There arc two things, sir. Dealer buy-down is nothing but the interest subention to be borne by the dealer. So, that is shown under the head sales promotion, whereas cashback offers will be knocked off against the salcs revenue.
Yash Darak: Interest subvention.
Premchand Devarakonda: Yes, these are two different things.
Yash Darak: Okay, and if you could give me the gross debt, I think the debt was supposed to be reduced by the financial year end, but the amount of interest has increased quite a bit. So, what has led to

that increase, and if you would give me the amount of gross debt?
Karan Bajaj: To answer your question, the interest would even contribute from the IndAS 116 which is the adjustment that we do. The interest and depreciation would be a little higher because we keep on adding up stores. So, the rental adjustments and the lease liability is added up in interest and depreciation after EBITDA rather than the expense out on rental income. That is the method that we follow. But in tems of the actual debt, if you want, I can give you a breakdown on that as well. Give me a second.
Sir, if you actually sec the term loans that are there versus the borrowing that is, so, there is a decrease in the term loan, working capital requirement, and there is an unseeured working capital loan. There are three different debts that we operate in. Whereas the working capital has gone up significantly is majorly because we started purchasing for the Diwali scason, and then cventually that will come down if you compare i to the 31st March numbers and the 31st December mumbers. So, there will be a significant decrease there.
Ifyou look at last quarter versus this quarter also, there is a significant decrease there. Whereas the term loan for buying properties has gone up a lttle bit because we ended up buying a lot of propertics and a lot of registration is due for us, which we completed in Quarter 3. That was all the advances that we had given out in the previous quarters as well. So, the term loan would have gone up a lttle bit. But whereas if you see the working capital loan and the unchecked working capital loan, both have reduced drastically.
Yash Darak: Can you please give me the amount?
Karan Bajaj: Yes, sit. So, from the sccured working capital loan, which was at Rs.429 crores previously, it has come down to Rs.322 crores and the unsceured working capital loan has reduced to Rs.L.9 crores.
Yash Darak: So, I guess the total debt is around Rs. 325 crores.

Karan Bajaj:
Yash Darak:
Karan Bajaj:
Yash Darak:
Karan Bajaj:
Like in this term loan s also there. I did not tell you the term loan I just told you about working capital. Term loan has increased. Term loan has now gone up toall the propertics all put together is around 200 crores. So, the total borowing if you see on the 315t December, it would be around 530 crores.
Okay. Than

k you, sir. And with regards to guidance, do we still maintain the annual guidance which was carlier given? I think it was around 15%. Do we still maintain it or are we supposed to reiterate or revise?
1 think that should be in line with the numbers. So, the growth is around 10.5%, 10.6% to be precise for the first nine months. And then we arc looking at a decent growth coming in in Quarter 4. So, in line with what we were expecting, so that should be there. But the bottom-line revision was already discussed in the previous quarters as well because the gross margins got diluted by 0.75% and the expenses up by almost 0.6%, 0.7%. So, we are expecting the bottom line to take a litle impact in the previous year. And it will be in line with what we were expecting it to be.
So, we don't see a drastic change there. But we are quite optimistic in terms of what is in future for us, especially looking at the performance in Jan and Feb, and then the other clusters that we are operating, especially Delhi, Telangana, country market, Andhra. And the new stores also that we opened up are performing quite well for us. So, we are in line. There are times where, you know, a company would face a situation like this. But we are quite comfortable, and we are quite optimistic on what is up in store for us.
Okay, sir. Thank you. Got it. Only with regards to the first question, the interest subvention, which s something I am not really clear about, can I get back to you on that?
Twill tell you the number also. So, if you compare the Quarter 3 FY 24 mumber, which stood at around Rs. 48.3 crore, has increased to Rs.51.5 crores in the FY '25. So, this is basically the dealer buy-down, because most of our sales happen through NBEC, like Baraj Finserv, IDFC, HDB, HDFC. So, what happens is that when a customer walks in, especially during the Diwali period, the price becomes very competitive. And usually, no dealer charges the dealer buy-down. So, there are two major aspects when financing a case. One s the manufacturer buy-down and another one s the dealer buy-down. So, mamufacturer like Samsung, LG, Apple would bear their side of interest, whereas the dealer also is charged a bit. So, the customer gets an absolute 0% interest fiee EML So, usually a lot of dealers would embed that pricing in the cost itsclf, whereas we don't do that. So, any mode of payment on our store would have the actual discounted price available for the customer, whereas if he opts for a financing option through NBFC, then there

is a dealer buy-down charge, which we take it under our hit, you know, as a cost to us. So, that is where that is something directly proportional to the sell-out that we do through NBECs, just like a credit card charges.

Yash Darak:
Karan Bajaj:
Moderator:
Tanay Shah:
Karan Bajaj: Electronics Mart India Limited

Okay, got it, sir. Thank you. Thank you so much.
Thank you, sir.
Thank you. The next question is from the line of Tanay Shah fom DAM Capital. Please go ahead.
Yes, hi. Thank you for your opportunity. Just wanted to understand, has there been any improvement in demand across the product categories which we operate in? And given that winters have not been so harsh, you know, have you kind of started sceing some sort of stocking for the summer-led products like, you know, the RACs and all the other smaller appliances as well? So, just wanted to understand on that aspect.
The sccond question would be in terms of water heaters, what we do, right? So how has the demand been in the previous quarter? And, you know, ifyou could just kind of give some flavor on that as well.
Sure, definitely, as I told you like the summer has sct in a litle carly here in the region. So, we would se a little higher growth coming in air conditioner and air cooler for us. Usually, we would start off by, say, Feb end, it has already started up right now. So, we ha

ve been preponed
in 1520 days. So, that is an advantage that we arc looking at as we talk right now.
The demand looks good. Especially mobile phones, that was a little sluggish for the last few quarters. Especially after the S25 launch, we saw good sellout during the first week of February, but obviously whenever new model launches, it is there for a week, 10 days. So, we do not attribute that to the wholc quarter. But we saw good demand coming in there as well.
So, premium phones are still doing good for us. So, there is not a slowdown there. The (27:15) appliances, the kitchen appliances overall have started doing very well. And then water heaters and room heaters both did perform really well, especially in the north region during the last quarter, whereas water heaters in Hyderabad are at a single-digit growth, whereas in newer clusters, again across the country, because of summer here, you would see a little slowdown in the going quarters for this water heater and room heater category.
But saying that, now it has become more like a 365-day product. If there is a new apartment or avilla coming up, usually people put in these categories, whereas real cstate has been a little slower here in this region for the last few months. So, we would definitely sce that kind of an impact. But once everything stabilizes, when the real estate starts picking up and the new home buyers start moving in, not only room heaters or water heaters, but a lot of other categorics also sce definite improvement going forward in this region at least.

Tanay Shah:
Karan Bajaj:
Tanay Shah:
Karan Bajaj:
Tanay Shah:
Moderator:
Saumil Shah:
Karan Bajaj:
Saumil Shah:
Karan Bajaj:
Saumil Shah: Electronics Mart India Limited

So,if I got thatright, you arc trying to say that we have preponed our stocking for RACs and air coolers much before, like around two to three wecks, and demand is supposedly going to be g00d. And at the same time, we arc saying that water heaters did well in the northem market. Is that right?
Yes, yes, absolutely. And what happens is that we already, irrespective of the season, preponing or postponing, we usually start stocking up as carly as Jamuary. So, we were all ready for RAC business and air cooler business anyway. But now we have started stocking up a little more depending on the sellout that we will be doing on a daily basis right now.

Understood. And the other thing I wanted to know is just sort of a different kind of a question that what percentage of our overall sales would be consumer finance? Like what would be...
65%.
Okay. Got that. Okay. Thank you so much.
Thank you. The next question is from the line of Saumil Shah from Paras Investments. Please g0 ahead.
Yes, hi. Thanks for the opportunity. As you mentioned to previous participant, we are in line fo achicve our revenue guidance of 15%. So, in terms of bottom-line, can we achicve our previous year's PAT?
Sir, it will be too early for me to comment on that. Butyes, definitely, obviously, if you compared to the previous quarters that we have delivered, there has been a decline. So, I can't deny that fact that there was a declin in the PAT levels. But we are trying to improve them. But obviously, you know, we won't be able to surpass with a very big growth number in terms of the PAT ‘margins this year. So, that will be also in line with more or less what we have delivered last year. But we are confident that that would happen, but I can't promise you that it will, you know, surpass those levels and grow nmuch, you know, about that because we have already passed three quarters in this year.
Olay. And in terms of guidance for the FY '26, what can you expect in terms of revenue and EBITDA we can reach our carlier guidance?
Sir, next year, see, right now it will be too early to comment on next year again. But with the new store additions that have happene

d, and the stores are about to get mature, alot of stores arc
yet to get matured, and the new stores that we will be opening up next year, I think a 15% Y-on-Y growth should be quite comfortable for us to achieve next year as well
And in terms of EBITDA margins?

Karan Bajaj:
Saumil Shah:
Karan Bajaj:
Saumil Shah:
Karan Bajaj:
Saumil Shah:
Karan Bajaj:
Saumil Shah:
Karan Bajaj:
Saumil Shah:
Karan Bajaj:
Saumil Shah:
Moderator:
Dhruv Modi: Electronics Mart India Limited

Shouild be in line, sir.
Inline of this current quarter or the previous quarter?
Sir, the same mmber that you would do on a regular basis, the percentage-wise, it should be in line with the same number.
15%.
15% more or less, yes.
No, I am talking about EBITDA margins around 7-8%.
Yes, EBITDA margins arc at pre-IndAS levels arc at 7%, i, sorry, post-IndAS levels are at 7%, which we look at, say, 1.2, 1.3% lower post-adjustment of rentals there. I think that should be the number that we are looking at, sir, around 7%, 6.8 to 7% comfortably.
Okay. And so, my final question, in terms of debt, where can we see by the end of this year?
The debt levels again by the end of this year would again be in line only. What you have scen on 31st March is because of the purchase of summer. So, a lot of advances go out, a lot of inventory is carried. The debt levels will be majorly for working capital only, for the inventory. And once the cycle will go down to the summer end, you would sce the decrease in quarter 1 numbers. Because we exit the season by June, the inventory and cooling product reduces drastically, sir.
Okay. So, by March end, we can sce around 500 crores of net debt.
Lesser than that, sir. And then there will be two cyeles, sir. Because your summer s one, one is Diwali. So, by taking these two types of advances, we take up the stocks. So, that is where you will sce an increase in working capital for these two quarters. And then the way it is reduced on the 31t December, it is drastically reduced from what it was in the previous quarter.
Okay. That's it from my side. Thank you, and all the best for the future quarters.
Thank you. The next question is from the line of Dhruv Modi from DSM Securitics. Please go

ahead.
Yes. So, Thave a few questions. Like, the first question is, which brand and specific categories witnessed, like, shuggishness during Quarter 3 of FY 257

Karan Bajaj:
Dhruv Modi:
Karan Bajaj:
Dhruv Modi:
Karan Bajaj: Electronics Mart India Limited
February 10, 2025
Sir, the categorics majorly that you would see, there was not a decline in volume. So, I would not attribute it as a decline in volume growth, whereas the volume growth was, say, a single-digit growth across television, washing machines, refrigerators, the larger appliance category. But, sir, unfortunately, what has happened, the price didn't increase in those categoris. In fact, for the premium produets in television, the price has reduced a little bit. So, you would not sec a major, you know, I would not say a major degrow there because of volume, but in terms of value. But the categories that outperformed really well were air conditioners. The telephone, mobile phone, other divisions, small appliances did very well. So, these categorics cventually contributed to the growth coming in.
But othertelcvisions, air conditioning, washing machine and refrigerator, if they had contributed in line with what the other categories did, then overall larger appliances would have seen amuch better number.
Okay, got it. And the other question is, why has our employee cost increased by 29% on year-on-year basis?
Sir, the cmployee cost majorly for the new clusters that are there because the teams across AP Telangana, Andhira and Delhi have also been increased. So, you would see a little higher expense going up there compa

red to the previous quarters. Because the team cxpanded, now, we have
got a lot more people in these clusters, especially Andhra also could divide it to a newer cluster because the number of stores there are increasing. There are 15 stores there in pipeline for the coming year. So, definitely we need to increase the team there as well.
So, the costs are all under control in terms of what expenses overall we are looking at. That will be manpower cost, marketing cost or any other cost. Costs which are variable in terms of nature like sales promotion or finance cost are dircctly, you know, like your credit card charges o NBFC charges, which are dircetly proportional to the revemue that we generate on those businesses.
But apart from that, all other expenses are all under control in terms of what we expected it to be. So, nothing is in red where we fecl that it is in, you know, gone over our expectation. But building a team takes a little time and especially for the newer clusters and all. So, that is the major reason for the cost of employee going up.
Okay. And the last question I have is like, what is our store opening guidance for FY '267
FY 25, sir, L will give you the Q4 number also. Q4 number, we will add up another 10 stores this year by the end. And then another 35 stores arc in the pipeline for the next year, sir. Out of which we might start opening up stores by the first quarter itsclf. So, 35 stores have already been signed up for the next financial year.

Dhruv Modi:
Moderator:
Prateek Poddar:
Karan Bajaj:
Prateek Poddar:
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Prateek Poddar:
Karan Bajaj:
Prateek Poddar: Electronics Mart India Limited
February 10, 2025

Okay. Thank you very much, and all the rest.
Thank you. The next question is from the line of Prateck Poddar from Bandhan AMC. Please go ahead.
Karan, just one small question. The 35 stores which will open next year, what's the split between Delhi, Telangana upcountry and AP?
Sir, around 6 stores in the Delhi NCR region. And the rest of them are in the South region.
And how much is the split of the 20 between, let's say, AP and upcountry?
i, Hyderabad would be 3 stores, 15 stores in the Andhra upcountry market and the rest of them are in Telangana upcountry market, sir.
Hyderabad, you said it was three, right?
Yes.
So, around 11 stores in Telangana, upcountry.
Yes, sir.
Okay. And what is the split this year out of the 40 stores? Sorry, just before that, you said gross stores, you will add 10, 12. Does that mean that you will be cutting or, I mean, closing some of the stores or this is the next store add for Quarter 42
Sorty, no, 10 stores will add up in the next, in this quarter, Jan, Feb, March, and Quarter 4.
Thats gross, you said. So, 1 just wanted to confirm. gross or net?
No, 1o, net, net, net. Not gross. Gross, totally, we opened around 32 stores this first nine months, no?
Got it. Fair.
We are not shutting any stores, sir. Sir, that time has not come now. When that time comes, I will tell you first. We are doing good. Don’t worry.
Surely. Sir, just the 40 stores which you add, maybe can you just help me with the break-up between again same, NCR, Hyderabad?

Karan Bajaj:
Prateek Poddar:
Karan Bajaj:
Prateek Poddar:
Karan Bajaj:
Prateek Poddar:
Karan Bajaj:
Prateek Poddar:
Moderator:

Yes. So, ill now, what we have opened up is around 6 stores in Delhi, 5 stores in Hyderabad. Telangana Upeountry market would be 7 stores, and 14 odd stores in Andhra Pradesh. This is what we opened up this year in the nine months. Jan, we have already opened up 2 stores. Between Jan and last 45 days, we have already opened up 2 stores in Delhi from the 10 stores I

am talking about the addition, so including those we are going to open around 5 more stores in Delhi which Janakpuri will open up this week. So, Janakpuri, already the soft launch is done. So, because of the graph there, I mean, because of the pollution being higher there, the construction was stopped for the last few months. That is why its delayed. Same thing, what happencd last year where we opened 6 stores on the 30th of March last year as well.
This will be a similar number this year as well. We will end up opening up the majority of the stores by this week, next week and the last month of this year. So, that is the idea for Delhi NCR. And then few more stores opening up in Telangana upcountry market and Andhra as we talk.
So, the total store addition this year in FY 25 would be around 40 stores, which will take the total store above 200 stores for the group. And next year, again, 35 stores, what we have already signed up for FY 26, where the handover of the property or the construction is under way, where we will statt opening up by the first quarter of next year.
Okay. Sorry, just going back. 40 stores, 10 stores are in NCR. How much would be out of this 40 in AP and Telangana? How much is AP? I mean, ex-Hyderabad, I am saying.
Hyderabad would be around the 15 itsclf.
So, basically this year you have not opened any store in Hyderabad. That's a fair understanding.
Yes.
Okay. And whats the store count of Hyderabad? Last question.
So, Hyderabad store count today stands at 69 stores. That includes all EBOs put together.
Thats fair. That's fair. Okay. Thank you. This is very helpful. Best wishes.
Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.
Now, sir, questions from my side. You have given the store level breakup across regions. If I

look at profitability, so next year, what are you modeling in terms of margins for NCR region? Given the 9 months, they are pretty nuch flat today. So, you know, if the growth trajectory s similar to what we have done this year, will we be able to do 6-7% margins for the first 10-12 stores which were there in NCR?

Karan Bajaj:
Ankit Kedia:
Karan Bajaj:
Ankit Kedia: Electronics Mart India Limited
February 10, 2025
Ankit ji, those stores definitely, yes. if you look at store-wise, EBITDA, or store-wise profitability, gross margin levels, those stores will be at that count. But if you look at the new stores, that will definitely drag down the overall mumber for NCR. But the mature stores will be all in line. Probably not 6-7% the way it is back home in Hyderabad or AP and Telangana.
Tt will be down by a percent or two because the cxpenses there inifially would be a litle higher, say, your cost of manpower, rental, marketing and all in terms of the revenue that we generate per store, beeause the productivity per store is much lower compared to the existing market. So, you would look at those numbers being a little high, and the gross margins or the EBITDA umbers at the store level would be down by 1% or 2% compared to the existing market.
But saying that overall number in Delhi, which we have guided that we will touch a certain throughput,itis on par with that. And we are quite optimistic on that region going forward. The newbig stores that are opening up 6 of them are all the big clusters like Kalkaji, Janakpuri, Pitam Pura that we opencd up recently. So, all are bigger cluster stores and going forward we feel that Delhi should be shaping up quite well for us in FY 26 as well.
Sure. And if T could look at new state entry next year, are we planning any, say, getting into Lucknow's side of the market o it will still be purely NCR next year?
Definitely the existing clusters need more stores. That is why the addition of 35-40 stores in the coming year would definitely be there. But saying that, we even have to look at a balancing act between the exi

sting clusters and newer clusters that we would approach.
There are newer clusters like Orissa, Westem UP, probably Lucknow, you kuow, a part of Haryana expansion that we are doing p, you know, from Gurgaon and Mancsar and Rewari and those places. So, definitely the new market that we are looking into, but I am not surc that how soon we will be able to start those operations in those arcas because more than that, we want to fortify our existing clusters. And Delhi is a very big market today.
Delhi, we would be ending up at 30-32 stores by next year. We want, you know, by opening up next financial year. We want to be more stronger in that region. So, if it demands for us to open more stores in Delhi-NCR, or periphery of Western UP, we will start that immediately. So, right now, we will end up the year first and concentrate on increasing the productivity in the cxisting stores and growing in the existing market and then take a step forward in the newer clusters.
Sir, my last question is on commission and incentives. Given that, you know, your growth this year has been a little muted around, you know, just double-digit, do you think brands will give you the similar incentive and commission what you were getting before, given that in South market, predominantly Hyderabad core market, we have in Corona actually declined?

Karan Bajaj:
Ankit Kedia:
Karan Bajaj:
Ankit Kedia:
Karan Bajaj: Electronics Mart India Limited
February 10, 2025
Yes, that is in line. So, that would not change per se. Because sce, you are not looking at a degrowth by 50, 70, 100%. You are not looking at a big number change there. You are talking about few digits here and there. So, brands don't take you for a ride for such a growth or a degrowth because sce, the growth is coming in the newer market. So, overall contribution that we give out to the brands are in line with what, you know, our contracts or what we promised. So, that docsn't change per se.
But if you keep on degrowing quarter-on-quarter with a nmuch higher number or you stop doing a brand or you stop catering to their product range or anything of that sort of a major decision like that, then that will impact your margin. Not the smaller changes here and there. Because they also understand, right? They understand the market, how it is behaving. And it is not a temporary relation that you create with a manufacturer. That s why we deal with the bigger brands, where our relationships are much stronger than a quarter.
Fair point. And the last question is on mobile handset salcs. You know, we have scen a

disproportionate increase in mobile handsets, which comes at a lower margin. Are you comfortable at this, you know, 43%, 44%, and obviously 9 months the number s lower? Or, you know, its just that the demand in mobile handset continucs to be so strong that the margin trajectory will be foreed to be lower because of that?
Sir, I can't understand your question well. You mean to say that the margins in mobile arc going to be lower than other categories? That's what you mean to say?
They are lower. We know that. But do you have a conscious choice to keep a mobile revenuc mix at a certain percentage because it's impacting your margins?
Sir, that is beyond our control. So, usually, I mean like the healthier position would be like, you know, any category which makes more money sclls better, right? So, that is an ideal situation for any retailer. But you can't demand what sells on the floor. So, if there is a good demand for us on mobile front, we definitely would like to cater to that. And it is not only a short-term product margin that you look at. Mobile on a whole is a bigger category, a much bigger ocean than what it looks like. You know, so why don't we, cater to that audience as well? So, there is nothing that stops us from catering to that audience, irrespective of the margin profile between large appliance

s and mobile phones.
So, we will be glad to grow in any of the categories that have come our way. And mobile phone is a very big market to grow in. And then eventually a customer walking info your store, Iet it be audio, built-in, kitchen appliances, small appliances, any category today, you can't shy away from selling it. Because the cycle of a customer is not necessary only for one product category that keeps on coming to your store, right? They arc looking at the array of products. So, you got to, as a retailer, focus everything and make sure the customer gets a one-stop solution for cverything that he wants.

Ankit Kedia:
Moderator:
Rohan Gupta:
Karan Bajaj:
Rohan Gupta:
Moderator:
Mehul Desai:
Karan Bajaj: Electronics Mart India Limited

Sure. That's helpful, sir. Thank you so much, sir.
Thank you. The next question is from the line of Rohan Gupta from SQ Sceuitics. Please go ahead.
Yes. Hi, sir. Thank you for the opportunity. Most of the questions are being answered. My only data-related question is when do we xpect the Hyderabad cluster SSSG to normalize?
Sir, Hyderabad, SSSG, because of stores being all matured and the produetivity per store are very high, so, obviously, this needs to get positive. Not necessarily that Hyderabad will become like a 5%, 7% kind of an SSSG. So, even if it comes down to 2-3% kind of a level, it is good cnough for us. This is in line which we see that, it is going to happen going forward. And we arc quite optimistic on that. So, there is no worry on that.
Definitely, yes. That is being the largest cluster, the whole balance shect turns around if that cluster dosn't perform well. But looking at the big days like 26th January that went past by us tight now, or the coming times now, I think it looks positive.
Okay, that is helpful. Thank you.
Thank you. The next question is from the line of Mchul Desai from JM Financial. Please go ahead.
Yes, just for store additions, I missed that part. Can you just reiterate your total store additions that you are looking at in FY '25 on an Excel basis and on FY 26 also? And also, can you split in FY 25 whatever store edition, I mean, stores you end up, how much would be in Core South Market and in NCR region?
Okay. Sit, the addition of stores was around 32 for the first three quarters of this year, or the first nine months, out of which 6 stores were in Delhi NCR, around 14 stores in the Andhra market, and Telangana, including Hyderabad, were around 12 stores.
So, that was the breakup for these 32 odd stores that we opened up this year. And then another 10 stores will add up in this last quarter, Jan, Feb, March, which wil take the store count of new addition in FY '25 to around 42, 43 stores. That is the total number. Out of which, Delhi NCRthis whole year would end up around 32 stores, more or less. And the addition for the next year would be around the 35 stores which we have already signed up.
Definitely yes, once we have more stores coming up, because we have a whole year left for us, so they will keep on adding up more stores in the existing cluster. And out of the 35 stores, again you would see around 5 to 6 stores coming up in the Delhi NCR region. And then the rest of the

stores cqually split between Andhra and Telangana, sir.

Mehul Desai:
Karan Bajaj:
Mehul Desai:
Karan Bajaj:
Mehul Desai:
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Mehul Desai:
Karan Bajaj:
Mehul Desai:
Karan Bajaj:
Mehul Desai:
Karan Bajaj:
Mehul Desai: Electronics Mart India Limited
February 10, 2025
Okay, sir. Next, in FY '26, you said 35. Only 5 to 6 stores are in Delhi NCR you said, right?
That is what we signed up now. But definitely, yes, because we are already searching for new stores in the peripherics as well, so, as W progress, because we have almost 4 quarters in that whole year left with us, right? So, as we keep on

progressing, we will add up stores. And Delhi
is going to be the major market that we will be looking into. But it is not casy to find a property in Delhi NCR, right?
Because the major markets have already been covered. And it takes a little more longer time to secure a property up there compared to down south because down south it is more like a newer market that we are opening stores in tier 3, 4 towns. So, it's much easier to geta property at your price or your rental cost for a longer lease whereas compared to Delhi NCR. So, you know, right now at 32 plus another 6-7 stores arc getting ready. So, we would look at Delhi NCR shaping up at at least 50 stores by FY '27. That is the plan.
Okay. And in this FY '25, how many store additions were done in Hyderabad? So, I mean, when youare saying this 42-43 stores will get added overall, how many stores would have been added in Hyderabad market?
Sir, exclusive brand outlets, multi-brand outlets, all formats put together around 5 stores is what we added up in Hyderabad City.
In nine months?
Yes.
And any plans to add any more in Q4?
Sit, in Q4 couple of stores arc getting so they might come in. There are 3 stores that are getting ready. Especially these are all the periphery markets of Hyderabad city which are like 30-40 kilometers away from the city center where now population increase. So, we are planning to open stores in those geographics also.
Okay. So, broadly from this 42-43 store, we are saying 7-8 would be in Hyderabad in FY 125.
No, around 5.
ForFY '25.
For 26.
No, 1o, I am talking about FY '25. You said m FY '25...

Karan Bajaj:
Mehul Desai:
Karan Bajaj:
Mehul Desai:
Moderator:
Shrinarayan Mishra:
Karan Bajaj:
Shrinarayan Mishra:
Karan Bajaj:
Shrinarayan Mishra:
Karan Bajaj: Electronics Mart India Limited
February 10, 2025
Yes, 5, 5 plus another 2, yes. Around 7 stores, correct.
Seven stores, okay. And lastly, can you give some light on how Q4 demand trends have shaped up so far? Is there an acceleration in revenue growth versus what you have seen in Q3? I mean, are we in double digits in Jan and Feb so far or?
Thatwill be too carly for me to comment on that. But I can tell you on thing that summeris sct

inalittle carly. So,itis looking great for us as a season to start off with. So, nothing disappointing right now. But having said that, it is only the Hyderabad city that has become a lttle warmer during the day, whereas other clusters for us, especially North and ofher chusters in upcountry, the weather has not changed drastically. So, we do not sce a, you know, a great jump in mmbers right now. But the revenue, daily revenue that we look at, what was a little sluggish for the last few quarters, is being a little more on the positive side, I would say that.
Okay, got it. That's all for my side. Thank you.
Thank you. The next question is from the line of Shrinarayan Mishra from Baroda BNP Paribas. Please go ahead.
So, we are already halfivay through the quarter, and I wanted to know the level of discounts and interest subvention which you are giving. Is it similar to 4Q or has it improved?
Sir, the discount structure more or less remains the same. There is not much of a difference there. So, that would remain the same. But in terms of the productivity that we sce across categorics, that has been positive. So, what was a little shuggish for the last few quarters, I would just like to comment on that, We have seen a positive sign there. So, I would not say that it jumped drastically, but yes, it is much better than what was happening in the previous quarters.
So, the gross margins, we should expect for 4Q to be ot that great?
Sorry, I didn't need a question.
Gross margins for 4Q, will it be impacted because of business promotion and discounts?
Not really, sir. So, that is always in line. That is accounted for. So, gross margins arc always accounted for the sales p

romotion and the cost of credit card or NBEC that we bear. So, there is
not much of a change there. And that is ideally so, the overall value might look higher or lower depending on the revenue that we gencrate because it is dircetly proportional to the revenue that we generate. But in terms of percentage, itis in line with what we have been doing in the previous quarters as well.

Shrinarayan Mishra:
Karan Bajaj:
Shrinarayan Mishra:
Karan Bajaj:
Shrinarayan Mishra:
Moderator:
Rajiv Bharati:
Karan Bajaj:
Rajiv Bharati:
Karan Bajaj:
Rajiv Bharati:
Okay, and much of these will be in South Cluster, right? North, we won' be giving much of the discount.
The discounts across the country more or less remain the same. So, depending on what product category or what is the demand in the market for that particular season is how discounting is increased or decreased. But across the country, it remains the same. So, not much of a difference there. And definitely, yes, because South Cluster is the largest cluster, so whatever small change, positive or negative, you sc in the South Cluster would impact the whole balance shest because the contribution from the North Cluster is hardly negligible.
Okay. And lastly, the sccond question. So, do you see some behavioral, I mean, are the NBFCs willing to land now or they are still on the backseat and we sce pressure in landing?
Sir, actually, if you sce, the lending in our industry has always been very matured compared to a lot of other assct lending classcs that they have across the industry, whereas here, the CIBIL scores have to be higher. The documentation is much more stringent. Though the net valu is much smaller than a lot of other loans that they disbursed, but we have never seen a direct impact on lending per se. And then because we have almost four to five major NBFCs that we play around with, carlicr, I think that would impact the minority of the approvals that come our way. But the majority of them should not have a problem because we definitely have a huge cluster base in Hyderabad. But whereas in Telangana upcountry matket or Andhra upcountry market, you would see a little impact due to the credit scores or the credit approval rate being a little different there.
Okay, that answers my question. Thanks.
Thank you. The next question s from the line of Rajiv Bharati from Nuvama. Please go ahad.
Yes. Good afternoon, sir. Thanks for the opportunity. Sir, with regard to your Hyderabad market, just can you specify the number you clocked in Hyderabad and also the IndAS EBITDA?
Sory, the EBITDA number for Hyderabad City?
Yes. And the revenue number also for the quarter.

Okay. So, sir, the revenue number from Hyderabad City was Rs.1,079 crores for FY 25 Q3 versus Rs.1,095 crores last year. And the Telangana upcountry market was Rs.272 crores, Andhra was Rs. 247 crores, and Delhi NCR was around Rs.128 crores for the last quarter.
Yes. Can you specify the EBITDA pre-IndAS for Hyderabad?

Karan Bajaj:
Rajiv Bharati:
Karan Bajaj:
Rajiv Bharati:
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Rajiv Bharati:
Karan Bajaj: Electronics Mart India Limited
February 10, 2025
So, the EBITDA number would be around 7.4% for the cluster down here. And Delhi would be around 0.15%, 0.2%, that kind of a number.
And this 7.4%, is there an expansion on Y-o-Y basis or not?
So, Hyderabad, if you again break that down into Hyderabad, you would sce a little decline there, to be frank. And whereas Telangana upcountry market and Andhra would be on the higher side compared to the Last year The highest EBITDA that we would gencrate would be in the Telangana upcountry market, which would be around 8%, 8.2%, approximately, whereas it would be a little lower in the

Andhra, and then the lowest in the Hyderabad city market.
So, lets say a year back, this raised a 7.4% number.
So, it would be up by, you know, 0.2, 0.3 basis.
In Hyderabad, it will be down by 0.2%, is it?
Yes, yes.
Yes. And just one question was asked regarding this incentive income. So, last year, ona full-year basis, you clocked Rs.250 crores incentive income, right? So, what is this number, for cxample, for the nine month and how has it grown?
Nine month, we would sce a little lower mmber this year is because from the last couple of years, incentive will come now. Most of them, so, incentive is basically your sell-in, sell-out support, you know, your marketing support or other heads that you get around 12, 13 heads that you would receive this money in. So, that number from say last year, for the first nine months it would be Rs.199 crors, has reduced by say Rs.5 or Rs.6 crores because that number has now been embedded in the invoice itsclf.
So, lot of companies like cash discounts or wherever they can, they are trying to embed that in the invoice itsclf rather than the over and above sell out support that they used to give out earlier. So, though the margins overall number remains the same, but the accountability part of it which was supposed to come in the incentive now has been embedded in the invoice itsclf.
Yes, but then the percentage margin should increase, right?
Technically it should, but there is a difference of Rs.5 crores. So, there is not much of a difference there.
Okay.
So, on Rs. 5000 crore you would see the difference of only Rs. 5 crores.

Rajiv Bharati:
Moderator:
Deep Shah:
Karan Bajaj:
Deep Shah:
Karan Bajaj:
Deep Shah:
Moderator:
Karan Bajaj:
Moderator: Electronics Mart India Limited
February 10, 2025
Great. Okay. Thats all from my side. Thanks a lot.
Thank you. The next question is fom the line of Decp Shah from Equirus Sccuritics. Please go

ahead.
Hi, sir, thanks for the opportunity. Sir, just wanted some clarification. So, you mentioned that you have maintained 15% top line guidance for FY '25. So, it means that you will be growing by roughly 25 odd percent in the 4th Quarter. Am I right or am I missing something over here?
It should be, yes. So, you are absolutely right. So, we arc optimistic on that mumber. But see, end of the day, it all matters, depends on the summer sctting up a little carly or the summer supporting. So, if March 2nd week if it starts pouring in Hyderabad, I can't have the control over it. But to what it is going on right now, we are looking at a trajectory of at least 21-22% right now of growth coming in with that category at least. So, that s the number that we are looking at for February coming forward.
So, I think they are quitc optimistic on that. And then depending on how the summer session becomes a little hotter during March, the second week, third week or starts pouring, that is when, you know, we will have to look into that number because the summer category majorly drives through the weather as well. But right now, things look good. So, definitely it has to be on a higher average than what we have done in the Quarter 4 and last year so that we achicve that overall number of 15% Y-o-Y.
Okay. And secondly, sir, you mentioned about 10 to 12 odd stores in 4th Quarter, storc opening in 4th Quarter and roughly 35 stores in FY 26. So, all the stores will be MBO or should we expect any EBOs also opening?
All MBOs, all MBOs.
Okay, sir. Got it. Thank you.
Thank you. Ladics and gentlemen, that was the last question. I now hand the floor over to the management for closing comments.
Thank you everyone for joining the call. And I hope that we were able to answer all your questions. And for any other further querics, you may get in touch with Mr. Deven Dhruva from SGA. And we will be happy to address all your querics. Thank you once again.
Thank you very much. On behalf

of Elcctronics Mart India Limited, that concludes this conference call. Thank you all for joining us, and you may now disconneet your lines. Thank you

Call: May 2025

EM)» To,
Listing Manager,
The National Stock Exchange of India Ltd., BAJAJ ELECTRONICS
The Secretary,
BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE02YR01019
Dear Sir/ Madam,
Subject: Disclosure of transcript of Earnings Conference Call for the Fourth Quarter and Financial Year ended 31% March 2025 held on 20" May 2025.
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on Tuesday, 20 May 2025, at 04:00 P.M. IST to discuss the Audited Financial Results for the Fourth Quarter and Financial Year ended 31* March 2025. The same is also available on the website of the Company at the below-mentioned link:
https://investors.electronicsmartindia.com/earning-call-transcripts-and-investors-presentation
'We request that you take this information on record.
Thanking You,
For and on behalf of Electronics Mart India Limited
Rajiv Kumar
Company Secretary and Compliance Officer
Date: 27% May 2025
Place: Hyderabad
Bajaj Electronics is a Trademark of ELECTRONICS MART INDIA LIMITED
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Corp. Office : M.No. 6-3-666/A1 to 7, 1st Floor, Opp. NIMS Hospital, Punjagutta Main Road, Hyderabad-500082. Ph : 040-23230244
E-mail : communications@bajajelectronics.in | Website : www.bajajelectronics.com
EMI) Electronics Mart India Limited.
"Electronics Mart India Limited
Q4 & FY'25 Earnings Conference Call"
May 20, 2025
EMI} Electronics Mart India Limited
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 20" May 2025 will prevail.
MANAGEMENT:
® MR. KARAN BAJAJ — CHIEF EXECUTIVE OFFICER — ELECTRONICS MART INDIA LIMITED
e MR. PREMCHAND DEVARAKONDA - CHIEF FINANCIAL OFFICER - ELECTRONICS MART INDIA LIMITED
EMI) Electronics Mart India Limited
Moderator:
Karan Bajaj: Electronics Mart India Limited
May 20, 2025
Ladies and Gentlemen, Good Day and Welcome to the Q4 FY25 Eamings Conference Call of Electronics Mart India Limited.
Before we begin, a short disclaimer:
This Conference Call may contain forward-looking statements about the Company, which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Mr. Karan Bajaj — CEO of Electronics Mart India Limited. Thank you. And over to you, sir.
Thank you. Good evening and a very warm welcome to everybody present on the call. Along with me, T have Mr. Premchand Devarakonda, our Chief Financial Officer.
We have uploaded our "Results" and "Investor Presentation™ for the Quarter and Full Year ended FY25 on the stock exchanges and the Company's website. Hope everyone had a chance to go through the same.
Despite the challenging environment, during FY25, our revenue stood at Rs.6,965 crores a growth of 11%, EBITDA stood at Rs.451 crores with EBITDA margin of 6.6%, pre-IndAS adjustment

'margins stood at 4.7%.
We continue to invest in long-term growth by expanding our retail footprint. Over the course of the year, we added 44 new stores. This rapid pace of expansion, while critical for strengthening our market presence led to a higher operating cost. Since the new stores are still in the early stages of ramp up and have not yet stabilized, they have not contributed meaningful

ly to our revenue but have
added to our fixed costs. As a result, this expansion impacted our EBITDA and EBITDA margins weighing over low profitability of the year. That said, we view this investment beginning to strength our long-term growth trajectory. As the newly added stores ramp up and start to stabilize over the coming quarters, we expect a gradual improvement in their throughput and contribution to overall revenue. With scale and maturity, the unit economics of these stores should normalize, leading to better cost absorption and improved operating leverage. This, in turn, is expected to support a recovery in margins and rebound and overall profitability.
EMI) Electronics Mart India Limited
P Devarakonda: Electronics Mart India Limited
May 20, 2025
Let me touch upon "Category-Specific Performance for the Year":
Large Appliances contributed to our biggest revenue driver, contributing approximately 45.4% to our total revenue in FY25 with a year-on-year growth of 12%. This growth was primarily led by strong demand for cooling products, especially air conditioners.
Our second largest category, Mobile Phones contributed 42% to our total revenue and is now witnessing more stable growth, currently tracking at around 11%.
Moving on the regional store addition:
During FY25, we opened 18 multi-brand stores in Telangana, 18 in Andhra Pradesh and eight in the National Capital Region. With these additions, we reach a significant milestone of 200 stores in FY25. This network comprises of 189 stores of multi-brand, 11 exclusive brand outlets spread across 82 cities in four states. In the NCR region alone, we now operate 29 stores.
India's economic outlook remains optimistic, with projected GDP growth in the range of approximately 6.2% to 6.8% for the upcoming fiscal year. This anticipated growth is supported by increased government capital spending and the rebound in demand driven by premiumization, alongside favorable demographic trends and expanding consumer financing. Despite global uncertainty, these factors provide a strong foundation for sustained economic momentum. Further, the union budget of 2025 has provided significant personal income tax relief by raising the taxable income threshold, effectively putting an estimated 1 lakh crores back into the hands of the middle class. This increase in disposable income is expected to boost consumer spending, especially in the consumer durable sector. With greater purchasing power, houscholds are likely to upgrade or purchase new home appliances and electronics, driving overall demand growth.
Looking ahead to the "Upcoming Financial Year™:
'We plan to open around 25 to 30 stores in this financial year of FY26. Our strategy focuses on optimizing supply chain operations and improving inventory management to sustain cost competitiveness. Additionally, we will expand our presence in the targeted geographies and strengthen our footprint in the existing markets while continuing to build and nurture partnership with leading brands.
With this, T request "Mr. Premchand Devarakonda — our CFO to Update you on the Financial Performances." Thank you.
Thank you, Karan, sir. Good evening and a warm welcome to all the participants.
EMI) Electronics Mart India Limited
Moderator:
Manoj Gori:
Karan Bajaj: Electronics Mart India Limited
May 20, 2025
Let me begin with the "Q4 FY25 Financial Overview™:
Our revenues for the quarter stood at Rs. 1,719 crores as against Rs.1,525 crores in Q4 FY24, agrowth of 13% year-on-year. EBITDA for Q4 FY25 stood atRs.114 crores as againstRs. 108 crores, a growth 0f 6% year-on-year. EBITDA margin for Q4 FY25 stood at 6.6%. Pre-IndAS EBITDA for Q4 FY25 stood at Rs.80 crores with a margin of 4.7%. PAT for Q4 FY25 stood at Rs.32 crores as against Rs.41 crores. Like-to-like sales growth for Q4 FY25 was 1.5%.
Moving on to "FY25 Financials™:
Our revenues for FY25 stood at Rs.6,965 crores as against Rs.6,285 crores in FY24, a growt

h of 11%
year-on-year. EBITDA for FY25 stood at Rs.451 crores, which was flat on a year-on-year basis. EBITDA margin for FY25 stood at 6.5%. Pre-IndAS EBITDA for FY25 stood at Rs.326 crores with a margin of 4.7%. PAT for FY25 stood at Rs.161 crores as against Rs.184 crores of the previous year. For FY25 the like-to-like growth rate stood at 6.1%. ROCE and ROE for FY25 stood at 13.2% and 10.5% respectively. The working capital days as on 31st March 2025 stood at 80-days. The gross

and net debt-to-equity stood at 0.66x and our net debt-to-EBITDA stood at 2.1x. Pre-IndAS cash flows from operations stood at Rs.56 crores.
With this, I open the floor for questions and answers. Thank you, everyone.
Thank you very much. We will now begin the question-and-answer session. First question is from the line of Manoj Gori from Equirus. Please go ahead.
Sir, I have two questions. One, if you can give some outlook, because obviously what we are hearing at the ground level, there have been rains across the country especially in the May and obviously there was some impact in the southern markets during the month of April, so probably how should we look at Q1 and probably how should this translate into inventory levels and probably should we see any more pricing pressure to liquidate this inventory, so probably brief outlook on Q! and how we should look at things from Q2 onwards?
Hi, good evening, Manoj ji. As the whole country is witnessing rainfalls at different times of the day, especially South across the region here, this month has been a little muted in terms of the cooling product sale but overall inventory that we would have usually during this period is in line so there is 1o stress on the inventory and same thing with the pricing pressure. So, there is no pressure per se or there will be no further discounting or extra additional discounting for liquidating these stocks. So instead of ending up the season by June where we'll be left off with some inventory, probably it will continue for another two months or so till August probably for air conditioners. Apart from that, the cooling products in refrigerators and air coolers, both are under control. So that we've already

Manoj Gori:
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corrected it only a little additional inventory for air conditioners will be carried forward for a couple of months. But that also is of no stress. It is a very nominal addition to it. Plus, we've added 40 plus stores and new stores are opened up this quarter also. In line with what expansion would be the inventory levels for that particular category. So not much of a stress and not much of this thing. But definitely yes, this summer didn't pan out the way usually you would expect because it started pouring quite carly. And , once the cooling product category gets affected by rains or other external factors, then it becomes quite a difficult task to sell around that period, but no worries, everything is optimistic and positive now.
Correct, correct. Thanks. My second question would be on Hyderabad and Delhi NCR. So, Hyderabad if we look at in the presentation, we have mentioned like the SSSG has been marginally negative... close to flattish during FY25. So probably how we are looking to arrest this decline, the demand environment to remain so weak that, at least in the near term, there might be some pressure on Hyderabad and probably somewhere later we can expect some revival, if you can throw some light because obviously Hyderabad, if I'm not wrong, we will be close to around 65% of our total revenues?
Correct. if you see for the last few quarters, Hyderabad was flattish or a little negative, but last quarter actually if you see the absolute business value that we generated out of Hyderabad was positive by 4%, So, we are up across categories if you sce. Definitely the AC cooling products also d

id very well
in the month of January and February. But overall number I think Hyderabad is doing good. So, no complaints on Hyderabad. In fact, we are opening a few more stores as we move forward. So that should be good enough for us and we would see a positive growth coming forward as well, except the cooling product categories, which definitely because of monsoon got affected a little bit, but the outlook across other categories also looks positive. So, there is no stress there as well. So, I think overall Hyderabad should shape up and start performing really well.
Thanks. And sir, lastly on Delhi NCR, so like last year we were looking for somewhere around breakeven by exit of FY24, and this year if you look at probably we have been very close to the breakeven mark for the full year with Delhi NCR. So, do you see that this progress is in line with expectations or probably there has been some delay, how should we look at Delhi NCR in FY26, if you can throw some light over there?
Delhi is in line with our expectation, and I would say the turnaround that we did in such a short period was remarkable by the team. So, I think we're doing quite a great job there compared to a lot of our peers operating out of that market. Definitely, yes, we are short in terms of the stores, we're expanding there with 29 stores right now, we're further adding a few more stores this year as well, so there will be six to eight stores addition, we just opened up in Janakpuri last weekend, so that performed really well again. And I think the overall number should be good for Delhi and '26-27 should also be a great

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Percy:
Karan Bajaj: Electronics Mart India Limited
May 20, 2025
year for us in that coming period for that region. We're quite happy with the things are performing. And definitely it is a huge capital investment that we did. So the depreciation costs or your finance costs were a little higher compared to the other regions that we operate in, but the gross margin level that we would expect for that region or throughput that we would expect for that per store is in line with what we targeted for this year.
EBITDA probably from hereon should move in the northward trajectory?
Absolutely, absolutely.
The next question is from the line of Percy from ITFL Securities. Please go ahead.
Hi, sir. Just wanted to look at your CAPEX. You've done about Rs.350 crores of CAPEX this year. If I look at the 40 stores which have been opened and roughly at let's say Rs.3,000 per square feet CAPEX for the lease stores, that would come to somewhere around Rs.80 crores to Rs. 100 crores of CAPEX, which means around Rs.250 crores of CAPEX has gone into the land and building for the stores that you have purchased. So, can you give some idea first of all whether this calculation is correct? Secondly, where this Rs.250 crores has been spent, in which locations and given that our debt is now close to Rs.1,000 crores, is this the same strategy that we want to adopt going into the future? It's a very capital-heavy strategy of expansion especially at a time when the EBITDA margins have gone down and the CAPEX has gone up. It puts a lot of pressure on the sort of cash flows and the balance sheet, both, of the Company.
Hi, Percy. Your numbers, the calculation more or less is correct apart from the CAPEX for buying out properties, there was a CAPEX done for the stores for the 45-plus stores in the stores that are in pipeline now. But yes, we invested big on buying out properties and these were properties which were already given advances of the pipeline properties majorly in Delhi, where we had already given advances and the registrations happened in this financial year. And this was as per the plan itself. So the strategy was to buy out these properties and we are quite happy with the position that we are in today. Interms of the borrowing that we have on

books which is approximately around Rs.983 crores,
out of which the loan for property is Rs. 230 crores to Rs. 240 crores and rest is working capital which s in line with our seasonal purchase that we do usually and right now currently we are standing on that position which is much lesser to what it was on 31st March, because we liquidated inventory. So, everything got accumulated and then we sold out the stocks and all. So, I think we are in line with that. So, it is not much of a stress there now. Today, the current position is also much, so our current levels are from Rs.679 crores of working capital loan, it is at Rs.450 crores. So that also is reduced by almost Rs.220-0dd crores, Rs.230 crores. So, it is a part and parcel of our growth strategy where we wanted to acquire these properties, pay out advances to our vendors and play the game. So, I think we are quite comfortable with that. Twice a year during Dussehra, Diwali also you will

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May 20, 2025
see this working capital requirement going up because we added 44 new stores, which has displays, inventories, backup and especially the stores which we have opened in Tier-3. Tier-4 town there we have to keep the stocks in the warehouse. So, I think overall put together the number is under control and even the debt levels are under control where we are standing today. The term loan amount of the temporary properties for Delhi eventually will come down in a couple of years. So that is where the plan is.
So just two follow-ups on this. This year where have we bought these stores. I think six stores you have bought, right? So, is it all North India? Secondly, is this the same kind of strategy we will follow in future where we might like spend Rs.150 crores to Rs.200 crores on buying the stores every year?
No, if you sec all these investments has happened in Delhi, Gurgaon, NCR regions where we have bought the properties. Apart from that, any other cluster that now we expand to, it will be ot this aggressive in terms of property. So that is the plan because that will get divided between a lot of long-term lease agreements that we will be doing. But strategically, Delhi is where we wanted to invest and buying out real estate as well to secure a long-term strategy. But other cities and other

geography that we will be expanding after the next couple of quarters, that will be majorly on the lease agreements.
So even in Delhi if you are expanding, there will be only lease now, no purchase, is it?
Majority yes, majority of the prime location that we wanted to buy out, all of that we have already bought just the stores are yet to open. Apart from that, majority of the places are periphery that we will be expanding into NCR also would be majorly on lease only.
Got it. Second question, can you just give some idea on what is the kind of EBITDA margin pre-IndAS that you are expecting for the North India Cluster in FY26?
We are expecting it o be around 3.5% this year looking at the trend.
Okay, understood. And also wanted to understand about your margins. This year you mentioned were 4.7%, right, o was it this quarter?
Sorry?
Your pre-IndAS margin overall as a Company was 4.7%. That was for this year or for this quarter?
This s for the year.
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May 20, 2025
It's for the year, right? So, see, basically we used to do somewhere closer to 5.3%, 5.5% kind of margins. So, it has come down maybe 50, 60 basis points from that. So, one is what are the factors - There's a better recovery in Quarter 4 than Quarter 2 and Quarter 3.
Got it. Got it. So, at a full year level, what are the drivers which push down the

margin and going
ahead if the margin is going to improve from here, what will be the drivers for that expansion?
Sir, there are the reasons I think are more organic, with the business structure, with a lot of other competition scenarios. Fundamental changes are ot there. So, there's no change in product mix between larger appliances, mobile, low margin product categories remain the same, there not much ofa change there. But I think going forward what we used to do earlier it will remain the same way. So, there will be that change of 0.2%, 0.3% not more than that, balance we will definitely try to improve it like we did in Quarter 4 as well. But apart from that I do not see any fundamental flaw or any other reason for it to change from here on.
Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.
You did mention that there is no margin risk from liquidation perspective. However, based on our understanding there are significant incentives that we get on meeting the targets, right? So now that the category sales have been impacted and the brands are also under a good amount of pressure, do you see some chance of margin loss in the current year because of that? T wanted to check on that.
Most of our contracts that we have with our respective vendors for our incentive income are directly not linked to our targets. So a few of them are, but those are all fulfilled. So, itis not that they are not fulfilled, like seasonal product categories like cooler, AC on that target is not applicable, it's majorly for television and mobile phones and all which we sell throughout the year. What happens is not necessarily at this period, but anytime of our journey whenever we get stuck, it is usually the timelines are increased. If it's a quarter scheme then they give us an additional 15, 20 days or a month to fulfill and complete those schemes. So usually, we don't see a loss of that incentive income. Historically also we've never seen a loss on incentive income. So going forward also it is not a big number, but at the same time it is all protected. So, there's nothing there that we would lose out at the end of the year.
Understand, sir. Karan, from your PPT, I also notice that there are few brands in your top five which are sceing relatively muted growth trends versus the overall growth of the Company. And my understanding s that we have historically and strategically worked with a limited set of brands across
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category. So, can you help us understand why those top five brands are sort of seeing muted trends, and which are the categories that these sort of brands are catering to?
Sir, these are majorly the brands of mobiles and in mobile if you see actually the volumes have gone up but the ASPs have dropped. So, if you see Apple. My average of Apple is dropped by 10% from last year to this year, for example, but the volume has grown. So, if you see that their ASPs that has dropped a little bit so because of that the total contribution on this brand is being muted. Otherwise if you sce the Apple historically, like Samsung mobile s there and Samsung overall is there, and in televisions LG and Samsung are there, there you would see that the ASPs have dropped down, the volumes are up positive by 18%, but because of ASP the total contribution of this brand has not increased much.
Karan sir, I'm speaking specifically for brand-II and brand-V. Even if we see three-year CAGR perspective, these brands are flattish, right? So ASP could be a one year YoY growth. But even if we see from a three-year CAGR perspective brand-II and brand-V have not seen any material growth, right? So, I was checking for these two brands specifically.
So basically it is a mix

of everything. So like for example, brand-II would have appliances, would
have larger appliances, would have televisions, air conditioners, washing machines, ref. in all the categories if you would sce prices are muted over the last two to three years or their ASPs have not increased especially out of these top 5 brand, 2 brands which are television heavy brands, so the brands which are heavy-television brands their prices have dropped by 15% to 16% year-on-year.
There is one brand-3 which is continuously doing well. Which category would this be catering to?
Specific mobile brand
Thank you. The next question is from the line of Rajiv Bharati from Nuvama Wealth. Please go ahead.
Yes. Good afternoon, sir. Thanks for the opportunity. So with regard to Slide #9 where you've shown SSSGs for the quarter and full year, the universe which you use for quarter and full year is different, is it, let's say for Delhi NCR, for example, you have reported for the quarter 33.8% SSSG, right and for the full year, it's 50%, the stores which you consider in SSSG calculations are different.
Can you repeat the question once again?
The question is the 33.8% number for Delhi NCR, that SSSG and the full year SSSG 50%. So the stores which you consider for this calculation, are they different? Why I'm asking this because YTD
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‘number till nine months SSSG for the Delhi was 22.4% which let's say for the Quarter 4 it has added 33.8% further, but the cumulative number has gone to 50%. So, I mean it is only possible if -
If we calculate this SSSG we consider only those tools which were operational throughout the year in the last year. if a store s fully operational throughout the year, only those stores will be considered for the purpose of calculating SSSG.
I get it, but I'm saying the universe which you use for quarterly and full year are they different? Number of stores used for Quarter 4 and full year are different.
In that we consider only two stores which were operational throughout the year in the previous year.
So, sir, just to elaborate on your question in FY25, the 50% number that you see for SSSG will have more number of stores, which was operational throughout the year for delivering a 50% SSSG. We had some additions of stores there, whereas Quarter 4 FY25 would have a few stores from Gurgaon cluster which was not added in that number, in 33.8%.
Thank you. The next question is from the line of Yash Sonthalia from Fidelis Public. Please go ahead.
Hi, team. Thanks for taking my question. I have two macro questions. First, you already alluded on the uncertain rains on demand and inventory. But can you please help me out with the region like how it is impacting the inventory and demand in the South and specifically in North?
Right. Actually, in South summer started little as early as March second week and we usually end up by May second week. So, we are at closure of our summer season. So, we usually preempt our sales and then the throughput and then the whole purchase and management of inventory. But the advantage that we had this year again was that summer were still a little more stronger in Delhi. So, we moved out all inventory up North rather than buying few stocks there, we moved our inventory from down South. So usually by end of June when we exit, we usually have a certain number of inventory left with us by the end of season. This year because of uncertain rains and all, we might

end up with little more inventory which we will liquidate in couple of months. So that is part and parcel of how this category specially cooling products would pan out. So that is how it is. But there is 1o pile up on inventory in the North as well. So whatever North requires will suffice from south rather than

buying new stocks up North. That is how we would liquidate and manage inventory for the next couple of months here.
Understood. So, no discounting also expected in North also, right?

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Rupesh Tatiya:

Not required.
My second question is like you have grown pretty well in Andhra Pradesh and Telangana, SSG in Andhra Pradesh is also 5%. But when I look other consumer facing companies, specifically to Andhra Pradesh and Telangana, they have not been very well in Q4. So, what's your read on the market and how we have outperformed in other categories?
So how we outperform other retailers would be? Majorly that our expansion that happened in the last 20, 24 months, most of our stores are yet to get matured. So, if you see the store that we are adding up in Andhra also in Tier-3, Tier-4 markets versus what we're doing here as well in the current quarter, the stores are yet to mature, markets are very new for us as well. So you would definitely see the throughput of the stores in our country, both in Telangana and Andhra, outperforming and performing really well for the next couple of years, because the stores that we added in the last 20, 24 months versus last year, this year, are all newer markets for us as well, which we expect the throughput to be much higher there. So it is much easier to look at a better SSSG, look at grasping higher market share in those regions because the product mix that we would have or the range that we have compared to competition with the mom and pop store or unorganized retail players become much easier to compete with them in these pockets.
Understood. And just any outlook why there is an overall slowdown specifically in these two states and what's your outlook for the upcoming 12 to 24 months?
Like this particular quarter that we are in, I would say that the cooling sale would be a lttle muted because majorly of the weather and no other reason because you are selling other product categorics, the bigger days or the festive days are doing good, 50 you see that momentum coming through, like Ugadi was the biggest last festival that we faced in Andhra Pradesh that is exceptionally great. So, you definitely see a demand there. It is not that the demand is slowing down. But yes, any change in weather or seasonal product categories that would definitely change the whole game for you in that particular region. But overall, we are still optimistic in that region for the growth to coming in this year as well
Thank you. The next question is from the line of Rupesh Tatiya from Intellisense Capital. Please go ahead.
My first question is out of the 200 stores you have, how many are mature and how many are still not mature?
Out of this 200, we have opened the 44 stores this year only so it will take another 12-15 months for this stores to get mature. Other than that, around 155-156 stores which are there out of which around

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Karan Bajaj:
Rupesh Tatiya:
Karan Bajaj:

50 stores which are getting completed this year are under the 24-36 months maturation period. You could say that 50% of a store out of 200 stores are under 24 months.
Okay. So that is one. This 104 number of stores you have given for Telangana, can you split that between Hyderabad and up country Telangana?
Totally in Hyderabad city we have around 72 stores and around 40-odd stores are in up country market of Telangana. This would include MBOs and EBOS both.
Okay, I see. So I think to an earlier participant, Karan, you said that in Hyderabad in Q4 there was a 4% growth and now you expect Hyderabad city market to do well but ASPs drop 5% to 10% every

year. So did I hear that right? And can you maybe expand on that a l

ittle bit?
Sir, like Quarter 2 and Quarter 3 in FY25 were lttle negative for our cluster in Hyderabad because that is the largest cluster for us. So if that cluster doesn't perform or doesn't become 2%, 3% positive for us, then you see that whole impact on the balance sheet or the P&L. But the last quarter was good; so Jan, Feb, March did quite well, especially February started performing quite well for cooling products. Here in the South summer season starts a little early that's why you would see a change in the cooling products selling better during a certain period. Right now say for example the monsoon is already set-in. So usually the monsoon set-in in the next month onwards, will set a month early. So you would sce a little impact there as well for cooling products selling during Quarter 1 a higher number. And then apart from that, what happens is that our technology category, especially in the premium category that we are in or the brands that we deal with, what happens is that every year there would be a change in the pricing. So ours would be more like a depreciating asset where new technology comes in, goes a little bigger and then the pricing the subsequent year would come down for that particular product categories especially say like 75 inch, 85 inch, 98 inches television, 98 inches was sold at say Rs. 10 lakhs last year, now selling at Rs.8 lakhs this year for example. Always with more volume coming in through a high end premium categories the pricing from the manufacturers would keep coming down on that and pose that major manufacturing hubs have now started in India especially for iPhones, for example, or a lot of these AC companies. So, you would not see a price increase in air conditioners for the last three years now. So usually when the ASPs don't go up, you need to suffice it with a major growth in the volume, and if the volume becomes single digit growth, then you will not see a complete category grow at the level where value, volume together would help you give you higher value growth overall. That's it.
Is it fair to assume that Hyderabad will continue to do like this for the next two years —-around Rs.4,000 crores, Rs.4,200 crores range?

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No, no, it will be definitely much bigger than that because we will be adding up new stores here, new category started performing quite well here. So overall sentiment is positive. So that is where we would emphasize more. The sentiment, which was a little poor last year, that sentiment has become positive and we would sce that changing in the coming quarters.
So, what you are saying is higher volume growth will make up for the ASP degrowth in Hyderabad and can expect 5% to 10% growth?
Correct, correct, correct.
Another question structurally, I mean at least I thought that the NCR market has a better gross margin because of the higher AC sales. Obviously, the competition is more. So, over the next two years do you see gross margin growing from whatever 13.2% to lets say 15%, 15.5%?.
Not really, Rupesh. So usually GP would remain in a similar range because the competitive scenario there for air conditioners is very different than any other part of the country. So, in fact the other AC dealers make the least margin there compared to what other LFRs or retailers would make because it is a very heavy distribution-driven product category there up North. So, every category would play out differently, but we don't expect that number to jump or be over that 15%, 16% range. It will be in line with what we do back home in Hyderabad.
Thank you. The next question is from the line of Sakshi Parap from Parap Capital. Please go ahead.
Hi, thanks for the opportunity. Can you provide some color within categories in

terms of volume
growth and value growth in terms of refrigerators, ACs?
Sure. So, for the whole of FY25, the major categories that we deal is the mobile phones, it was up by 10% in terms of value. First, I'll go through the value numbers with you so that will become easier. And air conditioners were up by 34%, 35%, televisions categories up by 5.5%. Refrigerators and washing machines, both around 4%, 4.5% and kitchen appliances built in and all put together was around 11%. So that was the major growth that came in last year.
Okay. And this new pilot of Charceal project, can you explain that?
Yes, there is a new venture that we have partnered with Sussanne Khan as a primary principal

designer there. So basically the tie up is that we do sell our categories like we are into audio automation, networking, cinema,, televisions, built-in appliances for their projects and they would end up designing in furniture would be from their side. So that is a collaboration that we've done and local our local partner here again also would be Gauri Khan for this particular region and Sussanne

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Khan would be a principal partner there. So they design, they take the contract, they supply the fumiture and then we supply the other goods of product categories that we are into. So that's a collaboration, a turnkey project for a customer becomes one-stop solution. That was the whole idea of doing that.
And lastly, we only witnessed a positive EBITDA during Q1 FY25 and the rest of the quarters we've been negative. So when can we expect to stabilize?
I think in the coming time, definitely that will also shape up well. But then said that cooling product categories is what drove last year majorly if you sce because that was the maximum growth that came in, in FY25 Q1, whereas this year, that being a little muted because of the monsoons. So overall number you see that that will also perform in the next quarter, we will definitely see that number going up from next quarter onwards.
Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.
Hi, thanks for the follow up. Karan, in line with the previous question, can you provide the volume growth across categories? You provided the value growth. What has been the volume growth?
Right. I think I'll ask Vishal. He'll share the details with you after the call.
Sure. The reason why I was asking, as you indicated that there has been muted sort of increase in size in FY25.
It's going to be higher than what numbers I gave you because automatically as I told you, the AC didn't go up much, right? So the volume growth is going to be much higher than the number that I quoted for value growth.
No, that's fair. I wanted to check whats the expectation of realization growth in FY26. So based on the technology changes that you are noticing across categories, so what's the expectation for ASP increase or realization growth for FY26?
So definitely it is going to be much better than what we did in FY25 because FY25 that was one of the years where we saw a few quarters didn't perform the way we expected it to be like specially Quarter 2 and Quarter 3. But going forward irrespective of how this summer season is going to pan out, we are quite optimistic and quite confident for the plans that we have for the category that we're expanding into, the store performance, especially up North and in the Tier-3-4 towns that we're

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expanding now in AP and Telangana. So I think it gives us a quite an optimistic approach to the whole number

going forward.
No. So Karan, I'm asking only specifically for the ASP or bill size, right? So you said that there has been some decline in prices of product, right? So specifically based on the technology changes that are expected to be done in FY26, what's your sense from a pricing perspective as well as realization perspective, what kind of growth can we see?
Price, definitely, yes. This year especially going post Quarter 2 to Quarter 3, definitely large appliances and air conditioners would definitely see an upside or ASP going up for sure. So that is there because the discussions are already on, the pricing is going little up. So that will definitely

help us take the ASPs much higher than what it is today, which was more or less flat for the last couple of years. And as you said, newer technology additions to product categories like refrigerators, washing machines, especially ACs are coming with Al as a technology for example. So all of those features are coming up, will definitely take up the ASPs up and automatically help us increase the value in that product category.
Any ballpark sense as in what we can sort of built in -?
Not really, sir. I think manufacturers will help you better with that answer.
Thank you. The next question is from the line of Akhil Parekh from B&K Securities. Please go ahead.
I just have one question. This is regarding the Hydra regulation implemented by Telangana government over the last year or so. Idon't think it coincidental because we are seeing quite a few listed brands, especially retailers who have been impacted in Hyderabad and Telangana if anything has to do with this regulation of government basically, and how do we see it going forward?
Right. So Hydra, I don't know much about it because it has majorly do with real estate as a category, but it was mainly meant for illegal structures in and around the water bodies, which anyway was prohibited. So for safety measures they've taken that action. And I think its a good action, because tomorrow any uncertainty or something goes bad or the floods in the city, these properties would be under danger. So I think it's a good initiative by the government to take it forward. But there s no loss to properties which are authorized or legal properties, right? So it is for illegal construction in and around water bodies.
But has it slowed down the progress in terms of retail footprint expansion?

Karan Bajaj:
Moderator:
Karan Bajaj:

Not really. I know a lot of builders doing projects in and around that area have got affected, but not ‘majorly anything do with our industry or our category.
Thank you. As that was the last question for the day, I now hand the conference over to the management for closing comments. Over to you, sir.
Thank you. I would like to thank you all for joining into the call. T hope that we were able to answer all your questions. And for any other queries you may get in touch with our SGA, our Investor Relations Advisor, and we will be happy to address all your queries. Thank you.
Thank you. On behalf of Electronics Mart India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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To,
Listing Manager,
The National Stock Exchange of India Ltd., The Secretary,
BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE02YR01019
Dear Sir/ Madam,
Subject: Disclosure of transcript of Earnings Conference Call for the First Quarter ended 30" June 2025 held on 05" August 2025.
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on Tuesday, 05® August 2025, at 04:00 P.M. IST to discuss the Un-Audited Financial Results for the First Quarter ended 30™ June 2025. The same is also available on the website of the Company at the below-mentioned link:
https://investors.electronicsmartindia.com/earning-call-transcripts-and-investors-presentation
‘We request that you take this information on record.
Thanking You,
For and on behalf of Electronics Mart India Limited
Rajiv Kumar
Company Secretary and Compliance Officer
Date: 12 August 2025
Place: Hyderabad
Bajaj Electronics is a Trademark of ELECTRONICS MART INDIA LIMITED
CIN L52605TG2018PLC126593 Regd. Office : 6-1-91, Shop No. 10, Ground Floor, Nex! o Telephone Bhavan, Secretariat Road, Saifabad, Hyderabad-500004
Corp. Office : M.No. 6-3-666/A1 to 7, 1st Floor, Opp. NIMS Hospital, Punjagutta Main Road, Hyderabad-500082. Ph : 040-23230244
E-mail : communications@bajajelectronics.in | Website : www.bajajelectronics.com
M) Electronics Mart India Limited
“Electronics Mart India Limited Q1 FY 26 Earnings
Conference Call”
August 05, 2025
Electronics Mart India Limited 4
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 5™ August 2025 will prevail.
Management:
Mr. Karan Bajaj — Chief Executive Officer and Promoter, Electronics Mart India Limited
Mr. Premchand Devarakonda — Chief Financial Officer, Electronics Mart India Limited
Page 1 of 18
EMI) Electronics Mart India Limited
Moderator:
Karan Bajaj: Electronics Mart India Limited
August 05, 2025
Ladies and gentlemen, good day and welcome to the Electronics Mart India Limited Q1 FY 26 Eamings Conférence Call.
As a reminder, all participants’ lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing **", then ‘0° on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Karan Bajaj - CEO and Promoter of Electronics Mart India Limited. Thank you and over to you, sir.
Thank you. Good evening and a very warm weleome to everybody present on the call. Along with me, I have Mr. Premchand Devarakonda - our Chicf Financial Officer. We have uploaded our Results and Investor Presentation for the Quarter End 30th July 2025 on both the Stock Exchanges and the Company's website. Hope cveryone had a chance to go through the same.
During Q1 FY 26, our revenue stood at Rs. 1,739 crores, EBITDA stood at Rs. 110 crores with EBITDA margin of 6.3%, pre-Ind AS margin stood at 4.4%. Q1 FY '26 turned out to be one of the coolest summer quarters in recent years, driven by unseasonal and widespread rainfall across April and May. This unusual weather pattern significantly impacted summer appliances demand, particularly in the air conditioners and air cooler category, which rely heavily on peak summer temperatures to drive sales.
To put this in perspective, in April and May, our key months for AC sales, saw nearly 50%

higher rainfall than normal in Telangana. Over the full quarter, the state received 235 mm of rainfall versus a normalized average of 211 mm of rainfall reflecting 11% deviation. In Andhra Pradesh, May alone recorded a sharp 148% increase in rainfall compared to the long-

term
average. While June was relatively drier, the overall weather conditions during Q1 subdued typical seasonal demand. Despite the softer summer scason, we adapted swiftly to the evolving cnvironment and remained profitable at the Company level, leveraging our diversificd product portfolio and strong on-ground exceution. We were able to pivot focus towards other categorics. Ouwr agile inventory management-targeted promotions and customer-centric approach cnabled us to particularly offset the impact of cooling product sales.

While our EBITDA margins for the quarter appeared softer on a year-on-year basis, it is important to recognize that Q1 FY '25 was an unusually stronger quarter, driven by multiple heat waves across the northern and southern part of the country, which has significantly boosted cooling product sales and overall margins. Additionally, over the last 12 months, we have expanded our retail footprint by adding 44 new stores, including 8 stores during the quarter 1 of FY 26 alone. This addition of 44 stores represents nearly 20% of owr current network. These additions have been primarily in the MBO format. As with any rapid expansion, there is an initial impact on margins due to the fixed-cost absorption lag.

As newer stores typically operate at lower throughput compared to more matured stores, currently many of our stores are less than 3 years old. We believe that as these stores gain traction and build a stronger presence, their unit cconomics will improve, which will eventually boost ‘margins going forward. As of June 25, our total store count stood at 208, comprising 197 MBOs and 11 EBO stores. A significant portion of our store expansion this quarter was focused on Andhra Pradesh and Telangana, with 7 out of 8 new stores opencd up in these states. Unfortunately, this region also experienced a particular cool summer coupled with highly unseasonal rainfall, which impacted demand for scasonal products. As a result, EBITDA margins for our South cluster stood at 6.7% primarily duc to a lower contribution from air conditioners and lower fixed-cost absorption driven by the carly-stage performance of new stores. On the ofher hand, our performance in the NCR region remained strong. MBO sales in the North stood at Rs. 159 crores, reflecting a robust 21% year-on-year growth. EBITDA ‘margins for the North cluster improved 3.6% up from 2.6% in the same quarter last year.

Moving to category-specific performance for the quarter, large appliances contributed 48% to our total sales in Q1 FY '26. While this quarter has been an cxception in terms of growth duc to external weather-related factors, our continued focus on driving sales in the premium segment featuring significantly high ASPs has helped us stay ahead of the curve. Our strong partnership with pull brands continues to differentiate us and reinforce our position in the premium end of the market. Our second-largest category mobile phones contributed to put on 40% of our total revenue in Q1 FY 126. We belicve the category is poised for a new wave of demand driven by upcoming technology upgrades and feature enhancements. Many OEMs are actively working on next-gencration Al-enabled devices, which we expect will not only enhance consumer interest, but also lead to an increase in both ASPs and volume going forward. This positions us well fo capture growth as the upgrade cyele begins to accelerate.

India's cconomy outlook remains optimistic, with projected GDP growth in the range of approximately 6.2%-6.8% for the upcoming fiscal year, according to various reputable govemment and international bodies. This anticipated growth is supported by increased govemment capital spending and a rebound in demand driven by premiumization alongside favorable demographic trends and expanding consumer financing. Despite global uncertainty, these fact

ors provide a strong foundation for sustained economic momentum. Further, the Union Budget 2025 has provided significant personal income tax relicf by raising the taxable income threshold, cffectively putting an estimated Rs. 1 lakh crore back into the hands of the middle class. This increase in disposable income is expected to boost consumer spending, especially in the consumer durable sector.

With greater purchasing power, houscholds are likely to upgrade and purchase new home appliances and electronics, driving overall demand growth and benefiting both manufacturers and retailers in the industry. Despite the challenges faced during the summer season, W remain optimistic about the upcoming quarters. As owr newly added stores begin to ramp up, our focus will be on improving per-store unit ceonomics and driving higher throughput. This is cxpected

Premchand Devarakonda:

Moderator:

to support margin improvement through better fixed-cost absorption and operating leverage. We also anticipate a strong festive scason this year, which should further aid overall momentum. Looking ahead, we plan to open 25-30 new stores in FY '26, while continuing to optimize the supply chain, enhancing inventory cfficiencies and strengthen our footprint in both existing and cmerging markets.
With this, I request Mr. Premchand Devarakonda - our CFO, to update you on the financial performance. Thank you.
Thank you, Karan sir. Good evening and a warm welcome to all the participants. Firstly, I would like to share a few updates pertaining to the firc incident that occurred on 29th May 2025. One of our warchouses located in Guntur met with a massive firc accident, resulting in damage to inventory to the tune of Rs. § crores. These stocks were adequately covered under the insurance and we lodged the insurance claim well in time, which is under the final stage of assessment by the insurers. As the claim is pending for scttlement as on date, our management has decided to create a provision and disclose it as an extraordinary item in the statement of profit and loss for the quarter.
Secondly, we have reclassified sellout incentives and under various schemes of the suppliers from revenue from operations to reduction from purchase of stock in trade in the financial statement of the current quarter, which is in line with applicable accounting standards, as these incentives and discounts are directly associated with inventory purchases and ot in exchange for any distinct goods or services by the Company to the supplier. The consequent adjustments made to the comprehensive financial statement are ot considered material to the financial results.
Now, moving on to the financial performance for the quarter
Our revenue stood at Rs. 1,739 crores. EBITDA for Q1 FY '26 stood at Rs. 110 crores. EBITDA margin for Q1 FY '26 stood at 6.3%. Pre-Ind AS EBITDA for Q1 FY '26 stood at Rs. 75 crores ‘with a margin of 4.4%. PAT for Q1 FY '26 stood at Rs. 22 crores. PAT for Q1 FY '26 excluding cxceptional items stood at Rs. 30 crores. Like-to-like sales growth for the quarter was negative 18%. Annualized ROCE and ROE for Q1 FY 26 stood at 13.4% and 7.7% respectively. The working capital days as on 30th June 25 stood at 60 days and pre-Ind AS cash flow from operations stood at Rs. 390 crores.
‘With this, we can now open the floor for questions. Thank you.
Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Subhanu from 3Head Capital. Please go ahead.
Hello, sir. Am I audible?

Karan Bajaj:
Subhanu:
Karan Bajaj:
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Karan Bajaj:
Subhanu:
Karan Bajaj:
Subhanu:
Karan Bajaj:
Moderator:

Yes.
Why is your North cluster EBITDA margin

very low than the South cluster?
Sir, North as a cluster is a very new chuster that we started off 3 years back. So, if you look at the total mumber there, the productivity of store throughput per store is divided between all the new stores that we opened up. We are expanding in that periphery. We opencd up stores which are almost out of the 30-0dd stores that are operating in that region, 20-odd stores are less than 24 months in that region. So, usually, we take around 3 years plus for a store to get matured and that is where you will see the productivity of the store. If you arc adding up stores in an existing cluster like Hyderabad, where you have matured stores, so you will not sce an impact on the EBITDA there. But because of the new store addition in a newer cluster, the number of stores are much higher. You will sce this kind of a number which is improving and once the stores reach a certain maturity level, you will sce the similar number of EBITDA margin that you would see down South as well.

Mainly high operational cost.
Sorty, can you repeat your question, please?
My understanding is mainly high operational cost.
Exactly. You can attributc a high operational cost because the throughput per store today is much lesser than what the existing markets would do for us in South. So, that automatically would say your rental, your manpower, your clectricity, marketing, all expenses would be definitely much higher in terms of the percentage cost there. But once the productivity of the stores, let us say, crosses Rs. 40 0dd crores, then you will sce a similar number back home that you do.
How many stores you are expecting going forward in North cluster?
Sir, right now in the pipeline, there are 8 more stores. So, that will add up. So, we arc opening up 2 more stores for this month in Delhi and probably 2 in the next month. So, you will sec around 6 more stores coming up at least before Diwali in that cluster.
Understood. Thank you.
Thank you.
Thank you. The next question is from the line of Yash Sonthalia from Edelweiss Public Alternatives. Please go ahead.
Hi, team. Thank you for taking my question. So, I have two questions. I hope I am audible.

Karan Bajaj:
Yash Sonthalia:
Premchand Devarakonda:
Yash Sonthali:
Premchand Devarakonda:
Yash Sonthali:
Premchand Devarakonda:
Yash Sonthalia:
Karan Bajaj:
Yash Sonthalia:
Yes, you are audible, Yash.
Yes. So, my first question is on Y-o-Y basis, our gross margin has declined by 1%. So, Iwanted to understand it better by how can we break it up between the change in mix of product mix change and the part contributed by the discounts we provided in the quartar?
Yash, it was mainly because of the reduced throughput coming in from the cooling products, mainly air conditioners and coolers. In the last year, in the 1st quarter, these air conditioners and coolers contributed almost 40% to the topline. This time, the same thing has dropped down by almost 40%. So, as aresult, because these cooling products will give us the highest gross margin. So, because of this drop in the contribution from these cooling products, this year, the gross margin got impacted. So, that was the main reason.
And any impact or any discounts we provided and loss we take on our books to liquidate the inventory?
No, not yet. Sce, those things, that situation has not yet arrived. So, it will take, we will sce the trend in the upcoming festive season, then we will take a call. As of now, it was tofal demand slowdown for this product because of the unfavorable weather. It was favorable to the farmers, but unfavorable to us. So, that was the reason. As of now, we did ot liquidate any inventories by offering additional discounts.
Understood. And sir, on the inventory part, can you help me understand what was our inventory at Q1 in FY 257 and what is the inventory as of n

ow? Just wanted to understand how much of
extra inventory we are carrying because of this additional rain in the quater?
Ql of FY 257
On a Y-o0-Y basis, like how the inventory has increased, like in Q1 FY 125, what was our total inventory and in Q1 FY 26, what is our inventory where we are standing?
Yash, it would be majorly the cooling product category where the inventory would be a little higher by around Rs.
much stocks with us anyways. So, almost Rs. 250 crores of AC inventory is a lttle higher, which 50 0dd crores for air conditioners majorly. Air coolers, we do not carry
we plan to liquidate up till December this year.
Understood. Very clear, sir. And one last question, like what the sales mix you give on Y-0-Y basis, not only large appliances, I can sce small appliances and mobile sales are also down or flat. So, ar the reasons similar because of rains, people are not coming, the footfall is lower or is there anything clse we arc also facing in the quarter?

Karan Bajaj: Stmall appliances would even contribute the category from air coolers. Air coolers are practically flat this year, like they were practically 0 this year. They were very low in tems of sellout. So, that category.

Ithought you have a very miniscule part of air coolers. So, that would not impact a lot on small appliances. But very clear.

Karan Bajaj: But quarter 1, if you sce last year also, the mmber is quite big, significant number.

Yash Sonthali: Got i, sir. Thanks a lot for answering my question.

Karan Bajaj: Thark you, Yash. Thank you.

Moderator: Thark you. The next question is from the line of Mehul Desai from JM Financial. Please go ahead.

Mehul Desai Hi sir. Good evening. My first question s on the topline. Can you just give some flavor on how the exit trends have been in July so far? And how do you look now the balanced 9 months of FY 26? Do you still think that low double digit kind of revenue growth is possible this year?

Karan Bajaj: Hi, Mehul. How are you? All good from our end. And things look very good. July has been an cxceptionally great month, especially for AC and other categorics. We were expecting that o happen anyways because organically last quarter dida't do that well for cooling products. So, ACs have scen the major jump this quarter as well. Whereas mobile, televisions and refrigerators, all categories have seen a higher double digit growth this year in the month of July. And August definitely, we are quite optimistic because big couple of big festival periods there and especially 15th August comes over a weekend this year. So, we are quite optimistic on that sellout. Mobile phones started doing very well, especially the new Z Fold 7 that we launched recently that has almost scen a 50% jump from last year what it was. We are anticipating Apple to launch the new product by September st week, or third to last week. So, we are going to sec g0od sales coming in from iPhone 17 as well. And then around 20th of September, we start off our festival period, 22nd is the first Navratri. So, we sce that 10-12 days of festival sales do dropping in the 2nd quarter as well. So, we are quite optimistic on how things are shaping up in the quarter 2. And we are going to look at least higher double digit growth this quarter.

Mehul Desai: And for the full year sir, because sceond half also the base is quite weak for you. So, from that perspective, I think overall, while we used to guide 15% kind of revenue throughout -

Karan Bajaj: Yes, that will be in line with that only. Definitely, it will be in line with that only. We are expecting that to be probably a lttle better than what the expectation should be.

Mehul Desai:
Karan Bajaj:
Mehul Desai:
Karan Bajaj:
Mehul Desai:
Karan Bajaj:
Mehul Desai:
Karan Bajaj:
Moderator:
Umang Mehta:
Karan Bajaj: Electro

Understood. And on the margin front, the 6% kind of EBITDA margins are sustainable for you think that should sustan, right? Given that the growth will improve, if in a week quarter you have sustained 6%, do you see that in the balance 9 months also?

That is how we are hoping to pan out in the coming quarters as well. We are quite optimistic on that as well.

Understood, got it. And from the inventory perspective from a full year, obviously, as you said, the Rs. 250 crores inventory is there. So, from a full year perspective, will the inventory days or the overall inventory will be higherat the end of FY '26? Or you think that should not be a major impact and you will be able to liquidate?

See, by this end of quarter 2, and probably the middle of quarter 3, we should be liquidating the stocks, especially the ones that are holding up our numbers quite high. So, that number of inventory days anyway, organically by 31st December, it will come down to an organic mumber less than 60 days.

Understood, got it. And sit, other cxpenses have been lower this quarter. I it duc to ANP, lower ANPs? Or what has led to this 1% decline in other expenses this quartar?

Sir, first of all, we had reduced the marketing cost. Because if the downfall, we dropped our major marketing expense that we would do. If you see, the marketing expenses, if you compare quarter 1 versus quarter 1, it was quite reduced. Because there was no point of spending money on marketing in a big way like we usually would do. Because there was no summer this time.

Understood. Got it, sir. Thank you, tharik you so nmuch.

Thank you, Mehul. Thank you.
Thank you. The next question s from the line of Umang Mehta from Kotak Sccuritics. Please g0 ahead.
Yes, thank you for the opportunity. Karan, just a follow up link to Mehul's question. So, you mentioned that July has scen a decent pickup in ACs and other appliances. Could you comment on the trends on a same store basis? Is it that ACs and other appliances on the same store basis has also scen a?
Yes. In fact, all clusters, not only same store in a certain cluster, but across, so Hyderabad is a major cluster, it has definitely scen the highest among the older clusters between Telangana and Andhra,

Umang Mehta:
Karan Bajaj:
Umang Mehta:
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Umang Mehta:
Karan Bajaj:
Moderator:
Akhil Parekh:
Karan Bajaj:
Akhil Parekh:
Karan Bajaj:
Akhil Parekh:
Karan Bajaj:
Akhil Parekh: Electronics Mart India Limited
August 05, 2025
Understood. And the concem on real estate sales, which you had highlighted last quarter, has anything changed on that front? Or just from a slightly maybe medium-term perspective?
Sorry, I didn't get your question, Umang, real estate?
You had highlighted some issues in Hyderabad real estate-related market?
Yes. there is a slowdown in the real estate trends across the country. In fact, I was talking to somebody in Kamataka also very recently, the Bangalore was also sceing a similar trend. But that is going o pick up and it is secing again a positive scllthrough coming through in the real estate as well. But usually, if it starts off now, the impact or the benefit to us comes a little later, because in the time the positions are given, handovers are done, customers start moving into the newer apartments or houses. So, that would be 3-6 month trend, which we will start seeing that number coming for us as well.
Great. Thank you and all the best for the rest of it.
Thank you, Umang. Thank you.
Thank you. The next question s ffom the line of Akhil Parckh from B&K Securities. Please go ahead.
Yes, hi. Thanks for the opportunity. My first question is on the margins in the North cluster. We have seen 100 bps of improvement on a Y-o-Y basis, probably because of operating leverage kicking in. So, do you see that 100 bps of improvement to continue for at least next 3-4

quarters
inFY 267
Yes, quarter 2, quarter 3, it will definitely goup from here on. But Iwould not be able to attribute exactly how nmuch will it grow from here on every quarter to quarter. But eventually by, say, next year, we should be looking at least a 5% plus EBITDA margin in that cluster.
So, end of FY 127, you are saying we should be doing 5% in the North cluster?
Yes.
And any quantum in terms of what kind of sales level the North cluster needs to reach to clock the margins which are in line to the South cluster?
Sir, we are looking at Rs. 750 crores for FY '26, Rs. 750 crores plus.
So, Rs. 770 crores is what the North cluster needs to clock to reach 6%-6.5% of EBITDA ‘margins. Is that correct?

Karan Bajaj:
Akhil Parekh:
Karan Bajaj:
Akhil Parekh:
Karan Bajaj:
Akhil Parekh:
Karan Bajaj: Electronics Mart India Limited

5%+,
For 5%+. No, I was asking to reach the South cluster?
Tt will become Rs. 1,000 crores. Then it reaches Rs. 1,000 crores by next year. That is when this number will be in line with what we do in Hyderabad.
Great. Good to hear that. Seeond, on AP and Telangana as a market, right, last year, last 2 quarters, we had highlighted that there were challenges overall in terms of the growth in these two geographics. So, has the situation nommalized now? Obviously, 1Q was an aberration because of the early monsoon. But cxeept that, do you think now the things would have normalized?
Yes. We have scen a positive uptrend in all categorics, especially mobile phones, pancls, yes. So, we have definitely scen that for the last 2 months. So, even if June, July, both the months did well there. And we are looking at a positive trend going forward as well in the Hyderabad cluster.
And the third and last question on the growth front, right, you are saying that we are still confident of achieving 15% plus topline growth for FY 26, while we had a decline of 10% in 1Q. It means that we should be doing 20% plus for the remaining 3 quarters of FY '26. So, do you think that is achicvable?
100% sir, because the stores that were in pipeline, especially in the clusters in AP and Telangana are moving towards the matured store trend. They are delivering. Al categories are performing well. We are quite optimistic with new technologics coming in. Like we are seeing now, more or higher ASP products selling much sooner than the entry level ones. The focus on the premium is definitely helping us out there. iPhone sales infact for the 1st quarter also was very positive cven after no new launches. So, 17 is going to get launched by the sccond-third week of September. Thatis definitely going to bring ina big change this year. The value addition is going to be much higher. Product like Samsung Z fold did very well. So, it is still continuing doing very well after the launch as well. Audio devices, built-in devices, those categorics are picking up really well. So, I think overall, we arc going to sce a positive trend this year. We are quitc optimistic on that. And then definitely, AC was not under our control, but the weather went bad. But definitely there is going to be an upsell coming through in the 2nd quarter, the 3rd quarter, because there is going to be a change from January as well as the pricing expected to grow, fo increase on the AC as a category, because there is going to be a revision on the star rating. So, we are quite optimistic that we will be able to sell out ACs, what we couldn't o in the summer quarter versus in the festive period, definitely it is going to be much higher than last year.

Akhil Parekh:
Karan Bajaj:
Akhil Parekh:
Karan Bajaj:
Akhil Parekh:
Karan Bajaj:
Moderator:
Jitaksh Gupta:
Karan Bajaj:
Jitaksh Gupta:
Karan Bajaj:
So, that is really good to hear. If I can squecze in just one more qu

estion on the NCR storc
cxpansion front, going forward, will we continue to kind of lease out the stores, right? And we are not looking to buy out the stores basically?
Sir, not really. Most of the acquisitions that we have done in the recent past also are one of the properties that we have bought out in the recent past, are yet to open up stores, yet to start operations in the next, say, a month or so. Rest whatever stores are coming they arc all on lease.
Yes, that is what my question is, we are not looking forward to buy out the properties going forward?
Yes. Most of the prime locations that we plan to initially buy propertics, we bought out those propertics. So, now it is majorly the peripheries and the smaller markets where we usually end up leasing out stores, even down South. So, that is the strategy that we had planned for Delhi region now.
That s all from my side and best luck for coming quarters.
Thank you.
Thank you. The next question is from the line of Jitaksh Gupta from Tikri Ivestments. Pleasc g0 ahead.
Hello. Hi, sir. Am [audible?

Hi Yes.
Yes, sir. S, I just wanted to understand the competitive landscape, the market of the Andhra Pradesh and Telangana because we see a revenue drop is in double digits. So, just wanted to understand the market scenario?
Majorly, any bad quarter in terms of numbers going down, you have to make sure that your market share is intact, so on growing, so that is one thing that is positive clusters where we are new or cities where we are newin AP and Telangana also, we are still capturing the matket there and our market share is increasing definitely there. We arc sustaining our previous matket share umbers for the matured markets like Hyderabad, Warangal, Vijayawada and Vishakhapatnam. Those markets are already intact. What happened was for the summer quarter was definitely not expected, the rainfall spoiled the whole season for us. But as we talk now also, we are gaining share in the newer market that we are opening stores in this region. Our biggest competitor in Andhra is Sonovision and that s spread across the whole of Andhra Pradesh state and the biggest challenge there is that every city would have a regional mom and pop chain with 10 or 5 stores in the citics like Guntur, Vijayawada, Nellore, Bhimavaram, and Rajahmundsy. So, when you

Jitaksh Gupta:
Karan Bajaj:
Moderator:
Rupesh Tatiya:
Karan Bajaj:
Rupesh Tatiya:
Premchand Devarakonda:

are competing with them, it is a different play altogether. It is not like as simple as what you are doing with the organized play. So, you know the structure, you know what they are playing on the products of the brand. But with mom and pop stores, the play is very different. So, it is more like alocal approach that has to be in place. So, our teams on a daily basis look into that to make sure that we don't lose out our customer or how do we improve our shares in those markets.
Understood, sir. Thank you.
Thank you.
Thark you. The next question is from the line of Rupesh Tatiya from Shree Rama Managers PMS. Please go ahead.
Yes, thank you. Thank you for the opportunity and it is nice to connect with you, Karan, My first questions are a little bit follow ups on NCR. For NCR, buying out of propertics phase is now over, whatever there are some pending properties where we have to open stores, but the buying out of propertics phase is now over.
That is correct.
And then maybe the CFO, sir, can give because of this buying of propertics, there was a significant jump in the depreciation. If I am looking at the numbers, FY 23 was 85, it went to Rs. 130 crores, roughly. So, where will this number, the rate of growth of this number should slow down now, right? Is that a fair assumption to make? Or maybe if you can give some number for where would the depreciation be in FY '26?
Sir, her

e, when you look at depreciation, you have to look at the depreciation on the tangible assets, which are in use, and the depreciation on account of leasehold what is the Ind AS 116 adjustment. So, that will keep on increasing. See, you please consider the depreciation would be in line with the topline growth. That means, it will remain as a, if you take a percentage, 5o it will remain more or less same, like carlier years, because we are, it s not only because of purchase of assets or investment in assets, it is on account of the Ind AS 116 adjustment. So, when we make that Ind AS 116 adjustment, we will create leaschold asset, on that leaschold asset, we charge depreciation. And our expansion plan is in line, if you look at our expansion plan, year-on-year, we will be adding at least 30 stores. So, those stores may be leaschold propertics, but we have to crcate a leasehold assct in the books and charge depreciation. That is why please consider depreciation will remain more or less in the same ratio as the current quarters or carlier years.
So, Lunderstand how the leaschold assets arc created. Sir, my question was, from FY 23 to FY 125, our depreciation grew by 50%, whereas our sales grew by 24%. And this variance occurred because we bought large number of properties in Delhi because of nuances of that matket, right?

Premchand Davarakonda:
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Karan Bajaj:

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Karan Bajaj: Electronics Mart India Limited
August 05, 2025
But now what you are saying is from here on depreciation will go in line with sales. That is the correct summary?
Yes. You have to consider that depreciation on leasehold assets also.
That I understand, sir. Leaschold asscts also get counted in depreciation that I understand. But because of the property, there was this divergence that was created because we had to buy propertics in Delhi.
Correct. Because the last two financials, if you see, we have added up the majority of the properties in NCR at a very big cost. So, that definitely is going to impact. But going forward, if you see, as you correctly said, the major addition from depreciation going up would be from the Ind AS adjustment and not from buying propertics.
Corect. So, that is the clarification I was looking at. And then, Karan, what is the peak number of stores we are looking at NCR? 50 is the number we should look at?
Sir, if you sce in Delhi, then Faridabad, Noida, Greater Noida, Ghaziabad, Gurgaon, these satellites arc also growing cqually big today. So, you have covered Delhi city-by~ity, Central, North, South, and West. But apart from that, if you sce, in Gurgaon, organically, you will open 2-4 stores. Another store is opening in Faridabad. In Greater Noida, you will open 2 stores. Then, in Gurgaon, Faridabad, Greater Noida, Ghaziabad, then in all these peripheries, you will do Manesar. So, I mean, in Meerut and all these peripheries, if you consider, it is expanding in UP, itis expanding in Haryana. So. if you add all these, sir, 50-55 stores will be there for the next 2 years. That is the plan.
So, NCR will still continue to grow. And then, have you identified a new region, new state, other than NCR?
Our homework is on, I think, in the previous few calls also, we had discussed. So, Orissa is a market. UP is a market and peripherics of NCR. So, those arc the markets where, say, in Gurgaon, you have Mancsar, Rohtak, Sohna. In Haryana, you have these 3-4 small towns. Then, youhave Saharanpur, Muzaffaragar, Meerut, in Western UP. In these peripherics, there will be some expansion. Apart from that, in Orissa, there will be 24 stores. So, that is the main market that we are looking at right now.
So, NCR expansion, Orissa, and then a litle bit of Western UP. These are the next areas?
And AP and Telangana will definitely, sir, your penctration in Tier-3, Ticr-4 towns wil

l continue
to grow parallelly.

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Rupesh Tatiya: Electronics Mart India Limited
August 05, 2025
Perfect. And what is the debt position at the end of the Q1, short-term, long-term, and lease liabilitics, if you have those numbers available?
Sure, sir. So, sir, your total borrowing on 31st March was around Rs. 983 crores, which has come down to Rs. 689 crotes, out of Rs. 689 crores, Rs. 250 crores is for land and building. And the rest of it is for the working capital requirement.
The other thing, Karan, is because we arc doing such a significant expansion, almost 30-40 stores, and then this expansion will continue for another 2-3 years, my at least, humble suggestion is that can you figure out a way to present the data as mature stores in maybe 2-3 year store, newer stores, and give some indication of profitability?
We will mark down stores which are matured, which are in the process of getting matured, and the newly opened stores. You will have a fair idea that how much percentage of stores that we

are operating out of 208, almost 50% are less than 3 years, 20% are less than 12 months. So, you will get a fair idea. And then from there, you can understand the mumbers better.
Because there are significant front-loading of the cost, but the revenue is a little bit back-ended. So, out of this 208.
Point taken, I will share that with you, sir, after making it
And how many are matured in 208 and how many are maybe 2-3 years old?
Sir, almost 45 stores have been opencd in the last 3 quarters.
Correct.
Eight stores have been opened in this, sir, in your quarter 1, FY26, and almost 40 stores were opencd in your last year. So, altogether, almost 50-55 stores have been opened in your last 12 months. And apart from that, in your last year also, almost 40 stores were opened. So, almost out of 208, 85-90 stores are less than 24 months.
Corect. So, almost 40% of the stores are probably not even breakeven?
Yes. No, operational breakeven is done, sir. But the maturity point, we consider Rs. 25-Rs. 30 crores or Rs. 40 crores. That maturity point is yet to come, sir, of those stores.
Thatis perfect. And then the finalis a little bit non-numbers related question. NCR is a different market than Andhra Pradesh, Telangana, I think when a customer walks into NCR, he is probably not looking to buy one AC. He is probably looking to buy 2-3 ACs. The brands probably are different, brands don't travel. There are regional nuances. So, I did go and visit

Karan Bajaj:
Rupesh Tatiya:
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Moderator:
Rajiv Bharati:
Premchand Devarakonda:
Karan Bajaj:
Rajiv Bharati:
some of your stores. And in general, the feedback is that the employee training probably needs to be picked up a little bit is what my fecling was. I may be wrong or it might be something clse. So, maybe you can give some color on that?
We will definitely improve on that, Yes, sir.
But you can give some color on that. What are you doing to make sure that NCR, we arc best in class in terms of sales and marketing?
Sir, as you said, first one year of us operating in NCR was the learning where we stood more premium down South and we were cmphasizing with limited brands. So, that is why we added up brands like Lloyd, Bluc Star, Haicr, and those categories where it was needed, especially the entry-level product category for NCR market. So, that was a major change that we did, number one. Number two, sir, most of our cmployees except one category head, the rest of the cmployees on the floor are from the brands, the respective brands. So, at the point taken because down South, definitely the throu

ghput is higher. They definitcly have better training standards ormore
matured staff or well-trained staff down South in our stores because the productivity is higher. ‘Whereas North, because we just started off right now, the brands give us all the employees, all the sales team come in from the respective brands, but we will talk to them and try to fix up. Thatis a daily engagement that we have with them, with the manufacturers to make sure that the training and quality of manpower is improvedin our stores up North s well. So, that point taken, I think I will go back to them again, have a discussion before Diwali to have that improved as well, sir.
Thank you. Thank you for answering all my questions.
Thank you, sir. Thank you for your feedback.
Thank you. The next question s from the line of Rajiv Bharati from Nuvama. Please go ahad.
Good afternoon, sir. Thanks for the opportunity. So, Prem s, to start with on North cluster, can you tell the gross margin last year in North cluster and this quarter also, Q1 versus Q1?2
Gross margins, just hold on.
Gross margins will be in line with what you do in Hyderabad. So, that is, there will be like 1% 0.5%-1% lesser than what we arc doing right now in Hyderabad. So, it would be in the range of around 13.2%-13.3%.
So, T was just wondering whether the increase in EBITDA margin pre-Ind AS, has there been anything to do with gross margin as well or is this purcly operating leverage because very highly competitive?

Premchand Devarakonda:
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Karan Bajaj: Electronics Mart India Limited
August 05, 2025
It was mainly because of the improved throughput.
Sure. So, I was wondering because of product mis, it should have deteriorated actually, the gross margin and that is why that EBITDA margin improvement is kind of getting canncd because of that?
Say it again, sir. Hello.
Yes.
Can you please repeat that?
Yes. So, I was under the impression because of weak demand, your AC sales were weak. So, gross margin should have taken a hit and that is why the EBITDA margin improvement is actually depleted on its own. It could have been higher. If we get a fecl of what is the gross margin swing between the quarters?
Had AC category done well, would have been in a better position. The EBITDA margins would have been better by at least 1%.
Yes. So, the point is you said that let us say, we will get to this 5% margin profile. We are already, nearly there on the 5% margin?
Exactly, sit.
Sir, what happens now s that in the next quarter, 6-8 stores are opening. Then the denominator is s0 small that it will add up o 10 on 30 and then it will become 40. Then the number will look the same. Now, you understand that the overall number is being divided, so the base number is quite low there.
So, I was also saying beeause as we move through the year, the gross margin should actually improve from here onwards if given a normal condition like we have seen?
Correct. And sir, if you s, if I divide it store-wise and see, the 30 stores, almost 8 stores arc 24 months old or 30 months old, sir, there you will see that the blended margin is higher. GP margins is higher. The EBITDA margin is also higher.
Got it. Sir, you said the AC inventory is close to Rs. 250 odd crores. That is what, 65,000 units Left, is it?
AC inventory is more than Rs. 250 crores. Usually, sir, from last year this period we have ended with around Rs. 70-odd crores of stocks, which this year it was supposed to be organically 100, this year it is 350 instead of 100. We have more than Rs. 250 crores of inventory. Because your

Rajiv Bharati:
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August 05, 2025
display stocks has increased. You have opened more than 50 stores. So, 50 stores multiplied by almost 8,000 units went on display net-net, big backup stock and after doing this, the regions that you have expanded in Tier-3, 4 towns, your backup stock has also increased So, sir, the

changes that we attribute, the changes that should have been Rs. 100 crores in the last Rs. 70 crores in the exit scason, which is Rs. 250 crores higher than last year's number, that way.
So, what, 90,000 units, is it?
Approximately, yes, 89,000 to be precise.
Yes, so from, let us say, from Q2-Q4 put together, how many units did we sell last year?
Sit, from Q2-Q4, last year, the number was around, say, 70,000-73,000 units, but that was after a bumper summer. So, this year, we arc attributing, that number will be go beyond 70,000 umber because this time summer was not very prolonged.
And can you talk about, let us say, OEM support, what are we getting in this case for AC 'merchandise in particular?
Not much. But there is no desperation that can be seen as such because organically if you see July around Rs. 30 crores to Rs. 35 crores ACs have been sold so it has not reached to point of desperation where manufactures will support but one good positive at the end of this is that the rating changes from December. So, from October, no manufacturer will have supplics for the older stocks, which we will be carrying during Dusschra and Diwali period, right? So, the stocks that are going to come will come with a new rating from 1st January. So, the price will be much higher than what the rating saving would be on the ACs.
Lastly, on the SSGs, AP in particular has seen very sharp decline, right? So, can you comment, is there competitive intensity there, which is hurting us or any other factor, which is oncoff?
Sir, in fact, the market share is growing there, number of stores are also adding p there. Sir, you have seen a major decline there due to the hit of the AC category, sir
'What is it like for Hyderabad also? My point was that?
Hyderabad?
So, you say Hyderabad, then Telangana upeountry, there the decline, AP in general has even bigger decline than those two?
Those two are Hyderabad and Telangana, correct.
Yes. So, Iwas wondering, is it specifically something in AP which is hurting us?

Karan Bajaj
Rajiv Bharati:
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Rajiv Bharati:
Karan Bajaj
Moderator:
Karan Bajaj

No, not really. In fact, AP is also doing very well for us. If you ook at daily traction, our AP is also performing, we are opening more stores there. So, sir, AC was the major contributor for that region, if you ask me. The rains were much heavier, the throughput on other categories also got a little impacted, but it is not that we arc losing market share, in fact, we are gaining market share and the penctration in Ticr-3, 4 towns is increasing. We opened more stores in Vijayawada, Vishakhapatmam, Guntur, Nellore, Rajahmundry, the existing markets also. So, I think that is working towards our favor to grow in that category, to grow in that market, sir.
Sure. Sir, lastly, what is the CAPEX we did this quarter?
CAPEX this quarter? One second, I will just tell you. I do not have the number on top of my head right now. One sccond. Around Rs. 56 crores.
Thanks a lot and all the best.
Thank you, Rajiv.
Thank you. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to management for closing comments.
Twould like to thank all of you for joining the call. I hope that we were able to answer all your questions and for any further inquiries, you may get in touch with our team or Mr. Deven Dhruva from SGA. We will be happy to addre

ss all your querics. Thank you once again.
Thank you. Ladies and gentlemen, on behalf of Electronics Mart India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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To,
Listing Manager, The Secretary,
The National Stock Exchange of India Ltd., BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INEO2YR01019
Dear Sir/ Madam,
Subject: Disclosure of transcript of Earnings Conference Call for the Second Quarter and First Half Year ended 30™ September 2025 held on 10 November 2025.
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the eamings conference call held on Monday, 10 November 2025, at 05:00 P.M. IST to discuss the Un-Audited Financial Results for the Second Quarter and First Half Year ended 30™ September 2025. The same is also available on the website of the Company at the below-mentioned link:
https://investors.electronicsmartindia.com/earning-call-transcripts-and-investors-presentation
‘We request that you take this information on record.
Thanking You,
For and on behalf of Electronics Mart India Limited
Rajiv Kumar
Company Secretary and Compliance Officer
Date: 14% November 2025
Place: Hyderabad
ELECTRONICS’ | KITCHEN | EAsY MART AUDIO & BEYOND STORIES ‘ KITCH=ENS
Regd. Office : 6-1-91, Shop No. 10, Ground Floor, | Corporate Office : M.No. 6-3-666/A1107, | Zonal Office : 35 - Link Road, Lajpat Nagar Il
Next to Telephone Bhavan, Secretariat Road, Opp. NIMS Hospital, Punjagutta Main Road, =~ New Delhi - 110024. Ph : 011-45546292
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EMI) Electronics Mart India Limited.
“Electronics Mart India Limited
Q2 & H1 FY26 Earnings Conference Call”
November 10, 2025
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10 November 2025 will prevail.
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Management:
1. Mr. Karan Bajaj — Chief Executive Officer and Promoter — Electronics Mart India Limited
2. Mr. Premchand Devarakonda — Chief Financial Officer — Electronics Mart India Limited

Moderator:
Karan Bajaj: Electronics Mart India Limited
November 10, 2025
Ladies and gentlemen, good day, and welcome to Electronics Mart India Limited Q2 and HI FY 26 Eamings Conference Call. As a reminder, all participants lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then Zero on your touchtone phone. Please note that this conference is being recorded.
This conference call may contain forward-looking statements about the company, which are based on the belicfs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertaintics that are difficult to predict. I now hand the conference over to Mr. Karan Bajaj, CEO and Promoter. Thank you and over to you, sir.
Thank you very much. Good evening, and a very warm welcome to everybody present on the call. Along with me, I have Mr. Premchand Devarakonda, our Chicf Financial Officer. We have uploaded our Results and Investor Presentation for the quarter and half year ended 30th September 25 on both the Stock Exchanges and the Company’s website. Hope cveryone had a chance to go through the same.
During the quarter, performance was marked with volatility owing to the GST rates

announcement, which led to some deferment of purchase in the initial weeks. However, demand rebounded swiftly following the reduction in GST rates on selcet categorics, resulting ina strong recovery in sales momentum. Operating margins were also impacted due to our rapid store expansion.
We

have added around 75 stores since H1 FY 24 and many of these are still in the carly stages of stabilizing. As a result, fixed costs such as employee expenses, marketing and promotions are not yet being fully absorbed. The rapid expansion has also led to higher financing costs and depreciation due to the IndAS 116 lease accounting impact.
Together, these factors have affected our PAT margins and PAT as well. As the new store ramp up can start contributing more meaningfully, we expect margins to gradually improve in the coming quarters. To give a clear perspective on our store portfolio, out of total of 215 stores, 84 stores are more than 4 years old, while the remaining 131 stores are less than 4 years old.
The mature 84 stores delivered sales of about INR 2,254 crores in the first half of FY 26, whereas the newer 131 stores contributed revenue of around INR 933 crores. These figures represent revenue from product sales. On the profitability front, the matured stores contimue to perform strongly with an EBITDA margin of 6.8%, while the newer stores cwrently operate at an EBITDA margin of 3%.
Now I would like to share a highlight on our geographical performance. We have seen a broad-based recovery in demand across all our key clusters. In Q2 FY '26, our core market of Hyderabad recorded a strong revenue growth of 15% Y-o-Y with a healthy SSG of 12%. In Telangana, country matket revenue grew by 23% with an SSG of 16%. Andhra Pradesh delivered a robust reveme growth of 20% and with an SSG of 8%.

Lastly, our NCR cluster continued to scale up well, achieving a revenue growth of 38% and an SSG of 11%. Talking about cluster-wise profitability, we continue to maintain a healthy EBITDA margin of around 6% in the Southem cluster despite adding new 60 stores across Andhra Pradesh and Telangana over the past 2 years.
We are also pleased to share that our NCR operations remained EBITDA positive with a margin of 1%. We believe margin in this region will scale up further as we start achieving greater business scales and operating leverage soon. Talking about category-specific performance, I had carlicr shared an update on the large appliances segment during Q2 FY 126.
In numerical terms, large appliances contributed 38% in the Q2 FY '26 and about 43% in H1 of the FY 26, Another positive trend we are secing at the store level following the GST reduction is an increase in the average sclling price, as customers are increasingly opting for large televisions and higher-priced air conditioners or even purchasing newer categorics such as dishwashers.
The shift towards premium products will help in driving and improving overall ASP as well.
Moving to mobiles. Mobiles contributed 48% of our total revenue in Q2 FY '26 and 44% in H1 FY 126. Looking ahead, we belicve the category is poised for a new wave of demand driven by upcoming technologics, upgrades and feature enhancements.
Many OEMs are actively developing next-generation Al-cnabled devices, which we expect will further boost consumer interest and drive growth in both ASP and volumes. This positions us well to capture the next phase of demand as the upgrade cycle accelerates, We believe the broader environment remains supportive.
Interest rates have been reduced, GST rates have come down and the govemment has also reduced income tax slabs previously, which is expected to boost disposable incomes. Together, these factors are likely to create a compounding cffect on consumption and drive long-term growth.
Several categories in our portfolio continue to remain unpenetrated, offering significant growth potential. As our newly opened stores mature and reach steady-state performance, we expect margins to progressively nomnalize, sctting a strong foundation for sustained and profitable growth in the years to come.
With this, T request Mr. Premchand Devamkonda, ou

r CFO, to update on the financial
performance. Thank you.
Thank you, Karan sir. Good evening, and warm welcome to all the participants. Firstly, I'm happy to share that we reccived the full insurance claim amount relating to the fire accident that occurred on 29th May 2025 at our one of our godowns, which has carlier resulted in an inventory loss to the tune of INR 8 crores.
Secondly, during the quarter, we took a strategic decision to divest 4 of our IQ Apple Stores, which are shown as EBO in our reports. This move is in line with our focus on strengthening

Moderator:
Yash Sonthaliya:
Premchand Devarakonda:
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Premchand Devarakonda: Electronics Mart India Limited
November 10, 2025
our core multi-brand retail business, which continues to offer greater scalability and better operating leverage.
By realigning our portfolio towards the core business, we aim to enhance capital efficiency and sharpen our execution focus across key growth arcas. Now moving on to the financial performance during Q2 and HI of FY '26. First, I would like to start with Q2 FY 26 performance.
Our revenue for the quarter stood at INR 1,591 crores. EBITDA for Q2 FY 126 stood at INR 82 crores. EBITDA margin for Q2 FY 126 stood at 5.1%. Pre-IndAS EBITDA for Q2 FY 26 stood at INR 46 crores with a margin of 2.9%. PAT, including exceptional items for Q2 FY 26 stood at INR 16 crores. Same-store sales growth for Q2 FY 26 was 11.4%.
Moving on to HI FY 26 financials. Our revenues for H1 FY 26 stood at INR 3,330 crores. EBITDA for HI FY 26 stood at INR 192 crores. EBITDA margins for H1 FY 126 stood at 5.8%. Pre-Ind AS EBITDA for H1 FY '26 stood at INR 122 crores with a margin of 3.7%. PAT, including exceptional items for HI FY '26 stood at INR 38 crores.
For HI FY 126, SSSG stood at minus 4.8%. ROCE and ROE on annualized basis for H1 FY 26 stood at 9.8% and 4.8%, respectively. The working capital days as on 30th September 2026 stood at 76 days. Pre-IndAS cash flows from operations as on 30th September 25 stood at 209 arores.
‘With this, we can open the floor for question and answers. Thank you.
Thank you, sir. We will now begin the question and answer session. The first question is from the line of Mr. Yash Sonthaliya from Edelweiss Public Alternatives.
So, my first question is on our gross margin. Like if I see Y-o-Y from Q2 FY 25 to Q2 FY 26, our mobile mix has changed from 51% to 48%, while large appliances sales have increased from 36% to 38%. But while in this Y-0-Y scenario, our gross margin has declined, which in the ideal scenario should have inereased because of the mix change. So, can you please help me with the same?
Sir, this is Premchand. See, what happened since the GST rate cut announcement came in, it led to a total slowdown. There was drastic degrowth in the sale of the large appliances category. So, during that period, we have to just push some sales by offering additional discounts that has marginally reduced the margins, gross margins during this period, sir.
Got it. So, the decline in gross margin is majorly due to extra discounts we provided in the quarter. Am I reading it right?
During that slack period since the announcement came in on, that has come on 22nd of September tll festive, the sale, which was total slowdown in the market. Peopleactually deferred their purchase decisions in anticipation of the GST rate cut. And as a result, we had to offer like we have to run the stores and stores people also, they have to push the sale on the floor. So, these things actually marginally reduced the gross margins. And the GST rate cut advantage will come

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Premchand Devarakonda:
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Premchand Devarakonda: Electronics Mart India Limited
November 10, 2025
in, Imean, in the next quater, that is in th

e festive season, which went on very well during the
first 3 weeks of October.
Got it. And sir, on the same line, Lalso wanted to know what is the AC inventory for this quarter and what was it in Q2 FY '25?
So, AC inventory in spite of GST rate cut, there is no traction, T think, in the AC inventory because of the off scason. So, scason was, I mean, even the weather was not supporting our AC

sales, still we are camrying INR 200-plus crores of air conditioner inventory, which we thought that it will get liquidated in the festive scason, but we didn't see any demand. So, we have to wait and sec the upcoming summer scason, which will start sometime in the sccond week of February.
So sir, we are still holding INR 200 crores AC inventory?
Yes.
Just to add on to, sorty, just to add on to Premchand sir, yes, whenever we exit a season or our ground stock, which now we are operating 215 stores, so the inventory would be for displays, which s around, say, almost 15,000 nits in display across 215 stores and the subsequent backup stock for that. Soifyou look at the overall number, we'll be carrying another INR 100-0dd crores of excess inventory that you would be not carrying during this period of time.
INR 100-0dd crores of excess inventory, that is what I was expecting.
Ifyou have to run the shop then you have to maintain the basic stock. So that much stock is there and apart that the inventory which is stuck so usually if you compare from last Diwali o this Diwali also or this season our decent number was there in this year, but obviously not a summer scason so that can be much better in the coming summer scason.
Very clear, Karan and one last question on operating leverage also. Like this quarter, we reported healthy SSSG. And while our store growth was on 20%, what was the reason for such high cmployee cost? Was it there some one-offit is going to stay like this only going ahcad?
It is in line basically if you sce it is in line with what the cmployee cost is. In this variable incentive is also added for that quarter. So, because we were running a lot of schemes so the variable incentive was a little higher than what usually we would do. So that employee cost would include that as well.
And plus, what happened was a lot of stores which we opened in the last quarter or so. So, though they took a litle time to get launched, but the managers, sceurity housckeeping. So, you've got to employ a lot of these people. So, whenever the incremental store addition happens, the subsequent growth in the cost of cmployees also goes up, right?
Understood.
Sorry for interrupting, so if you look at the employee cost as a percentage of the top lin, it is more or less similar compared to the last year's figures.

EmMbp Moderator:
Jitaksh Gupta:
Premchand Devarakonda:
Jitaksh Gupta:
Premchand Devarakonda:
Jitaksh Gupta:
Premchand Devarakonda:
Moderator:
Mehul Desai:
Premchand Devarakonda:

The next question is from the line of Mr. Jitaksh Gupta from Tikri Investments.
So, my question is, sr, if we see revenue per stor for cither it is Andhra Pradesh or Telangana, o, tis constantly moving down, and it is one of the lowest in this quarter. So, sir, can you please help me understand what is happening with the South market?
Sir, actually, what happened if you look at the store addition also during this, I mean, in these clusters, 5o it was a lttle rampant compared to other reasons. So, since the denominator has been increasing, so obviously, average store throughput has come down. These stores will take time to mature. Normally, the average age of these stores is also it's less than 3 years in these clusters. So, I think by end of this financial year, I think most of these stores will start performing, and we are quite optimistic about normalizing the average store throughput.
And sir, one last question. Sir, how is the competitive

landscape in South market?
Competitive landscape?
Yes, in Southern market where we operate.
Okay. Sce, in Southern markets, in the markets like Hyderabad, so we are the market leader. And in Andhra Pradesh, I think we stand number two. And in Telangana up country, we are stll holding our market shate. We are number one only. So, in fact, there is not much competition in Telangana up country market. In Hyderabad, obviously, there is competition. Still, we arc gaining or rather improving our SSSG. If you look at the quarter, this quarter's performance, definitely, it is quite encouraging, and we are not losing any market share to our competitors.
The next question is from the line of Mr. Mehul Desai from JM Financial Limited.
Somy first question s on the top line. I think our full year guidance was around 15-odd percant. But given that the first half, there is a miss, how do you see sccond half panning out, especially

because of this GST rationalization? Do you see fiirther acceleration in your overall sales growth and you still maintain your guidance of 15%? That is first question.
And second question s on the margins. Obviously, this quarter margins were impacted by higher discounting and weaker mix. But going ahead into 3Q, I'm assuming that this discounting factor should go away. So, is it fair to say that in the sccond half, our EBITDA margin should go back to that 6% kind of 6%, which we saw in 1Q? These are my first 2 questions?
Okay, sir. The first thing, the 15% year-on-year growth, since we have already halfiay through during the financial year. For me, I think we need to revise that. But still, we are quite confident of reaching low double-digit growth in this financial year. So thatis there. It on the track. And coming to the second question, okay, margins during the Q3. I think now it is going to be impressive. Definitely in Q3, the margins will be better than what we have seen in the last couple of quarters.
Sorry, just to add to Prem sir's conversation on the growth. Sce, the trends right now, see, we bad a bad summer that definitely impacted the AC sell out. But we are quite optimistic on, so

Mehul Desai:
Karan Bajaj:
Premchand Devarakonda:
Moderator:
Devanshu Bansal:
Premchand Devarakonda:
Devanshu Bansal:
Karan Bajaj:
you're looking at, say, if you're talking about 14%, 15% growth, you're looking at an additional delta of INR 100 crores, INR 150 crores of sell-out in, say, March month for cooling season products. So that comes up, summer comes up a little carly, then it becomes much casier for us to achieve that kind of a nmumber.
But it all depends on scasonality. It all depends on the thing. But when you're looking at an organic sell-out that happens every month, every day, every week, I think we are on track on doing good business. So that is what we're looking at, making sure the market share is intact. and growing from there on, the new clusters are performing.
The stores which are yet to get matured are on track to getting matured. So, if you sce all these things, things are looking good. Things are on track. But what will definitely help us surpass that growth rate s the cooling product scason, which will statt, which might start a little carly, say, in March, if it starts so carly, and then we get that additional INR 100 crores- INR 150 crores of growth there. So that is very important.
Gotit. And sccondly, on Delhi NCR region, while you gave your matured and new store margins on an overall basis, in specifically to Delhi NCR region, the stores which were opened in FY 23, obviously, they are maybe 3 year old, they are not 4-year old. But those 3-year old stores in Delhi NCR, what kind of margins they are clocking?
Prem sir will get back to you on this, because we don't have a split on that. Premchand sir will get back to you on that.
Yes. Il give you that working because we didn't

work out that anything for the Delhi stores. But
to the best of my knowledge, like it is better than more than 3%.
The next question is from the line of Mr. Devanshu Bansal from Emikay Global.
Sir, you mentioned that overall we have about INR 1,200 crores of inventory. So, inventory is about INR 100 crores higher versus last year. What about extra inventory in other categorics? And further to this question, how much can be the potential margin impact if we sort of try to liquidate this inventory as there was some margin impact in Q2 also. So overall for H2, what is your initial sense on the margin impact of this cxcess inventory?
Sir, we are not camying any excess inventory in other categorics. Because of the bad summer scason, we were forced to carry the air conditioner inventory, and I think we, as explained by our CEO, I think if summer sets in carly, we are quite confident of liquidating this inventory before this financial year.
Sir, still the sense was that because already there was impact in the south, the festive scason sort of starts off early. And in Q1, Q4 also, our inventory was INR 1,200 crores. Now also it is sitting at INR 1,200 crores. So just wanted to double check as in if you can confirm because the festive period must have a good part of would have already been consumed by September?
Yes. So, if you sce the inventory level at that, at the end of September, we started buying a lot of products, especially for television, the sales went up really well, right? So mobile phones,

Devanshu Bansal:

Karan Bajaj:
Devanshu Bansal:
Karan Bajaj:
Premchand Devarakonda:
Karan Bajaj:
Devanshu Bansal:
Karan Bajaj: Electronics Mart India Limited
November 10, 2025
television and Diwali, carrics out across categories. So spread across all categorics. So, we had to buy outa lot of the stocks, right? So, cxcept ACs, we had to pile up our inventory for other categories as well.
Sothat is where you would see a higher inventory level. But if we talk about that inventory level today, it is much lower than what usually it would be post the festival period, except again, ACs to a cettain extent. And, apart from that, all other categories arc in line with the regular, say, 40 days, 30 days, 60 days for different categories. So that is in line with that. So, by 31st December, when you see the number, you will definitely see a much lower number of inventoris.
Understood. Can you comment on this festive, you have given some indication about low double-digit growth for H2, sorry, for full year, which implics about 20%, 25% growth in F2.
So, can you comment some light as in how did the festive go this time around versus last year, maybe some trends for first 40-odd days?
We are quite positive on how the festive period panned out. But again, looking at the split between quarter 2, quarter 3, we just finished, ended up our festive period completely in the month of October, but still had another 60 days of November and December to go through. So usually, there s a sluggish period post Diwali, right?
So, thatalso have to pass and then there is another 2 months of non-festive period in this quarter. So, itwill be too carly for us to comment. But things are looking positive. I would not complain. Things are looking definitely positive than the previous festive period. So that is a good sign for us. And that is across all categories and all clusters.
Fair cnough. Sccond question, I wanted to check on the incentives, right? So brands also have struggled for this year. And in this particular industry, there arc a lot of incentives linked to mesting the target. So do you foresee some lower incentives on account of that because sales, ot cetera, have been impacted. So do you foresee some impact on that?
Prem Sir, you want to take that question or you want me to answer it?
Yes, please, sir. I think he was asking you.
Okay. If you look at that incentive part, looking at that numbe

r, we arc not worried about it
because most of the schemes that we had were all upfront majorly. So, there was not much of a sell out or linked scheme that was pending or is pending. So, whatever the incentive we were supposed to receive for the sales target that we had completed, that is on track only. So, there is 10 deviation there.
And lastly, Karan, thanks for providing this segregation for mature stores and nonmature stores. Typically, I wanted to check what is the typical SSSG that your mature store clocks and what is the same number for, say, nonmature stores?
Prem sir, do you want to answer that? You have the mmber with you?

EmMbp Premchand Devarakonda:
Devanshu Bansal:
Premchand Devarakonda:
Devanshu Bansal:
Premchand Devarakonda:
Moderator:
Tusha:
Premchand Devarakonda:
Karan Bajaj:
Tusha: Electronics Mart India Limited
November 10, 2025
Itis not readily available. But last year, when [worked it out, so fully matured stores, that means stores aging more than 10 years will have mid-single-digit SSSG. So blended, all the mature stores are actually giving, this time, this quarter was quite impressive. So, on the whole, like for the year, I think we can expect high single-digit SSSG across the board.
Sir, I'm checking for more of a medium-term perspective, not from this year. Obviously, this has been a disruptive year. T wanted to check more from a medium-term perspective, what is a reasonable assumption for SSSG for mature stores and for nonmature stores because your average age for nonmature is less than 4 years. So, I wanted to check on that.
Yes. See the stores between aging 4 and 10 will have at least 9% to 10% SSSG and the stores aging more than 10 years will have around 3% to 5% SSSG sir. That was the historical

performance.
Fair cnough. And any last question, among categories, anything to call out as in which categorics are sort of performing better versus the others? So that may sort of give us some sense on the revenue mix?
The last three, four quarters, this large appliances category dida't perform well. But starting from Q2 of this year, we have seen decent double-digit growth in these categories like home entertainment, refrigerators, washing machines. So, we can expect, because the penetration of Iarge-scal large sercen televisions is much lower in this market.
So that is now getting penetrated. So, we can expect close to 10% growth in this category. That includes the air conditioners. And coming to mobiles, so that will be roughly around 15% to, 15% year-on-year. That is the conservative estimate.
The next question is from the line of Mr. Tushar from Athena Investments.
So, regarding your Delhi, from what I see from the presentation, you have around 31, 32 stores, and you're doing a run rate of INR 400 crores, INR 450 crores. So that's around INR 12 crores, INR 15 crores per store. So, what is your aspiration? I mean, ultimately, where should these stores reach? And in how much time do you think they will go to that level?
In Hyderabad matket, the average store throughput for MBOs is more than INR 65 crores. So that is what our aspiration in NCR. So, I think it will take maybe 3 to 5 years to reach to that level. And this year, we arc quite confident of reaching around INR 30-plus crores per store in NCR.
But just to add on, I think some caleulation, I think there's some discrepancy in the calculation that you've done versus what we usually have it. Sir, last year, we did around INR 480 crores of revenue in those stores apart from the new store that we opened up in Delhi NCR. So, this is a Delhi NCR, we would be very comfortably on track of doing around INR 630 crores to INR 700 e s of revenue this financial year.
This year.

EmMbp Karan Bajaj:
Tusha:
Karan Bajaj:
Tushar:
Karan Bajaj:
Tusha:
Karan Bajaj:
Tusha:
Karan Bajaj:
Moderator:
Siddarth:

So last year, INR 480 crores.
So it's growing at high double digit?
This is after the addition of new stores as well. Sorry?
This is growing at high double digit, is it?
Yes, definitely. If you sce all the quarters that, in the last couple of quarters, last quarter also, in fact, after a bad summer scason also, the stores have grown there. We've donea total cumulative growth of around 38% this quarter, quarter 2 as well.
So, looking at the festival period panned out, things are moving on a daily basis, I think we are quite positive on reaching at least INR650-plus crores in that region. But unfortunate for the region is that the summer starts post April there. So, quarter 4 would have a very smaller flavor of the summer there compared to the southern region.
So, INR 650 crores this year and next year, what do you think would the Delhi NCR?
There is aspiration, aspiration with the new stores opening up and the stores getting mature in that region, we should at least grow at least 25% over that number.
Okay. And any plans to get into Southern like Bangalore, Chennai, any reason that you've not gone into this arca because that is
No plans as of now, but definitely, we will evaluate the newer expansion from the next quarter onwards. Thats the plan.
The next question is from the line of Mr. Siddarth from Vittac Moncy.
So previous 2 quarters ahead, we did hear a word from management saying there is a lot of credit scrutiny going around, there's a lot of rejection rates for the EMIs applicd by the customer.
‘Would just love to have an outlook as to how it has been at the moment? And is it actually having an impact on the sales? And what do you expect on the post GST cut, clectronic retail is expected o be the key beneficiary. How do you expect it to pan out for EMIL and the potential guidance would be lovely to hear?

First is the credit cuts are actually not, I mean, not impacting our businesses. Actually, what happencd like the markets where we have been operating, I think in those markets, we are able to gencrate more than 60% of business through these consumer durable financing and coming to the GST rate cut, GST rate cut was applicable to the, I mean, in our business, in our trading. So, the large sereen televisions and the air conditioners, these are the two categorics. They got the advantage of the GST rate cut. And definitely, during the festive scason, during Q2 as well as festive scason, we did see decent growth. It is very impressive growth in this large sereen television category, whereas air conditioners being a scasonal product, I think we will sce the traction coming in, in the fourth quarter of this financial year.

EmMbp Siddarth:
Premchand Devarakonda:
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Premchand Devarakonda:
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Siddarth:
Moderator:
Akhil Parekh:
Premchand Devarakonda:
Akhil Parekh:
Premchand Devarakonda:
Akhil Parekh:
Okay. That did provide us with a lot of clarity. And my follow-up question would be that there is a lot of nonmature stores that you have at the moment, close to 131 stores, if I'm not wrong. So, when do we expect a marginal contribution from them in terms of the breakeven? They are having a breakeven. But I mean, the substantial margin contribution, the EBITDA improvement from them. And what is your plan in terms of store expansion for FY '26 laid out is something also T would love to have clarity on?
Yes. Sir, these stores will mature in the next 24 months, most of these stores. And the sense they will start contributing to the EBITDA margins. Coming to the expansion plan for the rest of the financial year. In Telangana, we arc planning to add 4 more stores in Andhra, 4 stores, in NCR, 3 stores and in Hyderabad, 2 stores. These stores are going to be operational by end of this financial year or latest by April of this, in the next financial year, sir.
Okay. So, if you can

just let me know overall count as to how nuch is the plan laid out for the upcoming year, it would be really helpful?
For the rest of the financial year. 30 more stores
Okay. And the concentration would be more exposed to Telangana market, right?
Yes, Telangana, Andhra and Hyderabad, these are given, and this is an organic store addition. And in NCR, we are planning to add 3 more stores. I think this s the plan till the next April
Tt looks very diversificd and I am looking at to be part of the future prospects.
The next question is from the line of Mr. Akhil Parckh from B&K Securities India Private Limited.
The first question is on the North cluster margins, right? And for the first half, it stood at 1%. But if I remember correctly, I think the last quarter, we were guiding that the NCR or North cluster margins will be around 3% to 4% by end of FY '26. So how should we look at it basically the North cluster margins for the full year FY 262 That's my first question.
In Q1, we had a little bit of air conditioner sale happened in the North cluster. As a result, we had 3% EBITDA margin. whereas in Q2, it was a little slow because of that GST announcement and also the weather conditions. Now having seen the performance during the festive scason, we are quite optimistic. I mean we will be, itis definite that we are going to reach the targeted EBITDA contribution coming in from NCR.
Okay. That's a good place. So, we should be bl to reach at least 3% for FY 267
Yes. Yes.
Okay. The second question is, what's the downside risk to our EBITDA margins at a company level if the summer scason is ot strong as per our expectation, right? What could be the worst-case scenario for margins basically for FY 26

EmMbp Premchand Devarakonda:
Akhil Parekh:
Premchand Devarakonda:
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Premchand Devarakonda:
Moderator:
Harsh:
Premchand Devarakonda:
Harsh:
Premchand Devarakonda: Electronics Mart India Limited
November 10, 2025
Yes. Sce, air conditioner contribution is very important for us. So that should, I mean, obviously, we'll not have 2 bad summers for next year also, we are going to come back on track with regard to the air conditioner sales.
Okay. No, but I'm saying just hypothetically because the expectations are that the winter is expected to be cooler this time, which seems to be the case, right? So, if that happens, would it be fair to assume our margins will remain below 6% for the full year?
This financial year, yes, it will be around that, EBITDA margins will be around 6%. And if summer sets in carly, so it will slightly improve. I may go up to, I mean, that, it might improve by another 30 to 50 bps.
Got it. So early summer, then it's around 6.3% to 6.5%
Yes
Okay. And last question on the capex guidanc, if you can please highlight like what kind of capex number should one look at for FY 26 and 272
See, we have, as I mentioned, like about 30 stores in pipeline. So those, I mean, for the rest of the period, you may consider another INR 25 crores to INR30 crores of capex in the next 6 months. Apart from that, for the next financial year, we will be adding, as of now, we are planning to add 30 more stores. So, on 30 stores, we'll be investing about INR 75 crores. So that is the plan.
Thank you. The next question is from the line of Mr. Harsh from Nepean Capital.
So, Karan, you mentioned that your target for FY 126 in Northern cluster should be around INR 650 crores. So, i I just calculate it on a per store basis, it would be in the north of, say, INR 30 crores of revenue coming in on an average basis. And secondly, this would be a growth on a year-on-year basis despite having a weak HI. So where do you expect the growth coming in from in the second half?
See what happened in the second half, the festive scason went on very well. As a result, like we did see decent growth means it's more than 25% coming in from North clus

ter. And coming to
the other thing like, sec, most of the stores which arc opened in the current financial year, they are getting added to the denominator. As a result, we are getting the average throughput lesser. But we consider the stores which are operational for more than 12 months for the purpose of ascettaining the average throughput coming in from the store.
Got it. So yes, considering that only, I thought my mumbers might be slightly different on a per stor basis, but it's showing us INR 27 crores for last year, FY '25. And if [had to just incorporate what your guidance i, it should be in the north of, say, INR 29 crores to INR 30 crores. So that's the reason I thought where am I missing.
Yes, that's true.

EmMbp Harsh:
Premchand Devarakonda:
Moderator:
Premchand Devarakonda:
Moderator: Electronics Mart India Limited
November 10, 2025
Okay. So, you're saying if's just to conclude in the summary, you're saying that the festive period sales and the stores which have been added towards the later part of the year or in the first half would start contributing and that's how you expect it to go up?
Yes, sir. That's right.
As there are no further questions, I would now like to hand the conference over to the ‘management for closing comments. Please go ahead, sir.
Twould like to thank all the people who joined on the call. Hope that we are able to answer all your questions. For any further querics, you may get in touch with us or Mr. Deven Dhruva from SGA. We will be happy to addsess all your querics. Thank you, one and all, and see you soon.
Thank you, sir. On behalf of Electronics Mart India Limited, that concludes this conference. Thank you for joining us, and you may now disconncet your lines.

Call: Feb 2026

To,
Listing Manager, The Secretary,
The National Stock Exchange of India Ltd., BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for the Third Quarter and Nine Months ended 31st December 2025 held on 09th February 2026.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on Monday, 09th February 2026, at 04:00 P.M. IST to discuss the Un-Audited Financial Results for the Third Quarter and Nine Months ended 31st December 2025. The same is also available on the website of the Company at the below-mentioned link:

https://investors.electronicsmartindia.com/earning-call-transcripts-and-investors-presentation

We request that you take this information on record.

Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 12th February 2026
Place: Hyderabad

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"Electronics Mart India Limited
Q3 and FY '26 Earnings Conference Call"
February 09, 2026

MANAGEMENT : MR. KARAN BAJAJ – CHIEF EXECUTIVE OFFICER AND PROMOTER – ELECTRONICS MART INDIA LIMITED
MR. PREMCHAND DEVARAKONDA – CHIEF FINANCIAL OFFICER – ELECTRONICS MART INDIA LIMITED
STRATEGY GROWTH ADVISORS, INVESTOR RELATIONSHIP ADVISORS – ELECTRONICS MART INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Electronics Mart India Limited Q3 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of the future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Karan Bajaj, CEO and Promoter. Thank you, and over to you, sir.

Karan Bajaj: Good evening, and a very warm welcome to everyone present on the call. Along with me, I have Mr. Premchand Devarakonda, our Chief Financial Officer. We have uploaded our results and investor presentation for the quarter and nine months ended 31st December '25 on the stock exchange and the company's website. Hope everyone has a chance to go through it.

The quarter began on a positive note with the festive season with Diwali falling in October alongside the implementation of the GST rate cut during the period. While our sales mix remained broadly in the same line with the same period last year, demand across categories, particularly in large appliances, was supported by the GST reduction and further aided by festival-led consumpti

on.

Importantly, on festival to festive comparison, we delivered robust growth of approximately 25%, indicating a strong underlying demand. At the same time, we saw operating leverage play out, resulting in an improvement in operating margins.

Despite the continued additions of new stores, overall, the absence of a prolonged festive season, we delivered a steady growth performance with the GST cut providing an additional tailwind to consumption trends.

During Q3 FY '26, we added 4 new stores, 2 in NCR region and 2 in Andhra Pradesh. I would like to highlight that our Andhra Pradesh market has seen a strong recovery, delivering approximately 14% growth in Q3, and we continue to grow our market share.

Over the last 2 years, we have added nearly 100 stores, which now account for approximately 50% of our total store portfolio. As a result, a significant portion of our network is relatively young and still in the early stages of maturing, yet to reach optimal throughput. Consequently, fixed costs and such as manpower, marketing and promotional spends are not yet fully absorbed, while finance costs and depreciation remain elevated, partly due to Ind AS 116 adjustment. This has had a short-term impact on overall profitability. As these stores continue to ramp up and move up the maturity curve, we expect operating leverages to play out, leading to a gradual improvement in profitability and ROCE as they mature. To give a clear perspective on our store portfolio, for 9MFY '26, we operate 219 stores, out of which 83 stores are over 4 years old and 136 stores are less than 4 years old.

In the first 9MFY '26, the mature store base generated product revenue of approximately INR3,523 crores, while the newer stores contributed to around INR1,528 crores. From a profitability standpoint, the mature stores continue to demonstrate strong performance with an EBITDA margin of 7%, whereas the new stores are currently operating an EBITDA margin of 3%.

I would like to highlight our geographical performance. We witnessed a broad-based recovery in demand across our key clusters during this quarter. In Q3FY '26, our core market of Hyderabad delivered a year-on-year revenue growth of 6.4% with SSG of 3.3%, supported by the revival of real estate projects across Hyderabad, which has impacted performance in FY '25.

In the Telangana up country market, revenue grew by 2%. Andhra Pradesh reported a strong performance with a revenue growth of 18.2% and an SSG of 4.9%. Lastly, our NCR cluster continued to scale up well, recording a revenue growth of 30%, along with an SSG of 7.1%.

Turning to cluster-wise profitability. We continue to maintain a healthy EBITDA margin of around 6% in our southern cluster despite 70% of our new stores being added across Andhra Pradesh and Telangana in the past 2 years.

We are also pleased to share that our NCR operations remained EBITDA positive on a nine-month basis, delivering an EBITDA margin of around 0.5%, translating to around INR2 crores.

This performance would have been stronger for the nine months ended if we have experienced normal summer season up north. We expect margins in the region to improve further as we continue to enhance store level throughput, which will drive better absorption of fixed costs such as manpower, marketing, rentals.

Moving to category-specific performance. In terms of contribution, large appliances accounted for about 42% revenue in Q3 FY '26 and around 43% in the 9MFY '26. A positive trend we are observing at the store level following the GST reduction is a gradual shift in consumer preferences toward large televisions and high-value appliances such as front-loading washing machines and dishwashers.

Notably, washing machines' demand has remained stagnant over the last four qua

rters, registered a growth of approximately 11% during the current quarter.

We are also seeing increased traction in new categories such as dishwashers, air coolers and other categories. This growing presence of premium products has helped us sustain our average selling price during Q3FY '26.

Coming to the mobile categories, mobile contributed to around 44% of our total revenue in both Q3FY '26 and the 9MFY '26. The mobile phone segment recorded a growth of approximately 10% in Q#FY '26. Looking ahead, we believe that the category is entering the next phase of demand driven by upcoming technologies, upgrades and feature enhancements.

Several OEMs are actively working on the next-generation AI-enabled devices, which we expect will further stimulate consumer interest and support growth in both ASPs and volumes. This positions us well to benefit as the replacement and upgrade cycle gains momentum. We believe the broader environment remains supportive. GST rates have come down and the government has reduced income tax slabs previously, which is expected to boost disposable income.

Together, these factors are likely to create a compounding effect on consumption and drive long-term structural demand for consumer durables.

Several categories in our portfolio continue to remain unpenetrated, offering

significant growth potential.
As our newly opened stores mature and reach steady state performance, we
expect margins to progressively normalize, setting a strong foundation for
sustained and profitable growth in the years to come.
With this, I request Mr. Premchand Devarakonda, our CFO, to update you on
financial performance. Thank you all.
Premchand Devarakonda: Thank you, Karan sir. Good evening, and warm welcome to all the participants.
Now moving on to the financial performance of Q3 and 9MFY '26. First, I
would like to start with Q3 FY '26 performance. Our revenues for the quarter
stood at INR1,939.7 crores versus INR1,805 crores in Q3 FY '25, a growth of
8%. EBITDA for Q3 FY '26 stood at INR119 crores versus INR102 crores in
Q3 FY '25, witnessing a growth of 17%. EBITDA margin for Q3 FY '26 stood
at 6.1% versus 5.6% of last year.
Pre Ind AS EBITDA for Q3 FY '26 stood at INR82 crores with a margin of
4.2%. PAT, including exceptional items for Q3 FY '26 stood at INR30 crores.
Same-store sales growth for Q3 FY '26 was 2.54%. Now moving on to 9
months of FY '26 financials. Our revenues for 9MFY '26 stood at INR5,270
crores versus INR5067.1 crores in 9MFY '25, a growth of 4%. EBITDA for
9MFY '26 stood at INR311 crores. EBITDA margins for 9MFY '26 stood at
5.9%.
Pre Ind EBITDA for 9MFY '26 stood at INR204 crores with a rate of 3.9%.
PAT including exceptional items for 9MFY '26 stood at INR67 crores. For
9MFY '26, SSSG stood at 0.19%. ROCE and ROE on an annualized basis for
9MFY '26 stood at 11% and 5.8% respectively. The working capital days as on
31st December '25 stood at 60 days. Pre-Ind AS cash flows from operations as
on 31st December for the 9-month period stood at INR500 crores.
With this, now I open the floor for questions. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session.
The first question is from the line of Aditya Bhartia from Investec.
Aditya Bhartia: My first question is on SSG growth in up country Telangana, wherein it
appears to be a little on the weaker side. I think there's been a slight decline on

an SSG basis. And even -- I mean, from a slightly longer-term perspective, we
are not really seeing that business scaling up -- that part of the business scaling
up very sharply. So what's the outlook in that region? And what do you
attribute the SSG decline to?
Karan Bajaj: If you actually look at the number, it is -- when we look at category-wise sales
or if you loo

k at the overall number, firstly, the revenues are up, but with a
marginal 2% up, including a new 6-7 stores that we opened up compared to
last year Q3. But if you look at overall demand, there's a little slowdown. So I
would not attribute or be at a spot where we want -- things are under control.
We are not losing market share. How is the productivity portion going on? So
if you look at the overall sentiment of the market, it is a little weaker compared
to the other clusters that we're operating in today. So I would attribute that de-
growth to that. But if you look at overall number, there was a good positive
sign in January as well in that cluster.
And this is predominantly the other categories. The cooling products have not
started yet at the full pledge. But looking at the big days of January, looking at
the festival there of Sankranti/Pongal and the 26th of January did really perform
well there. So, I think it is a matter of time. We will definitely see a positive
SSG in Q4 there.
Aditya Bhartia: Perfect. And my next question was on the demand trends that you are seeing
in January pretty much across the country and how things shaping up between
North and South clusters in January?
Karan Bajaj: So things look good for now, no complaints. I think we have finished the bad
quarter that we had in the last financial year. And I think we're only looking
for the positive upside coming in the coming quarters, especially with the AC
base being -- or the cooling product base being quite low in the last quarter --
the last few quarters, I think the coming summer quarters are going to be good.
So no complaints of that. We're already ready for it. We started buying and
started shelving our stores with the newer inventory for the new rating as well.

So, I think we are quite optimistic on the upcoming season.
Moderator: The next question is from the line of Siddarth S from Vittae Money.

Siddarth S.: So, I would just like to understand that this could be in previous 2-3 quarters, and I'm just taking you through the previous 2-3 quarters. Sir it was said that since there was a lot of credit scrutiny going around, there was a lot of issues or the sanctions of the credits that was issued as a proportion of funded was going lower because banks were rejecting a lot of, what do you say, the EMI eligibilities of customers due to strict underwriting policies.
Just want to understand how is the outlook on that, or how is it going on right now? Because most of the sales that's being done or sanctioned by you is going to be credit sales only, and this could be an important factor impacting the same. So just want to understand that note.
And how would the -- since you very convenient you know very good experience in the expansion and there has been a lot of expansion that's been going on. How would you give us an outlook in terms of how the future expansion is going to be? And when are these stores respectively, going to contribute to the revenues, respectively as majority of the stores right now are non-maturity stores?
Karan Bajaj: To answer your first question, usually, every year, after the 2 big seasons of festival and the summer season, we would see a little slowdown in approval rate from the NBFCs. That is a normal trend in the industry. So definitely, after Diwali, we did see that trend going a little slower. But then usually once like the Christmas days always starts off well.
And now they are -- they already would get ready with the upcoming summer season. So that is a trend that we see always where the approval rates go a little lower, not too low. But I think going back again to the summer -- upcoming season, we'll have a higher approval rate coming back on also all the NBFCs, so that is how it works for them.
And for your second question on future expansion, currently, we are looking at opening the set

number of stores in NCR, AP and Telangana that are lined up already in the pipeline yet to open up. So by 31st March or maximum second week of April, we'll have additions of new stores in this geography, which were already under construction or already for which we've signed up.
And as we stick to our plan of further expansion into a new territory, that probably after the Q1FY’27 is when we would venture out into the new

geography that we are currently looking into, could be Odisha, could be Western UP, and some of the newer markets that we're exploring right now. So, between me and the teams, we are looking at a further newer cluster that we will definitely add up in probably the Q2 or the Q3 FY '27.
Siddarth S.: Okay. Okay. Got it. So I just -- I did get some clarity on this. I just have 2 follow-up questions on the same line. So the next thing is the majority of the sales mix makes up -- it is made up of white goods and electronics. So the thing is that when we look at AC as a good in terms of the sales, there is some reports or there is some studies suggesting that this summer is not as hot as it is expected to be in the previous years going ahead.
How would you think that would impact the AC sales of the company in general? Or what is your outlook from -- on -- as an opinion of yours or something? So that's one question from my end. The next thing is that there is a lot of talk going around in terms of the increase in RAM prices, which is going to translate into a higher, say, final sale price of the mobiles and other electronics since electronics also makes up a huge mix of books at the moment -- sales book at the moment.
What do you think is going to be the impact in general that can be attributed to the price increase in the electronics and the slower-than-expected summer this quarter, which will essentially -- how can it have an impact on the AC sales as

well?
Karan Bajaj: Okay. So I wish what you said is not true that the summer season is not going to be good. Let's not hope for that. But what we experienced last year in the Q1 or, say, mid of March, we got the flavor of the weather not supporting us for the season. But that being a low point, I would still put in the base at that level and expect at least some growth from that number from there on. I think that has also delivered at a higher number from the last year's base, I think we are sorted.
We don't need to look at 70%, 80% kind of a jump, right? So we are still optimistic on the category because the penetration is still very low. The new rating has also come in. We don't see a drastic increase in pricing from the AC brand. It is a nominal price increase, and that would get mitigated with the EMI offers and the cash backs that the brands provide during the summer period. So

I think we're looking at an optimistic sale, and we are ready to go ahead for the season, and we've aligned our inventory accordingly so that we...
Siddarth S.: Sorry to interrupt, just to stop you there. So you're also positive in terms of how the underwriting is going to be from the NBFCs and banks, right, coming up on the quarters as well?
Karan Bajaj: Yes, absolutely. The NBFCs are also ready. Currently, all the NBFCs that we work with IDFC, Bajaj Finserv, and HDB. So all are lined up and geared up for the season as well. So they're also looking forward because cooling products on a whole contributes to a bigger book size for them as well.
Siddarth S.: Yes, yes, correct. So you expect them to have some softer underwriting policies in general, unlike how it was multiple quarters back.
Karan Bajaj: Absolutely, absolutely.
Siddarth S.: Yes, yes. Got it. So I did get some. So in general, you are also positive on how the AC sales is going to roll out in general, considering the fac

t that we are not
going to hopefully not see a worst season in terms of the slowdown in the AC segment.
Karan Bajaj: Correct. Because January base was not high last year, but the January also seen a positive uptrend in the category. But last year, if I actually attribute the AC sale in Q 4, it was majorly February and a couple of weeks in the March month that did well. But then after that, after March 28, we definitely saw a downfall up till May. So usually, that is the peak season for us for AC sellout, AC and cooling product sell-out. But hopefully, this year, we do -- might have a longer winter in place, but so we expect a longer summer going forward or at least an unanticipated summer with no rains in between.
Siddarth S.: Got it. Got it. Next as a follow up, as I already -- I'd just like to reiterate on the question of how do you feel the RAM prices, which as an expectation, we are saying the mobile and the electronic prices in general is expected to go by 8 to 10 percentage. And there's a lot of proxy companies and the companies which is directly -- that can be impacted by the sales is expected to see some slowdown. How do you view that? And what is your outlook in general of how we are going to navigate or how the numbers are going to play out for the electronics segment in general?

Karan Bajaj: Right now, we don't see a drastic change in the pricing from any OEMs right now. It could be a minuscule change going forward. But as I told you earlier, EMI schemes are available up to 24 months, brands are forwarding that. There are cash-back offers. There are 1 EMI or 2 EMI coming in from the OEMs as well. So eventually, the price is going to be in line with what it is currently operating at. So there would be a major jump there as well because a lot of these OEMs do absorb the cost as well. So, not necessarily that they always keep on increasing the price to the end consumer.
Siddarth S.: Okay. Okay. Okay. Understood. So in general, it is also expected to have a good view. And just to catch you on the last point there, you're also saying that

apart from the soft underwriting, there is also a lot of customer-friendly policies that are going to come up like cash back and a lot of offers in general to incentivize the customer.
Karan Bajaj: Absolutely. Until, unless there's a new technology chain. For example, if it is like a 4K technology moving towards 8K or something better in any phone devices with the AI coming in. So, if there is a new add-on on the technology, definitely the price goes up. But apart from that, there is no price increase for a like-to-like product.
Siddarth S.: Sure. No, I just asked it on the front of the memory and RAM, which is the existing same technology of electronics just upgrading due to the RAM price hike in general, which was observed and which is a hot talk that's going on around in market now. So yes...
Karan Bajaj: Yes, for that particular product, yes. Definitely, yes.
Siddarth S.: Sure. Understood. And the last question, I'd like to know which are the major NBFCs partners or major bank partners that you guys have tied up with? And in terms of basically, let's take account of funded and there is going to be credit sales of you guys in general, which NBFC or banks takes up the major portion of the customers of yours who have availed for the EMIs. As a mix, I would like to understand that for some better clarity on that.
Karan Bajaj: The NBFCs that are prevalent in our industry in consumer durables are Bajaj Finserv, they are the biggest players. So our share or any retailer share is in line with what -- they are as market leaders, number 1. Number 2 would be IDFC, then would be HDB, ICICI and TVS Finance, especially for mobile

phones in a few of the markets. So that IDFC is not present i

n a lot of up
country stores, for example. So then it is -- there it is Bajaj and HDB, TVS. So it all depends on the market reach of these NBFCs would have. But predominantly, the 4-5 companies that are prevalent in the market across all retailers.
Siddarth S.: Okay. Can you just take me through who is that HDB? I'm unaware of all the other parties...
Karan Bajaj: Split from HDFC Bank. HDB is a subsidiary of HDFC Bank.
Siddarth S.: Okay. Got it. Sure, sure. So yes, thanks a lot for the clarity from your end and I'm looking forward for the upcoming -- I mean, business to go well. And yes, hopefully, it is expected to do so.
Karan Bajaj: Pray for the summer to go well.
Moderator: The next question is from the line of Awais Bakshi from Sundaram Mutual Fund.
Awais Bakshi: Sir, just first question on the pricing side. You mentioned that the new BEE pricing are in. So what's the differential, sir, right now versus the earlier SKUs?
Karan Bajaj: I think it's not much. It is like 1%, 2% plus or minus and not more than that.
Awais Bakshi: Okay. Sir, just one follow-up here. Given that the price differential is not much versus others, wouldn't it somewhere affect the sale of existing non-BEE products in our portfolio? What's your sense?
Karan Bajaj: So the difference on pricing is not much, but the rating and -- so if you're comparing it, the lineup right now is still in a transition of having a complete range of the new BEE rating on the storefront because it is hardly a month in, because the production plus the stocks are not completely available across all brands. So -- and then we also are left with some older inventory.
Though we started buying the newer ones now, but we are left with some older inventories also. So by, say -- and the summer season has not picked up yet. So if I look at second week of March, that is when we'll have a complete transition of the newer models on the store front. So by then, it will be hardly

left with some 10,000, 20,000 units that will sell through the summer period after that.
Awais Bakshi: Okay. And sir, just one question here. On the overall inventory, what would be

the AC inventory right now in our system?
Karan Bajaj: Right now, AC, we've already picked up for the season, right? So we are already at the same current levels of usually what we would have for our beginning of summer season. So a little upwards of 300,000 units.
Karan Bajaj: No, no, sorry.
Karan Bajaj: No, no, one second. One second. Yes. So in terms of units, we are around 250,000 units ready for the summer season.
Awais Bakshi: 250,000 units. Got it. And this will be more or less the older non-BEE norms, right?
Karan Bajaj: Sorry, sorry, I didn't get your question.
Awais Bakshi: These 250,000 units, this will not be the new BEE norm ones, right?
Karan Bajaj: No, no. Almost 50% of this inventory is the newer rating.
Awais Bakshi: Okay. Understood. And sir, just one more question in terms of discounting intensity this quarter, what was the status coming in from, say, the September quarter to December? Any changes there?
Karan Bajaj: Sorry, I didn't hear you. Can you repeat your question, please?
Awais Bakshi: Sure. In terms of discounting intensity, September, we had a higher instance of discounting, right, given the GST, etc. So is that continued in December or that intensity has cooled down.
Karan Bajaj: No, no. So that was up till the Diwali, would end up probably the first week of October, that's when Diwali ended up. And then after that, we did see an increase in pricing again or the discounting was reduced to the minimal during that period again.
Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Karan, Hyderabad cluster has seen a good pickup over the last couple of quarters. So wanted to check what is the confidence on sustainability of this growth for this cluster? You did mention that some of the real estate projects are picking up, but if you could give some confidence on the sustainability of this trend.
Karan Bajaj: So if you look at -- definitely, there's no store addition in this cluster. We already captured the market here. The market would organically grow from here on. But the newer product categories like dishwashers, audio has picked up here, accessories are doing really well. The attachment has definitely gone up, especially in mobile phones and television.
And post the cutdown on GST, we have definitely seen an uptrend on sellout on televisions. So looking at that number, I think going forward, but not a big jump from here on. I think it will be in line with what the numbers are for this cluster. The SSG would remain under 3%-4% kind of a number. So I think that on such a big base, that kind of an SSG without new store opening, all mature stores, I think it is a good sign that it is sustainable for the coming quarters as well.
Devanshu Bansal: Fair enough. Fair enough. And from Delhi perspective, sir, the growth is a tad lower, right, 7%, 8% SSG, while this cluster particularly should see very high SSG, right, just because the maturity of stores is relatively lower. What's your expectation from this cluster maybe going into FY '27? What is the kind of growth minimum we should see in this cluster?
Karan Bajaj: So if you actually see Delhi would also have an extended cooling product sale, which we didn't see this year at the level that we would see in the previous year, we would attribute a little SSG growth slowdown to that as well. But overall, if you see our contribution in the premium is definitely increasing there. The ASPs are going up. The ticket sizes are going up Y-on-Y. And especially for the new stores that we opened up are in the major clusters like Janakpuri, Pitampura and Golf Course Road.
So I think in Faridabad, we opened a store recently. So the new stores that are there actually are more prevalent and more bigger clusters. So the SSG that you would see a drop in, especially for older markets like Daryaganj, Karol Bagh or in Punjabi Bagh where the market size has not increased much because

they are -- there's no new construction in that area. So the market size remains muted there, the growth in the market size. So overall, I think if you look at the number, it is up by 30%.
But I think in the coming quarters, you'll definitely see a higher growth coming in from this region because on a daily level, when we look at the sales, so January also did very well for us in that cluster or every weekend that we look at the sales from every productive store, it's growing Y-on-Y. So we are quite impressed on the growth coming in. But definitely, Delhi would need another year or so to stabilize further. And at the same time, a good summer season would boost the sales from there on because it would create a huge customer base for us during the summer period as well.
Devanshu Bansal: So just to better understand, are you indicating that maybe FY '27 would also be like a breakeven kind of a year for Delhi market or we will see some kind of a profitability...?
Karan Bajaj: We will definitely see a profitable FY '27 in Delhi. But what I was suggesting was that if we have a great summer in that region, then you will see a better profitable margin for that cluster.
Devanshu Bansal: Fair enough. And sir, lastly, I noticed that the inventory levels are about 15 days higher versus last year. You did mention that you have stocked up for the upcoming season, but that would be the case last year as well, right? So I wanted to check as in -- because in the channel also, every player would be having higher inventory this time around. So any opinion in

terms of, say,
competitive intensity from sale of these cooling products in the upcoming season, can that impact our margins to some extent?
Karan Bajaj: So the margins, just to answer your first question, yes, you will definitely see an increase in number of days of inventory. But that is in line with what we had planned, especially with the television stocks because we picked up a lot of television stocks post Diwali as well because the sellout was good, and we were seeing, of course, a drop in GST. There was shortage of the stock.
So we had to pick up a little more stocks there. And definitely, yes, we were sitting on a higher inventory of air conditioners. But compared to that particular quarter in FY '25, we would not see the inventory of ACs at that level. So ACs of inventory were lower, but the purchase will start off in January or so. So that

is why you would see that number coming in Q4 rather than Q1 for cooling products. So this would include a little bit of ACs that were still stuck from the summer of Q1FY '25.
Devanshu Bansal: Anything on the competitive intensity, sir? Do you foresee there may be some extra discounts that we may have to offer to liquidate...?
Karan Bajaj: Really not. That is in line. So whatever -- wherever it is needed to discount, especially to liquidate the stocks of ACs that we -- whatever support we got additionally from the brands is what was passed on. So we didn't go ahead in discounting a lot from our end, 1% here or there in terms of gross margin for that product category, but everything else remains intact.
Devanshu Bansal: So just to summarize, so FY '27 ideally, if summer goes well, should see return of double-digit growth in the business side?
Karan Bajaj: Hopefully. Hopefully.
Moderator: The next question is from the line of Ankit Kedia from PhillipCapital.
Ankit Kedia: Karan, you mentioned that festive saw 25% growth. But ex festive, the growth would have been pretty much flat or low single digit. So what happened in ex festive days that the growth was so dismal, while in festive, you saw 25% growth if I add Q2, Q3 together?
Karan Bajaj: Ankit, firstly, there were 9-10 days of split between Q2 and Q3 in terms of the festival sales. Dasara, up to Navaratri and all went up to Q2, whereas beginning of Dasara till Diwali was in Q3. And by the first week of November, we were done with the season. So post that, November definitely saw a huge drop, which we usually see. So there was no surprise to us. But the recovery, which was, say, 2 weeks or 3 weeks down of -- slowdown of sales went up to almost second week of December.

That's when we started seeing an uptrend coming back again and then the Christmas and New Year sales were really fantastic. So that's why that is what you would see usually as a trend. But there were no external factors for us to push the sales back, especially after the festival period when they grew at 25% and the offers were really great. So they were really on the televisions and appliances as a category, there were huge discounts, cash back, freebies offers from the manufacturers, which ended up by the first week of November, right?

So definitely, you would see a lot of preponed sales also getting booked during that period for the offers that were on the floor for the manufacturers. So these are normal trends. But I think the recovery was a week later, 10 days later in November, December transition and picked up after second week of December. That's when we saw the uptrend in all categories pushing up to the first week of January.
Ankit Kedia: Karan, but even Q2, Q3 together is just 12% growth, right? And if festive is 25% growth, that too because of the GST push, which came in. And going forward, if summer is just normal and not very harsh, do you thin

k double-digit
growth rate can come back?
Karan Bajaj: If you look at the trend that is going on right now, there is nothing that is going to stop us from that. The market trends that you would have seen for Q1, Q2, Q3, FY '25 versus what we anticipate going forward is quite positive than what has happened in the past. And if I look at the base on the cooling product categories, Feb and March last year was a very normal sale that I would look at.
That is very organic that we would do rather than not attributing it to a double-digit or a higher number of growth because if I break up and give you that number, January last year, which is INR38 crores, February was INR104 crores. March was INR168 crores. So it was around INR340 crores, INR350-odd crores in quarter 4, which we see that that's going to definitely grow on in the quarter 4 this year.
And going forward, April was really bad again, and there was no sale practically in May and June again in quarter 1 last year. So I think we're quite positive. Same thing with refrigerators or air coolers are practically no -- next to 0 in terms of what we would deliver during that period. So we're quite optimistic on how the season is going to pan out. But this time, we're a little cautious on inventory pile up so that even if the season goes at a double-digit growth, we still don't need to suffice the need for high inventory risk that we had throughout the FY '25 year.
Ankit Kedia: My second question is on the Delhi market. It's been 3 years for the first six stores which we opened, right, or we will complete three years now. When do you think would be the right trajectory for us to achieve company level margins

from a Delhi market perspective? I'm not looking at the full breakeven because obviously, you're continuing to expand stores in the region. But at least the earlier stores which we have opened the first 10-2 stores, when do you think they can breakeven.
Karan Bajaj: If I look at those numbers, they are quite optimistic and quite positive on the throughput that you would expect from them. So I think if you look at -- I think if we do this same question at the end of Q1, I think we'll have a better answer for this because we'll have a good summer and hoping that Delhi is going to have a good summer this year.
Then we'll have a -- we'll understand how the contribution of cooling products in Delhi as a market can change the whole year compared to what it happens in the southern market. So the throughput is going to be surviving the need for a few quarters there. So that is how it's going to be. And hopefully, by Q2 FY '27, we should see that numbers going up in terms of profitability from that region.

Ankit Kedia: So from a store economics perspective, earlier you had clearly mentioned that it takes three years for the store to breakeven, right, and more than that actually to achieve company level margins. Now do you think as a unit economics, given the competitive intensity and the season change, which is more frequent now and dependence on season change is much higher, do you think that unit economics doesn't hold true today for the new stores opening? Or you'll still stick your neck out and say no in three years for the new stores, we can break even or achieve company level margins?
Karan Bajaj: We stick to the same concept and the same numbers. They're still prevalent if you look at the numbers. If I break down Delhi in terms of the first 6 to 8 stores that we opened up in August '22, they are in line with the same numbers. But then the attribution, majorly in Delhi as a region, if you look at, comes at the depreciation and interest level because the cost is a little higher because we did a lot of capital investment in buying a property there.
But if I look at the store level EBITDA or if I look at the store level performance for these stores,

the store economics for the set of 8 stores, in fact, the other ones that we opened up also are showing up results much sooner than expected. So the burn is much lesser. The marketing cost is all divided,

absorbed between all the stores. So if I look at the revenue going up there, it is a matter of the delta coming through, which definitely you will see not only for the set of 8 stores, which are 3 years old, but even for the newer ones that we recently opened up in the coming quarters.
Ankit Kedia: Karan, I don't know if you answered this question on store opening. I joined late. Just wanted to know for this year and for next year, what is the store opening guidance we are giving?
Karan Bajaj: So this year -- this quarter, we've ended up opening another 4 more stores. So the store count definitely from 219 will -- if I finish making of the stores, this summer is usually when we -- if you remember, every 31st or 30th of March, every year, we add up at least 7-8 stores. So that is in line. So in case we finish making the stores both up north and down south, we will add up another 5 to 6 stores by the end of March.
That is the plan, probably if not in first week of April, there will be a delay. But once the quarter ends, the first quarter ends in FY '27, that's when we plan to venture out to a new geography, either could be Odisha could be Western UP, and we are evaluating a couple of more areas there up north also. So if things work out, we'll definitely -- after the good summer season, we'll definitely venture out to a new geography as well.
Ankit Kedia: So this year, the store opening is lower than last year on gross basis also, if not net. Is this a conscious call because of summer being poor this year?
Karan Bajaj: Absolutely, absolutely. So we have to make sure that the store count that were added last year, we were seeing -- at the same time, see Delhi was a newer market for us. So if you look at Delhi, all the new stores have been added. Tier 3, 4 towns have been added in Telangana, where we were not present.
Currently, we are all present in the markets that we look at. So, organically, if you look at, there are 1-2 markets left in AP and Telangana, where we are adding up stores.
And it's not just to increase the store per se, this number, but we have to evaluate the market, make sure the markets are big enough. In fact, after a very long time, Hyderabad might see another 2 or 3 stores coming up in the next couple of quarters. We are looking at areas and peripheries of Hyderabad to add up new stores because that is where the market would demand them.

And right now, if you look at the stores which are in pipeline, there will be a similar number of stores, but a lot of these stores, especially the stores in Delhi took a longer time to finish because of the drop again there, which happens every year. So we got delayed with the stores. So if you see Faridabad second

store and Budh Vihar is what we were able to end up opening up.
But if I look at the pipeline there, again, we have 6 to 7 stores in the pipeline in Delhi, which are getting ready, which will open up in the coming times. So the overall expansion plan that we had is in line with around, say, 20-odd stores that we opened up this year. Another 10 probably will add up in the next couple of months.
So I think while making that, there was a delay. But rest, definitely, we were cautious after the bad summer that went through. We were cautious not to -- otherwise, by now, we would have been into a new geography. And automatically, you've seen a much higher addition of store count with a new geography as well.
Ankit Kedia: So if the summer is poor this year, the new geography can get delayed further?
Karan Bajaj: No, no, no, irrespective of how the summer pans

out, we are ready to expand further.
Ankit Kedia: Last year, you delayed. So I'm just thinking that this year, again, could you delay if the summer is bad?
Karan Bajaj: No, no. Irrespective of how the summer pans out, we are ready for it. And we hope that all of you also pray that the summer goes well because an optimistic mindset will definitely change the weather for us.
Ankit Kedia: And from Odisha or Western UP between the 2 clusters, which you would plan to add, where do you think is the biggest opportunity and where is the less competition for you?
Karan Bajaj: Sure, sure. Apart from this, we are definitely evaluating a lot of other regions in and around our Southern markets as well as some Western and Eastern markets as well. So -- because we have time on hand, we've got one more quarter to go. So we are -- because Western UP will be more organic because we already have presence in Noida, Greater Noida from there on expanding into Western UP is much easier.

But both Odisha and Western UP will not be more than a 10-store count that will increase our footprint in the geography. So apart from that, because we'll be ready to expand further by quarter 3 next year. So we wanted to make sure that we at least enter one more new geography on a newer cluster altogether.
Ankit Kedia: And obviously, they will not be ownership model like we went in Delhi, right? Because I don't think they would have such flagship locations we would need to invest in that land.
Karan Bajaj: Yes, exactly, exactly. And most of the market would have lower rentals, longer leases available. Until unless there is an opportunity for us, but majority of them are going to be -- in fact, in Delhi as well also, if you see now, the peripheries, Budh Vihar, we opened Faridabad, one more store, all are around rental only that we are trying to open apart from the stores that we've already secured, which are under construction, like Saket is under construction, 2 stores in Golf Course, 2 stores in Gurgaon are under construction. So those stores will take time because we're constructing from scratch. We bought the land out.
Apart from that, there's no further acquisition up north as well.
Ankit Kedia: My last question, if I may. On the average ticket size, do you think the price cuts taken or the discounting given is impacting our SSSG growth overall? Or do you think volumes today are good enough for us to sustain the drop or the promotions which are being offered by the brand?
Karan Bajaj: Definitely, the volumes are going to have. So more than the value trend, we definitely see a very constant volume growth as well across all categories. So that is an upside, right? But then as a technology seller that how do you upscale your product value as well in case the values remain constant or the values keep de-growing. That's what we always keep discussing that we push customers to more premium, especially after post GST drop in the televisions.
In Tier 3, 4 town cities, we've seen the penetration of 75 inches and above also growing drastically. Front loading going. Front-loading has nothing to do with washing machines, also have seen a drastic change from semi-automatic or automatic towards front loading. Dishwashers have become prominent, dishwashers though the category is small. But since the drop in GST month-on-month we've seen 100% growth in the category, though the base was very

small. But overall, we see a good volume demand setting up across all
categories. So that is a good positive.
Moderator: The next question is from the line of Nimish Shah from Fortune Finance.
Nimish Shah: This is Nimish Shah here. I had a question which doesn't relate so much to the operations, but just a very quick one. About 18 months back, you had -- or 16 or 18 months back, y

ou had offloaded -- the family had offloaded equity at around INR220-INR230 to SBI and Mirae or some such fund. The stock price has not reached that level then for a variety of reasons, and we won't go into that. At the price of INR100, don't you think you all should be doing some form of creeping acquisition at least for tokenism or for confidence building measures for shareholders who stuck on?
Karan Bajaj: I think you have raised the point where we -- not only today, but every month, every investor meet, every quarter, CFO, me, the team, Dad, everybody keeps discussing it. But I mean, I don't know what is right or what is wrong because we get a mixed review on this of giving news out in the market that we would be picking up something or continue the same way. So it is always a mixed review that we've got. But just to answer your question, personally, I would say 65% of the company is still owned by us. So that itself is a good...
Nimish Shah: No, I understand. Sorry for butting in, but I understand where you're coming from. I know 65% is a very, very robust and a very, very healthy equity stake. So your skin is completely in the game. I'm not taking away anything from that. My only question...
Karan Bajaj: If you guarantee me that I put some money on the table tomorrow if it's going to help somebody or give out a positive...
Nimish Shah: Yes, yes, 101%. 101% you know...
Karan Bajaj: But when I discuss it with other people, when I discuss that. I mean, like you...
Nimish Shah: No, no. Karan, let's cut this chase. Tell me one thing. How will it harm anybody if you buy your own shares, maybe 2 lakh shares or 3 lakh shares at INR100? It just gives me confidence that the promote -- I bought at INR225, okay? The price has not reached that level. Today, the promoter sold at INR225. Today, the price is INR100. Promoter feels that -- if promoter is buying at INR100, so

obviously, he sees some value at INR100. It just inspires me to buy more at INR100. That's about it.
Karan Bajaj: No, I do agree...
Nimish Shah: This cannot harm. You can reach and ask 100 analysts. I've been in this business since 40 years in investment banking at Fortune. So I...
Karan Bajaj: Let me complete, I'll answer your question. I would love to...
Nimish Shah: Please, please, please. Sorry, please go ahead.
Karan Bajaj: Sorry to cut you, but let me answer...
Nimish Shah: No, no, no. All yours.
Karan Bajaj: After that, it is a number that we also have lost. So whenever we -- with 4 quarters in the time, we have discussed this with multiple investors. So usually, it is like the promoters -- that's what I also had an intent of picking up something, but there's always a confusion statement that I got, that's sure it would create a confusion out in the market.
But as you said correctly, if you feel that like you, a lot of other people have said, yes, but a lot of other ones that I spoke to also said, no, so I always had a mixed review of whether to go ahead with that or not because the money that we've raised is still lying with us. It's not that I've invested in 10 other companies where I've lost money or doing something else or I've gone to real estate. This is the only business that we do.
So the money is lying with us. I can definitely pick up a stake back to give the confidence to the market. And if time permits, I will definitely take in -- once we finish a couple of more investor rounds -- investor meetings in the coming months, I would definitely take a call. And much sooner than that, probably

before the end of quarter one results, we would definitely have positive views on this as well.
Nimish Shah: Yes, it's just a tokenism. It's a confidence building measure...
Karan Bajaj: Yes, I get your point. I got your point.
Nimish Shah: Yes. And...

Karan Bajaj: Nothing to do with -- see, it is personal to me, but has nothing to do with what the market takes it positive or negative, but it is just a token of appreciation to the market that we are still there with you, and we are going to turn things around, definitely work harder from where we are today and give a positive sign to the market.
Nimish Shah: Absolutely something if the owners of the restaurant also eat here, it will just help. If the promoter has taken this amount then what is wrong with that? It's just about that. There is nothing else. It won't move the needle if you buy 4 lakh, 5 lakh shares. That's it.
Karan Bajaj: Definitely, definitely. Point taken on that.
Nimish Shah: And all the best in your endeavors.
Karan Bajaj: Thank you very much.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.
Karan Bajaj: I would like to thank you all for joining the call. I hope that we were able to answer all your questions. And for any further queries, you may get in touch with us or our SGA team. We will be happy to address all your queries. Thank you once again.
Moderator: On behalf of Electronics Mart India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

To,
Listing Manager, The Secretary,
The National Stock Exchange of India Ltd., BSE Limited,
(Through NEAPS) (Through BSE Listing Centre)
Symbol: EMIL Scrip Code: 543626
Series: EQ
ISIN: INE02YR01019

Dear Sir/ Madam,

Subject: Disclosure of transcript of Earnings Conference Call for the Fourth Quarter and Financial Year ended 31st March 2026 held on 22nd May 2026.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on Friday, 22nd May 2026, at 03:00 P.M. IST to discuss the Audited Financial Results for the Fourth Quarter and Financial Year ended 31st March 2026. The same is also available on the website of the Company at the link below:

https://investors.electronicsmartindia.com/earning-call-transcripts-and-investors-presentation

We request that you take this information on record.

Thanking You,
For and on behalf of Electronics Mart India Limited

Rajiv Kumar
Company Secretary and Compliance Officer

Date: 27th May 2026
Place: Hyderabad
ELECTRONIC58
MART AUDIO & BEYOND' KITCH:N'
STORIES BAJAJS
ELECTRONICS
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KITC:1-1:NS
Regd. Office: 6-1-91, Shop No. 10, Ground Floor, Corporate Office: M.No. 6-3-666/A1 to 7, Zonal Office: 35 -Link Road, Lajpat Nagar Ill,
Next to Telephone Bhavan, Secretariat Road, Opp. NIMS Hospital, Punjagutta Main Road, New Delhi -110024. Ph: 011-45546292
Saifabad, Hyderabad -500004 Hyderabad -500082. Ph : 040-23230244
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"Electronics Mart India Limited
Q4 and FY '26 Earnings Conference Call"
May 22, 2026

MANAGEMENT : MR. KARAN BAJAJ – CHIEF EXECUTIVE OFFICER AND PROMOTER – ELECTRONICS MART INDIA LIMITED
MR. PREMCHAND DEVARAKONDA – CHIEF FINANCIAL OFFICER – ELECTRONICS MART INDIA LIMITED
STRATEGY GROWTH ADVISORS, INVESTOR RELATIONS ADVISORS – ELECTRONICS MART INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '26 Earnings Conference Call, for Electronics Mart India Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note, that this conference is being recorded.

This conference may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Karan Bajaj, CEO and Promoter. Thank you, and over to you, sir.

Karan Bajaj: Thank you very much. Good afternoon, and a very warm welcome to everybody present on the call. Along with me, I have Mr. Premchand Devarakonda, our Chief Financial Officer, and SGA, our Investor Relations Advisors.

We have uploaded our results and investor presentation for the quarter end and financial year ended 31st March 2026, on the stock exchange and the company's website. I hope everyone had an opportunity to go through the same.

The quarter got off at a healthy start, supported by a summer season that outperformed. While March business, some temperature volatility and sporadic rainfall, the impact was well offset by a strong festive season across the South region.

Our sales mix remained broadly in line with the same period last year, and demand was robust across categorie

s and each segment delivering double-digit growth. Large appliances, in particular, benefited from the GST reduction and festival consumption tailwinds.

We also saw a meaningful operating leverage coming through, resulting in an improvement in our operating margins, even as we continue to add new stores to our network. On the store expansion front, during the Q4FY26, we added 4 new set of stores, one each in NCR region, Telangana and 2 in Andhra Pradesh.

I'm also pleased to share that during this, both the South and North regions delivered double-digit growth in both revenue and same-store sales growth. To provide a clear picture of our store portfolio, we currently operate 223 stores, of which 83 are over 4 years old and 140 are less than 4 years old.

From a profitability standpoint, mature stores continue to demonstrate strong performance with an EBITDA margin of approximately 7.3%, while newer stores are currently operating at 3.1%, consistent with their stage of ramp-up.

We expect many of these stores to mature over the next couple of years and start delivering better margins. EBITDA margins for Q4 FY26 stood at 6.7% and 6.1% for FY '26. On cluster-level profitability, we continue to maintain a healthy EBITDA margin of 6.5% in our South

cluster, which is good especially given that the majority of our new store additions over the past 2 years have been concentrated in Andhra Pradesh and Telangana.

Importantly, despite the entry of new players into these markets, we have been able to sustain our market share. On NCR, I am pleased to share that our operations they are now EBITDA positive on a full year basis. As store-level throughput improves, we expect better absorption of fixed cost, which should drive further margin improvement in the region over the coming quarters.

Moving to category performance, in large appliance, the positive momentum we have been observing at the store level, driven by GST reduction and festive demand and new product launches have continued.
Washing machines are reporting strong double-digit growth in Q4 FY26, which is particularly encouraging given that the category typically sees stronger traction during the monsoon season. The growth seen over the last 2 quarters is, therefore, ahead of season norms.
Panel continued their double-digit growth trajectory at 13%, sustaining a tailwind from GST reduction. Refrigerators have maintained stable, with steady demand holding up even in the face of recent price increase.
We are also seeing healthy traction building up near -- and the newer and the emerging categories such as induction cooktops, dishwashers and air coolers. Coming to mobile phones, the segment recorded a strong growth of 28% in Q4 FY26, supported by major new launches in January and March.
Looking ahead, we believe that the mobile category in the next phase of this demand cycle driven by upcoming technology upgrades and the growing integration of AI capabilities into devices. Several OEMs are actively developing next-generation AI-enabled smartphones, which we expect will stimulate some consumer interest and support growth in both average selling price and volumes.
On inventory days outstanding as of 31st March'26 stood at 73 days. We have managed inventory efficiently throughout the year, maintaining a well-calibrated mix of carry forward and of new AC models ensuring we were well positioned heading into the summer season.
Coming to FY '27, our priorities are clear. We will continue to optimize our supply chain and inventory management with a sharp focus on cash flow generation and working capital efficiency.
We will deepen our presence in existing clusters while remaining selective about new geographies and only with where the combination of consumer demand and unit economics meets our standards.

And above all, we will continue to invest in customer experience, because that is what we have defined EMIL’s reputation over decades and in the, remain -- and it will remain the foundation of everything we're doing -- going forward.
With this, I request Mr. Premchand Devarakonda, our CFO, to update you on the financial performance. Thank you, all.
Premchand Devarakonda: Thank you, Karan sir. Good afternoon and warm welcome to all the participants. I would like to start with Q4 FY26 performance.
Our revenues for the quarter stood at INR1,913 crores versus INR1,664 crores in Q4 FY '25, a growth of 15%.
EBITDA for Q4 FY26 stood at INR129 crores versus INR107 crores in Q4 FY25, witnessing a growth of 20%. EBITDA margin for Q4 FY26 stood at 6.7% versus 5.6% of the previous year's fourth quarter.
Pre Ind AS EBITDA for Q4 FY26 stood at INR91 crores with a margin of 4.7%, PAT for Q4 FY26 stood at INR40 crores shown a growth of approximately 49%. SSSG for Q4 FY26 has been 12.2%.
Now moving on to FY26 financials,
Our revenues for FY26 stood at INR7,183 crores versus INR6,731 crores in FY25, a growth of 7%. EBITDA for FY '26 stood at INR438 crores and EBITDA margin for FY26 stood at 6.1%. PAT for FY26 stood at INR107 crores. And for FY26, SSSG stood at 5.3%, pre Ind AS cash flow from operations for the year stood at INR299 crores.
With this, we can open the floor for question-and-answers. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Manoj Gori with Equirus Capital. Please go ahead.
Manoj Gori: Yeah. Thank you for the opportunity sir. Sir my first question is, if I look at the overall numbers for Q4, one thing actually was notable was that Hyderabad SSSG was into double-digits. And this has been after a very long time that we are seeing -- sorry -- we are seeing strong SSSG into Hyderabad market.
And probably based on our channel checks, even Q1 seems to be extremely on a stronger note. So how should we read this from a Hyderabad market for FY27? That's my first question. I will come to the second question?
Karan Bajaj: yeah. Good afternoon, Manoj ji. As you correctly that, we also have seen a good SSSG coming to in Hyderabad in the last quarter as well. And even this quarter, the beginning has been really good.
So -- but I would attribute this majority of the sales coming in from a lot of benefit that has come

our way, especially post-September the benefit of GST dropped. The tailwinds that led towards

a lot of improvement in categories like televisions, washing machines, dishwashers -- and in the last couple of months, we've seen refrigerators and cooling products also doing really good.
So once you see a bump coming in from all categories, definitely you would see this kind of an SSSG come through. But I would say that at the same time, like there were a lot of big launches in mobile phones and Androids and from Samsung, from OPPO, Vivo during the last quarter as well.
So mobile phones also performed really well. Cooling products are doing really good. So, if you see blended, you can see a double-digit SSSG as you can see in Q4. So that is the number, I would say that has been attributed to all the product categories because everybody is performing not just one category.
Manoj Gori: Sure. Sure. Secondly, if I'm not wrong, the -- when I look at the product mix, large appliances product mix has declined from 47% to 42% for fourth quarter. And despite that, the gross margins have remained very stable. So that's one more thing, which we believe like seems to be on the positive side.
So how should we read here and probably how should we look at the gross margins in the coming time? And obviously, you were talking about the margin improvement. So if you can comment over there?
Kara

n Bajaj: So Manoj ji, again, there are smaller changes that we have made internally across categories, even mobile phones, even trying to do a lot of attachment there with accessories to improve our margins in mobile as well.
Apart from the cooling product categories, which there was a delay in starting off during that quarter because last year, Jan, Feb did really well versus Jan, Feb was a little slow in cooling product categories this year.
You see a mix of the margin being almost similar or getting a little better is because the throughput to other categories also was quite strong. And we're trying to improve our margins wherever we can even in mobile phones, accessories, adding up of new categories like built-in appliances, audio, accessories.
So we definitely -- these product categories have a higher gross margin, and that is helping us improve. So I don't know how long will it take for us to shape up those other categories, but making sure that all categories that we are selling are selling with a certain productive gross margin improvement there as well.
Manoj Gori: Sure, sir. Last question, if I may. If I look at the cash flow from operations, I think this has been the record cash flow generation that we have done in our history. Probably, how do we plan to utilize it? Do we expect to repay loans and probably help strengthen our balance sheet or probably any plans that you have for FY '27 and '28 for the utilization of this CFO?
Karan Bajaj: So Manoj ji, the repayment of loans that we've taken against property that remains the same. So there will be no repayment of that that is going to be more organic. So whenever there is like

every quarter or every month, whatever we pay for those loans is going to be a part of that. But our working capital requirement has definitely come down. So cash flows have already been prudent to reduce the working capital.
So now once -- by the end of this quarter, end of quarter 1, this year, also, you'll see a much more, higher improvement in our working capital cycles. So the cash flows have all been deployed into other business and whereas the working capital requirement has definitely gone down to what it was during the same period last year.
Manoj Gori: Sure, sir. Thank you, sir, and wish you all the best.
Karan Bajaj: Thank you, Manoj ji.
Moderator: Thank you. Our next question is from the line of Devanshu Bansal with Emkay Global. Please go ahead.
Devanshu Bansal: Yes. Hi, Karan. Congratulations, on good numbers and thanks for the opportunity. Karan, summer season is expected to be strong this time around. And last year, we know that the base is quite comfortable. Can you guide us some bit on your growth expectation across regions for FY '27, it will be helpful?
Karan Bajaj; Sir, if you ask me, it is too early to comment right now, because see, Delhi, the summer started a little late. Delhi, it's been a little warmer from the last one week onwards, whereas there was a

little delay in summer starting up there.
AP and Telangana have definitely outperformed on our expectations. But we still have 45 days left for this quarter to end, and that is 50% of the quarter time still left on board with us. We're still 10 days away in month of May and another 30 days in June.
So I would say, a good positive outcome, but what helps us during this quarter is that the cooling product categories because our margins are higher there, if that outperforms expectation for the next 30, 40 days, then you would definitely see a great result coming through.
Devanshu Bansal: Understood. So Delhi so far has been slow to start but at least in the southern part if you could help us understand what has been the growth rate that can actually help us better sort of understand how comfortable the business...
Karan Bajaj: Devanshu, Delhi again, see because of the base, we had a smaller base last yea

r right.
Devanshu Bansal: Right.
Karan Bajaj: So if the market is not performing well, then we have performed well in Delhi. But again, the value is very small on the total number of the company in terms of any category that we look at today. But Delhi expectations are big. Delhi, we are looking at a good double-digit growth coming in for this quarter.
But now commenting on our existing Hyderabad number, I think it will be too early. But South region has also outperformed than our expectation or then the market. And we've definitely

gained our market share in AP as a cluster, Telangana, UP country market, where the competition is very stiff, where I think we've gained a lot of market share.
And all clusters will give you a good number to go forward. So you will see a good growth coming in from a lot of stores that we've opened, which are yet to get matured. So there are a lot of reasons, the summer support it does, matured stores, the stores which are on the turn of getting matured are turning around to our numbers that we are doing.
We've improved a lot in mobile phones, especially on mobile phone penetration in AP, Telangana was a little poor. We've been doing that also. So not only air conditioning, coolers or refrigerators, but other categories have also outperformed in the region. So you'll definitely see a good SSSG coming through from the matured stores from those regions.
Devanshu Bansal: Fair enough. Fair enough. Karan, I also wanted to check on the extent of sourcing that is directly from brands and that by our distributors currently. So I wanted to understand, is there a scope to increase our sourcing directly from brands, which might help in margin improvement going ahead?
Karan Bajaj: Devanshu, most of it is anyway done directly from the OEMs or the brands directly apart from a few categories like accessories or small appliances where the values are very low. It would not even contribute to more than INR50 crores a year that we would buy from local distributors because of the inventory management or any other issue. But apart from that, most of the sourcing now is done directly only.
Devanshu Bansal: Okay. And is this applicable also to mobile phones category or you're speaking more from a large appliance perspective?
Karan Bajaj: I'm talking about the group, the whole group. So if you're talking about a INR7,000-plus crores revenue, only INR50 odd crores comes in from the distributors, going forward. And that also is reducing day-by-day.
So it does make to do with the logistics for the smaller products and accessories, headphones, sound bars where logistically, it becomes a challenge to distribute to 200 stores of those local distributors are used in those regions. But apart from that, the majority of the products going forward also will be through a direct billing.
But anyways, if it's direct or indirect through big distributors, it doesn't change our margin anyways, because the brand directly get involved in giving us the margins, so we enjoy same cash discount, the same schemes that direct or indirect billing would enjoy because of our volumes, it doesn't matter much to us now.
Devanshu Bansal: Got it. And last question from my end, Karan, you mentioned in your remarks that there is a sizable difference between margins for mature stores and young stores. By when do you expect these younger stores also to reach that 7% EBITDA margin that we sort of see in mature store portfolio?

Karan Bajaj: Devanshu, there is a cycle in this. For example, let's say, 150 stores are yet to mature, which are

below 4 years, okay. Now out of that, 20-30 stores will mature which will start giving you a
margin of 5%-6%. But then your 20-30 new ones will also be added.
So that 100-odd stores plus will always be in the cycle of getting matured at

any time. But at the
same time, idea is that, are the stores which are 2 years old, 3 years old or 15 months old, are
they maturing in terms of revenue and EBITDA profitability, that is what we look at, and those
stores are trending up really well.
Devanshu Bansal: Got it, Karan. Thanks for taking my questions.
Karan Bajaj: Thank you.
Moderator: Thank you. Our next question is from the line of Yash Sonthaliya with Edelweiss Public
Alternatives. Please go ahead.
Yash Sonthaliya: Hi team. Thanks for taking my question and congrats on a good set of numbers. So my first is a
follow-up on the first question on gross profit margin, so basically is there anything which is
related to mobile phone price hikes and any one-off in the margins or all this improvement after
the mix change also the margin remaining stably structural for us, and it will continue
happening?
Karan Bajaj: Yes, I hope it continues to be this or get better than this because that is what we try now. Because
as I told you earlier, there is a deep bifurcation of every category, every brand, every SKU,
maintain gross margin levels across all regions.
And you would see -- because you would see improvement coming through, especially in the
Telangana or Andhra Pradesh market where the competitive scenario is very different in the
stores, but still getting matured.
The blended gross margin was because of the competition was a little poor there, which now we
are improving here. So you would see not only like one reason for it, but multiple changes in the
multiple in-depth push that we have across regions, that kind of category to better those margins
up, not only at gross margin level, but even at the EBITDA level.
Yash Sonthaliya: Got it. Got it. And my second question is more specific to RAC category, like there has been a
lot of price hike recently. So how has been the absorption in the market? And how has it impacted
the demand? And anything we are observing on our end which will impact our gross margins
going ahead because of this price hike?
Karan Bajaj: So yes, 2 things. Firstly, we had an advantage of carrying our previous inventory from last year.
So that helped us in the initial beginning days of the summer starting of this year. And then we
did do purchase, right, in January, February.
We didn't pick up usually the way we would pick up, but anticipating a little demand, we already
had picked up enough inventories tat the older pricing. So for us, we will not see a huge change

in pricing. During summer period, we still have some inventory left that is, sufficing our growth
as well as our requirement.
But at the same time, going probably going another 20 days or so, we would be then picking up
a little more inventory than required. That would be at a newer price, but not with a major price
increase, I'm talking about 2% or 3% maximum, not more than that. And we don't absorb any
improvement in -- the hike in the price, it's all passed on to the customer.
So if there is an increase of INR1,500 or INR2,000 depending on the SKU, it is all increasing
the selling price in the store front. And that is how it is divided, either the manufacturer would
take a hit or we'll have to increase the pricing on the store front. But usually, as a retailer, we
can't afford -- with our margin we can't afford taking that price increase cost.
Yash Sonthaliya: Got it. Got it. And one last question, like there has been some huge price hike in mobile phones.
Was it already in this quarter or it will reflect in Q1 more?
Karan Bajaj: So it has been happening, especially for the entry-level product categories in mobile phones, but
unfortunately or fortunately, we don't -- we are not that strong in that INR15,000, subINR15,000-
INR18,000 kind of category.
Our ASPs are about INR35,000, INR40,000 per mobile phone today. So if you look at the upper
category, the price of iPhone

, Google, FoldFlip, S20 Ultra, has not increased. If you look at
Vivo, Oppo, Realme, Xiaomi the models below INR20,000 have seen a higher price increase.
Yash Sonthaliya: Got it. So, it's not that important for us, makes Sense.
Karan Bajaj: Correct. Correct.
Yash Sonthaliya: Thank you.
Karan Bajaj: Thank you, Yash.
Moderator: Thank you. Our next question is from the line of Vineet with Investec. Please go ahead.
Vineet: Hi Karan. Hi team. Good afternoon.

Karan Bajaj: Hello.
Vineet: I have a couple of questions. How are we seeing the store addition for the next year or next couple of years, number one. And which are the geographies where we'll add these stores? And a similar question to this is, are we looking at, any new geographies to foray into. And by when should we get into those new geographies.
Karan Bajaj: Okay. So Vineet, we are currently concentrating on NCR, AP and Telangana. So organically, we will be looking at anywhere between 12 to 15 stores in this region. We'll be opening up at least 4 to 5 stores, which are getting ready in Delhi region and adding up another, 3 or 4 new contracts in that region as well.

So probably this year, we might add 7 to 8 more stores in Delhi NCR region and a similar number down south. This would be organically happening as we talk. So we'll be opening some stores this quarter in the coming times as well in this financial year.
And for the second question of yours for the new geography, we've short listed a few areas, out of which strongly we would be entering east and starting up base with Calcutta in the Eastern market organically. And here, we plan to open at least by, say, either the end of Q2 or the beginning of Q3, so that we can capture on the Durga Puja, Dussehra Diwali period there.
We would at least start off with 5 to 7 stores in that region by the end of Q2 or the beginning of Q3. So Calcutta would be a new base for East. And from there on, we will start expanding organically in the Eastern part of the country.
Vineet: Understood. Understood. So more like 20 store additions is what we plan for this year?
Karan Bajaj: More or less, yes.
Vineet: Understood and should we assume a normal sort of a capex, which we do on a per store basis for all of these so something in the region of INR3 crores to INR4 crores.
Karan Bajaj All the store sizes, everything all that remains in line only. So like even the new regions, we at least plan to open 8,000-10,000 square feet stores. Some might be 7,000-6,000, some might be 10,000-12,000 also. But the average would 8,000 to 10,000 square feet is what we look at with a similar capex, so similar product mix. So no changes there, the idea is to remain -- stick to our basics, what we are doing.
Vineet: Understood. Understood. And just one more question from my side. Now when given the inflationary environment we are in, where essentially all the product categories are seeing significant price hikes. How does it work for us?
Do we still work on a percentage margin basis or given pricing is going up, we are okay, lowering percentages a bit and focus more on absolute EBITDA growth. How does our thought process work in that scenario?
Karan Bajaj: So definitely, percentage becomes the basis for our calculations irrespective of the price that we operate at, right? So if it is a INR1,00,000 phone, I can't expect, okay, I will earn INR1,000 in this and if it is a INR20,000 phone, I won't say that I will earn, 5%, INR.1,000.
So usually it is a math of, you know, the percentage that we look at. But what we look at is that because the fixed expenses that we have to bear, they're marketing expenses, manpower, a lot of other things are in terms of fixed to us.
So we at least make sure that when we look at profitability, we look at now on a deeper level, where we look at profitability per store, so to look at the productivity, how do we i

ncrease the
productivity because it can't be a varied price between the categories in different stores, but it can be a varied price strategy for clusters like I can operate probably a Daikin AC at higher or low pricing, say, Delhi versus Andhra Pradesh Tier 2 town.

But then that can be only leeway of 1% or 2%, I can't go drastic, I can't be higher than the market or way lower than the market. So it is going to be a balanced act. But if we look at least a certain percentage of gross margins that we retain on our product categories that we sell because mobile phones would be different to large appliances to say kitchen appliances to, say, a Dyson product to an accessory product or a warranty product, right? So there is differed category-to-category.
Vineet: Understood. Understood, Karan. This is helpful. Thank you so much.
Karan Bajaj: Thank you, Vineet.
Moderator: Thank you. Our next question is from the line of Rupesh Tatiya with Long Equity Partners. Please go ahead.
Rupesh Tatiya: Yeah. Hi Karan. Congratulations on good results. My first question, sir, is on ASPs, right? I

mean one of the struggles we -- all electronic retailers have is that the ASPs go down 5% to 15% every year, and this is what has been happening in the last 3, 4 years. But now it looks like the underlying deflationary trends may be changing towards inflationary. So any comment on, how do you see ASPs moving?
Karan Bajaj: See, as you said see, there is a very thin line between how the, say, an online player or a mom-and-pop store versus a premium modern retail store would look at ASPs. As you said, a few markets look at this problem differently. But we being a premium seller, we've always seen our graph of ASPs going up across categories.
The value in the bill carts might be a little different, because you're talking about increase in a lot of newer low-price product category like accessories, audio product categories, which have increased a lot for us. So the ASP on the bill cut, you would see a little different scenario versus the individual ASP increase.
So basically, the price of AC, TV or mobile has increased. So price of ASP is automatically increasing. If you sold the same volume last year, then ASPs have gone up at least by 5%-6% this year and on average.
Star rating has increased in AC. So last year, 1.5 ton 3-star versus this year's 1.5 ton 3-star is higher by 5%, for example, so if you sold the same volume then your ASP increased by 5% but otherwise, a lot of improvement in technologies, a lot of ASP is going up.
For example, after post-GST drop, people who were buying a 55-inch have started shifting to 65-inch or 75-inch because it became more affordable. So automatically, if you're buying a big size, you're seeing a big ASP change, same thing with washing machines, refrigerators, accessories, every category.
So people who buy an Airpod today, for example, earlier were buying a cheap say INR5,000--INR6,000-headphone now, are buying a INR15,000-INR20,000 headphone. So every category is seeing a definite increase in ASP. So there is not even one single category across the board where we would see a reduction in ASPs.

Rupesh Tatiya: So just to summarize, I mean, generally, for example, TVs, we see 15% price decline across years is very common, even with the phone it's same, right? I mean like after 1 year, the older model goes down quite a bit.
But what you are saying is on an average in every category, TV, phone, I mean, AC, refrigerators are still a bit different, more electronics. There, you are saying even there ASPs have gone up this year, and they might go up over next 2-3 years?
Karan Bajaj: Correct. Sir, you just gave a correct example. Sir, as you are talking about the market, there are many retailers who focus on entry-level product categories

or majorly older models. So I have no idea if the ASPs are changing there.
But as we have the iPhone 17 now, we don't sell the iPhone 17, for example. We sell the new and latest models of all the brands. So, there you will see an improvement in ASPs. But as you said, last year's iPhone 15 and 16 are there, so they will be at lower prices in the market because the iPhone 17 has come.
But my mix on that product category is very low. But there are a lot of other retailers might be predominantly selling only 15 or 16. I would be selling only 17, 17 Pro Max. For me, the product mix is more premium always.
Rupesh Tatiya: Okay. Okay. That's clear. But the question is the rate of store opening has come off quite significantly in FY26 versus FY25. I think its 23 this year versus 40 last year. And I think that is what has come into the cash flow from operation.
So is this now -- is there some change in strategy, because I remember in one of the discussions that what you had said is, whatever cash flow from operation we generate, everything will be reinvested back into the business. That is what we were looking at or thinking a few years ago. But is there some change now in the strategy?
Karan Bajaj: No. No, that remains the same, but it is more to do with the penetration that you would have in a certain market. So Delhi was a new market. So we now had a majority of the stores opening up with Delhi.
So for example, this year also when we plan to go to a new region and automatically with the organic existing region like NCR and South, you'd be adding up a new cluster altogether. So you will see that improvement. But we have a requirement of opening stores. We would definitely do that.
But we're not shy away from that. But until and unless, we don't feel there's a potential in a certain market to open and expand further, we would slow down in that. So if you look at Hyderabad, Hyderabad, on an average, one or two stores open every year.
Either we relocate our smaller stores to bigger ones or we find a new geography in Hyderabad.

But because it is already an older market for us, already penetrated with a good number of stores here, we don't see more potential of opening stores like 10-15 years.

So when we opened in Andhra, there were 70 stores in Andhra. Now there are 45 stores. There were 60 stores last year. From 55, we came to 70. We will go from 70 to 80. There will be 100 stores there.

See, there is no such potential. Then there, organically, like Vijayawada, Vishakhapatnam, in big towns, one store will keep opening, but like Delhi, in Delhi, you are looking at Noida, there will be an expansion. You are looking at Gurgaon, there will be an expansion. So periphery is more than the city. You will see the market around NCR, which will also expand for us.

Rupesh Tatiya: So what we are saying is in our Telangana, Hyderabad, AP, NCR, in all 4 geographies, we have reached now enough scale and incremental store opening run rate will now be low. We'll not shy away, but on average, it looks like it will be now low?

Karan Bajaj: Correct. Correct. So organically, if you see, between the existing older clusters, we will be opening around not more than 20 odd stores this year. Rest, 20 plus how many will open in the new geography. Suppose you are going to a new geography, then you have to open 20 stores there. In 20, you will get 10 this year and 10 next year, so something like that. If you get 20 this year, then you will open all 20 together, right?

Rupesh Tatiya: Okay. Okay. Understood. And north cluster, any margin trajectory for FY27 and FY28. I mean, it's profitable now. So congratulations on that. But maybe FY28, you see it will be around south cluster margins or it will take longer?

Karan Bajaj: Not this financial year, so you'll have to give me at least 20-24 months more because...

Rupesh Tatiya: I'm asking FY28.

Karan

Bajaj: Yeah. So by FY '28, we should at least not the same number as south, but at least a 3% to 4% higher number than what it is currently.

Rupesh Tatiya: Okay. Okay. Perfect. And there is this mature versus non-mature slide. So what I understood is what you are saying is that, 30 stores, for example, on average, will move from non-mature to mature? And then newer or whatever you open newer will get into non-mature, right? That is the rough understanding?

Karan Bajaj: Correct.

Rupesh Tatiya: So maybe in FY28, is it fair to assume that mature or non-mature mix will move to 50-50?

Karan Bajaj: Suppose in FY28, I suppose I enter -- giving an example, but don't catch me for that. But suppose I enter UP as a market, okay? So UP is, say, a 50-70-store kind of a market, right? Probably in one year, I might open 50-60 properties there, okay? And in FY28, if I feel I am getting 30-40 properties, probably in one year, I might open 30-40 properties there, okay?

So then, if that kind of an expansion happens in a bigger state, suppose if I have to go to Goa or if I have to go to Dehradun, I will open only one store each, you know, in a newer cluster, okay? So depending on the cluster that, after Calcutta, we would enter into, that would, you know, define this.

But this is actually, you know, if you ask me, it is something that is secondary for us. Primarily, what we look at is the productivity of the existing stores also. So that is more important. The 140 non-mature stores, how are they trending. Though they might be aging towards mature stores, are they actually delivering revenue and profits as a mature store is required to do. So that is more important for us.

Rupesh Tatiya: Yes. Yes. One final question, I mean NCR market had its own nuances and you had to buy property and which has kind of suppressed our -- I mean it has increased our depreciation and suppressed return ratios. Is Calcutta has a similar nuance where you have to buy properties or Calcutta expansion will largely be leased?

Karan Bajaj: See, it is going to be a mix of both. But for this financial year, I wouldn't look at more than INR50-odd crores investments happening in real estate there. So probably over a period of time, you might end up doing not more than INR100 crores of acquisition there in the next, say, 12-14 months.

Rupesh Tatiya: Yes, clear. And I don't know how many of our stores are franchisees, but any color on that? And how do you see the percentage of franchisees moving up? Is it going to move up over the next 2, 3 years?

Karan Bajaj So sir, we only company-operated stores only, we don't have a franchisee model currently. So

we would be sticking to this current model only where we only open stores and operate them.
Rupesh Tatiya: But I mean, franchises will give you significant capital efficiency, right? So I mean, what prevents us from going into franchisee model, I mean, even experimenting, for example, let's say?
Karan Bajaj: So definitely, we can look at it, but franchisee to me, it sounds more like an affair that one would have a married man. So I would rather stick to my wife rather than having an affair outside. So I'm happy doing that. So I would consider it that way.
But given -- we definitely keep on internally discussing it, but it's given an opportunity if we have all the support from our OEMs, and we feel that a certain region or geography requires a franchisee, we'll definitely explore that.
Rupesh Tatiya: So you think consumer experience is not -- I mean, you're afraid that consumer experience might go down if you go franchise route?
Karan Bajaj: Consumer experience, so there are a lot of nuances that are involved in our business on a daily level. So there is a lot of control that is needed. So there are good to it, there is bad to it as well.
But right now, as you said correctly, one major advantage I will have is our c

apital allocation
will be much lower and growing in a franchisee model versus what it is today.
But for a long-term strategy, the mind share has to be of a partner also coming on board to what are requirements are, what -- it's just not only about the capital investment by the franchisee partner, but we need a lot of mind share of them because there's a lot of seasonality involved.

There are a lot of ups and downs in seasons, in quarters. So the expectations have to be very varied compared to what our regular franchisee partner of any big brand would have.
Rupesh Tatiya: Okay. Okay. Thank you. Thank you for being so candid, sir and thank you for answering all the questions?
Karan Bajaj: Thank you, sir. Thank you for your time. See you next time.
Rupesh Tatiya: Yeah, yeah.
Karan Bajaj: Thank you sir.
Moderator: Thank you. To ask a question, ladies and gentlemen, you may press star and one. Our next question is from the line of Akhil Parekh with 360 ONE Capital. Please go ahead.
Akhil Parekh: Hi, thanks for the opportunity. Karan, my first question is on the EBITDA margin side for North cluster. If I remember correctly, you had said INR1,000 crores, we can do 3% to 4% EBITDA margin. Is that correct? And should we be looking at that number in FY27 or FY28 if you can please help here?
Karan Bajaj: Akhil, we are -- you're absolutely right. I think the last discussion we had -- we had come out to that number. But FY27 that we achieved that number in FY27 itself, but FY28 is definite for sure, but the big training -- so we closed FY26 at INR585-odd crores for NCR as a region. Store, the store is getting matured, we see a bigger traction.
Plus FY26 definitely was a bad year for summer. And then we anticipate that this summer at least is going to give us that bump organically and then we're increasing our market share there.
So FY27 is also going to be a good year than what it was in FY26 -- compared to FY26. So INR585 versus, say, we end up doing INR800-plus odd crores in FY27, that is the target that we're looking at.
And then with a good summer or a good festive period, we would definitely look at a little lighter bump there and then if we achieve that kind of a number, we would look at an EBITDA margin of at least 2% to 4% kind of a number there. So that is the least that we have in mind for Delhi as a region.
Akhil Parekh: So is it then fair to assume that in Andhra and Telangana, UP country, we would be doing at least 3% of EBITDA margin, given both of these regions have now crossed INR1,000 crores plus revenues?
Karan Bajaj: So, Telangana, if you look at Andhra and Telangana, their EBITDA margins are better than the number that you just said because here all the setup is completely different as compared to what Delhi is at. And yes, not only this year but last year also, we crossed that number there.
So, we are on a good track. If you look at the cluster-wise number, in Andhra and Telangana, we would definitely, from, say, INR1,100-odd crores in Andhra and then INR1,000 crores in Telangana, look at a higher single-digit SSSG.

I'm talking about with the new additions of stores; it will definitely be a little higher number. So, both the clusters would definitely contribute to anywhere between INR2,400 crores and INR2,700 crores in the coming year.

Akhil Parekh: Okay. Sorry, just to clarify, when you say things are different in NCR versus Andhra and Telangana country is to do with the buying of the property versus rented property? Or is there anything else basically which gives us...

Karan Bajaj: Sir, your interest and depreciation has come down, but if I say at EBITDA level, if the expenses are marketing, manpower cost, you know, so this is your competitive scenario, so your gross margin is a little lower there versus gross margin here, y

ou know, productivity per store. So, if you add all this, you will definitely see an improvement there.

Akhil Parekh: So is Competitive intensity is higher in NCR geography basically vis-à-vis South?

Karan Bajaj: Sir, in Delhi, not only, like you say, your competitive intensity with bigger guys like Croma, Reliance, Vijay Sales, fighting there, whereas here you're fighting with mom-and-pop stores. So your margin, discounting structure, product mix and the other expenses, even manpower, marketing cost, and rental cost, all differ a lot, right?

Akhil Parekh: Got it. Got it. This is clear. Second, would you be able to give the store count for Hyderabad and the sales for Hyderabad?

Karan Bajaj: Sorry, sir, can you repeat your question?

Akhil Parekh: Sales and store count for Hyderabad basically.

Karan Bajaj: Okay. So sir, FY26, currently, we are around 72 stores in Hyderabad city.

Akhil Parekh: Okay.

Karan Bajaj: And for FY '26, the revenue generated out of these stores were INR4,122 crores approximately.

Akhil Parekh: Got it. So there is a huge differential in the product, obviously, Hyderabad being our core geography?

Karan Bajaj: Correct. Correct. Absolutely right. Absolutely, I wish I wish all stores in the country wherever we open start performing like Hyderabad.

Akhil Parekh: Yeah. Yeah. Great, sir. These were my questions. Thank you so much, and best luck for coming quarters

Karan Bajaj: Thank you, Akhil. Thank you. Thank you very much.

Moderator: Thank you. Our next question is from the line of Pawan Vinod Kataria with Bullseye. Please go ahead.

Pawan Vinod Kataria: Thank you for the opportunity. My question is could you just share how demand trends have been so far in the current quarter?

Karan Bajaj: So sir I didn't hear your question. You want to understand the trends for quarter 1? Hello, Pawaj ji?

Moderator: Sir, the current participant seems to have dropped from the queue. We will proceed to the next question in the queue. The next question comes from the line of Hitaindra Pradhan with Maximal Capital. Please go ahead.

Hitaindra Pradhan: Yeah. Hi, sir. I hope I'm audible.

Karan Bajaj: Yes.

Hitaindra Pradhan: Congrats on the good SSSG delivered this quarter. So if you can, sir, like I joined a little bit late, so it might be repetitive but on the SSSG for Q4, for the South versus the North Delhi NCR, if you can bifurcate the volume versus value, that would be helpful?

Karan Bajaj: Sir in terms of store count, today in South, we've got 72 stores in Hyderabad, 69 stores operating in Andhra Pradesh and around 46 stores in Telangana region. This contributes to around INR6,000-odd crores of revenue, INR6,000 plus around INR6,500 crores comes in from this region.

And around INR590-odd crores comes in from Delhi as a region, which operates, currently has 35 stores out of which 6 stores were open in this financial year, the last financial year, FY26. If you see the sir then this is the split that we have today between North and South in terms of store count and revenue that we generated from these regions.

Hitaindra Pradhan: Yes, sir. That's helpful. But I was specifically asking regarding SSSG. What was the contribution from volume versus value because I see that the North cluster, Delhi has done like 18.6% SSSG in Q4?

Karan Bajaj: Yeah.

Hitaindra Pradhan: So just was wondering what is the volume contribution versus value contribution?

Karan Bajaj: Okay. So sir, I don't have the amount of volume contribution, sir?

Hitaindra Pradhan: Yes. I mean ballpark would do, sir. I mean, just wanted to see?

Karan Bajaj: I mean I don't have exact volume category wise. But in terms of the revenue that we generate, expect the volumes would be in the similar percentage of the revenue that we generated in a lot of different clusters. So Telangana definitely would be one of the highest volume generators for

us.
So al

most 70-odd percent comes in from here and then another 10% comes in from Delhi and
around 18-odd percent comes in from AP and Telangana, the country market. That is how this
is more or less.

Hitaindra Pradhan: No. No. That is your overall view what is the contribution you're saying, Delhi like-to-like store sales has grown by 19%, right, in Q4?
Karan Bajaj: Correct.
Hitaindra Pradhan: Yes. So in that, sir, 19%, I mean what is the contribution of the volume? Is it more volume led or more value led in the Delhi region?
Karan Bajaj: Sir, I didn't understand the last part, you said.
Hitaindra Pradhan: Yeah, 19% of growth on the mature stores that we are currently showing. So that growth was led by volume or value?
Karan Bajaj: So volume -- Okay. So that -- yes, so it is a mix of both, I'll just give you the exact number, one second. So if you look at Delhi, sir, across categories. So we give you a detailed number, see mobile phones would be, say, at 70% value growth, whereas the volume would be around 50%. That is the number because of the base in Delhi was practically less. So if you look at televisions, value growth, value growth there would be around, say, 18%, but the volume growth also would be on a similar 17% kind of a number.
The maximum jump that we would see overall categories would be for categories like kitchen appliances, audio devices, where the value and volume growth were up around 30%, 40% kind of a number. But overall contribution would come much less the top line there.
Hitaindra Pradhan: No. No. Got it. I mean the numbers are higher in Delhi region because of the smaller base whereas your Telangana and Andhra Pradesh stores are already kind of way ahead in terms of your sales number I assume.
That growth is still impressive, the SSSG for the quarter for the south cluster but Delhi, it is more to do with our base, right? And -- but you're also seeing a lot of volume and value growth in the Delhi kind of...
Karan Bajaj: Absolutely. Because the base itself is quite low, right, there.
Hitaindra Pradhan: Right. Right. So sir, in terms of the -- base and how you're ramping up because in past few quarters, been seeing that clearly, like the competitive pressure in Delhi was very high and the ramping up took a longer time for us and to do additional marketing as you described earlier as well. So sir, like in terms of this ramping up and all?
And do you think that from here we can at least improve our per-store sales for FY27 in the Delhi cluster like say more than like can you sustain the Q4 SSSG? That's what my question is basically in FY7 for Delhi specifically? Because we know that South, you have a good presence, but for Delhi cluster, can you sustain this kind of 19% level of growth like-to-like basis?
Karan Bajaj: Sir, two things in here. Last year, summer didn't support us across the country. So this year automatically you're looking at a much better number because summer is supporting you. So

that is more organic, right? But if you ask me, we have no other option. So we are in Delhi right now. We've invested so much. We have to make sure that we start delivering numbers, right? So -- and I think there has to be a reason for us not delivering it, right? So we have to figure it out, fix that problem quarter-on-quarter, month-on-month, start moving from there on, fix issues, whatever issues are either from our end, from the OEM, from the store level, customer perceptions, marketing issues, whatever it is. So we have to move on day by day, it is always the...
Hitaindra Pradhan: If you can help, I mean we just hear that the regional competition, regional stores and local store competition is really high, but also the customer perception in Delhi is very different compared to say South. They don't trust probably the bigger fo

rmat stores and all. So we don't know, we
are speculating.
So if you can elaborate more on what went wrong or what was the market study like? And what did you experience? What has been your learning so far in the Delhi market, like from a customer point of view and the competition point of view that would be helpful?
Karan Bajaj: So see, North even if I have done a mistake I will not agree to it. So I think we've done everything

right, that's why we are sitting here. That is just to start on a lighter note. But on a serious point, every market, even Hyderabad today, there is a new learning that we go through every day. So it is not that because we're sitting here at a much higher market share or we are the leaders here. It doesn't mean that we don't change our customer experience, introduce newer product categories or don't understand what the market is operating and what the demand on the store front is. So what we have to understand on a daily basis is that our -- the positioning of our brand is right, the pricing right, are the stores locations right. Every small detail in retail matters a lot, right?
So that is very important for us to understand that why a customer is coming to our store in Hyderabad and why not in Delhi, right? So there has to be a reason for it. And I don't think our conversions are good, but our footfalls are lower. So we have to increase our footfalls in Delhi. The market size is so big.
How do we move customers from, say, not only from the modern retail stores, but even from a mom-and-pop distribution market to a modern retail format. So we are opening stores relevant to sizes or markets where either the market leader is a mom-and-pop store or a LFR format store. So we have to look at those things. We have to concentrate into a lot of marketing. We have to start educating the customers a lot that we are available in this location with these many products and brands.
And pricing if you ask me in any of the markets, there are set customers who are price-sensitive, a lot of customers who want service, customers who believe in faster deliveries, customers who store ambience matters a lot or the range that we offer, especially the premium range matters a lot.

So there's a set of different customers everywhere. So you got to make sure that you have a bouquet of different experiences and offerings to your customers so that you can improve your market share in that new market, especially.
Hitaindra Pradhan: Got it. Sir, but like on that note, I mean we are also expanding to Calcutta, right? I mean, shouldn't you just pause on that and just try to focus on improving the profitability in the north cluster first -- and before you moving to Calcutta because that market is also kind of pretty much fragmented and might be -- might surprise you in terms of -- again, you're ramping up and getting market share. So what are your thoughts? Or do you -- do you think that you have some advantage in Calcutta and so that's why you are putting into that micro market?
Karan Bajaj: Sir, one is that Delhi, say now, the work of stabilization has been done in Delhi. It's going to be a more organic journey from here on. And then we can't expect that Delhi is going to keep giving us 50% year-on-year growth, right? It has to be more organic. It has to be more in line with what the market demand is.
Hitaindra Pradhan: Sir what is the growth and margin outlook for Delhi, for FY27?
Karan Bajaj: So sir, at least for that particular cluster, we will do at least a 25% to 30% kind of a growth from the existing 590 kind of a number.
Hitaindra Pradhan: And margin, sir? Margin?
Karan Bajaj: Margin will improve, so right now, I would consider at 0.2%, 0.3% kind of an EBITDA margin, which would be definitely 2.5% or 3% kind of a number.
Hitaindra Pradhan: And these are all pre Ind AS we are discussing, Pre Ind AS EBITDA, rig

ht?
Karan Bajaj: Yes. Yes.
Hitaindra Pradhan: Okay. Okay. Sorry sir, I just interrupted you.
Karan Bajaj: Yeah. So no, no, till the time we enter a new market also like I can't expect that Calcutta is going to turn -- shape up from day one onwards. It's going to take a little time -- till the time we open 15, 20 stores. We understand the market better.
So it's going to be an organic learning. So that will at least from this day of opening, it will take us at least a year or 2 to set up things better, right? But until the time we do that, they actually always have to be a new cluster for us to explore from here on. But Delhi has now started stabilizing. We'll see better results coming in Delhi on this onwards.
So it is from the existing base, whereas creating a new market would always take some time, right? So even if we start off by Q2, Q3 this year, we would at least take some time to getting the right people, the right brand, the product mix, the pricing, competition scenarios, right marketing.

All this learning happens only after because you -- it's not that you go blind to a market, you understand the market, you do a lot of your research, have your people on the ground, get the right team in and then you launch a store in a new geography.
But from there on, the learning happens on a practical level, where on a daily basis, you understand customer requirements, pricing, marketing, everything. And then you improvise from there on. So that cycle is, say, 12-14 months cycle for you to get things right on the floor. And then from there on, you move ahead. So that's how things work for us at least. So we plan to get into a new market so Calcutta came in our way. So that's why we entered Calcutta but a lot of other places we would like to explore in the future for which once Calcutta stabilizes, then we will -- markets.
Hitaindra Pradhan: Got it sir. Okay, sir. That's all from my side. All the best.
Karan Bajaj: Thanks, Hitaindra.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now hand the conference over to the management for closing comments. Over to you, sir.
Karan Bajaj: Thank you. I would like to thank all of you for joining into the call. I hope that we were able to answer all your questions. And for any other queries, you may get in touch with our team or SGA, they will be happy to address all your queries. Thank you once again.
Moderator: Thank you. On behalf of Electronics Mart India Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.